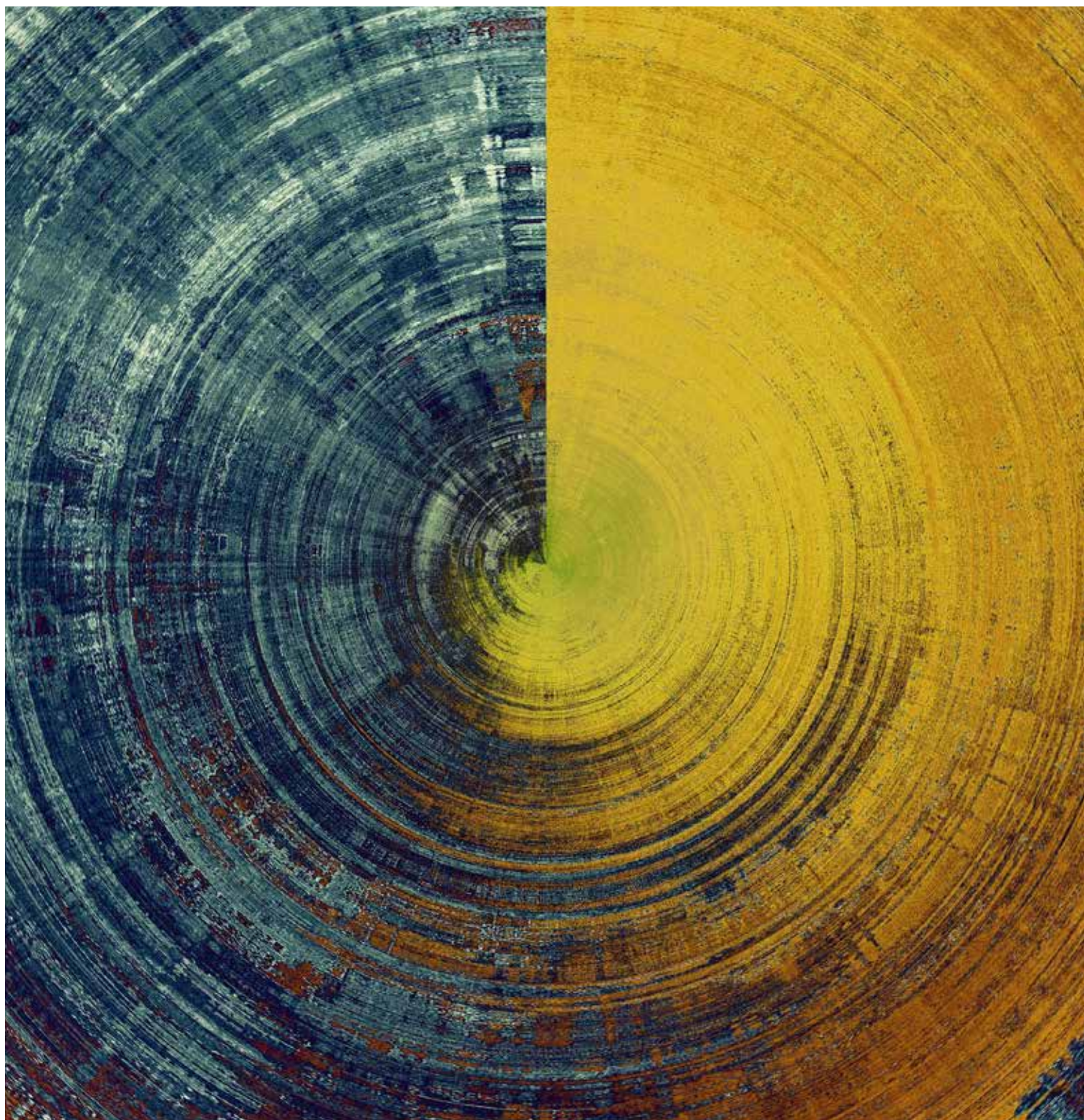




MANOEUVRING THROUGH MAYHEM

AITKEN SPENCE HOTEL HOLDINGS PLC | ANNUAL REPORT 2020/21

MANOEUVRING THROUGH MAYHEM

An account of the events from March 2020 to March 2021.

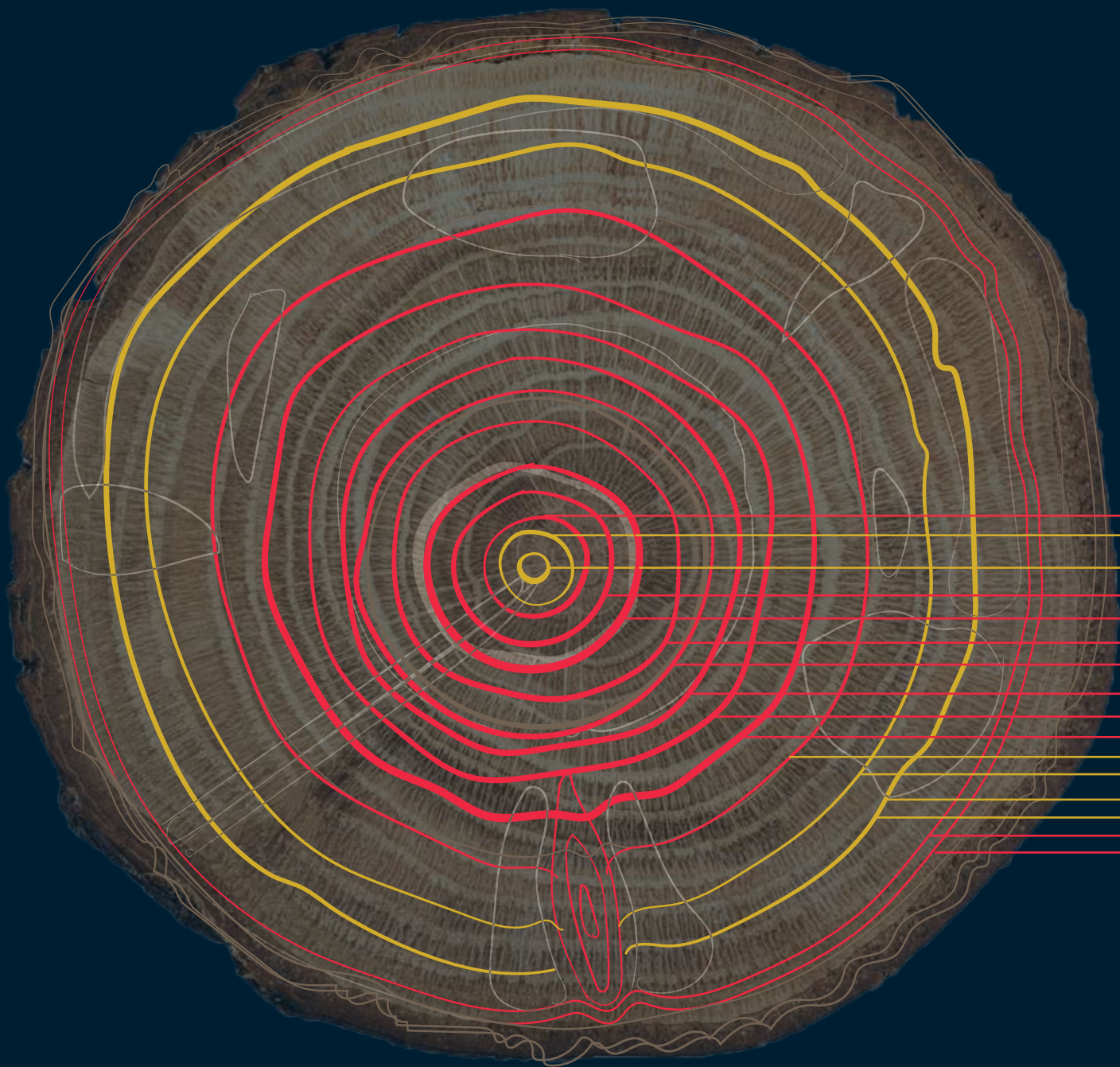
The year in question was a period of unprecedented turmoil. Operations ceased and livelihoods were at risk; confinement, restrictions and controls were the order of the day. Countless industries experienced the weight of a global pandemic both here and abroad, but the greatest impact was undoubtedly felt within the hospitality industry, with a decline in performance being recorded across the board.

Amid this time of mayhem and unpredictability, one organisation chose to be the calm amid the storm. Aitken Spence Hotels continued to rely on a spirit of resilience built upon vast stores of industry knowledge and expertise accumulated over decades of change. The past has proven that the best crafted strategies are a direct result of pressure and chaos; and so, equipped with a strong track record in the face of adversity, the Company continued to watchfully survey the environment to capitalize on every opportunity – relying on skills of expert navigation to journey through the surrounding turbulence and mitigate its impacts. The following pages unfold the year's proceedings in this regard.

We invite you to read on and discover the art of manoeuvring through mayhem.

The growth rings of a tree trunk tell a story of continued progress, endurance and strength amid incredible adversity. The cover image depicts the Company's journey, and its eventual transition from darkness into a better future, through change.

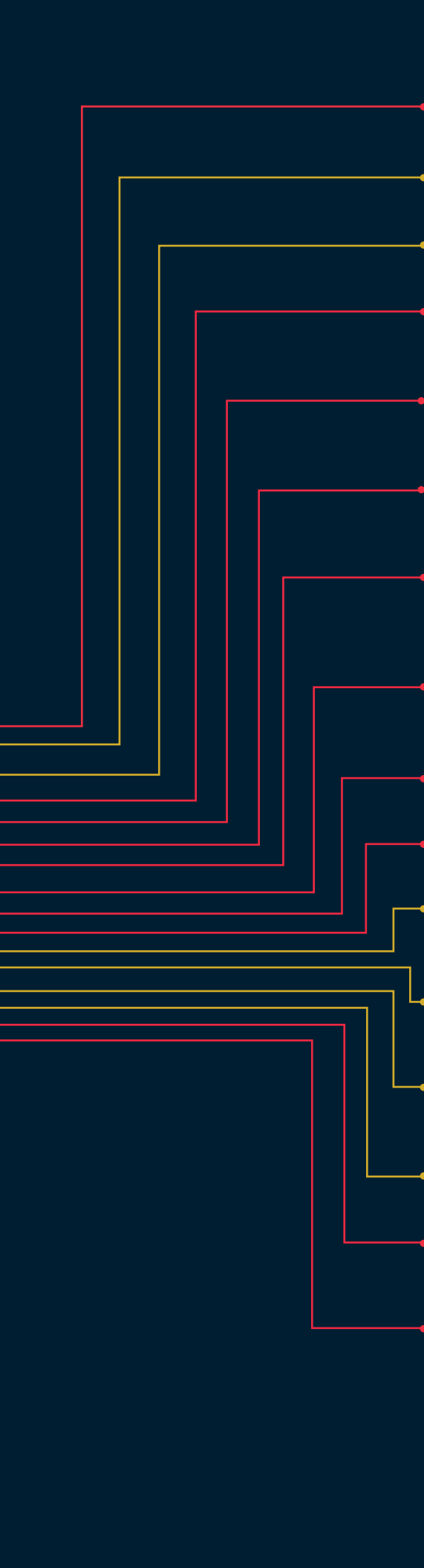




A STORY OF ENDURANCE

We're augmenting our story of continued progress amid a history of change and chaos.

Red symbolises actions taken in times of mayhem across your company's history.



1973

Incorporates Aitken Spence Hotels Ltd.

1978

Incorporates Ahungalla Hotels Ltd., as a public quoted company.

1983

The Civil War begins.

1994

The Company gains controlling interest of Neptune Hotel, Kandalama Hotel and Pearl Beach Hotel. Kandalama Hotel commences Operations

1995

Becomes the first Lankan Hospitality company to invest overseas. Acquires a majority holding in Hethersett Hotels Ltd. (The Tea Factory Hotel)

2005

Twenty all-suite super luxury Water Villas are launched at Meedhupparu, Maldives.

2007

Becomes one of the first companies to become established as a hotel management company. Secures management contracts in India. Acquires its fourth resort in Maldives, 'Adaaran Select HudhuRan Fushi'.

2008

Acquires Vadoo Island Resort Maldives. Ventures into Oman through management for 4 hotels.

2009

The Civil War ends. Adaaran Prestige Vadoo, commences operations.

2010

The Company acquires ownership of Golden Sun Resorts, Kalutara.

2012

Neptune undergoes a complete renovation and opens as a specialised ayurvedic resort – 'Heritance Ayurveda Maha Gedara'.

2014

Entered to a joint venture agreement with RIU to construct a 501 room, 5-Star resort adjoining Heritance Ahungalla.

2016

The Group acquires its sixth island in Maldives, Raafushi in the Noonu Atoll. Launch of 'Turyaa Chennai', in India. Acquires 'Al Falaj Hotel' in Oman.

2017

Aitken Spence Hotels unveils Heritance Negombo and RIU.

2019

The Easter Sunday attacks crippled our nation. Investment in high-end safety equipment.

2020

The Group commenced commercial operations of its first Heritance' property overseas Heritance Aarah to the Maldives, The COVID-19 pandemic devastates the world and causes global travel restrictions. Critical refurbishments of two hotel properties carried out. Investing in further health and safety measures for guests and staff. Zero retrenchments carried out.

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Vision

To achieve excellence in all our activities, establish high growth businesses in Sri Lanka and across new frontiers, and become a globally competitive market leader in the region.

Values

- Reliable
- Honest & Transparent
- Warm & Friendly
- Genuine
- Inspiring Confidence

Across the Region

Sri Lanka



Heritage Kandalama
Heritage Ahungalla
Heritage Tea Factory
Heritage Ayurveda
Heritage Negombo

turyaa

Turyaa Kalutara

Aitken Spence Hotels

Amethyst Resort Passikudah
Earl's Regency
Earl's Regent
Bandarawela Hotel

RIU
HOTELS & RESORTS

Maldives



Heritage Aarah

ADAARAN
MALDIVES

Adaaran Prestige Vadoo
Adaaran Prestige Water Villas
Adaaran Prestige Ocean Villas
Adaaran Select Meedhupparu
Adaaran Select Hudhuran Fushi
Adaaran Club Rannalhi

Oman

Aitken Spence Hotels

Al Falaj Hotel
Desert Nights Camp
Al Wadi Hotel
Sur Plaza Hotel

India

turyaa

Turyaa Chennai



TRAVELLING THROUGH TURMOIL

We have always been geared to navigate through times of incredible turbulence and chaos, and we continue to do so, even today.

ABOUT THE GROUP

ABOUT THIS REPORT

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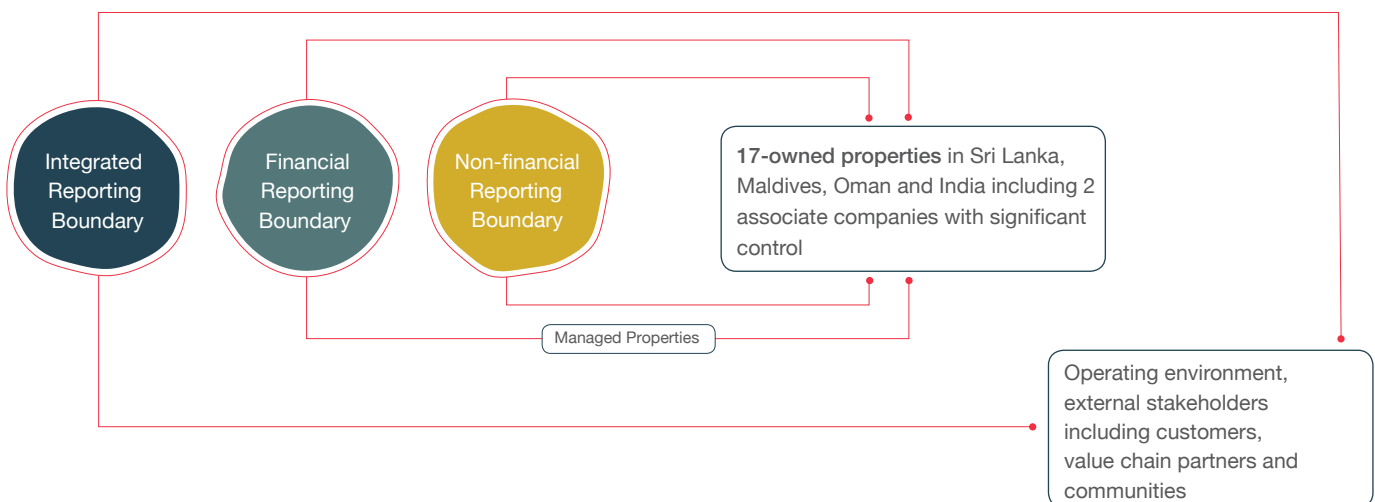
This year's Integrated Report is the Group's tenth through it we present a concise and balanced overview of all aspects that are material to the Group's value creation process - including the operating landscape, strategy, performance, governance, and risk management. The Group's integrated thinking forms the foundation of this report which has been prepared in line with the <IR> Framework published by the International Integrated Reporting Council.



SCOPE AND BOUNDARY

The Report covers the operations of Aitken Spence Hotel Holdings PLC ("Aitken Spence Hotels" or the "Company"), its subsidiaries and interests in equity accounted investees (collectively referred to as the "Group") for the period from 1 April 2020 to 31 March 2021. We adopt an annual reporting cycle, and this Report builds on the Group's previous report for the financial year ending 31 March 2020.

The financial statements and information presented in this Report represent consolidated information while the non-financial information is limited to the 17 properties owned by Aitken Spence Hotels in Sri Lanka, Maldives, India, and Oman; it excludes the managed properties. There were no significant changes to the Group's size, structure, or supply chain during the year under review or any change in the reporting boundary compared to FY 2020.



<https://www.aitkenspencehotels.com/about-us/investor-relations.html>



Our Annual Report is also available online. Please visit our website at www.aitkenspencehotels.com to access the report

REPORTING PRINCIPLES AND ASSURANCE

Financial Reporting	Narrative Report and Integrated MDA	Sustainability Reporting	Corporate Governance
Sri Lanka Accounting Standards (SLFRS/LKAS) issued by CA Sri Lanka	Integrated Reporting <IR>Framework of the International Integrated Reporting Council (including revisions published in January 2021)	GRI Standards published by the Global Reporting Initiative – In accordance with the ‘Core’ criteria	Listing Rules of the Colombo Stock Exchange and subsequent revisions to date
Companies Act No. 7 of 2007		ESG Reporting Guidelines issued by the Colombo Stock Exchange	Code of Best Practice on Corporate Governance issued by CA Sri Lanka (2017)
Listing Requirements of the Colombo Stock Exchange (CSE) and subsequent revisions to date		Sustainable Development Goals (SDG) of the United Nations	
		Gender Parity Reporting Framework of CA Sri Lanka	

Integrity of information

The Group has implemented several internal and external assurance mechanisms to ensure the integrity and credibility of reporting. Internal assurance on financial reporting includes consistent monitoring by the Audit Committee and Internal Audit Function while dedicated sustainability units at both Aitken Spence Hotels level and parent entity level (Aitken Spence PLC) ensure the accuracy of the non-financial information.

External assurance on the financial statements have been provided by Messrs. KPMG and is available on page 132 of this Report.

We have not obtained external assurance on our sustainability reporting this year, as the prevalent conditions have rendered it challenging to access the resources required to ensure the rigour of completeness of such an exercise.

FEEDBACK

We welcome your comments and suggestions on our Report and kindly invite you to direct your feedback through the investor feedback form on pages 273 to 274. Our contact details are,

Email: info@aitkenspence.lk

Group Business Development Unit - Aitken Spence PLC

NAVIGATION ICONS

The following navigation icons are used across the Report to draw attention to the resources and relationships we rely on in generating value. An icon is also used to demonstrate the implications of the COVID-19 pandemic wherever relevant.



FINANCIAL CAPITAL



MANUFACTURED CAPITAL



HUMAN CAPITAL



SOCIAL AND
RELATIONSHIP CAPITAL



INTELLECTUAL CAPITAL



NATURAL CAPITAL



IMPLICATIONS
OF COVID-19

ABOUT THE GROUP

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AITKEN SPENCE HOTELS IS SRI LANKA'S LARGEST HOTEL OPERATOR, OFFERING A COLLECTION OF 11 UNIQUE PROPERTIES DESIGNED TO APPEAL TO A DIVERSE CLIENTELE THROUGH COMBINING SRI LANKAN HOSPITALITY AND CULTURE WITH WORLD-CLASS ARCHITECTURE AND SERVICE STANDARDS.

The Group also has a strong presence across Asia and is the largest international resort chain in the Maldives, owning and operating 750 rooms across 7 properties, in addition to 4 properties in Oman and 1 in India. The Group's proposition is delivered through 3 distinct brands which offer uniquely different customer experiences.

The Group is a subsidiary of Aitken Spence PLC - one of Sri Lanka's most respected and diversified conglomerates with widespread business interests in Maritime and Logistics, Strategic Investments, Services and Tourism. Aitken Spence Hotels is an industry pioneer in sustainability and has embedded social and environmental consciousness across its operations in line with the Integrated Sustainability Framework of its parent entity.

OUR BRANDS



turyaa

OUR PORTFOLIO



SRI LANKA

1,303 rooms
in 8 properties
Owned

261 rooms
in 3 properties
Managed

MALDIVES

750 rooms
in 7 properties
Owned

OMAN

150 rooms
in 1 property
Owned

236 rooms
in 3 properties
Managed

INDIA

140 rooms
in 1 property
Owned

WHAT SETS US APART



Page 68
Architectural
masterpieces



Page 85
Culinary
expertise



Page 87
Marketing and
distribution
capabilities



Page 57
Commitment
to sustainable
tourism



2,563

Direct Employees



4,473

Suppliers and Business
Partners



Rs. 74 Bn

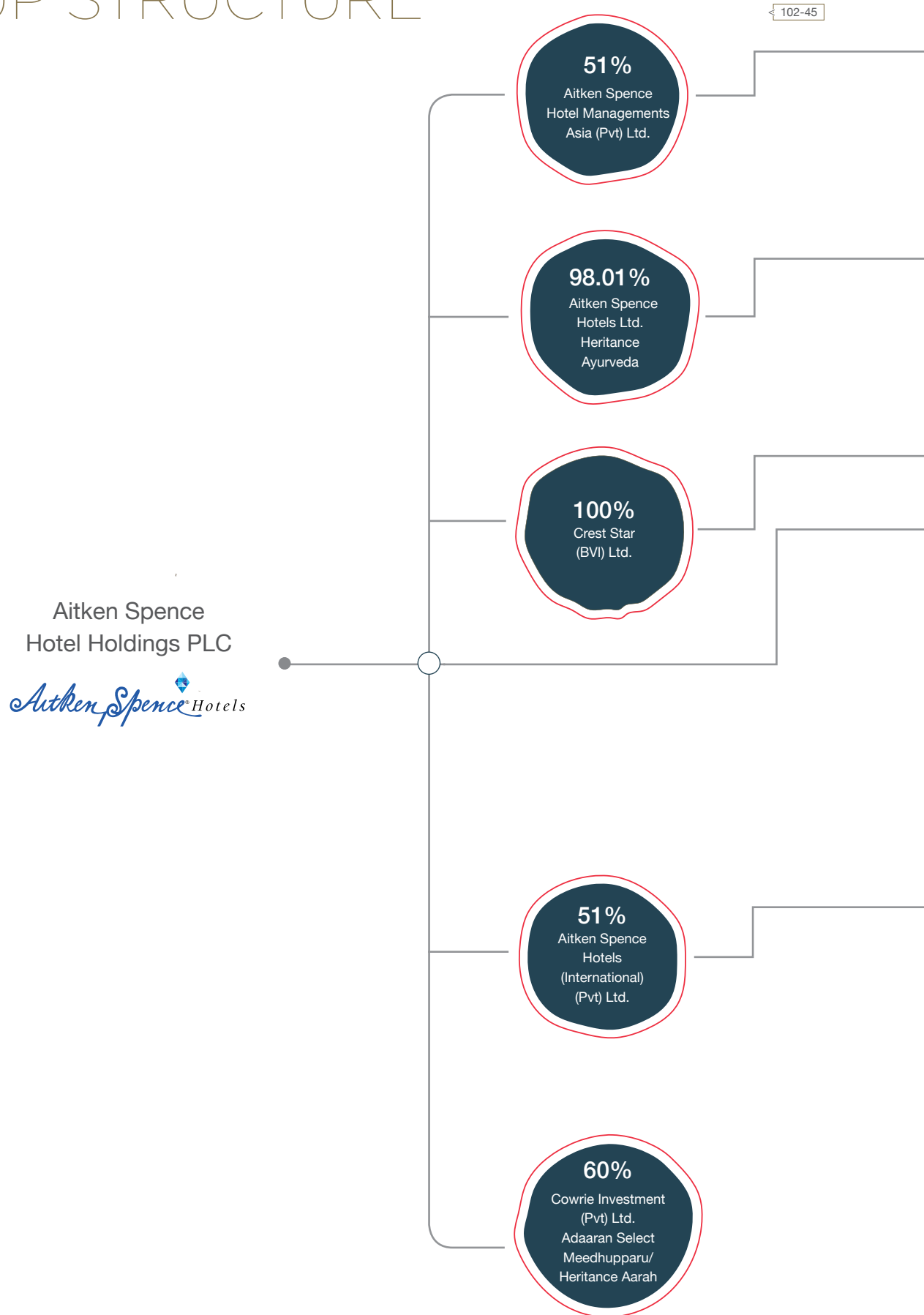
Assets



2,840

Total Rooms

GROUP STRUCTURE



84.57%PR Holiday Homes
(Pvt) Ltd. (India)**100%**Perumbalam
Resorts (Pvt) Ltd.
(India)**8.22%**Floatels India (Pvt) Ltd.
Poovar Island Resort**100%**

Heritance (Pvt) Ltd.

63%Kandalama Hotels (Pvt) Ltd.
Heritance Kandalama**95%**Jetan Travel Services Co. (Pvt) Ltd.
Adaaran Club Rannalhi**32.17%**

Amethyst Leisure (Pvt) Ltd.

100%Paradise Resorts
Passikudah (Pvt) Ltd.
Amethyst Resort**100%**Turyaa Resorts (Pvt) Ltd.
Turyaa Kalutara**100%**Turyaa (Pvt) Ltd.
Turyaa Kalutara**37.42%**Browns Beach Hotels PLC
Browns Beach Hotel**100%**Negombo Beach
Resorts (Pvt) Ltd.
Heritance Negombo**16.60%**Aitken Spence Hotel Managements
(South India) Pvt. Ltd.
Turyaa Chennai**94.44%**Hethersett Hotels Ltd.
Heritance Tea Factory**100%**Ace Resorts (Pvt) Ltd.
Raafushi Island**100%**ADS Resorts (Pvt) Ltd.
Adaaran Select Hudhuran Fushi**100%**Unique Resorts (Pvt) Ltd.
Adaaran Prestige Vadoo**100%**Aitken Spence Hotel
Services (Pvt) Ltd. (India)**100%**Aitken Spence Global
Operations (Pvt) Ltd.**83.40%**Aitken Spence Hotel Managements
(South India) (Pvt) Ltd.
Turyaa Chennai**99.99%**Aitken Spence Resorts (Middle East) LLC
Al Falaj Hotel**60%**Ahungalla Resorts Ltd.
Hotel RIU Sri Lanka**100%**Neptune Ayurvedic
Village (Pvt) Ltd.**100%**

Nilaveli Holidays (Pvt) Ltd.

100%

Nilaveli Resorts (Pvt) Ltd.

100%

Galle Heritage (Pvt) Ltd.

49%Aitken Spence Hotel
Managements Pvt. Ltd.**100%**Aitken Spence
Resources (Pvt) Ltd.**100%**

Meeraladuwa (Pvt) Ltd.

0.01%Aitken Spence Resorts
(Middle East) LLC
Al Falaj Hotel

2020 IN REVIEW

The Group was on course for a record year of growth and profitability in 2020. However, like all organisations, the outbreak of COVID-19 completely overturned our expectations and aspirations. The lockdowns, border closures and travel restrictions which followed the outbreak of the pandemic, have brought the travel and tourism industry to a virtual standstill, having severe ramifications on the global hospitality sector.

Following the outbreak of the pandemic in Sri Lanka in March 2020, the Government initiated a lockdown and imposed a range of restrictions to mitigate the spread of the virus. Accordingly, all our Sri Lankan resorts were closed for a period of over 3 months from end-May to June. Similar restrictions were imposed in Maldives, India, and Oman, which led to the eventual closure of our properties in these markets for a similar duration.

Despite the subsequent recommencement of operations, the hotels were required to operate under a range of government-imposed restrictions and protocols which included capacity limitations, stringent safety guidelines for employees and other measures to ensure distancing between guests.

Against this backdrop, the Group placed strategic focus on implementing measures to provide the highest standards of safety to both our internal and external stakeholders (refer detailed information below).

We responded swiftly and decisively to the challenges presented by the pandemic, focusing on proactively identifying and supporting the concerns of our employees, guests, supply chain partners and communities while implementing a range of measures to preserve liquidity, rationalise costs; ensuring commercial survival. The

catastrophic impacts of the pandemic necessitated an organisation-wide focus on managing key risks and issues, striving towards mitigating losses. These measures are discussed in further detail in subsequent sections of this Report.

The opening of Sri Lanka's borders for tourist arrivals, albeit under partial restrictions had positioned the country's tourism sector for a gradual recovery - however, the emergence of a third wave and the sharp rise in infections from the third week of April have now tempered this outlook and is likely to prolong the recovery of the sector. The conditions in Maldives have recorded significant improvement, with resorts seeing relatively high occupancy levels following the opening of the country for international tourists from July 2020.



Shareholders/Investors

- Preserving liquidity through deferring non-essential expenditure, proactive engagement with banks and business partners
- Ongoing focus on optimising resources and driving process efficiencies
- Leverage digital capabilities to drive cost efficiencies through increased automation
- Efforts to maintain ARR's while pursuing increased occupancies through value-added offerings
- Leverage relationships with tour operators to drive increased traffic to our resorts in Sri Lanka and Maldives

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Customers

- Adherence to the highest standards of health and safety, cleanliness, and hygiene through 'Spencesafe' – our comprehensive safety initiative
- All Sri Lankan properties certified as 'Safe and Secure' by an independent third party
- Defined emergency protocol to be adopted in case of infection
- Enhanced value proposition to local customers through curating value-added offering
- 'Stay when you want' offer which allows increased flexibility to customers

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Employees

- Ensured the safety of all employees through clear procedures, awareness, and training sessions
- Offered special relief remuneration for employees significantly impacted by the closure of hotels
- Retained all permanent staff
- Continued focus on maintaining employee morale through ongoing engagement
- Redeployed employees between sectors
- Facilitated remote working arrangements for office staff
- Ongoing training and development initiatives including cross exposure, to facilitate multi-skilling

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Communities

- The Group's Maldivian resorts donated 12,000 surgical masks to the National Disaster Management Authority of Maldives.
- Collection of funds through its Christmas campaign 'All the good in the World' to support communities in and around the Sri Lankan hotels

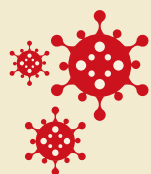
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Suppliers and Business Partners

- Offered flexibility in delivery terms
- Expansion of local supply chain and increased sourcing from local suppliers
- Development of local suppliers through capacity building and knowledge sharing

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IMPLICATIONS OF COVID-19

-76%



Guest Nights

Sharp downturn in guest nights following the closure of borders for international arrivals

-42%



Occupancy Rate

Steep fall in occupancy levels across all properties

-12%



Average Room Rates

The Group attempted to preserve ARR's while focusing on ways to enhance the customer value proposition

-48%



Operating Costs

Despite the increase in safety costs due to stringent health protocols implemented across all properties, total operating costs declined reflecting the sharp downturn in occupancies and activity levels.

FINANCIAL HIGHLIGHTS

201-7 102-1

Performance for the Year ended 31 March 2021		2021	2020	Change
Gross Revenue	Rs. '000	5,728,379	19,019,241	-70%
Earnings Before Interest, Tax, Depreciation & Amortization (EBITDA)	Rs. '000	(1,850,044)	4,410,546	-142%
Group Profit Before Tax	Rs. '000	(7,606,620)	(433,023)	-1,657%
Group Profit After Tax	Rs. '000	(7,253,215)	(895,724)	-710%
Group Profit Attributable to Equity Holders of the Parent Company	Rs. '000	(4,669,045)	(624,953)	-647%
Earnings Per Share (EPS)	Rs.	(13.93)	(1.90)	-632%
Ordinary Dividend Final (Proposed)	Rs. '000	-	-	-
Dividend Per Share	Rs.	-	-	-
Depreciation, Amortization & Impairment	Rs. '000	3,338,451	2,846,879	17%
Cost of Finance - On Financial Liabilities	Rs. '000	1,554,369	1,276,238	22%
- On Lease Liabilities		619,602	585,115	6%
Interest Cover	Times	(2.32)	0.94	-347%
Return on Equity	%	(25.89)	(3.08)	-741%
Position as at the Year ended 31 March				
Total Assets	Rs. '000	74,168,237	74,350,034	0%
Long Term Interest Bearing Liabilities**	Rs. '000	38,303,710	33,665,094	14%
Total Equity**	Rs. '000	21,797,720	28,985,430	-25%
Number of shares in issue	Number	336,290,010	336,290,010	0%
Net Assets Per Share	Rs.	46.96	60.66	-23%
Gearing - Debt/(Debt+Equity)	%	63.73	53.73	19%
Debt/Total Assets	%	51.64	45.28	14%
Current Ratio*		0.53:1	0.77:1	-31%
Quick Asset Ratio		0.38:1	0.58:1	-34%
Market / Shareholder Information as at year ended 31 March				
Market Price Per Share (Closing Price)	Rs.	30.20	15.10	100%
Market Capitalization	Rs. '000	10,155,958	5,077,979	100%
Price Earnings Ratio	Times	(2.17)	(7.94)	73%
Dividend Payout	%	-	-	-
Dividend Yield	%	-	-	-
Value Added for the year				
To Government	Rs. '000	(216,794)	893,555	-124%
To Employees	Rs. '000	2,431,437	3,800,748	-36%
To Providers of Capital	Rs. '000	(410,199)	1,590,582	-126%
To Shareholders	Rs. '000	-	-	-
Retained for Reinvestment and Future Growth	Rs. '000	(1,330,594)	2,221,926	-160%
Total Value Added	Rs. '000	473,850	8,506,811	-94%

* Current Assets in Current Ratio include Assets classified as held for sale

** Preference Share value is excluded from Total Equity and included in Long Term Interest Bearing Liabilities. Comparative figures are restated to reflect this change

OPERATIONAL HIGHLIGHTS

		2021	2020	Change
 HUMAN CAPITAL	Total employees	2,563	3,235	(672)
	Sri Lanka	1,265	1,718	(453)
	Maldives	1,094	1,217	(123)
	India	128	167	(39)
	Oman	76	133	(57)
	Value added per employee (Rs. Mn)	0.949	1.175	(0.226)
	Training hours	25,733	74,904	(49,171)
	Retention rate (%)	53	61	(8)

		2020/21	2019/20	Change
 MANUFACTURED CAPITAL	Room inventory (No)			
	Owned	2,343	2,343	0
	Managed	497	497	0
	Capital expenditure (Rs.Mn)			
	Capacity enhancement	0	1,488	(1,488)
	Product enhancement	44	868	(824)
	Operational capex	734	899	(165)

		2020/21	2019/20	Change
 SOCIAL AND RELATIONSHIP CAPITAL	Business partners (No)			
	Tour operators	790	790	-
	Registered travel agents	1,628	1,628	-
	Registered corporate clients	1,205	1,205	-
	Country representations	20	20	-
	No of suppliers	830	800	30
	Payment to local suppliers (Rs.Mn)	2,553	8,147	(5,594)
	Employees from local community (%)	43	42	1
	Guest satisfaction rate (%) (Owned properties)	91.14	91.82	(0.68)

		2020/21	2019/20	Change
 INTELLECTUAL CAPITAL	Certifications (No)	37	37	
	Average length of service of an employee (Years)	6.24	5	1.24
	Awards received (No)	49	305	(256)

		2020/21	2019/20	Change
 NATURAL CAPITAL	Carbon footprint (tCO ₂ e)- Scope 1 & 2	20,073	38,726	(18,653)
	Emissions per guest night (KgCO ₂ e)	122.73	43.23	79.50
	Energy consumption (GJ)	188,582	372,105	(183,523)
	Energy consumption per guest night (MJ)	1,153	415.00	738.00
	Water consumption (m ³)	368,115	753,155	(385,040)
	Water consumption per guest night (Litres)	2,251	841	1,410

CHAIRMAN'S REVIEW



“

THE BOARD
CONTINUES TO
MONITOR THE
DEVELOPMENTS
AND STRATEGIES TO
RE-ESTABLISH A NEW
GROWTH PARADIGM
FOR THE GROUP.

”

Dear Shareholder,

As we complete a year since the last tourist left Sri Lanka with the onset of the pandemic, I reflect on how Aitken Spence Hotel Holdings reinvented and realigned itself to weather a challenging year, upholding our stakeholder covenants. The resultant loss after tax of Rs.7,253 Mn has been a heavy price tag, but was unavoidable nevertheless.

With the largest hotel sector portfolio in the country, a presence in 4 countries and over 2500 employees across 23 properties, the closure of international borders for tourism was a body blow and we needed to ensure that sufficient funds were available to meet our obligations. I am pleased that the Board and the senior leadership of the Group worked with one mind, as the line we drew in the sand was very clear. We would refund the reservation fees to guests, we would not retrench our employees who had already been through a bad year, and our suppliers would be paid on time.

The initial months were grim as we observed cashflow stresses unfolding but we were resolute that we could and would overcome the hurdles. The Board increased its oversight supported by the Audit Committee to ensure that cashflow was managed and costs were pared to a viable minimum level. Moratoria from banks enabled us to extend our cash runways supported by prudent levels of leverage maintained throughout the years.

We also had a responsibility to ensure the health and safety of our employees who remained at our hotels, and those who were stranded without flights to return home. Everyone on our premises in Sri Lanka and our overseas locations were looked after. The management team stayed connected to overseas employees' families, providing reassurance and news to those concerned until the employees reached their homes. There was no one left behind.

A VITAL INDUSTRY

Tourism accounted for 4.3% of the Sri Lanka's GDP in 2019 and was the third highest foreign exchange earner recording US\$ 3,607 Mn in tourism related earnings. Sri Lanka recorded 1.9 Mn tourist arrivals in 2019 with an average stay of 10.4 nights despite the effects of the Easter Sunday attack, reflecting the resilience of the sector. In the Maldives, it is the main industry; the leading foreign exchange earner contributing US\$ 3.2 Bn directly, which amounted to 21% of GDP. The Maldives recorded 1.7 Mn tourists in 2019 with an average duration of 6.4 days. We are a large player in both countries which had the same top 5 source markets, namely China, India, Germany and UK with Sri Lanka having France in the top 5 while the Maldives had Italy in 2019.

Post-pandemic we see a dramatic change in the source markets of the two countries. For the Maldives, the top 5 source markets for Q1 of 2021 were India, Russian Federation, Ukraine, United Arab Emirates and Germany. For Sri Lanka the top 4 source markets were Kazakhstan, Ukraine, Germany and India. While there is no doubt that the path of the pandemic had a significant role to play in the new dynamics, it also shows the untapped potential of non-traditional source markets. Tourism in a post-pandemic era will need to develop unique selling propositions to cater to these different markets. Further segmentation of markets will be needed to understand the post pandemic consumer who is expected to be much more discerning and demanding.

It is vital that the industry players and government work together to promote the destination for the development of the sector. We note with appreciation the moratoria provided to this hard-hit sector to facilitate recovery. However, the industry will require further support moving forward, as the onset of the third wave in May 2021 raises fresh concern and a need for the reassessment of the prospects of the industry. Government policy will play a key role in the revival of this vital industry which is one of the

“

POST-PANDEMIC WE SEE A DRAMATIC CHANGE IN THE SOURCE MARKETS OF THE TWO COUNTRIES. FOR THE MALDIVES, THE TOP 5 SOURCE MARKETS FOR Q1 OF 2021 WERE INDIA, RUSSIAN FEDERATION, UKRAINE, UNITED ARAB EMIRATES AND GERMANY. FOR SRI LANKA THE TOP 4 SOURCE MARKETS WERE KAZAKHSTAN, UKRAINE, GERMANY AND INDIA.

”

most people-intensive industries in the world. Targeted policies have the benefits immediately channeling increased earning to employees, with one of the highest value additions delivered within the country. Consequently, there is an urgent need for the tourism authorities to work closely with the key stakeholders of tourism and focus on a future marketing strategy which is the need of the hour. Statutory changes to the tourism legislation must be set aside for a time when players have the capacity for fruitful and objective engagement, as legislative changes typically have long-term consequences that need careful consideration.

CHAIRMAN'S REVIEW

LOOKING AHEAD

UNWTO's extended scenarios for 2021-2024 indicate that it could take between two-and-a-half to four years for international tourism to return to pre-pandemic levels. Vaccinations will be key to determining our journey to recovery as they are needed to restore consumer confidence, contribute to ease travel restrictions and slowly normalise travel during the year ahead.

The Board continues to monitor the developments and strategies to re-establish a new growth paradigm for the Group. There is no doubt that it will be a journey with potential pitfalls as we seek to woo back customers and re-establish price points in an intensely competitive market and an uncertain future. Our reputation and trusted partnerships are key strengths that will support our efforts.

Leadership at industry level remains a critical factor during this initial phase as we rebuild to thrive in a new norm, necessitating a reallocation of finite resources. Consultations with key players in the formulation of plans, regulatory and legislative matters are a sine qua non as vulnerabilities and concerns must be considered, and addressed where possible to build a strong tourism destination. Human Resources will be key to recovery due to a need for trained staff to cater to the more demanding guests in a post-pandemic era in this people-intensive industry. The role of technology in Tourism continues to grow as it becomes the primary platform of engagement during both pre- and post-stay, and an increasing number of applications for in-stay experiences are deployed to minimise contact and drive operational efficiencies.

APPRECIATIONS

The Team at ASHH have dealt with numerous challenges during the past year, both at the workplace and in their personal lives as we faced an invisible threat that crossed borders with ease. We thank the team for sharing our concerns and giving of their best despite the significant constraints and a decrease in

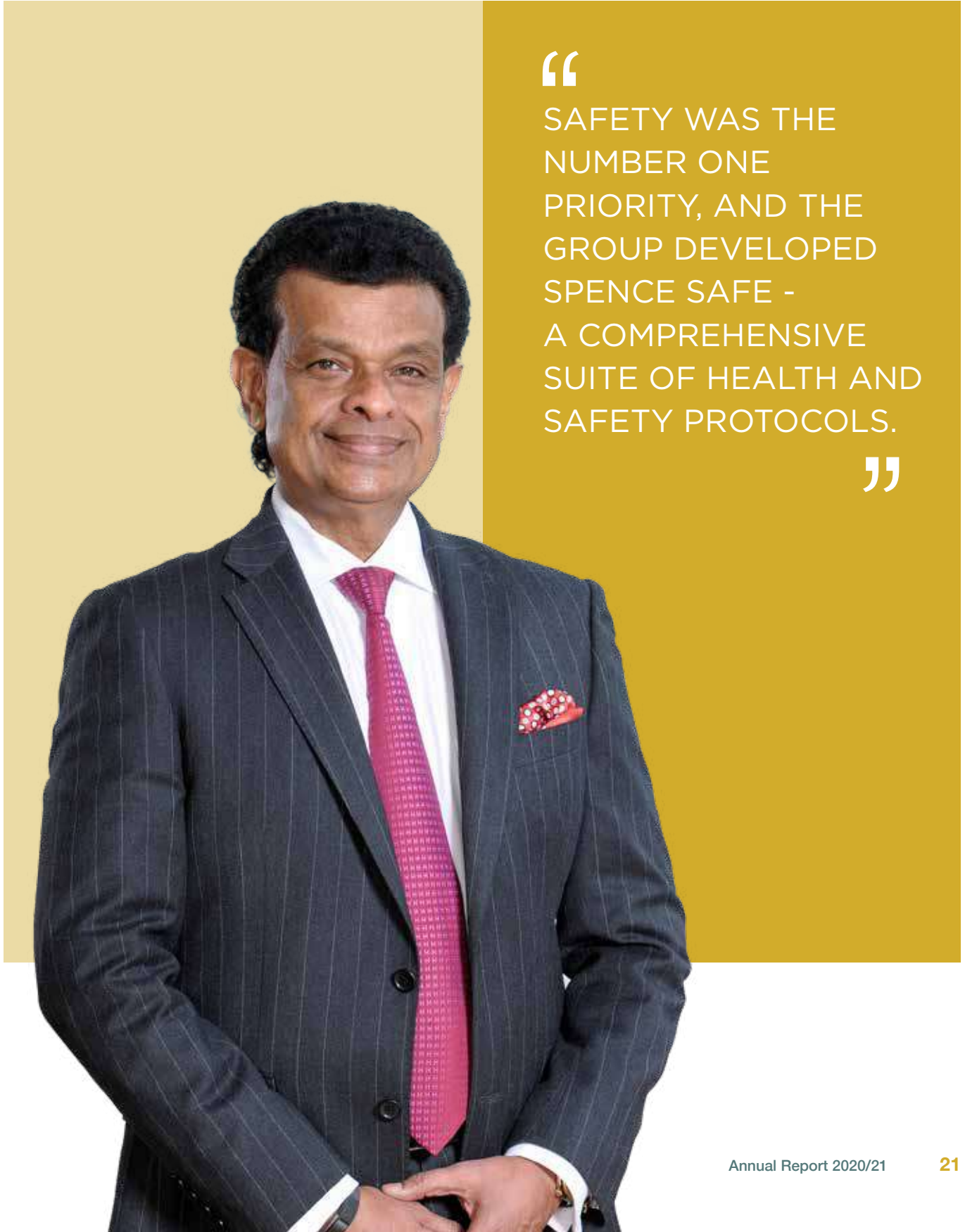
remuneration. I thank the Board for their wise counsel and astute insights during a difficult year. I thank the Ministries and Tourism regulators in the countries we operate who play a vital role in the development of the industry. Our business partners have worked together with us to find solutions to the current crisis and I thank them for their invaluable contributions. I take this opportunity to reassure our shareholders that we remain committed to rebuilding this industry that has been part of many people's lives; creating happiness, positivity and tranquility which are essential to the enduring human spirit.



D.H.S. Jayawardene
Chairman

28th May 2021

MANAGING DIRECTOR'S REVIEW



“

SAFETY WAS THE
NUMBER ONE
PRIORITY, AND THE
GROUP DEVELOPED
SPENCE SAFE -
A COMPREHENSIVE
SUITE OF HEALTH AND
SAFETY PROTOCOLS.

”

MANAGING DIRECTOR'S REVIEW

Dear Stakeholders,

The financial year 2020/21 tested the resilience of Aitken Spence Hotel Holdings PLC as the Group was one of the hardest hit by the COVID-19 pandemic and the resultant uncertainty and disruption. The Group, which is the largest hotel operator in Sri Lanka with a presence in 4 countries, was making a strong recovery from the Easter Sunday terror attacks in April 2019 which had already taken a toll on the local tourism industry. Accordingly, the pandemic was the second consecutive year of shock to the Group and this time it was prolonged and affected our entire portfolio. Clearly, we needed to chart a course that would enable us to steer through the turmoil and turbulence, ensuring that we focused on providing a safe and secure environment for our guests, team members and business partners while upholding our core values.

AN INDUSTRY IN TAILSPIN

March 2020 saw unprecedented closure of international borders across several countries which crippled the entire tourism supply chain with international tourism coming almost to a complete halt. By May, almost all the countries had mobility restrictions in place and airlines had cancelled a number of flights due to health and safety risks. Quarantine measures were in place for a number of countries as well, requiring those entering borders to remain in designated locations for a period of two weeks.

As this is a people intensive sector with the World Tourism and Travel Council (WTTC) estimating that 1 in 10 jobs globally are directly or indirectly dependent on the travel and tourism industry, the socioeconomic impact was significant. For many countries, this was a vital source of foreign currency and a key economic sector that accounted for a large part of economic activity in the country. Consequently, both the UNWTO and the WTTC were actively seeking to address the issues faced by the industry, seeking to find a path to resume international travel. Countries with a high dependency

on tourism were also eager to drive a resurgence of the sector to support their economic recovery.

May 2020 saw the creation of the first travel bubble with Estonia, Lithuania and Latvia which became an initial step for many countries as the path of the pandemic was divergent across countries. This remained in place until November 2020 as rising cases necessitated enforcement of quarantine measures in Latvia. This pattern was observed across the world as governments and other stakeholders were eager to find solutions for the sector. Several markets including Sri Lanka opened for domestic tourism by June/July creating some footfall for hotels. The roll out of vaccines in record time in some countries by December 2020 was a much-needed ray of hope for the industry, and countries were eager to recommence with vaccine-based travel restrictions. However, access to vaccine issues and the emergence of new waves and strains has seen the re-imposition of travel restrictions for a number of countries as strained governments adopted precautionary measures.

NAVIGATING UNCERTAINTY

We commenced the year with our Sri Lankan and Maldivian hotels closed, which accounts for the vast majority of the Group's business. However, we were in constant dialogue with tourism regulators and tour operators including TUI, the largest tour operator in the world and Aitken Spence Travels which is Sri Lanka's leading destination management company to seek potential opportunities to revive the businesses. Maldives opened for tourism in July 2020 leveraging its ability to contain guests to the island resorts. Sri Lanka and Oman opened for domestic tourism around the same time. Turyaa India remained open throughout as it is a business hotel with high levels of safety precautions.

Safety was the number one priority, and the Group developed Spence Safe— a comprehensive suite of health and safety protocols to be followed at each of our

locations to facilitate the health and safety of our guests and employees. The protocols go beyond mandatory requirements to use electrostatic sanitization techniques, 24-hour room resting and a 3 team operation in Sri Lanka. This was rolled out with training for all staff to ensure clear understanding of its various components.

We also used the time effectively to carry out maintenance activities that we could not have undertaken without closing the hotel although this did not include upgrades or refurbishments which were kept at a minimum as cashflow conservation was a key imperative. A portfolio of stunning locations across 4 countries and a reputation for high standards of hospitality necessitated a carefully managed process for re-opening for guests with due regard for the associated risks to guests, employees and even the country.

For Sri Lanka and Maldives, we worked with tour operators to gain access to non-traditional source markets and revenue segments to come up with creative offerings that complied with a number of necessary constraints, securing the safety and wellbeing of guests and employees. The unique value proposition of each hotel played a key role in compiling these, making it a detailed effort which benefitted from the longer stay of guests.

MARKET REVIEW

Sri Lanka

Sri Lankan properties opened for domestic tourism gradually from July 2020 with safety precautions in place. A limited and highly competitive market necessitated significant discounting with occupancy mainly limited to weekends made this a cashflow maintenance operation which protected livelihoods. We continued to work together with the Sri Lanka Tourism Development Authority to craft a recovery of this vital industry which accounted for 4.9% of the country's GDP in 2019, ranking as the third highest foreign exchange earner. Consequently, in December, a pilot project was formed to

create a bio bubble with tourists brought on charter flights to designated Tier 1 certified hotels for a two week stay within the hotel which was operationalised in January 2021. This necessitated a clear segregation of hotels for the domestic market and the international tourist market. Accordingly, Turyaa Kalutara, Heritance Ahungalla, Heritance Ayurveda Mahagedera and Heritance Negombo were certified as Tier 1 properties dedicated to international tourist traffic and were amongst the countries' top 50 hotels with bookings as at end April. This programme saw 13,797 tourist arrivals into the country by end April 2021 which was 97.3% below the occupancy levels achieved for the same duration in 2020 reflecting the impact of constraints and limited success of this model. The onset of the third wave in the country in late April/early May 2021 has seen the country go back into lockdown raising significant concerns about the future of this vital industry, as hotel operators look at a third consecutive year of industry-wide uncertainty with resources that have been considerably strained over the past two years.

Maldives

Maldives opened for tourism in July 2020, gaining traction rapidly to record over 416,314 tourist arrivals by March 2021. Aitken Spence Hotel Holdings opened its hotels from August / September 2020 after monitoring the situation and saw the rapid increase in numbers. The Group focused on product differentiation in the Maldives and was able to secure alternate non-traditional source markets as main feeder markets such as China and Europe dried up. Heritance Araah, the newest property in our portfolio reached occupancy levels of 65% with excellent reviews of the location, service and cuisine. Ranaalhi reached 85% occupancy levels also with excellent reviews. Overall, most properties in Maldives were set to break even or make a profit on a monthly basis by end March 2021 despite the considerable losses of the previous months at the time of the new wave. This bubble which grew from July to April 2020 was supported by above

global average rate vaccinations and strong government focus on keeping this vital industry for the country in a growth phase, as Tourism accounted for 21% of the GDP of the country in 2019. Accordingly, Maldives was able to curtail the drop in international tourist arrivals to 67.4% in 2020 compared with a global decline of 74%. However, this market was also affected by a new wave in May 2021, raising concerns about the duration of the wave.

India

Turyaa Chennai India remained open throughout the year under review as it is a business hotel with a regular stream of traffic. This five-star property has put in place the Spence Safe safety protocols which have supported its operation throughout the year although occupancies have naturally fallen with the second wave in India.

Oman

The three hotels managed by the Aitken Spence Hotel Holdings Group in Oman reopened in August / September 2020 to cater to the domestic tourism market with a strong demand for Food delivery operations which enabled us to extend the cash runways. Oman opened for tourism with free visas being offered to 103 specified countries in December 2020 with mandatory PCR testing on arrival in Muscat for a maximum of 10 days. December 2020 and January 2021 saw a rise of 35,000 visitors each month although this declined to approximately 22,000 visitors by February 2021. Oman is under lockdown at present due to a third wave.

OUR TEAM

The Group has a team of 2,563 employees geographically spread over 4 countries in 3 business locations. Ensuring that each one was safe was key priority which led to different challenges in the four markets. In Maldives it included the repatriation of employees who wished to return home, and ensuring that remaining staff had sufficient provisions due to the isolated nature of the resorts. In India the challenge was ensuring

DEPENDENTS ON THE TRAVEL AND TOURISM INDUSTRY

1 in 10 Jobs Globally

MALDIVES TOURISM JULY 2020 TO MARCH 2021

400,000+ Tourists

that health and safety standards were adequate to facilitate the health and safety of guests and staff during the second wave of the pandemic which was one of the worst in the world. In Sri Lanka the challenges were different as we needed to limit the movement of staff from the hotel to their communities and needed a 3 team operation.

Through it all, we supported the employees by assuring them of their jobs, although we reluctantly entered into a voluntary pay reduction scheme in order to do so to extend the cash runway for the Group. This was done on a scaled basis with employees earning higher remuneration taking a higher cut, minimising the impact to those at non-executive levels. We also deployed employees with other companies within the Aitken Spence Group which was possible only because we are also part of the Aitken Spence Group.

MANAGING DIRECTOR'S REVIEW

GROUP PERFORMANCE

The Group's top line plunged 70% to Rs.5,728 Mn compared to the Rs.19,019 Mn recorded in the previous year despite the April 2019 Easter Sunday terror attacks. Reviews of potential cost savings across all cost categories were carried out and recommendations implemented including a freeze on hiring and discretionary expenses. Consequently, we were able to save 35% from staff costs, 64% from direct operating expenses and 45% from indirect operating expenses. Despite these savings, the operating losses amounted to Rs. 5,188 Mn. EBITDA was also a negative Rs. 2,654 Mn as depreciation amounted to Rs. 2,534 Mn. Finance costs of Rs. 2,039 resulted in a loss before taxation of Rs. 7,606 Mn. A taxation reversal of Rs. 353 Mn gave rise to a loss of Rs. 7,253 Mn for the year.

The stresses of the year are reflected in the balance sheet as losses eroded equity and borrowings increased to bridge the cashflow deficiencies. We also availed ourselves of the maximum levels of moratoria offered by the governments at concessionary interest rates and extended the moratoria taken in the aftermath of the terror attacks in April 2019. Consequently, the Group leverage increased from 57% to 68% while the debt equity ratio increased from 135% to 212% giving pause for concern as we wrestle with the implications of a prolonged recovery for the Tourism industry.

The Group also stepped up to provide hotels to serve as quarantine centres with two hotels in Sri Lanka and another in Male being converted to quarantine centres, supporting the national effort to combat the virus.

OUTLOOK

With country shutdowns to prevent the spread of the third wave, we are presented with alternatives that can only be described as choices between a rock and an even harder place in the short term. We are

continuing operations of hotels where it is prudent to do so with limited occupancy as we did in the previous year. With high levels of investments in the sector, we are constantly monitoring developments to seize opportunities to drive growth. Our experience in both Sri Lanka in 2019 and 2020, and in Maldives in 2020 affirm our ability to drive recovery quickly. Learnings from these experiences provide valuable insights which enable us to further refine plans for recovery as we eagerly await the safe opening of borders for tourism. Aitken Spence Hotel Holdings is fortunate to be part of the Aitken Spence Group which has provided strong support in numerous ways from leveraging its networks to make inroads into non-traditional markets to redeploy staff into other areas.

Despite the uncertain outlook, we remain positive that we can craft a recovery of the sector if the pandemic is curtailed with a strong vaccination programme across the countries we operate in. Already we see pockets of India flattening the curve and UK which were badly affected last year are part of travel bubbles. The faster than forecast recovery of the industry post terror attacks is another factor that strengthens our resolve as potential guests continue to fantasize about their dream vacations, and busy corporate executives miss the hustle and bustle of airports.

We expect the new era of tourism to be different with guests demanding more for less. Millennials will have a clear preference for extended online experiences both before and after travel while older segments will look for the value added service provided by a tour operator and a travel agent. The unique selling propositions will go beyond the destination, service and cuisine to encompass health and safety, sustainability and connectivity. We have continued to invest in nurturing the capabilities of our team as this will be a key differentiator as we compete with international chains for the

tourists. We also see a need to differentiate the offering for source markets as we increasingly look to develop non-traditional source markets to boost international tourism. As regional travel is likely to pick up faster than long haul travel, careful targeting of source markets will be key to drive short term growth.

ACKNOWLEDGEMENTS

The year under review was a difficult one and getting through it required the cooperation and commitment of a hard working team whom I take this opportunity to thank as I know they stretched their capabilities and ingenuity to set a course for clear waters. I thank our Board for their guidance in balancing critical stakeholder concerns which were the overarching priority this year. I thank our business partners who worked with us to re-imagine a new era of tourism despite the significant restrictions in place. I thank the governments of the countries we operate in for the assistance and supportive policy implementation which enabled extension of cash runways and protection of livelihoods. To our shareholders and other stakeholders, I convey our firm resolve to steer this Group towards a new era of tourism that will benefit all stakeholders. I look forward to the support of all our stakeholders in this journey and pray for an end to the uncertainty and affliction waged by the pandemic.



Dr. M. P. Dissanayake
Managing Director

28th May 2021

BOARD OF DIRECTORS



Deshamanya D.H.S. Jayawardena
Chairman



Dr. M.P. Dissanayake
Managing Director



Ms. D.S.T. Jayawardena
Executive Director



Mr. C.M.S. Jayawickrama
Executive Director



Mr. J.M.S. Brito
Non-Executive Director



Mr. G.P.J. Goonewardene
Independent Non-Executive Director



Mr. R.N. Asirwatham
Independent Non-Executive Director



Mr. N.J. De Silva Deva Aditya
Non-Executive Director



Mr. C.H. Gomez
Independent Non-Executive Director

BOARD OF DIRECTORS

DESHAMANYA D.H.S. JAYAWARDENA

Chairman

Appointed in May 2003

Deshamanya D.H.S. Jayawardena was appointed to the Board of Aitken Spence PLC, on 1st April 2000 and has been the Chairman of the Company since 25th April 2003.

A visionary with a good business acumen, he has led many enterprises in very diverse fields to achieve great success. He is the Founder Director and current Chairman/ Managing Director of the Stassen Group of Companies, the Chairman of Lanka Milk Foods (CWE) PLC, Browns Beach Hotels PLC, Balangoda Plantations PLC, Madulsima Plantations PLC, Melstacorp PLC, Ambewela Livestock Company Ltd, Lanka Bell Ltd and the Chairman of the Distilleries Company of Sri Lanka PLC. He is also a Director of several other listed and privately held Companies in Sri Lanka and is a former Director of Hatton National Bank PLC, the largest listed bank in Sri Lanka.

Mr. Jayawardena has been sought after to lead large public sector institutions and is a former Chairman of Ceylon Petroleum Corporation and Sri Lankan Airlines.

He is presently the Honorary Consul for Denmark and on 9th February 2010, was knighted by Her Majesty the Queen of Denmark with the prestigious honour of 'Knight Cross of Dannebrog'.

In 2005 Mr. Jayawardena was awarded the prestigious title, 'Deshamanya' in recognition of his services to the Motherland.

DR. M.P. DISSANAYAKE

Managing Director

Appointed in March 2019

Dr. Parakrama Dissanayake is the Managing Director of Aitken Spence Hotel Holdings PLC, with effect from 15th March 2019. He is also the Dy. Chairman / Managing Director of Aitken Spence PLC.

Prior to this appointment he was Secretary to the Cabinet Ministry of Ports, Shipping and Southern Development.

He was appointed as the first non-British International President of the Institute of Chartered Shipbrokers UK founded in 1911 and Royal Charter conferred in 1920.

Dr. Dissanayake has also held positions in the past that include, Chairman – Sri Lanka Ports Authority (two stints), Chairman – Chartered Institute of Logistics and Transport (Sri Lanka), Board Director of Urban Development Authority and Board Director of Ceylon Shipping Corporation.

During the period June 2004 to May 2017, he served as a Director of Aitken Spence PLC and the Chairman and CEO of its Maritime and Freight Logistics Sector.

Dr. Dissanayake is an Alumni of the University of Sri Jayawardenapura, NORAD, JICA, Business Alumni of the University of Oxford (UK) and a Fellow of Harvard Business School (EEP).

He is also Chairman of Elpitiya Plantations PLC, Aitken Spence Plantation Managements PLC, Co-Chairman of CINEC Campus, Hon. Consul of Fiji Islands and serves as a Professor in Maritime Studies (visiting) at Shanghai Maritime University and Dalian Maritime University.

MS. D.S.T. JAYAWARDENA

Executive Director

Appointed in July 2014

Ms. Stasshani Jayawardena marks several milestones for Aitken Spence PLC, as the youngest board member, and the first female member on the board of Aitken Spence PL and Aitken Spence Hotel Holdings PLC. Jayawardena heads the tourism sector of Aitken Spence PLC inclusive of hotels, destination management and overseas travel.

With a career spanning over 10 years at Aitken Spence, she wields a fresh perspective in management and leads strategic business units across the Group.

She leads several key strategic teams as the Chairperson of Aitken Spence Hotel Managements (Pvt) and Splendor Media Ltd.; as a member on the Board of Directors of Aitken Spence PLC, Aitken Spence Hotel Holdings PLC, Stassen Group, Lanka Milk Foods (CWE) PLC, Aitken Spence Aviation (Pvt). She was appointed to the Board of Directors of Western Power Company (Pvt) Ltd. in 2020.

A graduate of St. James' & Lucie Clayton College and Keele University in the United Kingdom, Jayawardena made waves from a young age. She was the youngest intern to work under US Senator Hilary Rodham Clinton and the Former US President Bill Clinton in 2003; and was appointed as the Sri Lankan Ambassador for EY NextGen Club from 2017 to 2019.

Stasshani Jayawardena is also a member of the PWC NextGen Advisory Board, and the Executive Board of The Hotel Association of Sri Lanka (THASL) and was appointed to represent THASL at the Ceylon Chamber of Commerce Committee meetings since 2019 (Hotel sector). She was appointed as a Council Member of the EFC and as Chairperson of the EFC Hotels and Tourism Employers Group for the Financial Year

2020/2021. She is also the Executive Committee Member for the year 2020/21 at the International Chamber of Commerce in Sri Lanka.

Jayawardena represents Aitken Spence PLC as the Ambassador at the Target Gender Equality initiative of the UN Global Compact since 2020. She is also a member of the Austrian Business Circle in Sri Lanka.

In recognition of her work and commitment to inspire, she was recognized at Top 50 Professional & Career Women Awards in Sri Lanka with a Gold award in the Hotel & Hospitality Sector in 2017, and in 2020 by Sri Lankan business magazine, Echelon, listing her among the most innovative and influential young leaders who have succeeded in business and shaping the future of Sri Lanka.

At present she leads a team of international professionals in strengthening the service foundations and formulating the strategic road map for the tourism sector of the Group. Her passion remains in designing the next generation of business with the core values of integrity, sustainability, empowerment and equal opportunities with the use of data driven technology.

MR. C.M.S. JAYAWICKRAMA

Executive Director

Appointed in April 2005

Mr. Susith Jayawickrama is the Joint Managing Director of Aitken Spence Hotel Managements (Pvt) Ltd, which manages all hotels of the Group.

He serves on the Boards of most hotel companies in the Group including that of Aitken Spence Hotel Holdings PLC. He is a Fellow member of the Chartered Institute of Management Accountants UK and has substantial experience in senior management positions in the Group's hotel division, counting three decades of exposure in the tourism industry in Sri Lanka and overseas.

Mr. Jayawickrama is a past Vice President of the Tourist Hotels Association of Sri Lanka (THASL).

MR. J.M.S. BRITO

Non-Executive Director

Appointed in July 2001

Mr. Brito joined the Board of Aitken Spence PLC. in April 2000, with a multi-discipline academic background and a wealth of experience from a career counting over 40 years that includes experience working with several international organisations. He was then appointed as the Managing Director of Aitken Spence PLC, in December 2001 and Deputy Chairman in April 2003 which position he held until his retirement on 15th March 2019. After retirement, Mr. Brito continues to be a Non-Executive Director of Aitken Spence Hotel Holdings PLC.

Mr. Brito is an acclaimed senior professional in both the private and the public sector industries in Sri Lanka. He is a former Chairman of DFCC Bank, Employers' Federation of Ceylon, SriLankan Airlines, and has also served on the Board of Sri Lanka Insurance Corporation. He holds an LLB degree from University of London, an MBA degree from London City Business School and is a Fellow of the Institute of Chartered Accountants of both Sri Lanka and England and Wales.

MR. G.P.J. GOONEWARDENE

Independent Non-Executive Director

Appointed in March 2018

Mr. Gemunu Goonewardene is an Independent Non-Executive Director of the Board of Aitken Spence Hotel Holding PLC. He is also the Chairman of the Tourist Hotels Classification Committee, having sat on the committee since 1998, and, was a key member of the team which drafted the new Tourist Hotel Classification Criteria/ Guideline Standards for hotels in Sri Lanka. Additionally he now serves as the Chairman of Win-Stone Group.

Formerly during his career with Aitken Spence he was Vice President, responsible for Resource Planning & Development, Food & Beverage Services and Facilities, as well as a Director of Aitken Spence Resources (Pvt) Ltd responsible for overseas Recruitment. He has been an integral part and a key member of the Aitken Spence Group contributing significantly in Sri Lanka and Maldives to its iconic properties from their inception, forward planning, and operation to continued development.

Mr. Goonewardene is a Graduate of the Ceylon Hotel School, and a Post Graduate from the Culinary Institute of America. He is a Fellow of the Ceylon Hotel School Graduates Association (CHSGA) and the Joint-Convener of the International Tourism Volunteers Association (ITVA). With extensive exposure, having worked in U.S.A., Europe and Australia and counting more than 45 years of valuable experience, Mr. Goonewardene has been an exemplary leader and mentor at Aitken Spence and to the industry as a whole.

The mastermind behind 'Heritage Cuisine' where local ingredients and traditional techniques fuse together with international gastronomic influences, Mr. Goonewardene continues to pursue his passionate interest in propagating the hitherto unknown values of Sri Lanka's indigenous foods that have evolved over the past 2,500 years.

BOARD OF DIRECTORS

MR. R.N. ASIRWATHAM

Independent Non-Executive Director

Appointed in September 2009

Mr. Asirwatham was appointed to the Board of Aitken Spence PLC., in September 2009. At present, he is the Chairman of the Audit Committee, Related Party Transactions Review Committee, a member of the Remuneration Committee and the Nomination Committee.

He was the Senior Partner and Country Head of KPMG from 2001 to 2008. Further, he was the Chairman of the Steering Committee for the Sustainable Tourism Project funded by the World Bank for the Ministry of Tourism and was also a member of the Presidential Commission on Taxation, appointed by His Excellency the President of Sri Lanka. He is a member of the Board of trustees of the S.W.R.D Bandaranaike National Memorial Foundation, Board of Post Graduate Institute of Medicine and Council of the University of Wayamba.

Mr. Asirwatham is a Fellow member of the Institute of Chartered Accountants of Sri Lanka and the Chairman of the Audit Committee. He also serves on the Boards of Dilmah Tea Services PLC., Royal Ceramics PLC., Mercantile Merchant Bank, Dankotuwa Porcelain PLC., Colombo City Holdings PLC., Browns Beach Hotels PLC., and several other companies.

MR. N.J. DE SILVA DEVA ADITYA

Non-Executive Director

Appointed in July 2010

Mr. N.J. De Silva Deva Aditya (Nirj Deva) DL FRSA, MP and MEP joined the Board of Directors in 2006/07. He was the first Post War Asian born Conservative Member of the British House of Commons and served in Government as the Parliamentary Private Secretary to the Scottish Office after which he was elected as the first Asian born British Member of the European Parliament, representing over 8 million people in Berkshire, Hampshire, Buckinghamshire, Oxfordshire, Surrey, Sussex and Kent for 20 years.

He was Vice President of the International Development Committee for 15 years, overseeing the Euro 25 Bn European Aid Budget. He was the Chairman of the EU Korean Peninsula Delegation working towards a lasting Peace with North Korea, Chairman of the EU China, EU Bangladesh, EU Indonesia, EU Myanmar and EU India Friendship Groups in The EU Parliament and was nominated by his political group ECR to be the President of the European Parliament and was the Chairman of the EU Delegation to the UN General Assembly.

For his tsunami relief work he was made a Chevalier of the Catholic Church and Vishwa Keerthi Sri Lanka Abhimani by the Buddhist Clergy of Sri Lanka.

MR. C.H. GOMEZ

Independent Non-Executive Director

Appointed in July 2010

Mr. Charles Gomez is a former Banker with over 40 years' experience in the finance industry. He has worked for major financial institutions including Barclays Bank PLC., Lloyds TSB Bank PLC., and SG Hambros. He brings to the Company a wealth of experience in regard to international financial markets, financial services regulations, compliance and controls and it was through his intervention that major investors were brought into Aitken Spence PLC., and to other business sectors in Sri Lanka. Mr. Gomez is a Director as well as a part owner of regulated financial services companies based in Gibraltar. He also serves on the Boards of foreign companies which have investments worldwide.

Mr. Gomez was appointed to the Board of Aitken Spence PLC., in 2002 and to the Board of Aitken Spence Hotel Holdings PLC., in 2010. His role in the companies is that of an Independent Non-Executive Director. He also serves in the Audit Committee, Related Party Transactions Review Committee and the Remuneration Committee.

Mr. Gomez is a member of the Executive Committee of the Gibraltar Amateur Rowing Association.

CORPORATE MANAGEMENT TEAM



Ms. Stasshani Jayawardena
Chairperson



Mr. Susith Jayawickrama
Jt. Managing Director



Mr. Jeevaka Weerakone
*Chief Operating Officer / Vice President -
Aitken Spence Hotels in Sri Lanka*



Mr. Srinith De Silva
*Vice President / Chief Executive Officer -
Aitken Spence Hotels Oman Sector*



Mr. Badhiya Gunatilake
*Vice President / Chief Operating Officer -
Aitken Spence Hotels Maldives Sector*



Mr. Darell De Cruz
Vice President - Sales and Marketing



Ms. Lakmini Raymond
*Vice President - Branding
and PR*



Ms. Dinali Alexander
*Asst. Vice President -
Supply Chain*



Mr. Dimuthu Kumarasinghe
*AVP / Ambassador Heritage Cuisine /
Chefs & Culinary Arts Development Officer*

CORPORATE MANAGEMENT TEAM

MS. STASSHANI JAYAWARDENA

(Profile on page 26)

MR. SUSITH JAYAWICKRAMA

(Profile on page 27)

MR. J.C. WEERAKONE

Mr. Jeevaka Weerakone is the Chief Operating Officer / Vice President for Aitken Spence Hotels in Sri Lanka.

Counting over 30 years of expertise in the Hospitality Industry in Sri Lanka and overseas, he has extensive knowledge about the Industry, Hotel Operations & Management and Human Resources. Prior to taking over his current role, he held the positions of Director Operations for Aitken Spence Hotels – Sri Lanka sector, Vice President- Operations for the Sri Lankan Hotels – Northern Sector, Assistant Vice President – Human Resources, Learning and Development for the entire hotel sector, Executive General Manager for Heritance Kandalama and General Manager for Earl's Regency.

He holds an MBA and is a Graduate of the Sri Lanka Institute of Tourism & Hotel Management (SLITHM); and a Fellow of the Ceylon Hotel School Graduates Association (FCHSGA). He is also a qualified consultant for ISO 9000 quality system.

Mr. Weerakone is a Managing Committee Member of the Tourist Hotels Association of Sri Lanka (THASL), has served as an Executive Committee Member of the Regional Economic Development Agency (REDA) under the central provincial council and was a Committee Member of the CHSGA in 2010.

MR. SRINITH DE SILVA

Mr. Srinith De Silva is the Chief Executive Officer / Vice President of Aitken Spence Hotels' Oman Sector. He is a Graduate of the Victoria University, Melbourne and counts many years of experience in international hotel chains, such as Raffles Singapore, Sheraton and Stamford Hotels and Resorts.

He has over 25 years of experience in the hospitality industry in senior managerial positions handling operations and marketing in Singapore, Saudi Arabia, Australia, India and Sri Lanka.

MR. BADHIYA GUNATILAKE

Mr. Badhiya Gunatilake is the Chief Operating Officer of the Adaaran Resorts and Heritance Aarah, the Maldives Sector of Aitken Spence Hotels. He is also the Vice President and serves as a Director to Unique Resorts Private Ltd. He is a Graduate of the Ceylon Hotel School. A professional hotelier counting over two decades of experience in the hospitality industry, including senior managerial positions, handling hotel operations in Sri Lanka, Oman and Maldives.

MR. DARELL DE CRUZ

Mr. Darell De Cruz has had a career spanning over three decades with Aitken Spence, joining Aitken Spence Travels initially in 1989, thereafter transferred to set up Ace Travels & Conventions in 1993. He continued his career at ASTL till 2018 and re-joined the company in 2019 as the Vice President - Head of Sales & Marketing for Aitken Spence Hotel Managements. With over 31 years of experience in the tourism sector, he possesses a wide knowledge of the travel and hotel industry. Mr. De Cruz holds an MBA from the Open University of Sri Lanka, MA in International Relations from the University of Colombo, Sri Lanka and a bachelor's degree in Management from the Open University of Sri Lanka.

MS. LAKMINI RAYMOND

Ms. Lakmini Raymond is the Vice President - Branding and PR for Aitken Spence Hotels across all destinations. With expertise in hospitality spanning over 30 years, she has worked at globally renowned hospitality groups such as Hilton Hotels and Resorts, Marriott International and Starwood Hotels and Resorts as well as Sri Lankan industry leaders prior to joining the Aitken Spence Hotels. A charismatic leader who thrives in a result-driven environment, she brings in extensive knowledge on the industry,

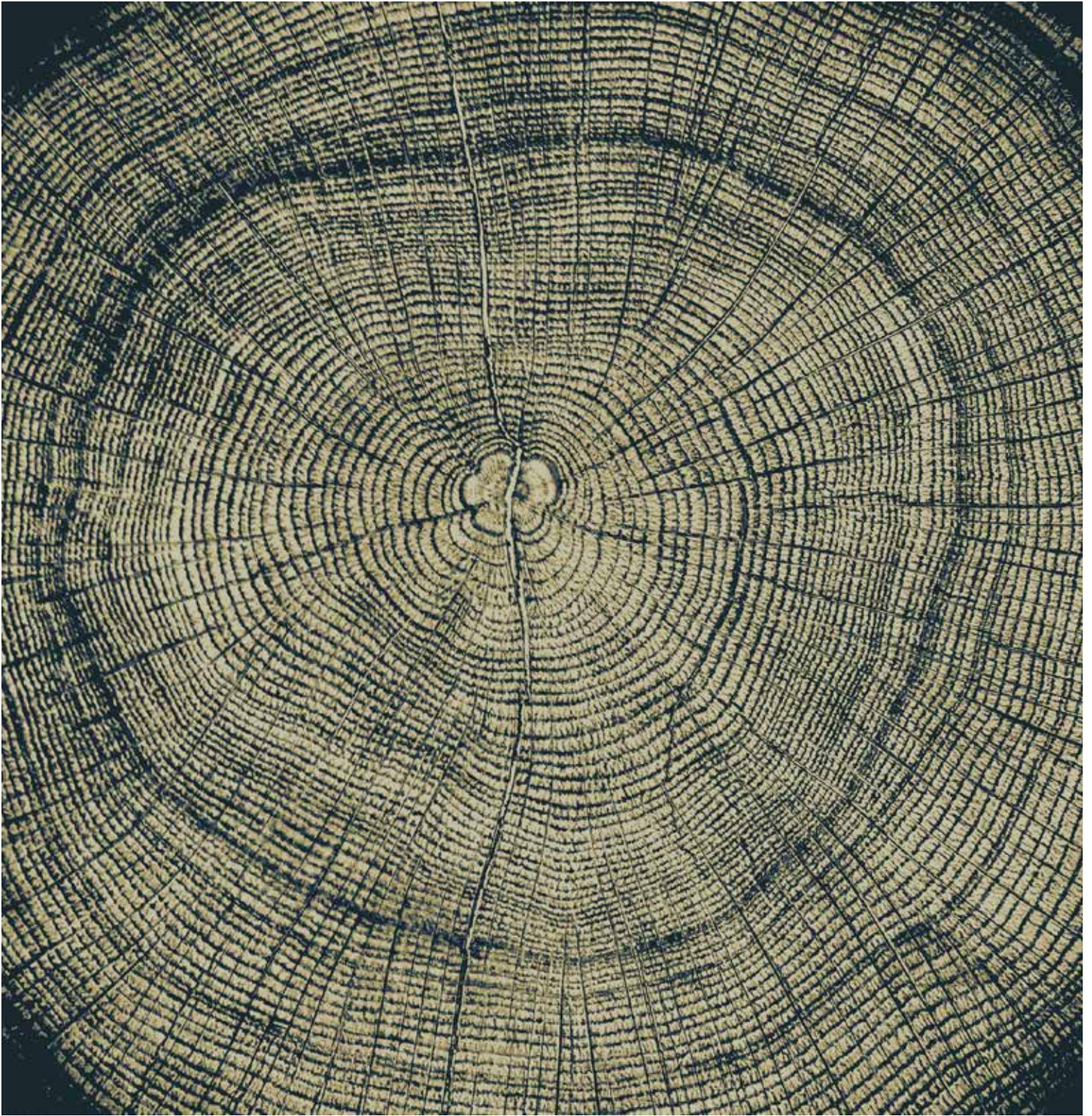
with special focus on sales and marketing, business development, revenue management and brand management spheres. Ms. Raymond has represented Sri Lanka in global forums such as AMCHAM and been part of varied trade delegations including that of Board of Investment of Sri Lanka (BOI) for India and Japan. She holds membership in key industry forums such as The Hotel Association of Sri Lanka and Colombo City Hotels Association.

MS. DINALI ALEXANDER

Ms. Dinali Alexander is the Head of Supply chain for operations in Sri Lanka, Maldives, India and Oman, corporate merchandising and exports operations. Ms. Alexander counts over 15 years of management experience covering procurement, administration, human resources and sustainability, across multiple industries.

MR. DIMUTHU KUMARASINGHE

Mr. Dimuthu Kumarasinghe has been with the Company for 20 years and is the Ambassador Heritance Cuisine/Chefs & Culinary Arts Development Officer for Aitken Spence Hotels in Sri Lanka, India, Maldives and Oman. He is a world record holder at the Culinary World Olympic Championship in 2004 and Culinary World cup in 2006. He secured 29 Gold, 5 Silver and 12 Bronze medals for Sri Lanka through International Culinary Competitions. Mr. Kumarasinghe holds the title President of the Chef's Guild of Sri Lanka since 2012 to 2020 and has lead more than 77 participants to secure 68 Gold medals along with many silver and bronze medals at Culinary Olympic and World Cup. Mr. Kumarasinghe is a jury member for the World Culinary Competitions and a recipient of the Presidential Award in 2007, 2017 and 2018 for outstanding culinary contribution. He holds honorary distinctions including, Honorary Life Member and Head Coach of the Golden Horseshoe Culinary Team Canada, Vatel Club Luxembourg, South Indian Culinary Association, Saudi Arabian Chef Association, Turkey Chef Association, Emirates Culinary Guild and Ukraine Culinary Union.



UNITED THROUGH UPHEAVAL

Our collective strength and togetherness enabled us to withstand the disruptive events we faced during the year under review.

MANAGEMENT DISCUSSION & ANALYSIS

VALUE CREATION MODEL



OUTPUTS/IMPACTS

Revenue generated:

Rs. 5.7 Bn

Guest nights:

227,703

Average guest satisfaction score (owned):

91.14%

Payments to employees:

Rs. 2.4 Bn

Investment in training:

Rs. 1.1 Mn

Training hours:

25,733

Payments to suppliers:

Rs. 2.7 Bn

Community investment:

Rs. 3 Mn

Beneficiaries:

6

Investment in environmental initiatives:

Rs. 2.9 Mn

IMPACTS

Solid waste generated:

446,668 Kg

Effluents generated:

290,126 m³

Carbon footprint:

20,073 Tons Co²

Technological disruption | Experiential travel | Sustainable travel

OUTCOMES LINKED TO STAKEHOLDER VALUE



Shareholders

Mitigated loss during pandemic

Net loss Rs. 7,253 Mn

Return on equity (25.89)%

Earnings per share Rs. (13.93)

(Page 62 & 138)



Customers

Enhanced safety of offering

Unique guest experiences

(Page 89)



Employees

Safe, conducive and enabling working environment with opportunities for skill and career development

(Page 81)



Government

Contributing to the Government's tax revenue and supporting the creation of an enabling industry environment



Business Partners

Sustainable business growth through rewarding, mutually-beneficial relationships

(Page 91)



Communities

Driving meaningful change and socioeconomic empowerment

Adverse environmental impacts of our operations

(Page 92)

+ Positive outcome

- Negative outcome

STAKEHOLDER ENGAGEMENT

102-40 102-42 102-43 102-44

The unprecedented conditions that prevailed during the year, necessitated deeper engagement with our stakeholder universe to clearly identify their concerns during these challenging times. We strengthened collaboration with stakeholders, maintaining continuous and open engagement through multiple platforms. In selecting and prioritising stakeholders, we engage with parties who potentially have the most significant impact on our value creation process and those who are affected most by our activities.



Customers

227,703
Guest Nights from 7 Markets

Importance

High influence/High interest

Topics and concerns in 2020/21

- Health and safety protocols in place
- Guest experience and service delivery
- Employee awareness on health and safety
- Value for money
- Environmental and social sustainability

How we engage

- Through channel partners (Ongoing)
- Feedback Form (Upon Departure)
- Satisfaction Surveys (Periodic)
- Through Front Line staff (Ongoing)
- Website and Social Media (Ongoing)

Response

Our key focus is ensuring customer safety, through strengthening health protocols while offering great customer experiences



Page 89

Quality of relationship:
Strong



Employees

2,563
Employees

Importance

High influence/High interest

Topics and concerns in 2020/21

- Health and safety protocols in place and minimizing cross infection from customers
- Job security
- Attractive reward schemes
- Opportunities for skill development and career progression
- Diversity and equal opportunity

How we engage

- Performance Appraisal (Bi-Annual & Annual)
- Multi-level Meetings(Ongoing)
- Trade Unions (Ongoing)
- Satisfaction Surveys (Periodic)
- Grievance Mechanism (Ongoing)
- Intranet and Social Media

Response

Ensuring job security of employees and taking proactive measures to guarantee safety



Page 77

Quality of relationship:
Strong



Business Partners and Suppliers

790
Tour Operators

2,853

Travel Agents, Corporates clients
and Reps

830
suppliers

Importance

High influence/High interest

Topics and concerns in 2020/21

- Continued business opportunities
- Timely payments
- Ease of transaction and professionalism
- Fair pricing mechanisms
- Ethical business conduct

How we engage

- Direct dialogue and site Visits (Ongoing)
- Contracts and Agreements (Ongoing)
- Supplier Performance Reviews (Periodic)
- Seminars and Workshops (Periodic)

Response

Focused on the development of local suppliers and leveraged synergies with channel partners



Page 90

Quality of relationship:
Strong



Shareholders

Aitken Spence PLC (71%),
Institutional investors (22%) and Retail
shareholders (7%)

Importance

High influence/High interest

Topics and concerns in 2020/21

- Business continuity
- Adequate financial performance
- Compliance
- Adequate risk return balance
- Corporate governance and risk management frameworks
- Ethical and business conduct
- Transparency and credibility of disclosures

How we engage

- Annual General Meeting and publication of Annual Report (annually)
- Interim financial statements (quarterly)
- Announcements to the Colombo Stock Exchange (continuous basis)
- Corporate website (continuous basis)
- Press releases (Quarterly)
- One-to-one engagement (periodic)

Response

Maintain open and transparent
communication with all shareholders



Page 61

Quality of relationship:
Strong



Government

Inland revenue, local authorities, Tourism
Ministry, local authorities

Importance

High influence/Medium interest

Topics and concerns in 2020/21

- Job creation and ensuring job security of employees
- Timely and full payment of taxes
- Compliance
- Environmental and social sustainability
- Implementation of safety procedures

How we engage

- Regulatory Reporting (Ongoing)
- Participation in Forums (Ongoing)
- Direct Dialogue (Ongoing)

Response

Proactive engagement with government
authorities in creating a conducive
environment for tourism post-pandemic

Quality of relationship:
Good



Communities

Communities adjacent to our properties

Importance

High influence/High interest

Topics and concerns in 2020/21

- Community employment generation
- Environmental sustainability and community development
- Community based empowerment

How we engage

- CSR Programmes (Ongoing)
- Dialogue with Community Representatives (ongoing)
- Seminars to Share Best Practices (Periodic)

Response

Curtailed large-scale community programs
due to the prevalent conditions although
ad-hoc initiatives were conducted at
property level



Page 55

Quality of relationship:
Strong

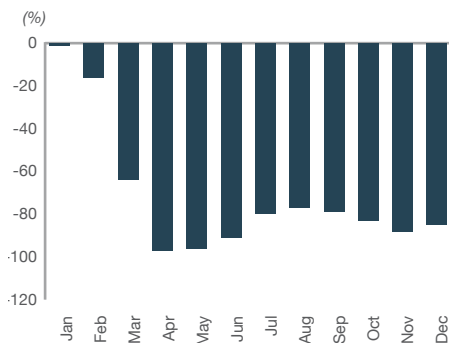
OPERATING ENVIRONMENT

201-2

OPERATING ENVIRONMENT IN 2020

The year 2020 marked the worst year on record for global tourism, with international arrivals declining by 74% reflecting unprecedented travel restrictions and a drastic decline in demand. The collapse in international travel has had profound socio-economic implications on destinations around the world, leading to significant job losses and closure of hotels; particularly small and medium enterprises.

YTD change (%) in International Tourist Arrivals



Source: UNWTO

74% decline in international arrivals in 2020



Loss of **USD 1.3 Trn** in export income across the world

11 times more than the impact of the 2009 global financial crisis



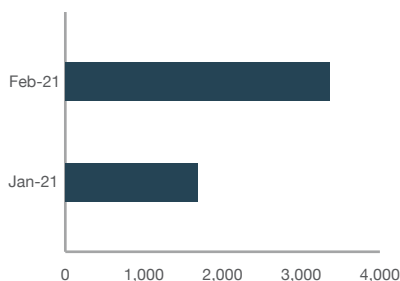
100-120 Mn direct tourism jobs at risk

SRI LANKAN CONTEXT

- 74% decline in tourist arrivals in 2020
- Zero arrivals from April to November 2020 due to the complete closure of the country's borders
- Country opened for tourist arrivals from 23 January 2021 under restrictions

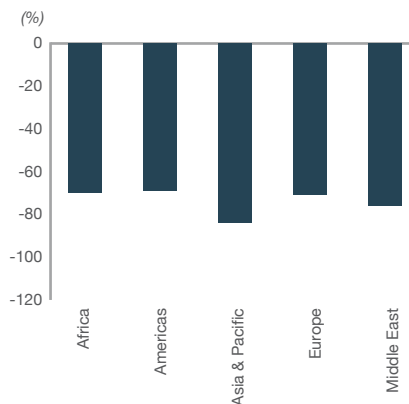
Arrivals to Sri Lanka from January 2021

(Nos.)



Source: SLTDA

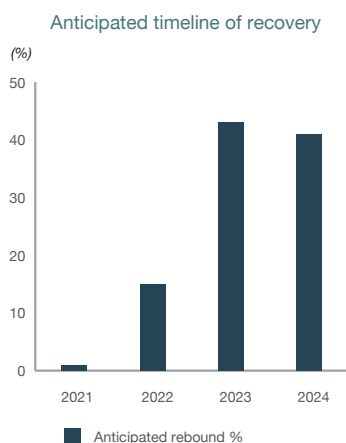
YTD change in Arrivals by Region



Source: UNWTO

THE ROAD TO RECOVERY

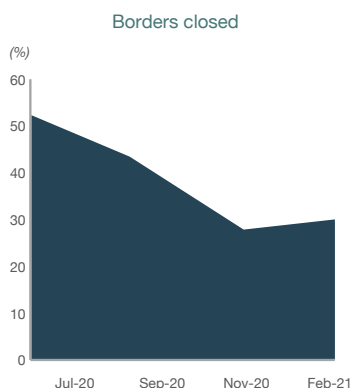
The UNWTO projects that it could take between 2.5 to 4 years for international tourism to return to pre-COVID levels. According to a survey conducted by UNWTO, 43% of experts points to a recovery in 2023, while 41% believe recovery would be prolonged to 2024. Recovery is largely dependent on the restoration of travel confidence following the roll-out of the vaccination in major markets, which would contribute towards the easing of travel restrictions.



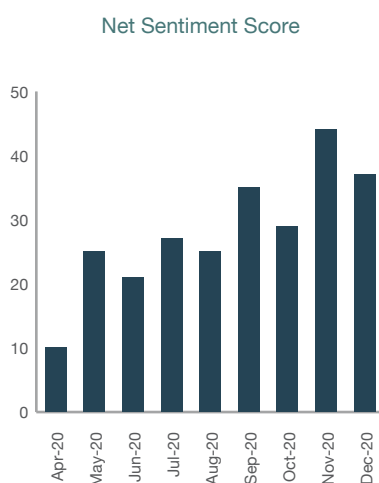
Source: UNWTO

Travel restrictions: In the early onset of the pandemic in the first quarter of 2020, governments around the world prioritised public health, imposing full or partial restrictions on travel. By April 2020, nearly 96% of all worldwide destinations had introduced travel restrictions bringing international travel to a standstill. Restrictions adopted include complete or partial closure of borders, destination-specific travel restrictions and requirements for quarantine and medical certificates, among others. As the situation evolved, destination governments have adjusted their restrictive measures and by February 2021, only 32% of destinations remained closed. However, the emergence of the new variants and a possible third wave of infections could prompt governments to reverse the easing

of restrictions. Travel sentiments, as tracked by the Net Sentiment Score have also varied recorded volatility from month to month, although generally demonstrating an improving trend.



Source: UNWTO



SRI LANKA

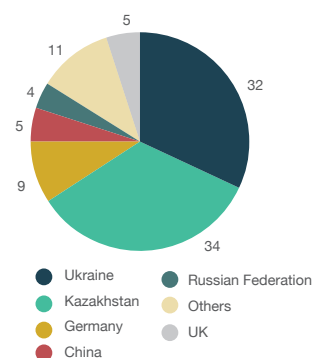
Sri Lankan borders opened for international tourists in January 2021, following successive months of complete closure from March 2020. The Sri Lanka Tourism Development Authority implemented stringent health protocols to ensure the safety of both international travellers and hospitality sector employees. Key highlights are as below:

- Sri Lanka awarded the Safe Travel Stamp from the World Travel & Tourism Council

- Issue of a comprehensive COVID-19 Health Protocol for the industry based on global best practices
- Safe and Secure Certification awarded to accommodation providers, travel agents/ tour operators and stand-alone facilities following a comprehensive audit by KPMG
- Training sessions on pandemic preparedness for hospitality operators

Given that travel restrictions in Sri Lanka's traditional source markets are yet to be relaxed, arrivals from Kazakhstan, Ukraine and Germany have accounted for the most significant share of arrivals since January 2021. As one of the first destinations in Asia to open its borders, Sri Lanka is set to benefit from the anticipated opening of the UK market and successful launch of a travel bubble with India, which will provide a much-needed boost for the industry.

Arrivals by source market (Jan-Feb 2021) (%)



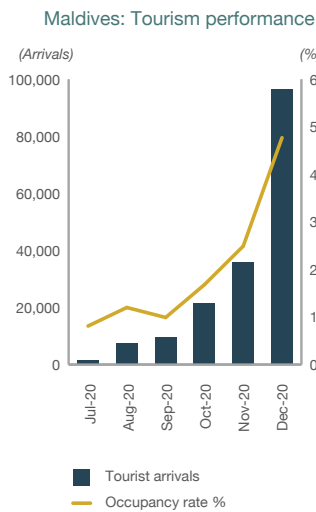
Source: SLTDA

The resurgence of infections in Sri Lanka from end-April 2021 have dimmed the outlook for the sector and is likely to prolong its recovery. Given the still evolving nature of the pandemic's course in Sri Lanka, the future remains uncertain. The Group will continue to proactively monitor demand and confidence to travel and is well positioned to capitalise on the medium-to-long term recovery of the country's tourism sector.

OPERATING ENVIRONMENT

MALDIVES

Maldives was among the first destinations to open its borders for international arrivals, as early as July 2020. Resultantly, the country recorded total arrivals of 555,494 in 2020, from key source markets of Central/Eastern Europe, Asia & Pacific and Western Europe. India emerged as the single largest feeder market to Maldives, following the successful creation of an air travel bubble between the two countries. As a result of such proactive efforts, tourist arrivals and occupancy levels in Maldives have recorded consistent improvements on a month-on-month basis.



Source: Maldives, Ministry of Tourism

OPPORTUNITIES AND CHALLENGES

The highly contagious nature of COVID-19 and the sporadic emergence of new strands have subjected the recovery of international tourism to a high degree of uncertainty. That said, vaccine rollouts across many regions coupled with significant pent-up demand is likely to foster a return to mobility over the medium term. Key trends that will drive the outlook for the industry include the following:

Vaccine rollout

The successful rollout of vaccines will be a key factor in driving confidence to travel and economic recovery. Vaccination drives in advanced economies have largely outpaced that in developing and emerging economies. Vaccination rates in Sri Lanka's major source markets as at-March 2021 are presented alongside. In addition to how fast authorities can vaccinate populations, confidence to travel will also depend on how soon restrictions are lifted and whether new variants of the virus can be effectively controlled.

Doses per 100 persons



UK	42.70
Germany	12.50
France	11.63
China	4.86
India	3.23

Government policy response

Following the closure of borders from early 2020, most countries are now exploring means of lifting travel restrictions and applying new health and safety protocols to ensure safe travels. Tourism businesses are also benefitting from stimulus packages, including debt relief and liquidity injections. Government policy has also focused on restoring traveller confidence and stimulating demand through the introduction of safety certifications for tourism providers. Sri Lanka was among the first destinations in South Asia to open its borders, presenting an early mover advantage in catering to pent-up demand. The SLTDA also launched

the Safe & Secure certification for service providers, and only Level 1 hotels are mandatory stays for international travellers until PCR tests are negative in the period stipulated by the Government. After such period, international tourists are free to stay at any accommodation provider these hotels cannot accept bookings from locals.

Changes in travel behaviour



Domestic travel

Increased prevalence towards vacations closer to home



Health and safety

Hygiene, cleanliness, and safety measures will be a priority



Demographic changes

Younger travellers are expected to be more resilient, with older travellers demonstrating more caution



Get Away

Open air experiences and less crowded offerings such as road trips, nature, and rural tourism



Booking flexibility

Last minute booking and cancellation policies



Responsible and Sustainable

More importance on environmental consciousness and community impacts

TRAVEL BUBBLE



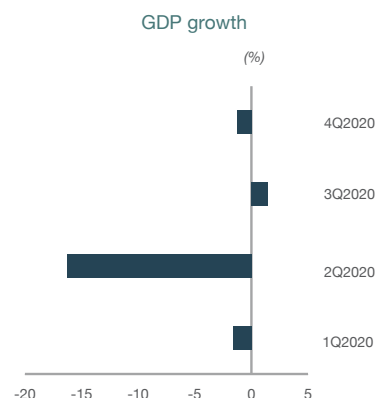
A travel bubble is an arrangement through which countries with low incidence of COVID-19 allow the free flow of people between their regions to the exclusion of the rest of the world. Travel bubbles are expected to facilitate a gradual opening of tourism in regions with low infections, although strong collaboration is required between governments, airlines, and other stakeholders to ensure all protocols are followed consistently. The travel bubble between Maldives and India has been a key factor in driving the recovery of Maldives, and a similar arrangement between Sri Lanka and Maldives could provide a much-needed boost in arrivals.

OPERATING ENVIRONMENT

MACRO-ECONOMIC TRENDS

GDP growth

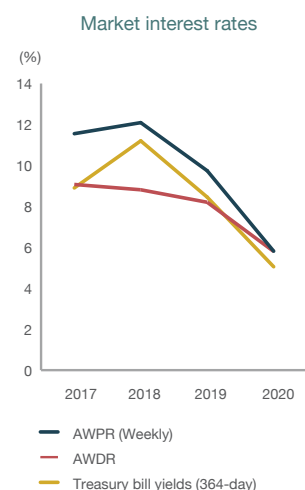
- Sri Lanka's economy contracted by 3.6% in 2020
- Agriculture, Industries and Services sectors contracted by a respective 2.4%, 6.9% and 1.5%
- Inevitable economic toll of lockdowns, business disruptions, job losses and drop in disposable incomes



Source: Dept. of Census and Statistics

Interest rates

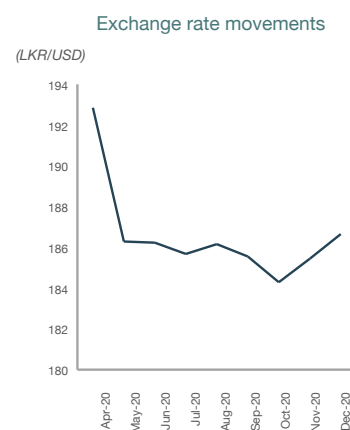
- Accommodative monetary policy aimed at reducing interest rates and stimulating economy
- Sustained reductions in yields on Government securities and market interest rates



Source: CBSL

Exchange rate

- Volatility in the Sri Lankan Rupee, with strong depreciation pressure given the outflow of capital funds
- 2.3% depreciation of LKR/USD in 2020
- 4% depreciation in the first quarter of 2021



Source: CBSL

SWOT ANALYSIS



Implications On Our Strategy

- Focus on operational efficiencies and cost rationalisation
- Emphasis on preserving liquidity
- Complete several renovation/refurbishment projects during the lockdown period
- Maintaining employee morale and investing in multi-skilling employees
- Leverage relationship with Aitken Spence Travels to penetrate new source markets
- Supporting communities around our properties impacted by the pandemic

- Portfolio expansion and upgrade
- Operational excellence
- Developing our talent
- Sustainability

MANAGING RISKS AND OPPORTUNITIES

102-11 102-15 205-1

International border closures by 96% of countries created an unprecedented challenge for the global tourism industry; as countries sought to curtail the spread of the COVID-19 virus which impacted every individual, entity and nation. As noted by the IMF, the tourism industry was the hardest hit by the pandemic. The entire ecosystem that was supported by this people intensive industry experienced a year of extreme hardship with many losing jobs and livelihoods across the world. Following a year in which Sri Lanka coped with the impact of the Easter Sunday terror attacks meant that industry resources were strained going into the pandemic which made Sri Lanka more vulnerable.

The hotels sector players in each country that we operate in have come together with national bodies to find solutions for the issues faced by the industry, monitor global developments and craft a re-emergence of this sector; restoring jobs and livelihoods. We continue to work with our business partners to identify areas of potential to seize the few opportunities that become visible through this haze of uncertainty. We believe that there is a pent-up demand for business and leisure travel as people saved money from the simplified lifestyle necessitated by social distancing. The opening of hotels to domestic tourism was an example of this pent-up demand albeit at a discounted price.

A year on after lockdown in which all properties in Sri Lanka and Maldives were closed for nearly three months, the pandemic continues to affect countries in waves with new strains and mutations. Vaccines and treatments developed need to be tested and adjusted to respond to the new mutations. For countries dependent on tourism such as Sri Lanka and Maldives, this is a costly process as it delays the much needed foreign exchange inflows to support economic recovery. Supply chain impacts have been as severe, with airlines discontinuing regular commercial passenger flights due to border closures and high levels of risk associated with airline travel.

Despite the fragile and uncertain outlook, it is necessary to remember that tourism outpaced global growth in 2019, recording 3.8% global growth as international tourists increased by 54 Mn to 1.5 Bn. Additionally, despite the restrictions in place in Sri Lanka and Maldives, an encouraging rise in demand for tourism and leisure was witnessed. Government policy has also remained relatively favourable to the industry as it is a key foreign exchange earner and also creates a number of direct and indirect jobs. The extension of moratoria and the cautious progress to open the borders are examples of this.

Aitken Spence Hotels has been at the forefront of the revival of tourism in the country, seeking non-traditional markets through its travel partners to formulate viable propositions that address the health and safety concerns of tourists, governments, supply chain partners, employees and communities. Our strengths as a subsidiary of the Aitken Spence PLC is a vital part of our competitive edge as we are able to leverage the considerable expertise of its destination management company and partnership with TUI, the largest tour operator in the world to access source markets.

APPROACH TO RISK MANAGEMENT

The Company has a structured approach to risk management to ensure that it identifies, measures and monitors risks across its portfolio of hotels and geographies. Based on the Three Lines of Defense model, the framework facilitates segregation of responsibilities, objective oversight by the Board, high levels of risk awareness by business owners.



1st Line of Defence

Business Management Units

Heads of business units are responsible for identifying, measuring, monitoring, reporting and managing risks relevant to their businesses



2nd Line of Defence

Group Strategic Risk Unit

Implementing the Group's Risk Management Framework and policy, review and constructive challenge of business unit risk reviews and reporting concerns independently to the Audit Committee



3rd Line of Defence

Internal Audit

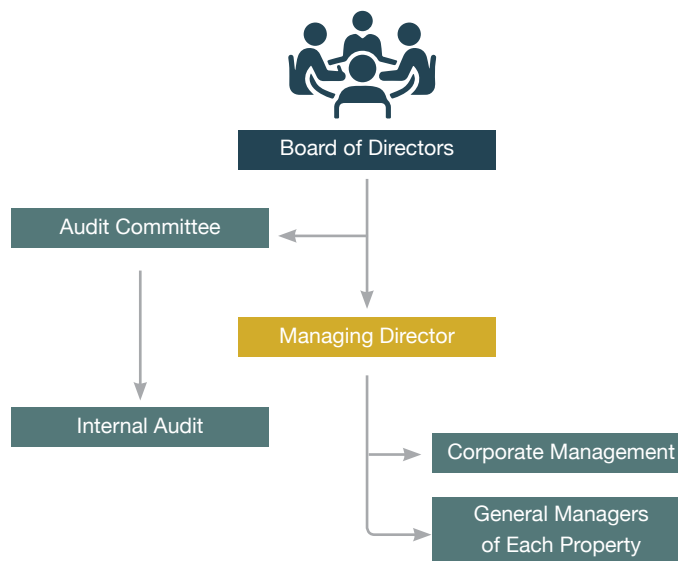
Provides an independent assessment of the adequacy and effectiveness of the overall risk management framework, reporting independently to the Audit Committee

RISK GOVERNANCE

The Board of Directors bear ultimate responsibility for managing risk and have set in place a comprehensive framework and processes for managing risk in discharge of this duty. They are assisted by the Audit Committee who have supervisory responsibility for risk management and report on the same to the Board. Their risk review is supported by the Group Strategic Risk Unit who collate the risk registers after review and constructive challenge where necessary. Internal Audit provides assurance to the Audit Committee of the effective operation of the risk management framework and internal controls, through conduct of risk based audits of processes and entities within the ASHH Group, all entities in an annual cycle. Internal Audit reports directly to the Audit Committee to ensure independence.

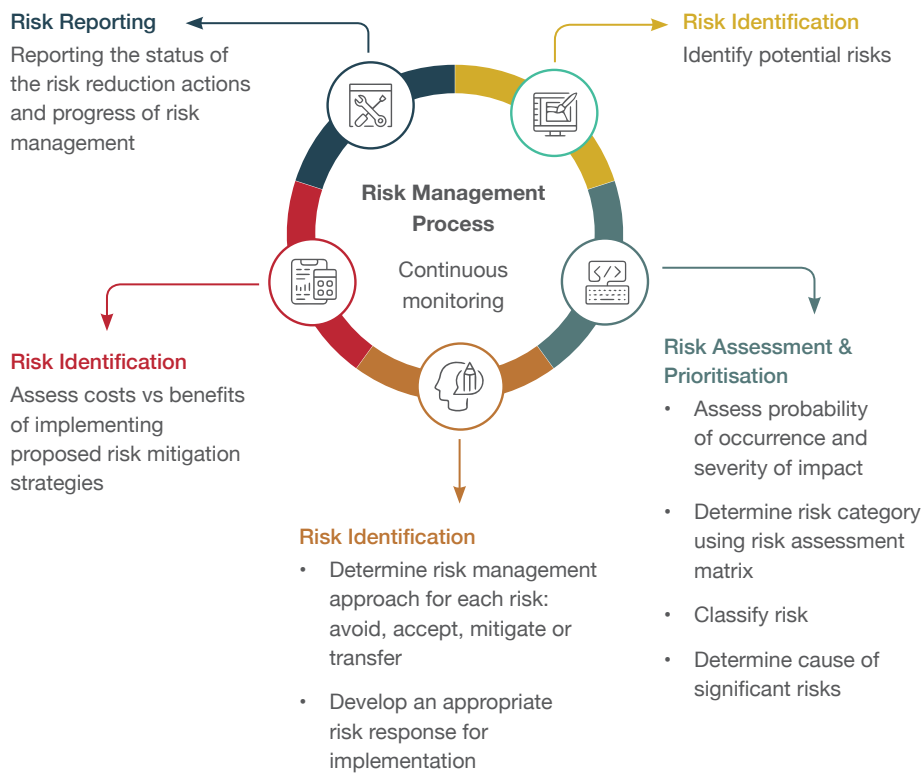
Corporate Management of ASHH regularly review risks to ensure that they are managed effectively and considered in formulation strategy and allocation of resources.

Primary responsibility for identifying, measuring, managing and reporting of risks lie with the resident General Managers of each property who liaise with Corporate on a regular basis.



RISK MANAGEMENT PROCESS

Our risk management processes is summarized below.



MANAGING RISKS AND OPPORTUNITIES

Risk & Risk Rating	Key Drivers	Mitigation Strategies	Further information
Duration of Pandemic			
The duration of the pandemic is the most critical risk impacting the industry as new waves and variants emerge necessitating adjustments to emerging vaccines and therapies	- Innovation of commercially viable vaccines and treatments for the COVID-19 virus and emerging strains - Practice of strict health and safety measures by people	Working to spread awareness of health and safety measures to curtail pandemic	Operating Environment
Assessment			
Impact	High		
Likelihood	Low		
Direction	Uncertain		
Safety of Travel			
Safety of our guests and staff at our hotels is our #1 priority with considerable resources allocated to uphold established protocols	Need to address tour operators and prospective guests concern of the safety measures implemented at our hotels prior to opening	- Positive feedback on safety measures implemented by hotel from guests who were present prior to lockdown - Implementation of recommended safety protocols to ensure safety of guests and employees until closure of properties - Awareness training for COVID-19 for guests and staff prior to closure and provision of hand sanitizer - Closure of properties to minimize risks and costs - Comprehensive health & safety policy framework with implementation responsibility at multiple levels - A strong safety culture at all hotels - Implementation of additional security checks prior to entry to our properties in Sri Lanka - Regular debriefing of staff on safety information	Social & Relationship Capital Human Capital COVID-19 Impact
Assessment			
Impact	High		
Likelihood	Moderate		
Direction	➡		
Oversight of safety at properties by ASHH Head Office and Aitken Spence Group			

Risk & Risk Rating	Key Drivers	Mitigation Strategies	Further information
Safety of Travel			
Threats including pandemics and epidemics, political unrest, extreme weather events, terrorism and political unrest deter travel to high risk destinations during periods of elevated threat	- COVID-19 pandemic - Country border closures - Terrorist attacks - Political unrest	- Implementation of stringent health and safety measures under the guidance of health authorities - Investing in technology to facilitate sanitation of premises at key hotels - Continued monitoring of safety protocols at hotels by internal audit	Chairman's Review Managing Director's Review COVID-19 Impact Social & Relationship Capital
Assessment			
Impact	High		
Likelihood	High		
Direction	↗		
Affordability & Connectivity			
Airline connectivity and affordability play a key role in choice of destination	- Closure of country borders resulting in cancellation of commercial flights - Uncertainty regarding affordability of air travel	Sri Lanka and Maldives were ranking as popular destinations will be a positive factor	Managing Director's Review Operating Environment COVID-19 Impact
Assessment			
Impact	High		
Likelihood	High		
Direction	↗		
Liquidity & Financial Stability			
Liquidity will be the key to survival for all businesses given the unprecedented level of uncertainty that prevails at present and the disruption of the normal cashflow cycles	Lack of cash inflows to meet fixed overheads and other financial commitments and obligations	- Loan moratoria in place for interest and capital repayments until 30th September 2021 easing cashflow constraints - Fixed overheads reduced to minimum levels with closure of properties although we have opted to give leave of absence to permanent staff with pay to retain skilled talent pools and facilitate their wellbeing - ASHH is able to access other sources of funds if required due to its track record with banks and as it is part of the Aitken Spence Group	Financial Capital COVID-19 Impact
Assessment			
Impact	High		
Likelihood	High		
Direction	↗		
Assessment			
Impact	High		
Likelihood	Moderate		
Direction	↗		

MANAGING RISKS AND OPPORTUNITIES

Risk & Risk Rating			Key Drivers	Mitigation Strategies	Further information
Intense competition					
Competition on waning of the pandemic is expected to be intense, at unprecedented levels			• Rapid growth of room inventory in Sri Lanka and Maldives outpacing growth of tourist arrivals • Entry of global players in to Sri Lanka and Maldives	• Continued interest from tour operators despite lockdown • Consistently favourable reviews of our properties by guests strengthening brand equity • Group linkages to the world's largest tour operator TUI and Sri Lanka's leading destination management company	Operating Environment Social & Relationship Capital
Assessment					
Impact	Moderate				
Likelihood	High				
Direction	➡				
Skilled talent pools					
Uncertainty over ability to retain skilled talent pools as there is no clear time frame for opening of properties at present			• Industrywide lay-offs due to cashflow constraints stemming from COVID-19 • We have opted to retain our permanent staff which puts considerable strain on cashflows	• Close monitoring of information to determine necessary action • Introduction of pay cuts to all staff at ASHH to extend duration of employment due to cashflow constraints • Deployment of staff to other companies within the Group where possible although this has some limitations • Obtained loan moratoria to support cashflows • We will be ready to open within a relatively short time period due to retention of skilled talent	Human Capital COVID-19 Impact
Assessment					
Impact	High				
Likelihood	High				
Direction	➡				
Interest Rate Risk					
Exposure to movements in market interest rates related to borrowings			• Borrowings of Rs. 35.6 Bn in LKR, USD and Euro exposes ASHH to movements of related interest rates as indicated alongside • GOSL has reduced interest rates to ease pressure on commercial activity	• The Group's treasury division continues to negotiate with banks and financial institutions to secure the best possible rates for the Group's borrowings and investments.	Note 42.7 to the Financial Statements on page 234 Financial Review on pages 61 to 62
Indicators					
LKR AWPR Movement	Financial year	Reduced by 358 bp			
GBP/USD LIBOR movement		Reduced by 177 bp			
Euro Euribor/ LIBOR		Reduced by 8.95 bp			
Assessment					
Impact	High				
Likelihood	High				
Direction	➡				

Risk & Risk Rating		Key Drivers	Mitigation Strategies	Further information
Credit Risk				
All significant processes are supported by one or many internet-driven services		- Potential loss of information assets of the Group - Impact on customer privacy in the event of a potential loss event - Cyber risks have escalated during the pandemic	- Well-defined group-wide cyber security incident response process. - Conducting cultural change management programmes to create staff awareness on the importance of maintaining information security and handling of sensitive information. - Implementation of network protection technology to manage network perimeter defense, data loss, cyber-spoofing, distributed denial of service attack, mobile devices and monitor suspicious cyber activities together with regular testing and verification of controls.	Intellectual Capital
Assessment				
Impact	High			
Likelihood	Moderate			
Direction	➡			
Cyber Risk				
All significant processes are supported by one or many internet-driven services		- Potential loss of information assets of the Group - Impact on customer privacy in the event of a potential loss event - Cyber risks have escalated during the pandemic	- Well-defined group-wide cyber security incident response process. - Conducting cultural change management programmes to create staff awareness on the importance of maintaining information security and handling of sensitive information. - Implementation of network protection technology to manage network perimeter defense, data loss, cyber-spoofing, distributed denial of service attack, mobile devices and monitor suspicious cyber activities together with regular testing and verification of controls.	Intellectual Capital
Assessment				
Impact	High			
Likelihood	Moderate			
Direction	➡			

Difference in AWPR as per Weekly Economic Indicators as at 24th April 2020 published by CBSL

MANAGING RISKS AND OPPORTUNITIES

OPPORTUNITIES

Despite the prevailing anxiety and uncertainty, there is always opportunity. It is a time to re-imagine our offering and work with stakeholders to drive a renaissance of our business that will be more impactful, and further elevate the guest experience.

Re-imagine our offering

We are working with tour operators to create innovative tourist experiences during the time of this lockdown to revive the magic of experiencing new destinations

Sustainability & Responsible Tourism

ASHH has a strong sustainable tourism value proposition for guests with unique locations and sustainable practices which will appeal to the growing numbers of environment - conscious guests

Embedding sustainability in to our processes and organisation culture provides opportunities to drive cost efficiencies across our businesses enhancing productivity and returns

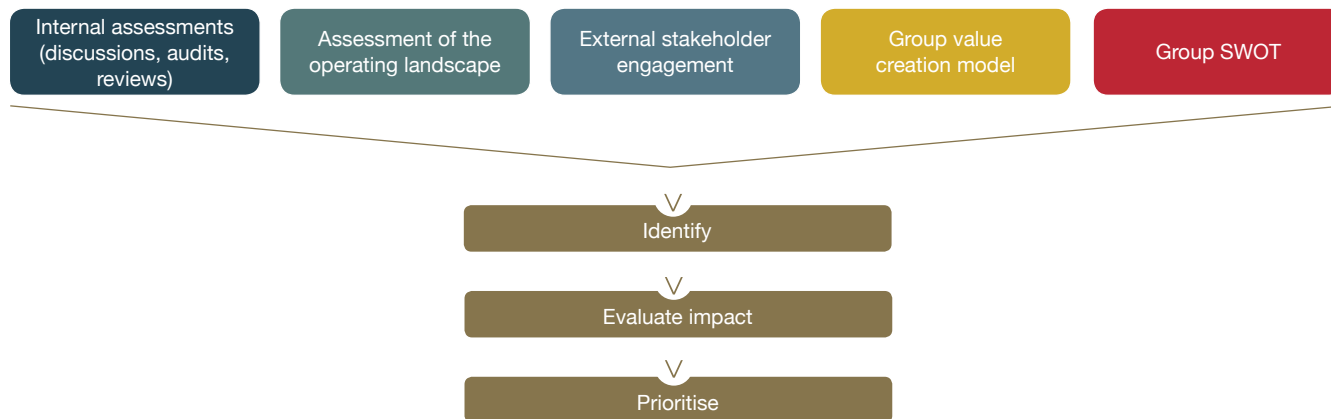
Group synergies and linkages

As part of the Aitken Spence Group, ASHH is has strong links with the world's largest tour operators and Sri Lanka's leading destination management company, enabling us to be a front runner in the revival of the sector

MATERIAL TOPICS

102-47 103-1 103-2 103-3

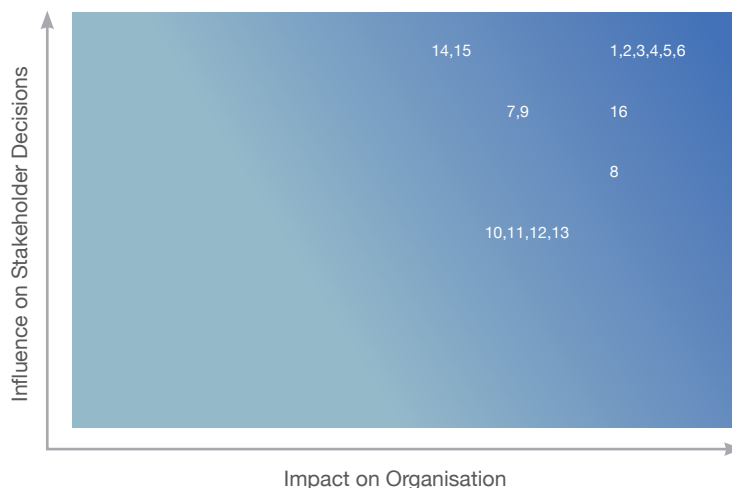
The Group's material assessment reveals the issues that are most important to its stakeholders and have the potential to affect value creation over the short, medium, and long-term. The conditions that prevailed during the year led to considerable changes in the Group's material topics, particularly given the heightened importance of health and safety aspects. The process adopted in determining material topics is presented below:



The material issues shown below are listed in order of priority; demonstrating relevance to our strategic objectives, the Sustainable Development Goals and corresponding GRI topics. (Please refer to GRI Index in pages 261 to 265 for detailed information on the material topics as required by GRI). There are no material restatements of information disclosed in the previous Annual Report and no changes in the Reporting boundary.

Key changes in material topics 2020/21

- Increased importance of,
 - (1) Health and safety
 - (2) Preserving liquidity
 - (3) Operational excellence
- New topic added to reflect travel confidence



MATERIAL TOPICS

	Material Topic	Strategic Priority	SDG	Relevant GRI Topic	GRI Indicators
(1)	Health and safety ↑ Increase in priority	●		Customer health and safety Occupational health and safety	416-1,416-2 403-1,403-2
(2)	Travel safety (New material topic)				
(3)	Financial performance and preserving liquidity ↑ Increase in priority	● ●		Economic performance	201-1, 201-2
(4)	Service and operational excellence ↑ Increase in priority	●			
(5)	Customer satisfaction				
(6)	Talent management	●		Market presence Employment Labour management relations Training and education Diversity and equal opportunity	201-3,202-1,202-2,203-2 401-1,401-2 402-1 404-1,404-2,404-3,410-1, 405-1,405-2,406-1,407-1
(7)	Property Portfolio	●			
(8)	Brand and reputation	●			203-1,204-1,417-1,417-2,417-3,418-1
(9)	Product responsibility and responsible business	●		Customer privacy Marketing and labelling	418-1 417-1,417-2,417-3
(10)	Carbon footprint (energy, emissions)	●	 	Energy Emissions	302-1,302-3,302-4 305-1,305-2,305-5
(11)	Water and biodiversity	●	 	Water Biodiversity	303-1,303-2,303-3,306-5 304-1,304-2,304-3,304-4
(12)	Effluents and waste	●		Effluents and waste	306-2,306-3,306-5
(13)	Raw material consumption	●		Raw materials	204-1,301-1
(14)	Procurement practices	● ●		Procurement practices Social supplier assessment	204-1 414-1,414-2
(15)	Local communities	● ●		Economic performance Significant indirect economic impacts Local communities	201-1,201-2,201-3 203-2 413-1, 413-2
(16)	Good governance	● ●		Anti-corruption Non-discrimination Environmental compliance Child labour Forced labour Socio-economic compliance	205-1,205-2,205-3 206-1,407-1,406-1 307-1 408-1 409-1 419-1

● Portfolio Expansion and Upgrade ● Operational Excellence ● Developing Our Talent Pool ● Sustainability

STRATEGY AND RESOURCE ALLOCATION

As operating conditions changed dramatically during the year, the Group revisited and recalibrated its strategic priorities to ensure relevance and adaptability in the short and medium term. While the four long term strategic objectives remained unchanged, we were compelled to refine our priorities under each of these strategic pillars as demonstrated below. The progress we made is discussed throughout the Report, with a high-level overview provided in subsequent pages. Relevance to our business clusters and capitals are shown through navigation icons in the respective sections of the Report.



- Expanding our market presence through new additions to our portfolio of properties and enhancing the existing properties in the portfolio to match/exceed customer expectations
- Ensure short, medium- and long-term stability and growth through a responsive approach to business which can navigate market uncertainties.
- Develop a vibrant team, who demonstrate resilience, passion, and commitment in extraordinary circumstances
- Minimise negative impact on environment and achieve sustainable growth for our internal and external stakeholders

STRATEGY AND RESOURCE ALLOCATION

PORTFOLIO EXPANSION AND UPGRADE



Recalibrated goals for 2020/21

- Complete refurbishments/ which would have required the closure of the respective property in normal times

KEY DEVELOPMENTS

- Major renovations/refurbishments during the year included kitchen at Heritance Tea Factory, lobby at Heritance Ahungalla and renovation at Heritance Ayurveda
- Investments directed towards strengthening safety infrastructure at hotels
- Ongoing investments in upkeep and maintenance

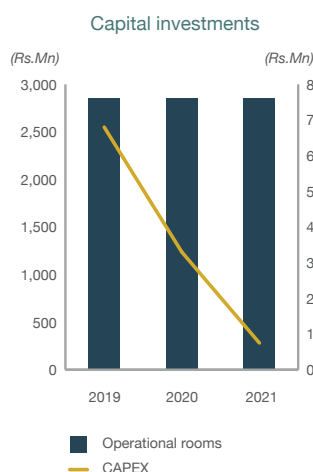
MEASURING SUCCESS

RESOURCES ALLOCATED

- Rs. 778 Mn capital expenditure

CAPITAL TRADE-OFFS

- Outflow of funds directed for capital investments in the short-term will support development in the Group's physical infrastructure/manufactured capital in the long-term
- Improvements in manufactured capital will drive customer satisfaction in the longer-term, thereby strengthening social & relationship capital



WAY FORWARD

Short-to-medium term

Major investments will be curtailed given the prevalent conditions and need to preserve liquidity levels, while ongoing focus will be placed on ensuring health and safety

Long-term

Upgrade/renovation of Heritance Kandalama

OPERATIONAL EXCELLENCE



Recalibrated goals for 2020/21

- Concerted measures to preserve liquidity
- Stringent health and safety protocols
- Facilitated work from home arrangements

KEY DEVELOPMENTS

- Preserving liquidity through deferring non-essential payments, cost rationalisation and proactive negotiations with suppliers
- Significant investments directed towards ensuring the health and safety of our guests and employees through stringent practices which go beyond what is prescribed by the regulator and health authorities
- All Sri Lankan properties obtained the Safe & Secure certification, with 3 hotels categorised as Level 1 hotels
- Employee training and awareness sessions on 'safe vacations'
- Realignment of overhead cost structure to rationalize costs
- Launched SOPs for back-office functions to drive efficiencies and lean management
- Facilitated work from home arrangements to ensure employee safety and optimise resources

MEASURING SUCCESS

- 91.14% average customer review score (GRI)
- Operating profit (before Depn) margin: -33%

RESOURCES ALLOCATED

- Investment in brand development: Rs. 260 Mn
- Investment in health and safety protocols: Rs. 26 Mn
- 3,643 channel partners

CAPITAL TRADE-OFFS

- Investments in ensuring health and safety have adversely impacted financial capital but is expected to drive increased traffic to our resorts and enhance revenue generation over the medium to long-term.

WAY FORWARD

Short-to-medium term	Long-term
Maintain focus on ensuring the safety of all employees and guests	Sharpen competitive edge through maintaining focus on health and safety aspects
Strategic emphasis on optimising the mix between international and domestic guests	Strongly positioned to cater to the pent-up demand
Leverage relationships with channel partners to capitalise on Sri Lanka's early mover advantage in opening borders	

STRATEGY AND RESOURCE ALLOCATION

DEVELOPING THE TALENT POOL



Recalibrated goals for 2020/21

- Ensuring zero layoffs of employees
- Multi-skilling employees
- Ensuring employee welfare and motivation

KEY DEVELOPMENTS

- Priority on developing and multi-skilling employees through the TUI Training Academy, particularly given exodus of employees from the sector
- Special relief package granted to affected employees
- Focus on employee welfare, particularly in the Maldives where employees were compelled to remain on the islands with limited access to supplies during the lockdown
- Engage employees in environmental and community initiatives to retain morale
- Ongoing engagement activities to maintain motivation including competitions and platforms to share the work-from-home experience.
- Redeployment of employees across the Group
- Identified employees facing financial pressures and supporting them through distribution of essential items

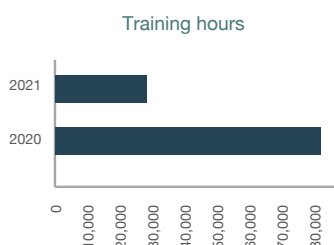
RESOURCES ALLOCATED

- Investment in training: Rs. 1.1 Mn
- Total payments to employees: Rs. 2.4 Bn

CAPITAL TRADE-OFFS

- Retention of all employees have adversely affected our financial performance, but will strengthen human capital over the long-term, given increased loyalty and satisfaction of employees.
- Ongoing investments in skill development will enhance both our intellectual capital and social & relationship capital over the long-term.

MEASURING SUCCESS



WAY FORWARD

Short-to-medium term	Long-term
Ongoing focus on supporting the physical and mental wellbeing of our employees	Enhance employee productivity through lean initiatives and efficiency improvements
Maintain morale through multi-faceted engagement initiatives	
Training programmes focused on multi-skilling and interacting with guests under all health and safety protocols	

SUSTAINABILITY



Recalibrated goals for 2020/21

- Ensuring disaster preparedness and business continuity
- Strengthen relationships with channel partners
- Meaningful community engagement

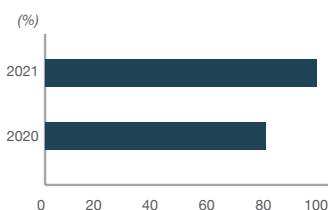
KEY DEVELOPMENTS

- Ensured robustness of internal processes including safety action plans and fire drills among others
- Continued investments in brands, with special emphasis on the domestic market
- Launched 'All the Good in the World' campaign to support communities around our properties
- Focus on expanding our local supply chain and developing local suppliers
- Implemented action plan for eliminating single use plastics in our resorts

MEASURING SUCCESS

- CSR beneficiaries during the year: 6

Payments to local suppliers



RESOURCES ALLOCATED

- Investment in community engagement: Rs. 3 Mn
- Spending on local suppliers: Rs. 2.5 Bn

CAPITAL TRADE-OFFS

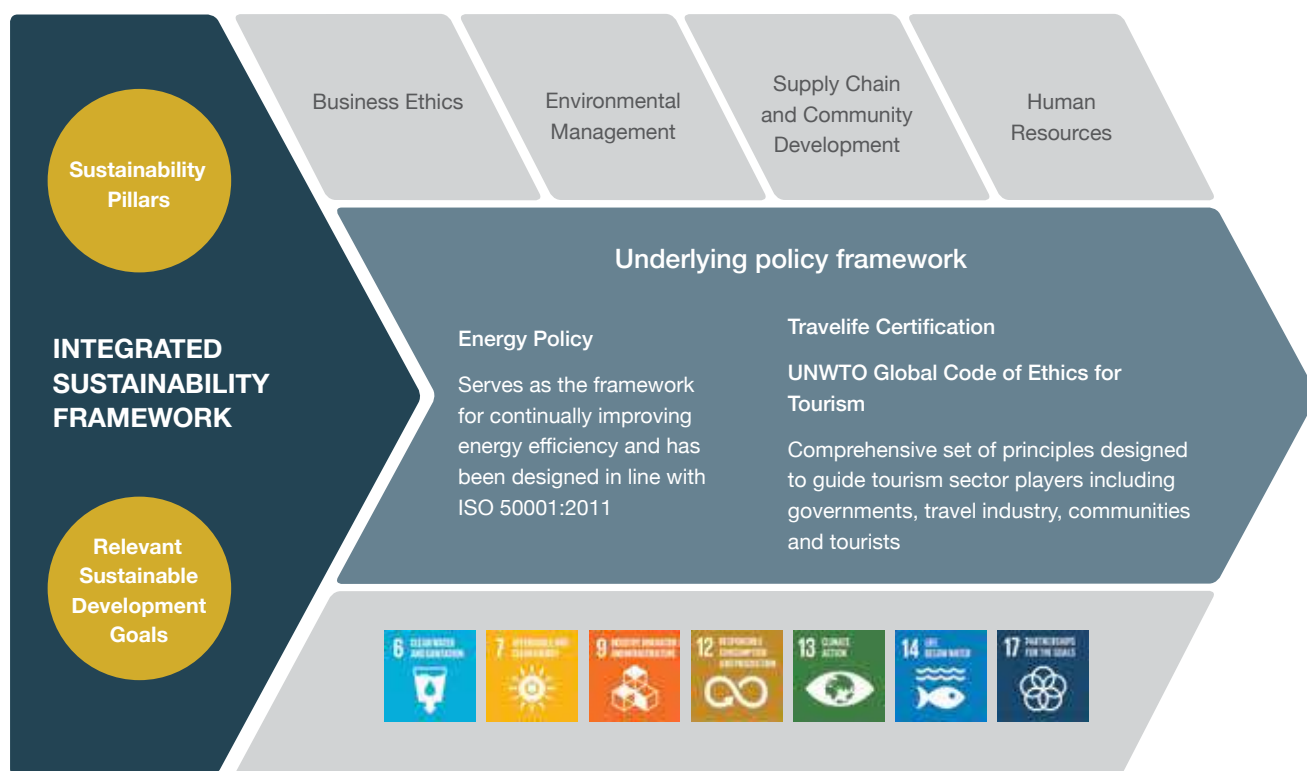
- Increased reliance on local suppliers has at times adversely impacted Financial Capital but will strengthen the Group's social & relationship capital over the long-term.
- The reduced footfall across our resorts have led to a rejuvenation of natural capital around our properties, particularly in areas of rich bio-diversity such as Heritance Kandalama

WAY FORWARD

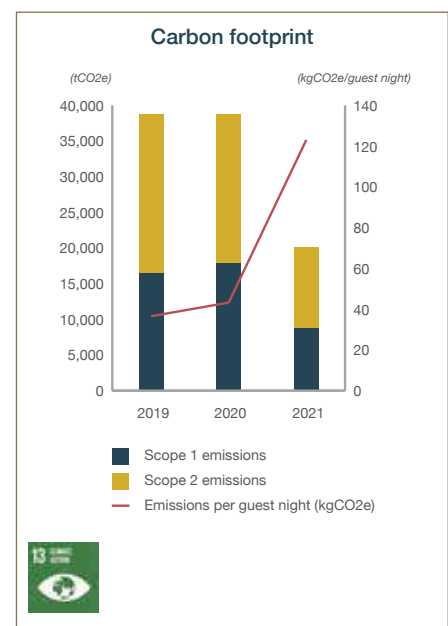
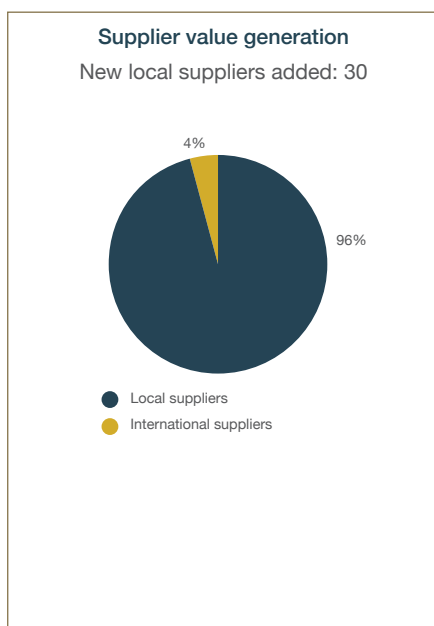
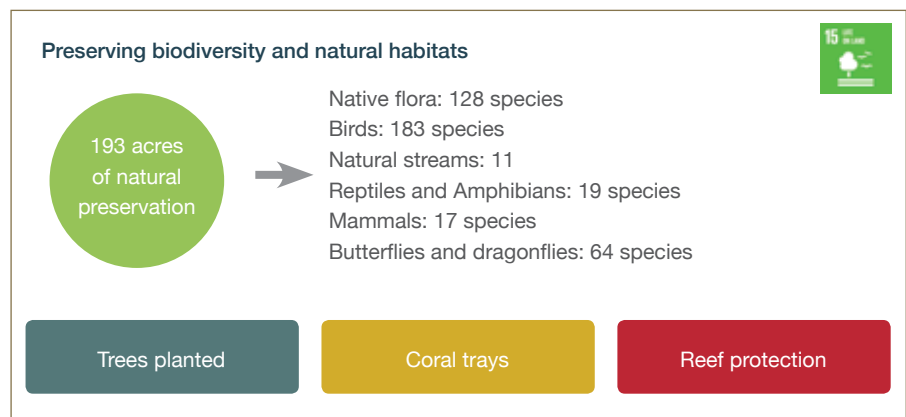
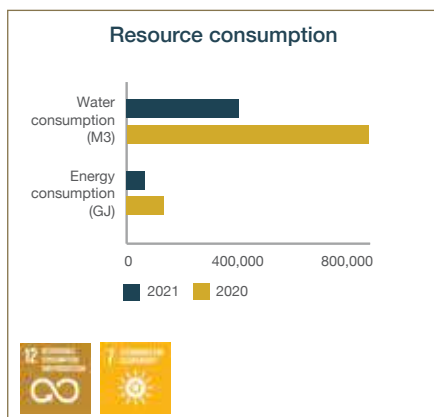
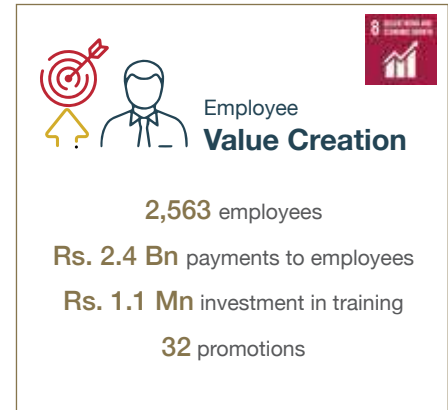
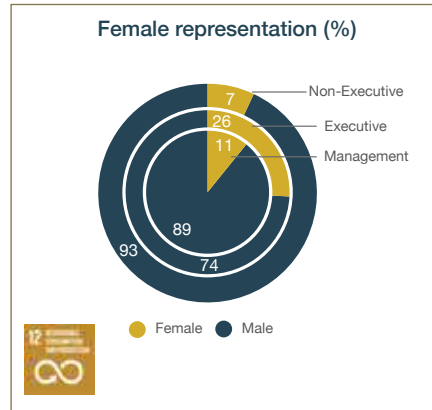
Short-to-medium term	Long-term
Acceleration of plans to eliminate single-use plastics across our portfolio through discontinuing plastic straws, satchels, and PET bottles among others	Expansion of sustainable sourcing avenues with emphasis on local supply chains
Recommencement of environmental initiatives that were halted in 2020/21 due to prevalent conditions	

SUSTAINABILITY AT AITKEN SPENCE HOTELS

The Group is a pioneer in sustainable tourism in Sri Lanka and has embedded economic, social, and environmental sustainability considerations into its corporate strategy, operations and processes. We are cognisant of the role tourism can play in contributing towards sustainable development and addressing critical economic, social and environmental sustainability issues. The Group's approach to sustainability is aligned to the Integrated Sustainability Framework of the parent entity and comprises the following key pillars. Please refer to the full Policy at <https://www.aitkenspencehotels.com/wp-content/uploads/2017/04/ASH-Integrated-Sustainability-Policy.pdf>



SUSTAINABLE TOURISM DASHBOARD



PERFORMANCE ANALYSIS

SRI LANKAN CLUSTER

Competitive strengths Collection of 11 distinct properties Reputation and brand value Strong relationships with channel partners Stringent health and safety protocols	
Operating environment - Closure of borders for international tourists for 8 months of 2020/21 - Stringent health and safety protocols mandated by health authorities - Opening of country's borders in January 2021 leading to arrivals from CIS and Russian region	Risks and Opportunities + Pent-up demand expected to boost demand for hospitality in the medium-to-long term + Gradual opening of source markets following successful vaccination drives + Improvement in travel confidence - Prolonged economic impacts of the pandemic - Emergence of new variants of the virus
Strategy and Performance - The cluster experienced one of the most challenging years in its operating history, with occupancy levels falling to historical lows. Resultantly, revenue declined by 85% while losses increased to Rs. 2.6 Bn during the year under review. - Against this backdrop, the cluster strengthened its value proposition to the domestic market while focusing on preserving liquidity, optimising resources, and enhancing operating efficiencies. - All our properties obtained the Safe & Secure certification following a stringent assessment while 4 properties- namely Heritance Ahungalla, Heritance Negombo, Heritance Ayurveda and Turyaa Kalutara obtained the Level 1 status. The stringency of the Group's safety protocols have allowed it to sharp its competitive edge and retain ARR's despite a broad-base decline in industry room rates. - Following the opening of Sri Lanka's borders in January 2021, the cluster has successfully attracted a major portion of arrivals into the country, by leveraging its synergies and strong relationships with channel partners.	Value Creation/Erosion  Loss after tax of Rs. 2.6 Bn FINANCIAL CAPITAL  Renovation/refurbishment of 3 properties Rs. 44 Mn MANUFACTURED CAPITAL  Rs. 446 Mn payments to employees HUMAN CAPITAL  28 certifications INTELLECTUAL CAPITAL  7% average occupancy levels SOCIAL AND RELATIONSHIP CAPITAL  173,641 m³ water recycled NATURAL CAPITAL
Outlook As confidence to travel gradually improves, we will persistently monitor demand conditions and strategise and refine our offering to suit emerging dynamics. The anticipated opening of the UK and Saudi Arabian market will provide a much-needed boost to arrivals and given the significant pent-up demand we are optimistic of a strong recovery by summer and winter seasons. That said, the prevalent uncertainty and the increased overhead costs arising from additional safety guidelines will insert continued pressure on profitability, and we look forward to the relaxation of guidelines which will allow hotels to concurrently cater to domestic and international travellers.	

SOUTH ASIAN AND MIDDLE EAST CLUSTER

Competitive strengths Largest international operator in Maldives Reputation and brand value Strong relationships with channel partners Stringent health and safety protocols	
Operating environment - Maldives was among the first destinations to open its borders to international arrivals - Strong recovery in Maldives supported by arrivals from India, CIS countries and Russia - Oman and India are yet to open borders for international tourists	Risks and Opportunities + Maldives is positioned to benefit from the early opening of its borders and travel bubbles with selected markets + Pent-up demand expected to boost demand for hospitality in the medium-to-long term + Improvement in travel confidence - Prolonged closure of Indian and Oman borders
Strategy and Performance - Despite a sharp downturn in performance in the immediate aftermath of the pandemic outbreak, the Maldivian resorts have recorded strong recovery following the opening of the country for international arrivals in July, thereby aptly positioning it to cater to pent-up demand. - The cluster contained the decline in revenue to 65% as occupancy levels averaged 18% towards the latter part of the year. Profitability, however, was impacted by an escalation in operating costs, relatively high finance expenses and continued losses in Oman and India, which resulted in a pre-tax loss of Rs. 5.1 Bn compared to losses of Rs. 86.7 Mn in 2019/20. - The Group's newest property in Maldives, Heritance Aarah has received exceptional reviews since its re-opening in September 2020 and is poised for strong growth. - Recent debt funded capacity expansions and renovations in the Cluster have resulted in high levels of gearing and the Group proactively negotiated with banks in availing moratoriums, rescheduling, and restructuring facilities. - Market conditions in India and Oman remain subdued and we have focused on optimising resources and realigning overhead structures to trim losses and preserve liquidity.	Value Creation/Erosion  FINANCIAL CAPITAL Loss after tax of Rs. 4.7 Bn  MANUFACTURED CAPITAL CAPEX of Rs. 624 Mn property, upkeep and maintenance  HUMAN CAPITAL Rs. 1.9 Bn payments to employees  INTELLECTUAL CAPITAL 9 certifications  SOCIAL AND RELATIONSHIP CAPITAL 11% average occupancy levels  NATURAL CAPITAL 116,485 m³ water recycled
Outlook The Maldives is positioned for good growth in arrivals given the geographical characteristics which	

PERFORMANCE AND CAPITAL MANAGEMENT

102-38 102-39



FINANCIAL CAPITAL

The Group's ability to create value to its financial capital is largely dependent on its financial performance. As one of the pandemic's hardest-hit industries, the Group's financial performance suffered an inevitable blow, recording a sharp drop in revenue and considerable losses for the year.

SHAREHOLDERS' FUNDS

Rs. 21.96 Bn

TOTAL BORROWINGS

Rs. 35.6 Bn

CASH AND CASH EQUIVALENTS

Rs. 2.11 Bn

Highlights in 2020/21



COST MANAGEMENT

- Relentless focus on managing cost led to a 45% reduction in indirect costs



PROPERTY UPGRADE AND MAINTENANCE

- During the period of low occupancies, the Group invested Rs. 44 Mn in essential renovation works of 3 properties

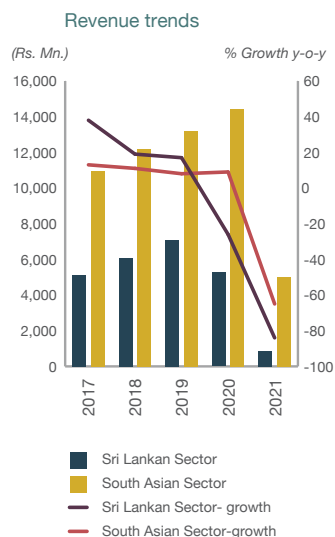


GOOD LIQUIDITY POSITION

- Despite the challenges that prevailed, Group maintained its Cash and cash equivalents at Rs. 2.11 Bn as at 31st March 2021

REVENUE

Consolidated revenue for the year amounted to Rs. 5.73 Bn, falling sharply from Rs. 19.02 Bn in the previous year, reflecting the unprecedented challenges faced by the tourism sector. The drastic reduction in revenue reflects the complete closure of all our resorts for a three month-period following the outbreak of the COVID-19 pandemic, coupled with the complete closure of Sri Lanka's borders for international arrivals until January 2021. Despite the gradual easing of border restrictions by January, hotels were required to operate under an array of restrictions including limitations on capacity. The Sri Lanka resorts sought to attract domestic guests through price competitive offerings, which in turn led to a considerable decline in (average room rates) ARRs. The Sri Lankan Sector recorded an average occupancy rate of 7% during the year, which resulted in an 84% decline in revenue.



The Group's geographical diversification offered some respite, particularly given the better-than anticipated recovery of the Maldivian resorts. The Maldives opened its borders for tourism as early as July 2020 and has seen a good recovery, supported by strong growth from the Indian, Russian, and CIS markets. Resultantly, the decline in

revenue of the South Asia and Middle East segments was contained at 65% and the Sector accounted for 87% of the Group's revenue.

COST MANAGEMENT

Given the conditions that prevailed, the Group placed strategic emphasis on optimising resources to drive cost efficiencies. Accordingly, emphasis was placed on rationalising costs, deferring non-essential expenses, and curtailing capital expenditure with a view to preserve liquidity. These initiatives together with the sharp drop in activity levels resulted in the Group's overhead expenses declining by 48% during the year. Staff costs decreased by 36% mainly due to voluntary pay cuts, while a definitive decision was made to retain all employees at full remuneration. Meanwhile, other operating expenses which are typically linked to activity levels recorded a decline of 53% during the year. Meanwhile, the Group's other income/(expenses) amounted to a net expense of Rs. 45.96 Mn reflecting exchange losses on operating transactions, given the sharp depreciation of the Sri Lankan Rupee in 2021.

At operating level, the Group incurred a loss of Rs. 5.19 Bn, compared to a profit of Rs. 1.56 Bn the previous year. The South Asian and Middle East Sector accounted for 65% of the loss in challenging market conditions. Accordingly the South Asian and Middle East Sector recorded an operating loss of Rs. 3.40 Bn while the Sri Lankan sector incurred a loss of Rs. 1.79 Bn. It is noteworthy, that excluding depreciation and amortisation, the Group's losses reduce to Rs. 1.85 Bn at EBITDA level.

FINANCE EXPENSES

The Group's net finance expenses increased by 22% to Rs.2.04 Bn during the year, reflecting an increase in borrowings to bridge liquidity shortfalls to fund working

capital investments, the deferment of loan and interest repayments due to the moratorium offered by banks and currency impact on foreign currency loans. Total debt thereby increased by 18% during the year, with the Group increasing exposure to long-term borrowings as well as overdrafts and short-term debt. However, given the sustained decline in market interest rates during the year, the Group's average cost of borrowing decreased to 3.87%, from 4.55% the previous year. The Group also availed itself of the debt moratoriums granted to COVID-19 impacted businesses including hospitality operators. Finance income for the year amounted to Rs. 134.71 Mn and reflect earnings on financial investments.

PROFITABILITY

As one of the hardest hit sectors of the pandemic, the tourism sector recorded a severe setback during the year, with operators recording substantial losses and liquidity pressures. The Group incurred a pre-tax loss of Rs. 7.61 Bn during the year, with the Sri Lankan Sector and South Asian and Middle East Sector recording losses of Rs. 2.49 Bn and Rs. 5.12 Bn respectively. Meanwhile, losses arising from equity accounted investees amounted to Rs. 378.86 Bn during the year stemming from Browns Beach Hotels PLC.

Income tax for the year amounted to a reversal of Rs. 353.41 Mn due to negative returns, resulting in consolidated losses after tax amounting to Rs. 7.25 Bn, compared to losses of Rs. 895.72 Mn the previous year.

PERFORMANCE AND CAPITAL MANAGEMENT

FINANCIAL CAPITAL

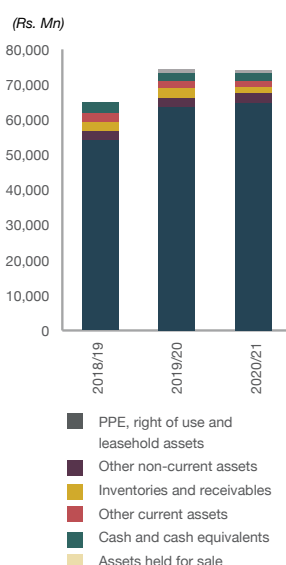
SUMMARY OF KEY INCOME STATEMENT ITEMS

Rs. Mn	F/Y 2020/21	F/Y 2019/20	% change	Explanatory Notes
Revenue	5,728	19,019	-70%	Resorts were closed during first quarter of the year following the outbreak of COVID-19 pandemic. Closure of borders and health protocols have resulted in a revenue drop in Sri Lankan and Overseas Sectors by 84% and 65% respectively.
Other operating income	(46)	118	-139%	Reflects exchange losses due to depreciation of Sri Lankan Rupee against major currencies.
Staff costs	(2,431)	(3,801)	-36%	Voluntary pay cuts and lower head count compared to last year
Depreciation & Amortization	(3,338)	(2,847)	17%	Mainly due to amortization of right-of-use assets
Other operating expenses – Direct	(1,513)	(4,256)	-64%	Due to decline in volume
Other operating expenses – Indirect	(3,452)	(6,238)	-45%	Mainly due to cost reduction initiatives and lower volumes
Finance income	135	187	-28%	Due to decrease in cash inflows
Finance expense	(2,174)	(1,861)	17%	Reflects increase in short term borrowing to fund working capital, deferment of loan and Interest repayments and depreciation of the rupee impacting on foreign currency loans
Share of profit/(Loss) of equity accounted investees net of tax	(379)	(322)	18%	Mainly from groups share of losses at Browns Beach Hotels PLC
Taxation	353	(463)	-176%	Due to negative returns generated during the period

Balance Sheet Strength

Total assets declined marginally to Rs. 74.17 Bn as at end-March 2021 mainly due to a decline in working capital investments as operating activity declined. Accordingly, trade and other receivables nearly halved, resulting in the Group's current assets declining by 20%. Non-current assets increased marginally by 2% to Rs. 67.43 Bn due to capital expenditure incurred on several refurbishment projects in the Sri Lankan resorts. The asset composition tilted more towards long-term assets, which accounted for 91% of total assets, compared to 89% the previous year.

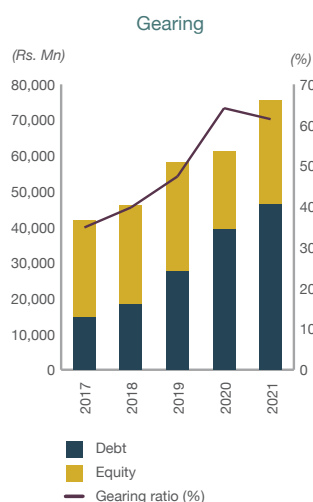
Asset composition and growth



Capital and Liabilities

The Group's shareholders' funds declined by 25% to Rs. 21.96 Bn as at end-March 2021 and funded 30% of total assets. Total liabilities increased by 15% during the year, as the Group increased exposure to borrowings to fund working capital requirements. Resultantly, borrowings increased by 18% to Rs. 35.6 Bn; the Group sought to capitalise on the prevalent low interest rate scenario by increasing exposure to long-term borrowings, which accounted for 79% of the Group's total debt as at end-March 2021.

Meanwhile the Group's gearing ratio (debt/debt+equity) increased to 63.73% from 53.73% the year before. Despite some liquidity pressure, the Group was able to meet all its financial obligations as and when they fell due, attesting to the strength of its balance sheet and financial management.



Summary of Key Balance Sheet Items

Rs. Mn	31st March 2021	31st March 2020	% change	Explanatory Notes
Assets				
Property, plant and equipment & Leasehold property & Prepaid operating leases	64,731	63,727	2%	Due to movement in exchange rates impacting foreign currency denominated assets and refurbishments
Other non current assets	2,703	2,551	6%	
Inventory	817	934	-12%	Due to reduced volumes
Cash and cash equivalents & Other financial assets	2,820	2,602	8%	Due to increase in bank deposits against short term borrowings and increase in other financial assets due to lower impairment compared to last year
Other current assets including trade and other receivables	3,097	4,536	-32%	Reduced receivables in line with lower volumes
Total Assets	74,168	74,350	0%	
Shareholders Equity	15,956	20,563	-22%	Due to losses incurred in local and overseas segments
Non Controlling interests	6,006	8,588	-30%	
Long term debt	30,716	27,648	11%	Mainly due to new concessionary loans obtained and adverse movement in exchange rates impacting on foreign currency loans
Short term debt	4,733	2,493	90%	In line with short term operational requirements and Interest capitalized during loan moratorium period
Other non current liabilities	11,259	9,810	15%	Mainly due to re-measurement of certain lease liabilities resulting from concessions offered on capital repayment
Other current liabilities (Including trade and other payables)	5,498	5,248	5%	
Total Equity and Liabilities	74,168	74,350	0%	

PERFORMANCE AND CAPITAL MANAGEMENT

FINANCIAL CAPITAL

Cashflow

The Group's cashflow generation inevitably reflected the sharp downturn in performance, with net operating cashflow amounting to an outflow of Rs. 807.34 Mn during the year, compared to an inflow of Rs. 3.30 Bn in the previous year. The Group sought to address liquidity pressures through proactive negotiations with suppliers, rationalizing costs and effective working capital management. Net cash used in investing activities declined to Rs. 1.29 Bn from Rs. 3.21 Bn the previous year as the Group curtailed all significant capital expenditure given the operating conditions that prevailed. Meanwhile net cash outflow from financing activities amounted to Rs. 414.64 Mn during the year. Overall the Group's cash and cash equivalents recorded a net outflow of Rs. 2.51 Bn compared to an outflow of Rs. 1.35 Bn during the year.

Revenue, Group Expenses and Profit Before Tax-Rs. Mn

	2020/21	2019/20	Change
Net Revenue	5,592	18,588	(12,996)
Other Income/(Expenses)	(46)	117	(164)
Staff Costs	2,432	3,801	1,369
Depreciation, Amortisation and Impairment	3,339	2,847	(492)
Other Operating Expenses	4,964	10,495	5,530
Net Finance Expenses	2,039	1,675	(364)
Share of loss of equity accounted investees net of tax	379	322	(57)
Profit/(Loss) before tax	(7,607)	(433)	(7,174)

WAY FORWARD

With the gradual easing of restrictions in Sri Lanka from January 2021, opening of source markets and strong rebound in the Maldivian sector the Group was positioned for a gradual recovery by end-2021/22. However, the sharp resurgence of infections in the South Asian region with the emergence of the third wave in April have dimmed this outlook, delaying hopes of a recovery over the medium-term. The rapidly evolving nature of the pandemic, and mixed success of the vaccination roll-out in European markets has resulted in considerable uncertainty. The Group will continue to proactively monitor emerging developments in navigating the many complexities presented by the environment, refining its strategy to best adapt to market conditions.

ECONOMIC VALUE ADDED (EVA)

	2020/21 Rs. '000	2019/20 Rs. '000	2018/19 Rs. '000	2017/18 Rs. '000	2016/17 Rs. '000
Net Profit Attributable to Shareholders	(7,253,215)	(895,724)	1,197,164	1,583,394	1,013,739
Add:					
Depreciation and Amorization	3,338,451	2,846,879	1,873,724	1,815,254	1,583,237
Non Cash & Non operational adjustments	625,038	448,912	256,804	(63,083)	340,310
Total Interest on debt	2,173,971	1,861,353	934,502	949,117	745,013
Adjusted Profit After Tax	(1,115,755)	4,261,420	4,262,194	4,284,682	3,682,299
Total Investment Capital					
Total Equity	21,962,720	29,150,430	30,595,435	27,894,002	27,432,688
Add:					
Total Long Term Debt	28,147,885	24,890,820	23,405,292	18,154,051	14,450,707
Total Short Term Debt	7,300,993	5,250,363	4,184,006	6,142,605	5,057,481
Lease Liability	11,033,234	9,133,386	-	-	-
Cumulative Depreciation	20,117,354	16,918,951	14,147,105	11,465,586	9,729,411
Adjusted Investment Capital	88,562,186	85,343,950	72,331,838	63,656,244	56,670,287
Economic Value Added					
Weighted Average Cost of Capital	5.2%	6.6%	5.9%	6.73%	6.50%
Cost of Average Investment	4,621,421	5,640,720	4,260,511	4,282,516	3,680,926
Economic Value Added	(5,737,176)	(1,379,300)	1,682	2,166	1,373

PERFORMANCE AND CAPITAL MANAGEMENT



MANUFACTURED CAPITAL

As a hotel operator, the Group's Manufactured Capital is a key element of its value creation process, as it is a vital driver in attracting customers and ensuring satisfaction. The Group's portfolio of iconic properties is a key pillar of its customer value proposition and competitive.

ROOM INVENTORY

Sri Lanka: **1,564**
South Asia & Middle East: **1,276**

PROPERTY, PLANT, AND EQUIPMENT

Rs. 53 Bn
(71% of the Balance Sheet)

DIGITAL INFRASTRUCTURE

Rs. 260 Mn

Highlights in 2020/21



REFURBISHMENT AND RENOVATION

- Completed 3 refurbishment/renovation projects at a total investment of **Rs. 44 Mn**
- Other capex of **Rs. 734 Mn**



ENSURING SAFETY

- Investments in state-of-the-art security infrastructure ensuring the highest standards of cleanliness and hygiene



STRENGTHENING DIGITAL CAPABILITIES

- Significant investment in digital infrastructure

Contribution to Value Creation



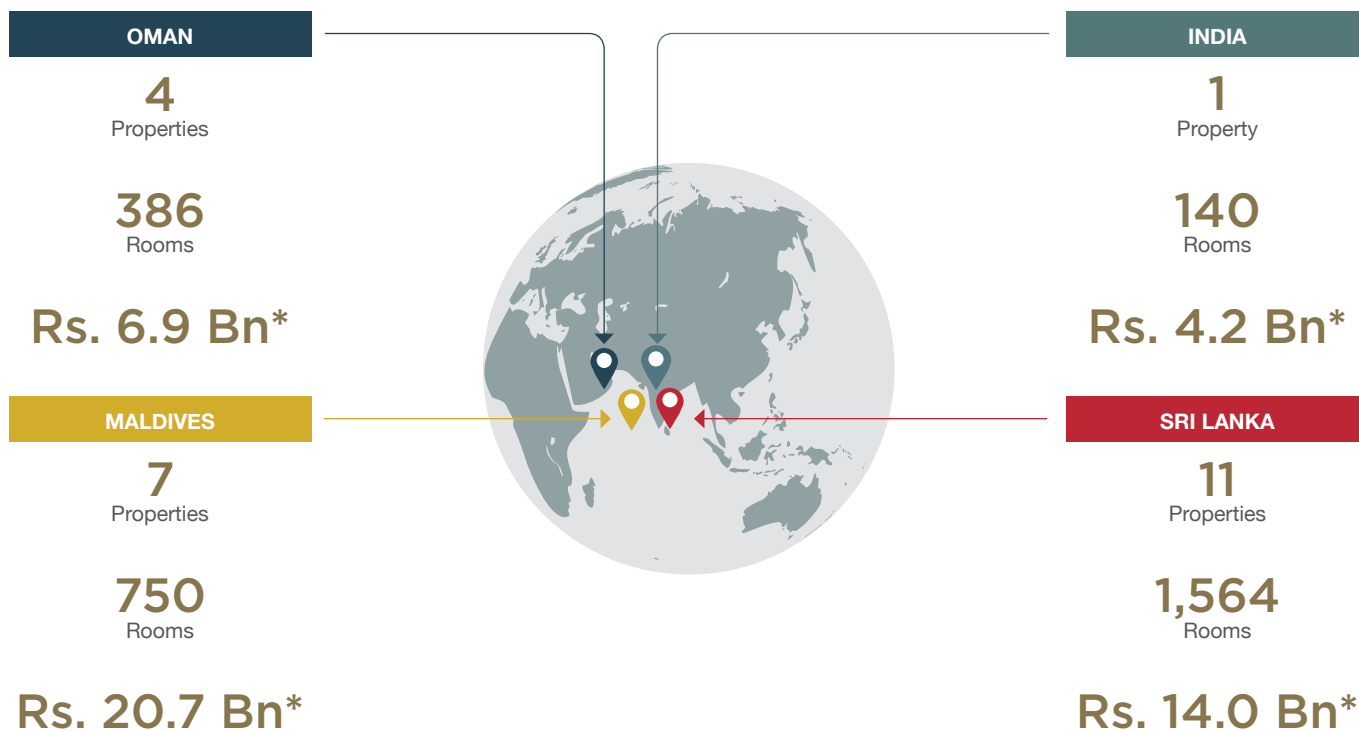
Enhance customer offering and experience through distinct, iconic properties



Contribute to the Group's environmental agenda through eco-friendly design and increased efficiency of resource consumption



Improved customer engagement and relationship management through digital infrastructure



* Net book value of land and building as at 31st March 2021

Architecture and Design: Our portfolio of distinct and unique properties is renowned for iconic architecture and design which has played a key role in driving differentiating and delivering unparalleled customer experiences. Several of our properties including Heritance Ahungalla and Heritance Kandalama, are widely considered to be architectural masterpieces by Geoffrey Bawa which have combined elements of sustainable design and contemporary luxury.

PERFORMANCE AND CAPITAL MANAGEMENT

MANUFACTURED CAPITAL

OUR HOTELS

A stunning portfolio of hotels providing varied experiences is our key strength. The locations take you from sun-kissed beaches to breathtaking views of mountains. Nature reigned undisturbed during the lockdowns, enhancing the vistas and experiences both on land and under water.

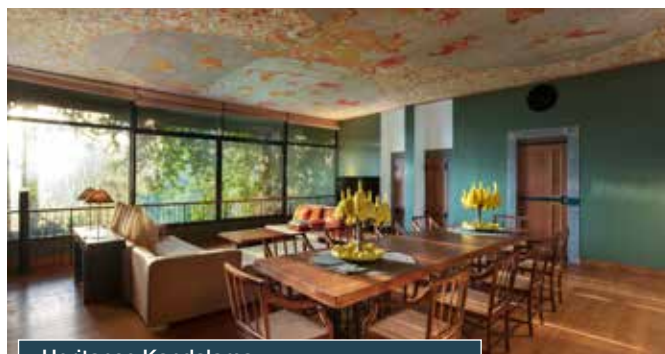
All our hotels have instituted #SpenceSafe, stringent health and safety protocol that draws from best practice throughout our chain to facilitate the health and safety of our guests. Our protocols are also constantly evolving to meet the changing requirements enforced by international and national authorities.



Heritance Ahungalla



Escape into an oasis of wonder; at Sri Lanka's first five-star beach resort located in a serene coastal town in Sri Lanka, where style and substance take precedence in delivering an incredible holiday experience. At Heritance Ahungalla, we weave a little magic into your holiday with award-winning cuisine enjoyed with the flavours of authentic spices; and your day filled to the brim with peaceful relaxation. Designed by legendary Geoffrey Bawa, the hotel fuses site, climate and tradition to unveil a property that invites relaxation.



Heritance Kandalama



Envisioned and created by architect Geoffrey Bawa, Heritance Kandalama is an architectural wonder stretching a remarkable 1km and is almost invisible amidst the greenery that surrounds. Promising panoramic views from wherever you stand, the hotel itself is a unique Sri Lankan tourist destination which doesn't just sit on the landscape but is naturally, a part of it. From the inception of the hotel, the theme of sustainability was ingrained into the Heritance Kandalama DNA and follows international conservation practices until today. With hospitality at heart, the five-star resort denotes originality in every guest experience and ensures you receive the very best while on holiday.



Heritance Negombo



Welcome to Heritance Negombo - where inventiveness and imagination are at work around every smile. The five-star hotel, ideal for families and businesses alike sprawls across 6.5 acres of beach-front land, offering upscale accommodation and contemporary comforts at every step. Enjoy the widest beachfront the island has to offer whilst indulging in the outstanding dining choices prepared by award-winning chefs. Where functionality meets grandeur, this resort is the perfect stopover to break away from the bustle of the city to discover the spectacular culture of Negombo, Sri Lanka.



Heritance Ayurveda



Aitken Spence Hotels' first resort first and yet another Geoffrey Bawa's designs, Heritance Ayurveda is a wellness resort dedicated to calm the mind, body and soul using generational Ayurvedic treatments and healing practices. Spanning across six acres of beachfront land, Heritance Ayurveda portrays a minimal, elegant design equipped with modern amenities to ensure guests receive a completely reinvigorating experience. Heritance Ayurveda adopts a wholistic approach to wellness from the hotel architecture, ambience to the cuisine and hospitality. The resort offers bespoke treatments and personalized programmes according to your preference, carefully curated by professional doctors and therapists. To those seeking for wellness as a way of life, the resort is an ideal getaway to disconnect and detox.



Heritance Tea Factory



The historical Hethersett Estate is home to Heritance Tea Factory, a magnificent resort converted from a 19th century tea factory representing the local warmth and up-country charm. Immerse yourself in the captivating setting and panoramas of the lush plantations from the highest elevation in Sri Lanka while the resort pampers you with indulgent cuisine and tea-infused beverages. With heartfelt service brewed to perfection, an extraordinary experience awaits the sophisticated traveller at Heritance Tea Factory.



RIU



At RIU we've got something for everyone! The 24-hour, all-inclusive service alongside the Ahungalle coast is bursting at the seams with live music and entertainment for the whole family. Look no further for that perfect family vacation that keeps you wanting more!

PERFORMANCE AND CAPITAL MANAGEMENT

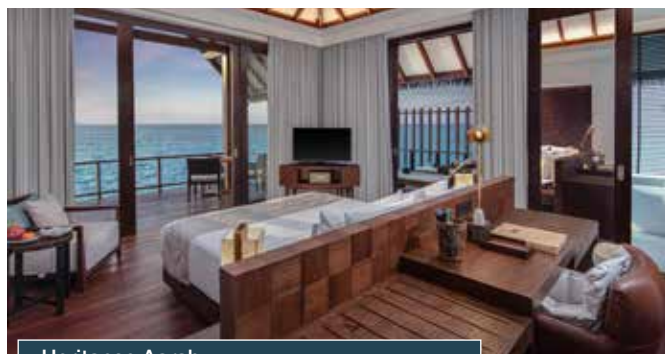
MANUFACTURED CAPITAL



Turyaa Kalutara



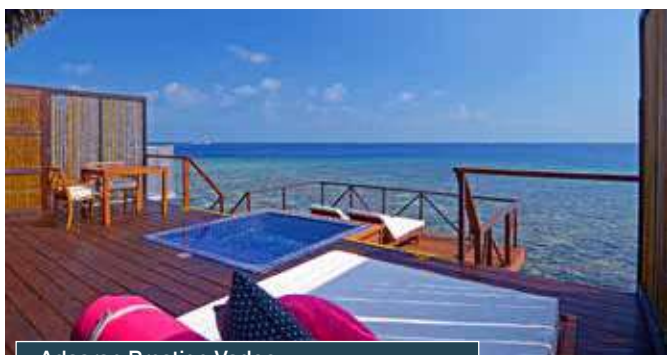
Home to six acres of sandy beaches, dotted by striking green coconut palms, Turyaa Kalutara is a seaside sanctuary where day upon day of seamless leisure conjures. 'Turya', meaning the melody of life portrays the vibrancy of the offerings that are curated to appeal to the global traveller. From chic accommodation designed with convenience in mind to an attractive variety of international cuisine, the resort is the place to unwind with family and friends.



Heritance Aarah



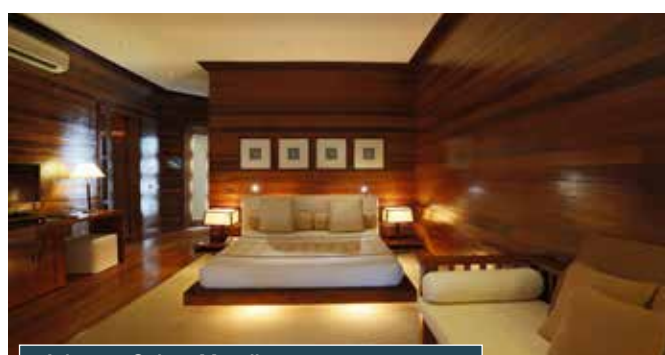
Woven into the tropical tapestry of the gleaming cobalt, sun-kissed hues of tangerines and violets, the all-villa resort, Heritance Aarah lies in the perpetual paradise of Maldives. Seamlessly blending indulgent opulence with traditional aesthetics, Heritance Aarah is paradise personified. Presenting guests with the most generous holiday experience, the Premium All Inclusive at Heritance Aarah elevates the orthodox all-inclusive to new heights with superior amenities and facilities, exquisite cuisine and concoctions perfected by Olympic Culinary winners, a selection of premium brands of spirits and wine, and tailor-made journeys of discovery.



Adaaran Prestige Vadoo



Welcome to Adaaran Prestige Vadoo, where time ceases to exist and the voice of the Indian Ocean beckons you to her shores. As the gateway to the South Atolls, Vadoo possesses its own exotic reef teeming with vibrant aquatic flora and fauna. Adaaran Prestige Vadoo is a luxurious Maldives island resort that stands out amongst the best. The list of indulgences that awaits you at our resort can only be matched by the captivating beauty of the surroundings warmed by signature Adaaran hospitality.



Adaaran Select Meedhupparu



Awe inspiring views of unrivalled beauty, the perpetual paradise of the Maldives is brought to life at this extraordinary resort designed for leisure. Surrounded by a tropical coral reef overlooking the tranquil blue lagoon, Adaaran Select Meedhupparu, located just 154 km to the north of the city of Malé is accessible via a 45 minute seaplane journey whilst enjoying the shades of blue from above. The resort portfolio consists of 231 villas including 20 Water Villas, multiple dining options, exciting excursions and world-class facilities, provided with superior service.



Adaaran Club Rannalhi



Adaaran Club Rannalhi sits exclusively at the tip of the South Malé atoll within the exotic collection of islands known as the Maldives. Its unique location offers access to pristine beaches, excellent scuba diving opportunities and a relaxed environment with easy access to the capital city of Malé. Adaaran Club Rannalhi is accessible with a convenient speed boat ride which takes approximately 45 minutes from the Malé International Airport. Bask in the golden sun and frolic on the soft sands as you experience friendly Maldivian hospitality and explore the rich tropical wonders of a vibrant island nation during your stay at our inviting Maldives resort.



Adaaran Select Hudhuran Fushi



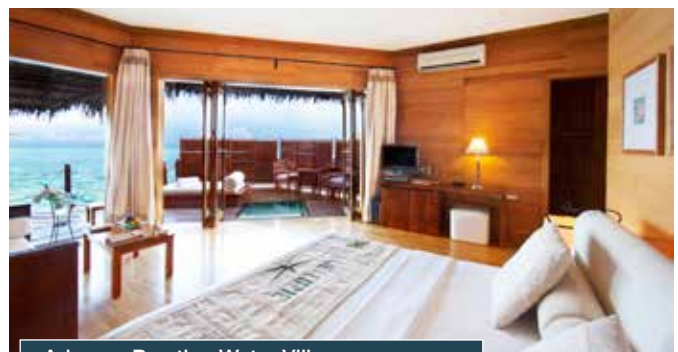
An unforgettable holiday experience in the tropical paradise of the Maldives, surrounded by thriving vegetation and pristine waters, the 'surf island', Adaaran Select Hudhuran Fushi is an escape for the soul. Located in a peaceful seclusion in the north Malé atoll, the resort is accessible only through a speedboat transfer arranged by Adaaran which takes approximately 30 minutes from the Male International Airport. The picturesque resort offers 197 villas; plenty of dining options, exclusive access to the famous Lohis surf Break and plenty more!



Adaaran Prestige Ocean Villas



A stay in our water villas allows the ocean to lull you to sleep as your villa is surrounded by the gentle waves. Enjoy all that Maldives has to offer: from water sports, international cuisine and an endless view of the brilliant blue ocean. Relax on your private sun deck as you fall in love with the ocean, over and over again.



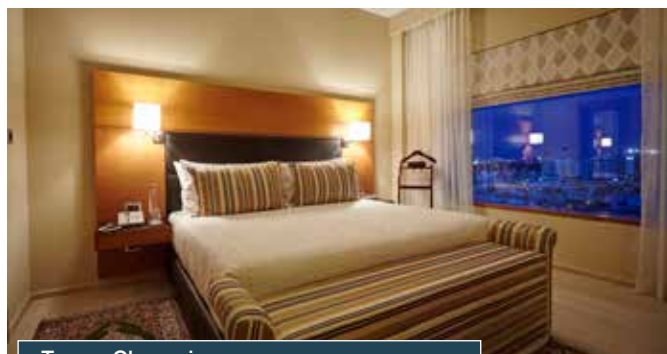
Adaaran Prestige Water Villas



Your stay here will ensure that your camera roll is full of pictures boasting the most beautiful seascapes! Each villa has its own private deck to make your stay one-of-a-kind. Bask in the moonlight while you sip on a glass of wine, and drive your tastebuds wild with our curated cuisine. Adaaran Water Villas is the epitome of luxurious bliss!

PERFORMANCE AND CAPITAL MANAGEMENT

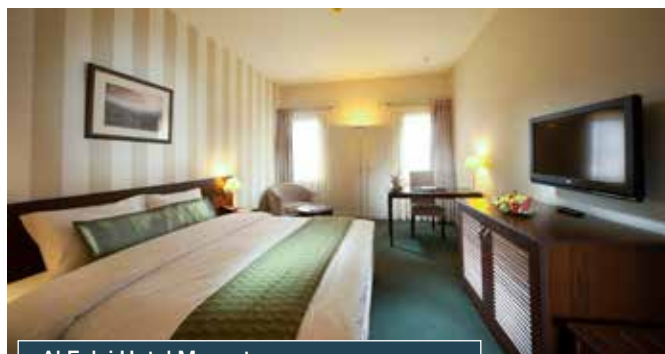
MANUFACTURED CAPITAL



Turyaa Chennai



An oasis in the heart of the city, the five-star deluxe Turyaa Chennai is the epitome of business and leisure. With close proximity to Chennai's IT Corridor, the 140-room hotel offers designed, stimulating and personalized products and services to create a trendy yet exclusive space for stays, high powered business meetings, intimate or gala weddings or family time with you nearest and dearest. Catering to a cross section of clients, the urban hotel extends a warm invitation to you, to enjoy its array of star-classed offerings.



Al Falaj Hotel Muscat



Al Falaj Hotel, Muscat, is conveniently located in the heart of the city with easy access to both the business district as well as tourist attractions. Just a 35 km drive from the Muscat International Airport, Al Falaj Hotel is acknowledged as one of the finest business hotels in Oman; featuring newly refurbished rooms, spacious venues for meetings and conferences, and biz-friendly facilities - brought together by thoughtful service. Check in, unwind and recharge - This is your home away from home whilst on business.

Amethyst Pasikudah



Stretching across ten acres of bay considered as the world's longest stretch of shallow coastal line lies Sri Lanka's exotic hotel, Amethyst Resort, Passikudah. The hotel is designed with large open spaces in an undisturbed tropical green to allow guests to feel calm and relaxed, an incomparable peace of mind. Encompassing all your needs for individualized comfort, Amethyst Resort is a popular choice to escape from the commotion. There's much to explore during your retreat as the hotel offers a range of seasonal water sports and excursions for adventures beyond the coast. True to its name, this coastal gem is a friendly setting for a refreshing vacation or an adventurous getaway.

Earl's Regent Hotel



The lush green of the ancient Kandyan kingdom surrounds Earl's Regent, a unique resort suited for stays of all kinds; business, leisure and families. Experience a combination of culture and hospitality like no other along with a wide range of recreational facilities and experiences, in and around the hotel. Guests can enjoy an unmatched variety of traditional cuisine in an ambience representing the authenticity of Sri Lanka. Earl's Regent's proudest possessions; its location is accessible to most of Kandy's popular attractions and the service is professional with just a hint of home-like hospitality.

Earl's Regency Hotel



At the heart of the cultural capital, Kandy lies a unique ensemble of royalty and innate hospitality. Earl's Regency is a five-star resort representing heritage in its true form. Portraying an epitome of elegance, the property boosts your interest in unraveling Sri Lanka's hidden marvels whilst serenading you with comfort and indulgence. The resort promises an experience surpassing your expectations with professional service, award-winning cuisine and an astounding range of accommodation options ideal for a perfect vacation. The hotel is also well-known for spectacular celebratory events such as weddings and gala dance events.

Bandarawela Hotel



Formerly known as the Tea Planter's Club, Bandarawela Hotel's illustrious origins dates back to the 18th century colonial area when the railway links were constructed, upon which the hotel served as a house for train travellers. The hotel was also a facility for recuperating British soldiers during World War II. Hidden amidst the misty mountains, its prime location overlooking the garden foliage makes it the ideal recluse for all holiday seekers. The hotel combines the very best of hospitality in a unique presentation; looking into every aspect from food to service to its facilities and amenities on offer. Bandarawela Hotel emanates a touch of rarity to your experience ideal for a truly unique stay.

Sur Plaza Hotel Sur

Sur Plaza Hotel

Sur Plaza Hotel, Sur is a glance away from the Gulf of Oman. Whether you're staying on business or for pleasure, rest assured that all your whims will be catered to!

Al Wadi Hotel Sohar

AL WADI HOTEL SOHAR

Situated in Sohar, a busy city with a thrilling nightlife and many recreational activities, Al Wadi Hotel complements its surroundings. Stay with us and enjoy our food and the city of Sohar to give you a holiday full of life-long memories!

PERFORMANCE AND CAPITAL MANAGEMENT

MANUFACTURED CAPITAL

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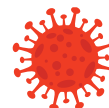
ASSET STRATEGY IN 2020/21

Managing our physical assets: The Group's AMS is centered on balancing short-and long-term interests, funding requirements and asset life cycles. As an owner and developer, we also monitor trends in the real estate market in order capture opportunities in investment, divestment, refurbishment or redesign of our hotel assets. Our long-term asset development strategy also seeks to identify new and current destinations through joint ventures and opportunities in property management, which supports low intensity capital growth.

Refurbishments in 2021: Given the challenging industry conditions that have persisted over the last 2 years, the Group sought to curtail major expansion plans. During the year under review, however, the Group made use of the opportunity presented by low occupancy levels to complete several key refurbishment/development projects, which would otherwise have required a temporary closure of the hotels. Accordingly, the Group invested approximately Rs. 44 Mn in the following 3 projects:

- Refurbishment of kitchen at Tea Factory
- Structural renovations at the lobby in Heritage Ahungalla
- Renovations in Heritage Ayurveda Mahagedara

Other capital expenditure during the year amounted to Rs. 734 Mn.

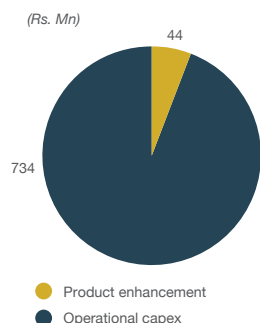


IMPLICATIONS OF COVID-19

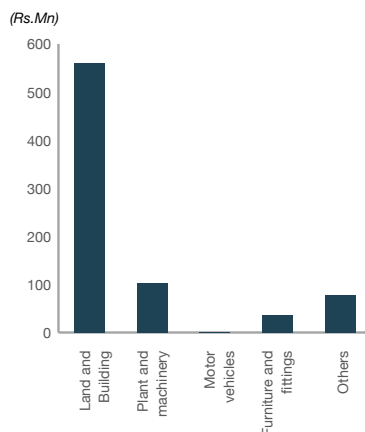
Rs. 26 Mn investment in state-of-the-art safety infrastructure such as electrostatic sprayers (for sanitising rooms) and body temperature scanners, among others.

HSMAI Adrian Awards 2020 - Silver for 'Powering through the Covid-19 Pandemic using a domestic focused PPC Strategy.

Capital expenditure in 2020/21



Capital expenditure



DIGITAL INFRASTRUCTURE

Given restrictions on face-to-face interaction, the Group leveraged its digital infrastructure to ensure continuity of key functions, engagement with employees, customers and business partners as well as providing opportunities for training and skill development during the year.

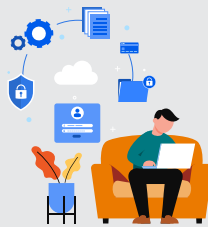
Our recent investments in strengthening digital capabilities served us well in the prevalent conditions, as we leveraged our best-in-class systems to drive targeted digital marketing, drive domestic traffic through the website and enhance resource optimisation.

DIGITAL CAPABILITIES



Customer Acquisition & Engagement

- Online bookings through the Group's websites for Heritance Hotels and Resorts, Adaaran Resorts and Aitken Spence Hotels as well as Al Falaj and Turyaa Chennai
- E-marketing tools such as Channel Manager, Review Management System and Price Parity Checker
- Customer Relationship Management System
- Implementation of new Revenue Management System



Automation and Efficiencies

- Property Management System ensuring Increased efficiency and accuracy of guest information
- Enterprise Planning System



Safe Travel

- Implement touchless practices such as online check-in and QR Code menu cards

PERFORMANCE AND CAPITAL MANAGEMENT

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HUMAN CAPITAL

Our team of 2,563 diverse and highly skilled employees are fundamental in achieving our strategic aspirations and are the Group's greatest asset. The commitment, sacrifice and efforts of our team in this extraordinarily difficult year has positioned the Group for strong recovery in the medium term.

TOTAL EMPLOYEES

Sri Lanka: 1,265
South Asia & Middle East: 1,298

FEMALE REPRESENTATION RATE

Management level 11%
Overall 10%

TRAINING HOURS

25,733

TRAINING INVESTMENT

Rs 1.1 Mn

PAYMENTS TO EMPLOYEES

Rs. 2.4 Bn (-36%)

Highlights in 2020/21



SAFETY AND WELL-BEING

- Launch of SpenceSafe protocol to protect both employees and guests
- Rs. 90 Mn directed towards safety infrastructure



REDEPLOYMENT

- 6% of employees deployed across properties, geographies and Aitken Spence PLC's other sectors.



RESKILLING AND MULTI SKILLING EMPLOYEES

- Training shifted to digital platforms
- Equipped employees with skills to thrive in new reality post-pandemic

Contribution to Value Creation



Skills, attitudes and behaviour of the team has resulted in the creation of a unique base of intellectual capital which has enabled the Group to be resilient



Employees facilitate customer experience, driving loyalty and brand value



Drive operational efficiencies and lean initiatives, which have led to a sustained improvements in cost management

HR GOVERNANCE AND MANAGEMENT APPROACH

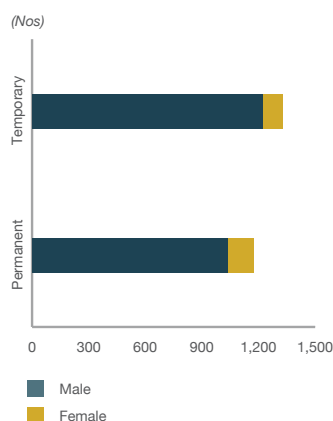
As a subsidiary of Aitken Spence PLC, the Group's approach to people management is aligned with the parent entity and clearly articulated through a comprehensive HR policy framework. Given the diversity of businesses within the Holding Company, Sectors operate their own HR departments, which are supported by services from the Group's centralised HR function ensuring adherence to Aitken Spence Group standards.

Conduct and ethics: The Group Code of Ethics is applicable to all employees and clearly sets out our expectations on employee conduct and engagement with external and internal stakeholders. Key elements include Principles of Conduct, Financial conflicts, Business conduct, Conflict of interest and Confidentiality, among others.

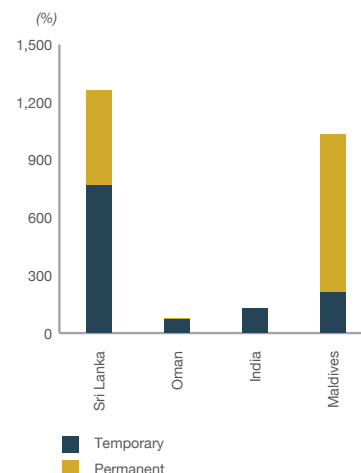
TEAM PROFILE

Our employee agenda centres on attracting, developing and retaining a talented, diverse and committed workforce. As the impact of COVID-19 escalated, recruitment was halted and measures were taken to curtail people-related costs.

Employees by contract and gender



Employees by contract and region



Profile of new recruits

By gender		By age		By region	
Male	704	<35 years	544	Sri Lanka	202
Female	63	36-45 years	172	India	4
		46-55 years	40	Oman	5
		>56 years	11	Maldives	556
	767		767		767

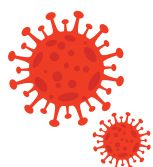
Profile of exit employees

By gender		By age		By region	
Male	1,091	<35 years	778	Sri Lanka	413
Female	101	36-45 years	280	India	50
		46-55 years	84	Oman	30
		>56 years	50	Maldives	699
	1,192		1,192		1,192

PERFORMANCE AND CAPITAL MANAGEMENT

HUMAN CAPITAL

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ADDRESSING THE IMPLICATIONS OF COVID-19

Effectively addressing people-related concerns stemming from the pandemic was a key priority for the Group during the year. A strategic emphasis was placed on ensuring the safety, wellbeing, and financial security of our team. A definitive decision was made to retain all permanent employees, despite the uncertainty that prevailed. The prevailing conditions also compelled the Group to optimise the team, thereby ensuring efficient allocation of utilisation of resources.

Implications	Response
 Heightened Health and Safety Risks	 Implementation of stringent and comprehensive measures to safeguard the physical and mental wellbeing of employees
 Adverse Impact on Employee Morale	 Ongoing engagement initiatives delivered through digital platforms
 Adverse Impact on Employees' Financial Security	 Special relief package granted to employees directly affected by the sharp downturn in
 Drive Cost Reductions and Increase Resource Efficiency	 Redeployment of employees within hotels, geographies as well as Aitken Spence sectors

HEALTH AND WELL-BEING

The Group's SpenceSafe- safety protocol is based on local and international health guidelines and best practices; ensuring guest and employee safety through providing a clear blueprint on precautionary measures to be adopted at all times. We have also provided all necessary PPE and offer ongoing awareness sessions to employees to minimise the risk of contagion in our properties.

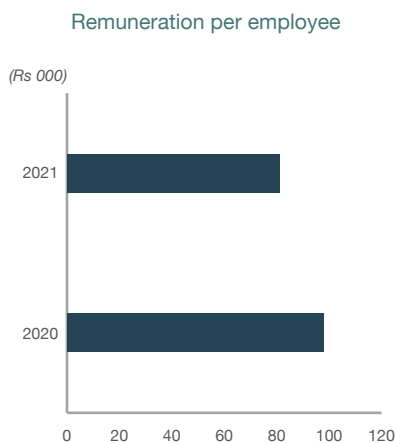
The lockdown in Maldives presented additional challenges as employees were restricted from travelling between islands. Considerable funds and efforts were therefore directed towards ensuring adequate food supplies, medicines, and sanitary supplies to all these employees. We also maintained continued engagement with the family members of our employees in Maldives, thereby providing assurance on their safety and wellbeing at all times.

A strong health and safety culture has been instilled across the Group through stringent policies, H&S steering committees, ongoing training, and internal audits, among others. The Group's health and safety record for the year is given below:

Health and safety record in 2020/21	
Workplace Related Accidents and Incidents	4
Number of Occupational Diseases	-
Number of Lost Working Days Due to Work Related Injuries	31
Number of cost Days Due to Absenteeism	53

EMPLOYEE FINANCIAL SECURITY

As occupancy levels dropped to record lows, employees were considerably impacted by the loss in service charge earnings. Despite the parallel impacts on the Group's performance, the Group offered a voluntary relief package to employees, thereby supporting them through the challenging times.



The Group's performance management schemes are aligned to its competency framework, thereby driving the creation of a performance driven culture. Rewards and Remuneration Policies are in line with the parent entity and customised to reflect industry-specific elements. All executive staff are evaluated in a three-step process of goal planning, mid-year review and annual goal evaluation, facilitated by the online Human Resources Information System (HRIS).

OPTIMISING HUMAN CAPITAL RESOURCES

Proactive measures were taken to curtail people-related costs through deployment into other hotels/geographies as well as opportunities across the Aitken Spence Group. The Group engaged closely with trade unions in facilitating these redeployments and by end-March 2021, around 6% of total employees had been redeployed.

ENGAGEMENT

Employee morale was inevitably impacted by the prevalent uncertainty and market conditions. Accordingly, the Group placed strategic emphasis on maintaining employee spirit and camaraderie through numerous initiatives delivered through digital platforms; these included selfie challenges, platforms to share work-from-home experiences and competitions among others.

We understand our employees' right to freedom of association and collective bargaining and some of our employees are represented through two trade unions and covered by collective bargaining agreements. We continued to maintain proactive engagement with trade unions, obtaining their support and co-operation when implementing new work practices and redeploying employees. Any significant changes in working conditions are implemented after a minimum of four weeks' notice period.

Staff celebrated world water day and International Forest Day
(#Forests #Protect And Restore)



PERFORMANCE AND CAPITAL MANAGEMENT

HUMAN CAPITAL

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LEARNING AND DEVELOPMENT

Training initiatives were shifted to digital platforms and adapted to equip employees with the skills required to thrive in the new post-pandemic work environment. Emphasis was also placed on multi-skilling employees through providing cross-functional exposure. Key training initiatives conducted during the year are as follows:

- Launch of an online certification program for remote working to drive improved productivity and effectiveness when working from home
- Special training programs for front-line staff focusing on interacting with guests in a manner that minimises the risk of cross infection
- Awareness on Standard Operating Procedures and Safe Vacations



Ms. Stasshani Jayawardena
Director - Aitken Spence PLC &
Chairperson - Aitken Spence Hotel
Managements (Pvt) Ltd

The Global Compact Network Bangladesh (GCNB) in partnership with the Global Compact Network Sri Lanka hosted a virtual event titled, “Women in STEM and Supply Chains: Reshaping the World of Work” on 31 March 2021 at which Ms. Stasshani Jayawardena was on the panel

Training record in 2020/21



25,733

Total training hours

Rs. 1.1 Mn

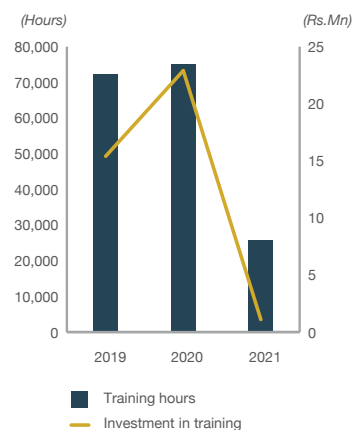
Investment in training

7.6 times

Training coverage ratio

Training hours by category		
Category	2021	2020
Executive	2724	7540
Supervisor/Clerical	7965	8751
Staff	15044	58613
Training hours by Region		
Sri Lanka	7275	46958
Maldives, India, Oman	18458	27946

Training record in 2020/21



The Group launched the TUI Academy in 2019 in partnership with the TUI Care Foundation and Youth Career Initiative- a dedicated development centre aimed at providing hospitality-related training to underprivileged youth. Students undergo 2 months of comprehensive training on all aspects related to hotel operations, upon completion of which they are assigned to the Group's hotels for practical training.

Given the conditions that prevailed during the year, the Academy's operations were temporarily halted for several months. The challenges faced by the tourism industry over the last two years have led to an exodus of staff from the sector, and we are keen to attract and develop motivated young students who will contribute towards the long-term growth of this industry.

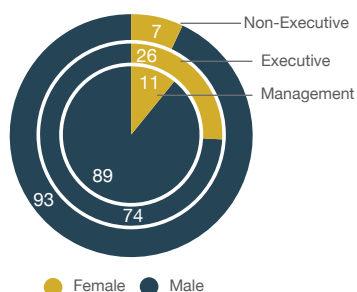
During the year, the Academy conducted training sessions on culinary skills and English language skills to about 60 students.

DIVERSITY AND INCLUSION

The Group is committed to building an inclusive workplace in which employees from diverse backgrounds and demographic profiles can thrive. This is supported through a policy framework which emphasises equal opportunity, as well as stringent mechanisms to address any issue of harassment and discrimination. We do not tolerate any form of discrimination and basic salary paid to men and woman at entry level is at parity. During the year, there was also no issues of harassment or discrimination reported.

Negative perceptions regarding the suitability of the industry for women has rendered it difficult to attract and retain female employees and we seek to address this taboo by conducting school level awareness programmes and inviting families to observe the working environments at our properties

Female representation (%)



Gender parity



Promotions



Recruits



Exit employees

No of differently able employees	2020/21
Vision Disability	1
Hearing Disability	1
Speech Disability	5
Other	1

PERFORMANCE AND CAPITAL MANAGEMENT

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INTELLECTUAL CAPITAL

The Group's intellectual capital is a key source of competitive edge, driving unique and consistent customer experiences across while the strength of our brands play a key role in driving customer attraction and retention.

OUR BRANDS

Adaaran, Heritance & Turyaa

Collective experience
and organisational knowledge
of our team

Robust framework
of internal standards
and external certifications

Highlights in 2020/21



FOCUS ON BRANDING

- Branding strategy focused on,
 - 1- Social media and online platforms
 - 2- Strengthening the Heritance brand
 - 3- Reinforcing safety commitment



HEALTH AND SAFETY EMPHASIS

- All local resorts obtained the COVID-19 Safe and Secure certification
- Implemented the COVID-19 response SOP and SpenceSafe program in all resorts



INDUSTRY ENGAGEMENT

- Active contribution to the industry dialogue in supporting the recovery of the tourism industry.

Contribution to Value Creation



Strong brands and well-developed systems will act to sharpen the Group's competitive edge and enhance customer satisfaction and retention levels.



The Group's focus on enhancing its safety and hygiene protocols is expected to provide increased assurance to guests, thereby accelerating recovery.

Our Brands



Combining the attributes of Heritage, Inheritance and Natural beauty the brand offers a unique proposition combining Sri Lankan authenticity, creativity, warmth and culture which come together to provide an individualistic experience

Despite the conditions that prevailed, the Group continued to invest in strengthening its brands. Strategic focus was placed on further strengthening the Heritage brand, with the aim of offering consistent and unique experiences across our portfolio. From a branding perspective, we also focused reinforcing our commitment to safe and secure experiences. Brand building initiatives during the year included the following:

- Launch of Heritage brand video reinforcing the brand attributes and standards
- Campaigns targeting the local market such as 'Inspired to travel' and 'Holidays worth the wait'
- Increased focus on online and social media channels in strengthening the brand, including the use of influencer marketing



The quintessential Maldivian experience combined with abundant comfort and unparalleled hospitality. The brand offers differentiated experience across price points;

Adaaran Club - Four star

Adaaran Select - Four star plus

Prestige - Five star boutique



The brand Turyaa, is targeted towards the modern traveller - such as go-getters and trend-setters offering comfort, affordable travel, great food and outstanding 'can-do-service'

SYSTEMS AND PROCESSES

The Group complies with a range of domestic and international accreditations and relating to all different aspects of its operations including food safety, sustainability and occupational health and safety, among others. In addition, Standard Operating Procedures in key functions have also ensured consistency across the portfolio while sharpening the Group's intellectual capital.

Given restrictions in travel and other logistical challenges during the year, the recertification of several accreditations and certifications were deferred, as international auditors were unable to visit the country. Instead, the Group focused on implementing a COVID-19 response plan and safety SOPs and the SpenceSafe program was rolled out during the year, ensuring comprehensive measures across all operations to ensure guest safety (refer to page 78 for further information). In addition, the Group also obtained the following safety certifications across its markets.

Property	COVID-19 safety measures certifications
All resorts in Sri Lanka	Safe and Secure Certification issued by the Sri Lanka Tourism Development Authority #SpenceSafe
Maldives	#SpenceSafe
Turyaa Chennai	Safety and hygiene certification awarded by the Bureau of Veritas India POST COVID Preventive Measure Certification issued by PARIKSHAN Hygiene Rating Certification awarded by FSSAI Safety and Hygiene Certification awarded by Deloitte #SpenceSafe safety program
Oman	SpenceSafe health and safety initiative

PERFORMANCE AND CAPITAL MANAGEMENT

INTELLECTUAL CAPITAL

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CULINARY EXPERTISE

The Group has built a strong reputation for culinary excellence across its properties and is a frequent recipient of domestic and international culinary awards. This reputation is founded on the industry-leading skills of our F&B team and their proactive efforts to create innovative and evocative gastronomical experiences.



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Restaurants



1,039

F&B Team

INDUSTRY ENGAGEMENT

As a leader in the country's hospitality sector, the Group is an active contributor to the industry dialogue through its participation in various industry forums. Given the conditions that prevailed during the year, the Group proactively sought engagement with industry counterparts and relevant authorities in driving the recovery of the sector and creating a conducive and safe environmental for travel. The Group holds membership in the following associations:

- Sri Lanka Tourism Development Authority
- Maldives Association of Tourism Industry
- The Pacific Asia Travel Association
- The Ceylon Chamber of Commerce
- The Hoteliers' Association of Sri Lanka
- The Employers' Federation of Ceylon
- The Field Ornithological Group of Sri Lanka
- The Environmental Management System Users and Promoters Association
- Business and Biodiversity Sri Lanka
- Sri Lanka Bureau of Foreign Employment
- Institute of Supply and Materials Management

AWARDS AND RECOGNITION

Culinary excellence



- **STELLIERS - The Leading Hotelier Awards platform**
- Heritance Aarah
SOMMELIER & MIXOLOGIST Hotelier of the year 2020
- **Tea Masters Sketch Contest 2020**
- Heritance Aarah
Audience Award and 3rd Place



- **South Asian Travel Awards (SATA) 2020**
- **Heritance Kandalama**
Leading Eco-Friendly Hotel/Resort in Sri Lanka
- **Heritance Tea Factory**
Leading Designer Hotel/Resort - South Asia
Leading Theme Hotel/Resort - South Asia
- **Heritance Ayurveda**
Leading Ayurveda Resort - South Asia
- **Heritance Negombo**
Leading Wedding Hotel - Sri Lanka
- **Heritance Aarah**
Best New Hotel/ Resort - South Asia
- **Adaaran Prestige Vadoo**
Leading Boutique Hotel/Resort - Maldives
- **Adaaran Select Meedhupparu**
Leading Dive Resort - South Asia
- **Turyaa Chennai**
Leading Eco-Friendly City Hotel India
- **Conde Nast Traveller Reader's choice Awards 2020, Middle East**
- **Heritance Kandalama**
Most Favorite Hotel for Design (International)
- **Heritance Aarah**
World's Best in Favourite Spa Hotel (International)
- **Heritance Aarah**
Favourite Beach Hotel (International)

Activities and experience



- **Galatian Signature Hotels Awards 2021**
- **Heritance Aarah**
All-Inclusive Resorts in the Islands, Top 3
- **Adaaran Prestige Vadoo**
Certification of Nomination & Finalist
- **World Luxury Hotel Awards 2020**
- **Dessert Night Camp**
Best Luxury Dessert Resort
- **Luxury Lifestyle Awards 2021**
- **Heritance Aarah**
Best Luxury All inclusive Resorts in Asia
- **Desert Nights Camp**
The Best Luxury Hotels in Oman
- **Luxury Lifestyle Awards 2020**
- **Adaaran Prestige Vadoo**
Best Luxury All inclusive Resorts in Asia, Top 10
- **Heritance Aarah**
Top 10: The Best Luxury Romantic Resorts In Maldives
- **Aitken Spence Hotel Holdings PLC in the Top 10 Most Awarded by LMD**

PERFORMANCE AND CAPITAL MANAGEMENT

INTELLECTUAL CAPITAL

Customer Review



- Traveller Review Awards 2021 By Booking.com
 - Heritance Ahungalla
 - Heritance Tea Factory
 - Heritance Ayurveda
 - Heritance Aarah
 - Adaaran Prestige Ocean Villas
 - Heritance Kandalama
 - Heritance Negombo
 - Amethyst Resort
 - Turyaa Chennai
 - Adaaran Prestige Vadoo
 - Adaaran Prestige Water Villas
 - Adaaran Select Meedhupparu
 - Adaaran Club Rannalhi
 - Adaaran Select Hudhuran Fushi
- Traveler's Choice Awards 2020 By TripAdvisor
 - Adaaran Club Rannalhi
 - Adaaran Prestige Vadoo
 - Heritance Kandalama
 - Heritance Tea Factory
 - Heritance Negombo
 - Heritance Ahungalla
 - Heritance Ayurveda
 - Turyaa Kalutara
 - Amethyst Passikudah
- HolidayCheck Award 2020 By HolidayCheck
 - Heritance Ahungalla
 - Adaaran Prestige Ocean Villas

Housekeeping and overall service



- STELLIERS South Asia (2020), House keeping Hotelier Winner:
 - Adaaran Prestige Vadoo

Sustainability and CSR



- HSMIA Adrian Awards 2020
 - Aitken Spence Hotels

Silver for 'Powering through the Covid-19 Pandemic using a domestic focused PPC Strategy'
- STELLIERS - The Leading Hotelier Awards platform
 - Heritance Aarah

SUSTAINABILITY Hotelier of the year 2020



Hotels and Travels Sector best integrated report and certificate of merit for overall excellence in integrated reporting CMA awards in 2019

"The Group has consistently strived to enhance the quality of its corporate reporting, embracing emerging best practices in Integrated reporting and sustainability disclosures. These efforts were duly recognised in 2019 as the Annual Report was awarded gold award at competitions organised by CA Sri Lanka, ACCA and CMA. The unprecedented challenges that prevailed in 2020 following the outbreak of COVID-19 and its catastrophic impact on the country's hotel Sector, the 2019/20 annual report was not submitted for any of the competitions that were held in 2020"



SOCIAL AND RELATIONSHIP CAPITAL

Comprising our relationships with customers, channel partners, suppliers and communities, the Group's Social and Relationship Capital played a vital role in preserving the Group's competitive edge and is a key driver of its social license to operate.

CUSTOMER RELATIONSHIPS

227,703 guest nights in 2020/21

3,643 CHANNEL PARTNERS

Including tour operators, travel agents and corporate clients

830 SUPPLIERS

Local and international supply chain partners

Highlights in 2020/21



ENSURING CUSTOMER SAFETY

- Rollout of SpenseSafe initiative across all resorts and nurturing an organisation-wide safety culture



LEVERAGING OUR CHANNEL PARTNERSHIPS

- Leveraged relationships with channel partners to secure arrivals from Russia and CIS markets



DEVELOPING LOCAL SUPPLY CHAINS

- Addition of 30 local suppliers and ongoing focus on developing the local supply chain

Contribution to Value Creation



Strong partnerships with our channel partners is expected to accelerate the Group's recovery through providing access to new source markets



Sharpen competitive edge through offering assurance on high standards of safety to customers.



Community value creation through local employment generation and procurements from local value chain

PERFORMANCE AND CAPITAL MANAGEMENT

SOCIAL AND RELATIONSHIP CAPITAL

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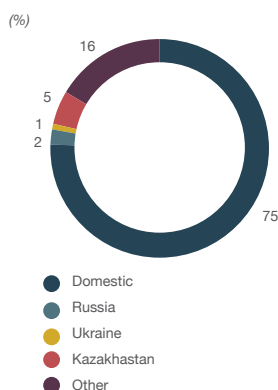
CUSTOMER RELATIONSHIPS

Customers are at the centre of our strategy and plans, and this mindset allows us to cater to their evolving requirements through customised solutions and services.

Marketing strategy in 2020/21

Given restrictions on international travel, the Group relied entirely on the domestic market for major part of the year. Our strategy involved pursuing penetration in the local corporate segment, offering attractive propositions through credit card offers and creating a unique value perception with added features. Following the opening of borders for international tourists in January 2021, we obtained the Level 1 classification for 2 properties and engaged proactively with our travel partners in attracting guests from source markets such as Russia, Kazakhstan, and Ukraine. Meanwhile, despite the closure of traditional markets, the recovery of Maldives has been stronger than anticipated due to significant growth in arrivals from India and the Russian region.

Arrivals by source market 2020/21



Given the fluidity of the current market conditions and guidelines issued by the regulator, the Group intends to serve domestic and international guests in separate properties; however, we will continue to monitor evolving dynamics and explore models which could effectively cater to both segments of the market, while ensuring the safety of both employees and customers.

Customer experience

In curating customer experiences during the year, the Group considered the increased price sensitivity of customers and aimed to create unique, value perceptions. Key propositions launched include the following:

- Creation of a new meal plan in Heritance Ahungalla and Turyaa Kalutara named Full Board combining the conventional full board offering with a happy hour proposition
- Reduced minimum pricing in F&B offerings and created add-ons, providing the option for customers to purchase additional items
- Offering themes nights at a relatively low price point
- Reduction in room rates by providing only the essential amenities

Customer Safety

Safety emerged as a key customer priority during the year under review and the Group adopted stringent and comprehensive measures to ensure guest safety. All Sri Lankan resorts obtained the COVID-19 Safe and Secure certification, while SpenceSafe - the Group's holistic safety program was rolled out across all resorts in May 2020. The SpenceSafe protocols are based on the highest standards of international and domestic safety guidelines and refined by our in-house experts; the guidelines were communicated in advance to all guests through the Group's website and at the point of reservation.



Reservations and bookings

- Flexible cancellation policy up to 24-hours before cancellation
- Online portal providing up-to date comprehensive information on rates and offerings.



Arrivals and departures

- Temperature checks
- Disinfection of ground fleet and guest baggage



Check-in and Check-out

- Required to submit health declaration forms
- Discourage the use of cash and paper bills



Accommodation

- Daily temperature checks on all guests and employees
- Stringent sanitisation of all facilities
- Contactless in-room dining
- Resting of accommodation units between stays
- International standards of care when cleaning towel and linen



Restaurants and dining

- To-go breakfast boxes for guests who prefer to dine in their rooms
- Rearrangement of seating areas to ensure distance
- Regulated number of guests for safe dining
- QR-code based menus/laminated menu cards
- Floor markings for restaurants offering buffets

Employee awareness and training

- Each property has appointed a Spencecare Team and Spencecare Ambassador to ensure guests safety
- Daily temperature checks for all employees
- Health declaration forms to be filled in by all staff members
- Refresher training on food hygiene
- Physical distancing in the work environment/stations

Aitken Spence Hotel Holdings PLC in the Top 10 Most Awarded by LMD



CUSTOMER SATISFACTION

Guest satisfaction is monitored consistently through multiple tools including ReviewPro, in-house hotel surveys and business channels. ReviewPro is an online reputation scoring system that collects review data from online travel agencies and review sites such as Booking.com, TripAdvisor and Agoda. Our brand standards necessitate a ReviewPro score of at least 90% for every property, and during the year, all hotels in our portfolio maintained this score.

Property	2020/21
Heritage Ahungalla	92.6%
Heritage Ayurveda	89.8%
Heritage Kandalama	93.0%
Heritage Negombo	92.6%
Heritage Tea Factory	95.2%
Turyaa Kalutara	83.8%
Amethyst Resort	84.7%
Adaaran Club Rannalhi	93.2%
Adaaran Select Hudhuran Fushi	95.6%
Adaaran Select Meedhupparu	92.9%
Adaaran Prestige Vadoo	97.0%
Heritage Aarah	95.7%
Al Falaj Hotel	80.3%
Turyaa Chennai	89.6%

Booking.com

Traveller Review

Award for 14 properties

HolidayCheck

Award

2 properties

tripadvisor

Travellers' Choice

9 properties

PERFORMANCE AND CAPITAL MANAGEMENT

SOCIAL AND RELATIONSHIP CAPITAL

CHANNEL PARTNERS

The Group's channel partners comprise tour operators, destination management companies and online travel agents. Online and social media platforms emerged as the key channel during the year, given the reliance on the domestic market. The Group placed strategic emphasis on strengthening relationships with online tour operators and enhancing its social media presence. Following the opening of the country for international arrivals, however, traditional channels have increased in prominence, with reservations coming in mainly through tour operators. The Group's strong linkages in source markets such as Russia and the CIS region has enabled it to attract a significant portion of these arrivals into the country.



SRI LANKA

52 Tour Operator contracts
1,411 Registered local travel agents
145 Registered corporate clients
4 country representations

MALDIVES

573 Tour operator contracts
87 Registered local travel agents
16 country representations

OMAN

105 Tour operator contracts
100 Registered local travel agents
725 Registered corporate clients

INDIA

60 Tour operator contracts
30 Registered local travel agents
335 Registered corporate clients

OUR ONLINE PRESENCE

Social media engagement



+25% Y-O-Y

Total number of followers
on social media

Rs **260** Mn

Spent on Promotions and Web
Marketing during the year

+17%

Increase in
Traffic via social media



+14%



+65%

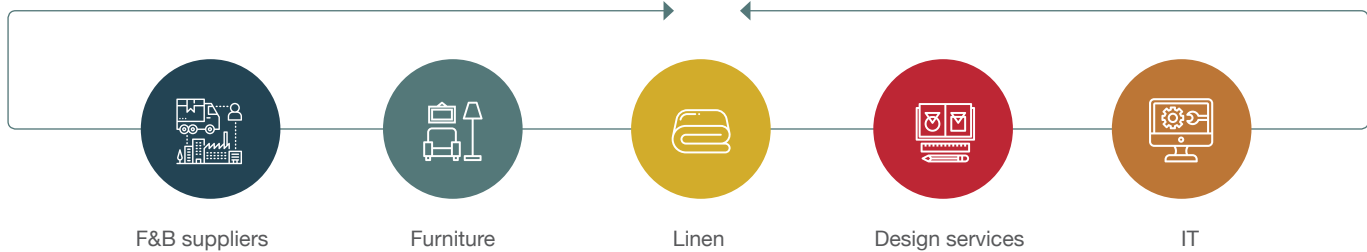


+ 16%



+ 65%

SUPPLIERS



The Group procures a range of input materials from a network of over 830 local and international suppliers. The drastic drop in tourism demand had rippling effects across the entire industry's supply chain, with many suppliers experiencing acute liquidity shortfalls. Against this backdrop, the Group honoured all its commitments to suppliers, offering flexible delivery terms and timely payments to support their commercial sustainability.

Meanwhile, given restrictions on imports, the Group directed its focus towards strengthening local suppliers and using local raw materials as an alternative wherever possible. Key developments during the year included:

- Addition of 30 new local suppliers during the year
- Use of local, eco-friendly raw materials
- The Group also aspires to completely eliminate single-use plastics from its operations and is currently exploring options in building alternative supply chains such as glass water bottles and other amenities.

Property	% of Procurement Expenditure to Local Suppliers
Heritage Kandalama	97%
Heritage Ahungalla	100%
Heritage Tea Factory	100%
Heritage Ayurveda	100%
Turyaa Kalutara	99%
Amethyst Resort	100%
Hotel RIU Sri Lanka	83%
Maldives	65%
Oman	93%
India	88%

COMMUNITY

Economic impact

Our hotel operations have a direct socio-economic impact on the communities in which we operate, primarily through employment generation and local procurement. When recruiting resort-level employees, all efforts are made to attract local talent thereby contributing to job generation and socio-economic empowerment. While recruitments were minimal during the year under review, as at end-March 2021 approximately 42% of hotel employees had been recruited from within 3.5 km of the respective hotel. Meanwhile, we ensure that perishables such as fruits, vegetables, fish, meat and poultry and sourced locally, thereby injecting value across local value chains.

CSR ACTIVITIES

The Group curtailed its community engagement activities during the year due to requirements on social distancing as well as organisation-wide efforts to preserve liquidity. Resorts engaged in ad-hoc CSR activities, particularly aimed at ensuring the wellbeing of adjacent communities following the outbreak of the pandemic.

COVID-19 relief

The Group's Maldivian resorts donated 12,000 surgical masks to the National Disaster Management Authority of Maldives, which plays a coordinating role in containing COVID-19 efforts in partnership with other national bodies.

Managers hired from local communities	
Heritage Kandalama	25%
Heritage Tea Factory	25%
Heritage Ayurveda	40%
Heritage Negombo	100%
Turyaa Kalutara	60%
Hotel RIU Sri Lanka	29%
Maldives	13%
Oman	29%
India	100%

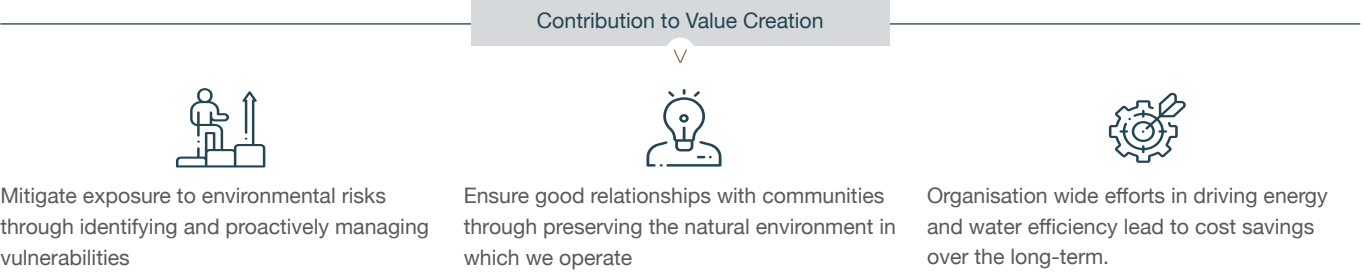
PERFORMANCE AND CAPITAL MANAGEMENT

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NATURAL CAPITAL

As a hospitality operator, we are acutely aware of the environmental implications of operations and are also cognisant of the important role we can play in preserving the natural environment around us and propagate sustainable practices.



OUR APPROACH

The Group's comprehensive Environmental Management System ensures that we track, monitor, and optimise the use of natural resources on a holistic and consistent basis. The Group is a pioneer in sustainable tourism in Sri Lanka and has obtained a host of national and international environmental certifications



Given reduced activity levels during the year, environmental impacts of our operations moderated. The year also provided an opportunity for nature to rejuvenate itself, with the rich biodiversity and natural habitats surrounding our operations thriving. Despite the prevalent conditions, we maintained focus on our ongoing environmental initiatives aimed at optimising the consumption of natural resources and reducing waste and carbon emissions.

NATURAL CAPITAL

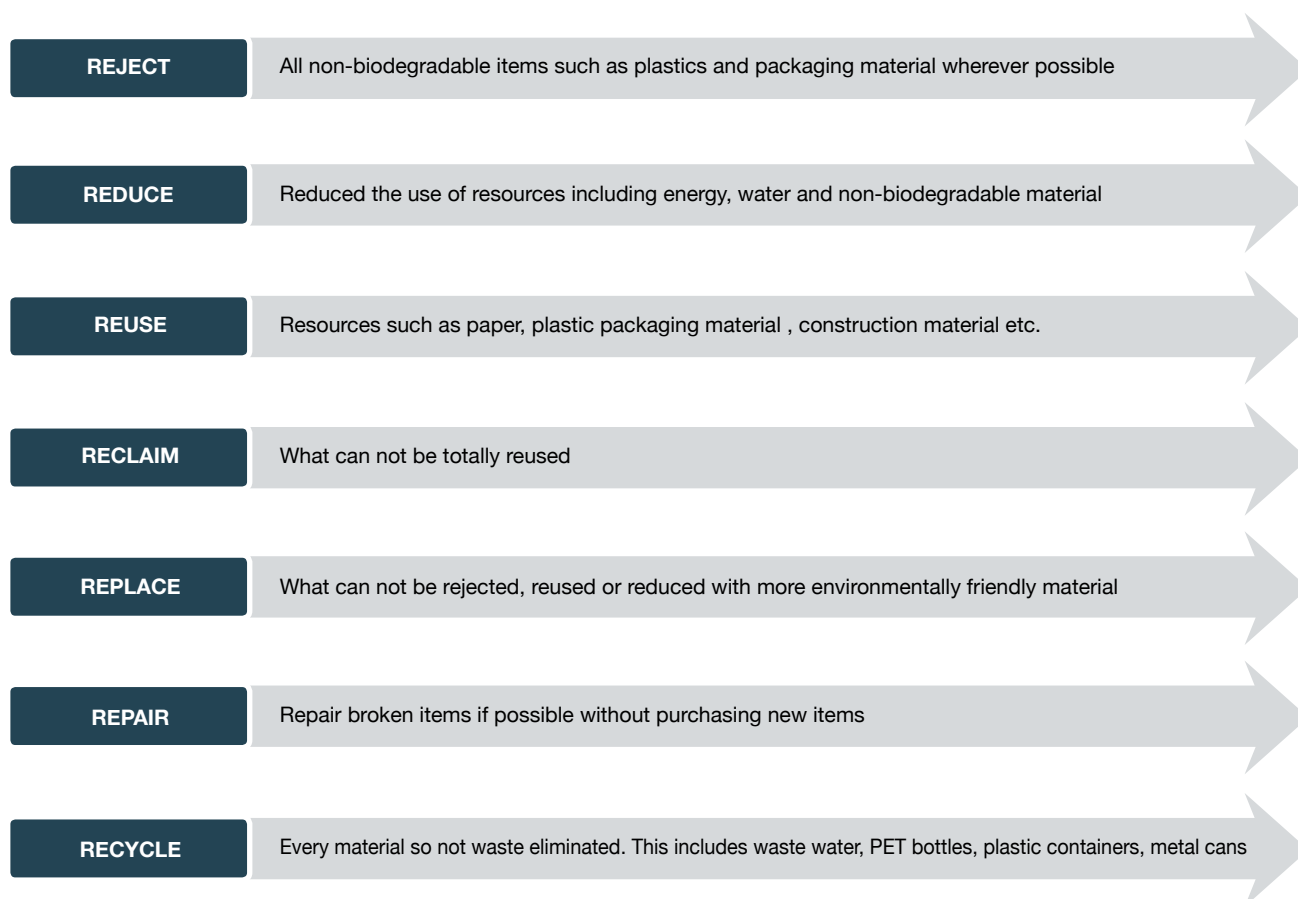
The primary natural resources we consume are energy, water and raw materials. Concerted efforts are in place to drive increased efficiency of these resources as listed below.

94 Aitken Spence Hotel Holdings PLC

Resource	Usage details	Initiatives in place and relevant SDG
Raw materials	Main raw materials include F&B inputs, food packing material, linen and consumable room amenities.	In line with regulatory requirements, the Group eliminated the use of single-use plastics in Maldives. This program will also be rolled out in Sri Lanka with plans in place to eliminate plastic straws, butter sachets, cling film and PET water bottles. Ongoing efforts are underway to source and consume sustainable materials such as recyclable packing materials, etc. 

WASTE AND EFFLUENTS

Solid waste generated from our operations include food waste, kitchen waste and human waste. The Group adopts the 7R approach to waste management, ensuring the responsible disposal of all types of waste.



PERFORMANCE AND CAPITAL MANAGEMENT

NATURAL CAPITAL

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Waste Type		2020/21	2019/20	2018/19	Remarks
Paper	Kg	1,621	9,005	9,113	Segregated and sold/sent for recycling
Cardboard	Kg	3,871	21,508	22,038	Segregated and sold/sent for recycling
Plastic	Kg	2,156	11,977	12,128	Segregated and sold/sent for recycling
Polythene	Kg	858	4,765	4,979	Segregated and sold/sent for recycling, supplier education on reducing packaging material planned
CFL bulbs	Units	-	220	700	Sent for recycling, Energy efficient LED lighting replacement program
Lead Acid Batteries	Kg	-	287	468	Segregated and sold/ Stored for later recycling
Alkaline Batteries	Units/Kg	-	-	-	Segregated and sold/ Stored for later recycling
Tires	Units/Kg	-	18	24	Sent for Re-treading/Sold to recycle
Scrap Metal	Kg	4,094	22,746	23,447	Segregated and sold
Glass	nos /Kg	1781/5052	9897/28,067	10,892/35,067	Segregated and sold/sent for recycling
Soiled Cotton	Kg	114	634	674	
Food Waste	Kg	427,882	2,377,124	2,412,122	Composted, used in Biogas Generators, Sold / Given to piggery
Waste Oil	L	1,019	5,663	5,879	Sold to Soap manufacturer
E - Waste	Units/Kg	-	12/187	33/216	Sold/sent for recycling

Key developments during the year under review include the following:

- Food waste was sent for composting or to piggeries
- Kitchen waste was treated to trap the oils and fats and used as fertilizer. We have installed advanced grease trap strainers and wet garbage composting machines to convert kitchen food waste to compost.



Preserving biodiversity

The rich biodiversity surrounding our resorts, both in Sri Lanka and the Maldives are a unique differentiating factor and are an important determinant of our ability to attract and satisfy guests. We ensure that resort operations are in harmony with the natural ecosystem surrounding these properties, from resort design and architecture to operations and waste management.



- 198** acres of conservation forest
- 11** protected origins of natural streams
- 128** species of native flora
- 183** species of birds
- 19** species of reptiles and amphibians
- 17** species of mammals
- 64** species of butterflies and dragonflies



“SAVE THE LUNGS SAVE THE OCEAN”

An initiative by Adaaran Club Rannalhi, the project involved the replanting of 200 corals in view of World Environment Day and World Ocean Day.

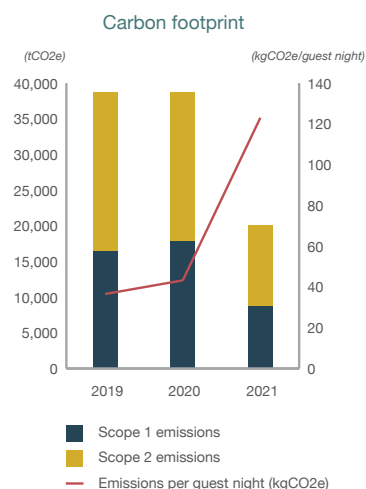
CARBON FOOTPRINT

Implications of climate change and failures in addressing natural disasters are ranked among the top global risks both in terms of frequency and impact. As a hospitality operator, climate change poses significant risks to our industry (refer table below) given the role played by the natural environment in driving the customer experience

Natural disasters and extreme weather	Impacts on biodiversity and ecosystems	Failure to adapt to climate change
Impact on infrastructure	Depletion of resources	Direct impact on operations and supply chains
Increased cost of operations	Rising sea levels	
Loss of lives	Affects attractiveness of destination	
Disruptions to supply chain	Depletion of resources	
Rising sea levels	Direct impact on operations and supply chains	
Affects attractiveness of destination		

The Group remains committed to reducing its carbon footprint, an aspiration which is driven through increasing the energy efficiency of our operations and reducing dependence on fossil fuels. The Group's carbon footprint for the year is given below. The Scope 1 (through sources that owned/controlled by the organisation) and Scope 2 emissions (on purchased electricity) is computed based on The Greenhouse Gas Protocol of the World Resource Institute and the World Business Council for Sustainable Development.

tCO ₂ e	2020/21	2019/20	2018/19
Scope 1 emissions	8,741	17,924	16,442
Scope 2 emissions	11,332	20,802	22,314
Total	20,073	38,726	38,756
Emissions per guest night (Kg)	122.73	43.23	36.54





CALIBRATING THROUGH CONFUSION

We continued to re-evaluate and calibrate our approach to value creation – creating an entity built to challenge an unknown future.

GOVERNANCE

CORPORATE GOVERNANCE

CHAIRMAN'S MESSAGE

Dear Shareholders,

It is my pleasure to introduce to our shareholders the Corporate Governance Report of Aitken Spence Hotel Holdings PLC for the Financial Year 2020/21. As a company representing a vibrant sector of Aitken Spence Group, which is one of the most respected corporate entities in the country, Aitken Spence Hotel Holdings PLC inherits a strong governance framework and culture of professionalism and fair play. This has underpinned our growth in becoming the country's leading hotelier with an established regional footprint. The Board continues to nurture our legacy, a framework based on the principles of good governance that we practice as part of the Aitken Spence Group. Collectively, the Board is aware of the need for sound corporate governance to maintain an appropriate balance between stakeholder interests while driving sustainable growth for the Group, in the discharge of our fiduciary responsibilities.

Our approach to corporate governance

The challenges presented by COVID-19 pandemic underscored the importance of a robust framework. Our governance framework is designed to provide a clear direction for responsive decision making and to support responsible behaviour. Embedded governance practices ensure the Group's commitment to high standards of corporate governance realized through enhanced accountability, strong risk and performance management, transparency, and effective and ethical leadership. The framework is regularly reviewed to adapt to internal and external developments and is aligned to evolving best practices.

Delivering Stakeholder value

Aitken Spence Hotel Holdings PLC is committed to understanding and being responsive to the interests and expectations of all stakeholders in delivering shared value. This is evident from our response to the pandemic, where our first priority continued to be ensuring the health, safety and

wellbeing of our employees, and by extension their families, our clients, our partners and the local communities.

The Board advocates integrating Environmental, Social and Governance (ESG) priorities into policy and strategy formulation and driving responsible and sustainable growth. Feedback from stakeholder engagement mechanisms forms a key input in strategy formulation.

Navigating through the COVID 19 pandemic

In a year of unparalleled challenges, the Board has provided leadership to recalibrate the strategic priorities of the Group in line with our long-term vision and purpose. Vigilance and oversight by the Board increased significantly as the Board spent a considerable amount of time assessing the impact and risks to the Group, its stakeholders and proposed business plans under multiple scenarios, as presented by the Group Supervisory Board of the parent company. What is important, however, is that when presented with these new risks, Aitken Spence Hotel Holdings PLC remains guided by our values and commitment to our purpose.

Culture and Values

Our strong corporate culture is fundamental to our business continuity and success, and the Board plays a critical role in shaping the culture of the Group. Our culture is also underpinned by the Group's Code of Ethics & Professional Conduct which articulates the standards of conduct expected of Directors and employees. It enshrines principles of equal opportunity, inclusivity, integrity and fair play to create a workplace that is conducive to high performance, innovation and teamwork. This is reviewed and updated from time to time to ensure to keep abreast with the rapidly evolving business environment.

Board composition and diversity

We believe that our Board is well-balanced and diverse to discharge its duties and

responsibilities effectively. The range and depth of skills and expertise on our Board has been invaluable as the Board navigated the pandemic related risks and opportunities effectively. There were no changes to the Board composition during the year.

Compliance

Directors are conscious of their duty to comply with the laws, regulations, regulatory guidelines, internal controls and approved policies. The Group is compliant with all relevant legal and statutory requirements.

Looking Ahead

The Board will continue to support good governance and the application of sound corporate governance principles based on effective and ethical leadership. The Board will remain vigilant over the evolving business landscape while continuing to support the Management in the implementation of the Group's strategic plan in building a sustainable business.

Compliance Statement

On behalf of the Board of Aitken Spence Hotel Holdings PLC, I declare that the principles of good corporate governance are applied consistently across the Group and that the Corporate Governance Report provides a fair account of Corporate Governance practices within the Group. I am also pleased to report that the Group complies with the relevant provisions of the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka.



Deshamanya D.H.S. Jayawardena
Chairman

Colombo
28th May 2021

CORPORATE GOVERNANCE

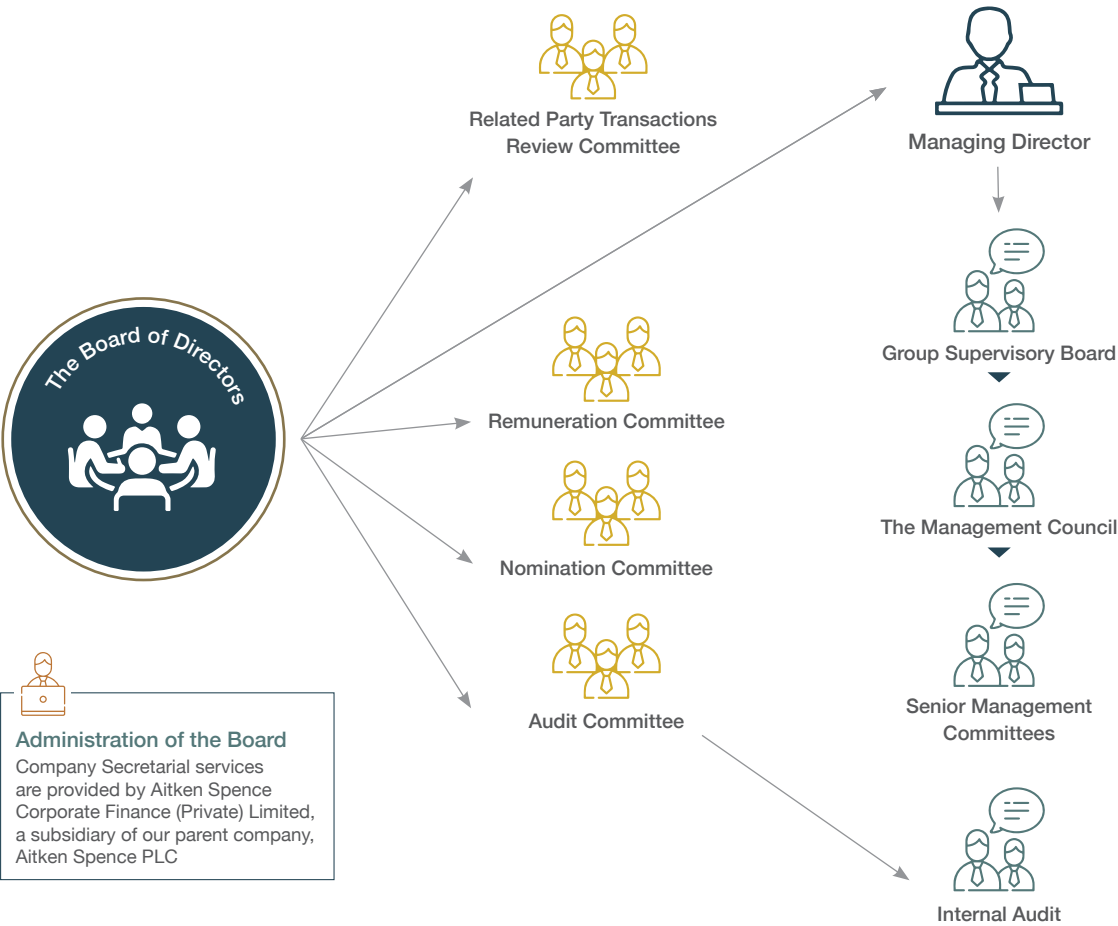
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LEADERSHIP

The Board of Directors is responsible for setting the tone at the top and establishing an appropriate governance structure, policy framework, risk management framework, codes of conduct and an effective system of internal controls. In order to fulfil its duties, the Board must collectively have the skills, capabilities, experience and attributes that support the business needs of the company as they become the de facto guardians of the entity.

	Board Sub Committees of the parent company
	Executive Committees

Board Profiles on pages 25 to 28



Compliance Framework

Mandatory	Voluntary
- Companies Act No. 7 of 2007 - Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 - Articles of Association - Listing Rules of the Colombo Stock Exchange (CSE) - Central Depository System Rules - Securities & Exchange Commission of Sri Lanka Act No. 36 of 1987 (as amended) - Group Code of Ethics & Professional Conduct - Inland Revenue Act No. 24 of 2017 - Foreign Exchange Act No. 12 of 2017	- Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants 2017 (CODE) - Aitken Spence Integrated Sustainability Policy and its Implementation Framework - Codes of regulatory authorities, professional institutions and Trade Associations - United Nations Global Compact (UNGC) - UNWTO Global Code of Ethics for Tourism - GRI Standards - Integrated Reporting Framework - Women's Empowerment Principles - Social and Environmental Certification Requirements

Roles & Responsibilities of the Board	Chairman's Role	Role of Managing Director
- Ensuring formulation and implementation of a sound business strategy - Ensuring that the Managing Director and Management Team possess the relevant skills, experience, knowledge and capacity to implement the strategy - Approving Budgets and major capital expenditure - Establishing effective systems to secure the integrity of information, internal controls, business continuity and risk management - Ensuring the compliance of the Group's statutory and regulatory obligations and safeguarding the Group's reputation by promoting corporate values and an ethical culture - Considering and carefully balancing stakeholder interests in corporate decisions - Recognising sustainable business development in Corporate Strategy, decisions and activities - Set the Company values and standards with emphasis on adopting appropriate accounting policies and fostering compliance with financial regulations - Establishing a process of monitoring and evaluating of progress on strategy implementations, budgets, plans and related risks	- Providing leadership to the Board - Facilitating effective discharge of its functions - Ensuring compliance with relevant legal and regulatory frameworks - Balancing of stakeholder interests and meeting obligations - Facilitating participation by both Executive and Non-Executive Directors - Ensuring that all Directors are adequately briefed on matters arising at Board Meetings - Ensuring that Directors contribute effectively leveraging the collective skills and experience of the Board - Ensuring that shareholders are given adequate opportunity to make observations, express their views and seek clarifications at meetings of shareholders	- Maintaining a close working relationship with the Chairman, and acting as a sounding board for the Chairman when required - Developing Group's business strategy for approval by the Board - Developing and recommending to the Board, budgets that support the Group's long-term strategy - Support the Executive Directors, Management Council, and the Senior Management Committees on day-to-day management of the Group's business operations - Ensuring that the Group operations are within the approved risk appetite - Ensuring compliance with applicable rules and regulations and Corporate Governance principles - Ensuring proper succession planning of the Executive Management and assessing their performance - Creating an ethical environment and nurturing a culture based on the Group's values

Governance Through The Pandemic

- The Covid-19 pandemic has created unprecedented change, requiring agility and adaptation across the Group to face the wealth of challenges to employees and business.
- From the onset of the pandemic in March 2020, the Chairman and the Managing Director communicated regularly with the Board to provide clarity and reassurance about the business while prioritizing employees' safety and wellbeing, ensuring financial resilience and helping local communities.
- The Board supported management in establishing a COVID-19 Operational Task Force responsible for monitoring the pandemic across the Group to ensure the business is reacting to the pandemic in an effective and timely manner and to ensure the safety of all stakeholders.

Vigilance and oversight by the Board increased significantly, as the Board provided leadership to recalibrate the strategic priorities of the Group in line with the long-term vision and purpose. Risk management particularly cybersecurity, fraud, theft, credit recoveries and internal control were key priorities.

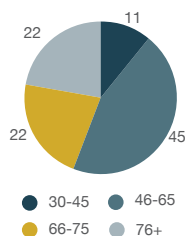
The Board was mindful of ensuring the long-term resilience and strength of the business and positioning the Group to capitalize on opportunities emerging from the turmoil of the pandemic.

- The Board continues to monitor and review the evolving business landscape and progress made against measures implemented by the Group to sustain business.

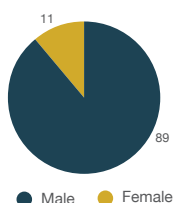
COMPOSITION OF THE BOARD

The composition of the Board is key as it determines the collective skills and attributes of the Board. Aitken Spence Hotel Holdings is fortunate to have on Board the Directors who are eminent personalities renowned for their business acumen and highly reputed professionals in their respective fields who are able to set the tone at the top. Their profiles on pages 25 to 28 stand testimony to this.

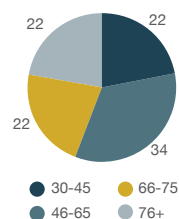
Age (%)



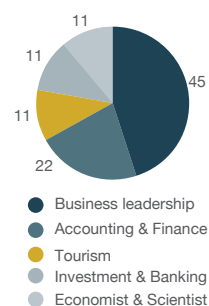
Gender (%)



Tenure of Service (%)



Skills & Expertise (%)



COMPOSITION

Chairman	
Executive Directors	
Independent Non-Executive Directors	
Non-Independent, Non-Executive Directors	

HIGHLIGHTS 2020/21

- First virtual Annual General Meeting in compliance with health and safety guidelines.
- Board meetings continued uninterrupted moving to digital platforms when necessary.
- Increased interaction between Board members and Senior Management to facilitate communication, decision making and resource allocation.
- Increased emphasis on managing health and safety of guests and employees.
- Increased emphasis on cashflow management, funding and liquidity.
- Increased focus on risk management.

INDEPENDENCE OF NON-EXECUTIVE DIRECTORS

Directors exercise their independent judgement, promoting constructive deliberations and objective evaluation of matters set before them. Independence of Directors is determined by the Board, based on annual declarations submitted by the Non-Executive Directors in compliance with the Listing Rules of the CSE and also in line with schedule K of the Code. Annually, the Board discusses the possibility of any impairment of Directors' independence due to extended Board tenures, and collectively evaluates the re-election of such Board members.

Further, two Directors of the Company, Deshamanya D.H.S. Jayawardena and Ms. D.S.T. Jayawardena are related to each other. However, they act in the best interests of the Group using their independent judgement on matters referred to the Board.

Disclosures made by Directors from time to time, regarding their interest in transactions including the related party transactions are formally noted and duly entered into the interest register. Note 45 on page 235 of the Financial Statements of this Annual Report provides a list of companies in which the Directors had transactions with during the year under review.



MR. R.N. ASIRWATHAM

The period of service of Mr. R.N. Asirwatham as a Board Member exceeds nine years. Additionally, Mr. R.N. Asirwatham is a Director of the parent company in which majority of the other Directors of the Company are Directors. However, his period of service and his office of Independent Non-Executive Director of the parent company do not compromise his independence and objectivity in discharging his functions as a Director of the Company. Therefore, the Board determined that Mr. R.N. Asirwatham is 'independent' of Aitken Spence Hotel Holdings PLC as per the Listing Rules.



MR. C.H. GOMEZ

The period of service of Mr. C.H. Gomez as a Board Member exceeds nine years. Additionally, Mr. C.H. Gomez is a Director of the parent company in which majority of the other Directors of the Company are Directors. However, his period of service and his office of Independent Non-Executive Director of the parent company do not compromise his independence and objectivity in discharging his functions as a Director of the Company. Therefore, the Board determined that Mr. C.H. Gomez is 'independent' of Aitken Spence Hotel Holdings PLC as per the Listing Rules.



MR. G.P.J. GOONEWARDENA

Mr. G.P.J. Goonewardena served as an Executive Director of Aitken Spence Hotel Holdings PLC until his retirement on 30th June 2017 which was during the period of two years immediately preceding his appointment as a Non-Executive Director on 30th March 2018. However, his appointment as an Executive Director within two years period immediately preceding his appointment as a Non-Executive Director of the Company does not compromise his independence and objectivity in discharging his functions as a Director of the Company. Therefore, the Board determined that Mr. G.P.J. Goonewardena is 'independent' of Aitken Spence Hotel Holdings PLC as per the Listing Rules.

APPOINTMENT, RE-APPOINTMENT, RE-ELECTION AND RESIGNATION OF DIRECTORS

Shareholders appoint, re-appoint and re-elect the Directors at the Annual General Meeting (AGM) by voting for resolutions proposed by the Board. The Board is assisted in the selection process by the Nominations Committee of the parent company who recommend nominees to the Board for their consideration and

recommendation to shareholders. The Nominations Committee considers the skills and experience required on the Board for effective discharge of its duties.

Separate resolutions are included in the Notice of Meeting of this Annual Report for the proposed re-appointments and re-elections of the Directors concerned. Casual vacancies are filled by the Board based on the recommendations of the

Nominations Committee. Appointments are immediately disclosed to the Colombo Stock Exchange along with a brief resume of the Director. Directors who are retiring are eligible to submit themselves for re-election at the AGM. The Nominations Committee evaluates the contribution made by these Directors to assess their eligibility for re-election.

CORPORATE GOVERNANCE

Directors wishing to resign are required to provide a written communication to the Chairman together with the reasons for such resignation which is tabled at the Board meeting. Immediate disclosure of resignations is made to the CSE.

INDUCTION AND TRAINING

Directors receive a Letter of Appointment outlining the terms of the appointment, duties, responsibilities and expected time commitments. On appointment, Directors are taken through a formal and tailored induction programme coordinated by the Managing Director, where they are enlightened on the Group values and culture, its operating model, policies, governance framework and processes, Group Code of Ethics & Professional Conduct and operational strategies of the Group. Directors are availed the opportunity to have meetings with the management of each subsidiary and visit hotels where appropriate.

Regular presentations by management, consultants and other experts are conducted to ensure that the Board is apprised of relevant regulatory and industry developments, trends and benchmarks. Additionally, Directors are encouraged and expected to stay abreast of developments in their respective area of expertise, facilitating effective contribution to the Board.

MEETINGS AND MINUTES

The Board meets on a quarterly basis and also convenes additional meetings if deemed necessary. Accordingly, the Board met 5 times during the year. The Managing Director in consultation with the Chairman sets the Board agenda with the assistance of the Company Secretaries. The Chairman ensures that Directors have sufficient information on matters included in the agenda to facilitate effective participation of all Directors. Additionally, all Directors have access to the Managing Director and the Senior Management of the Company to clarify any matter and they are available for

clarification of matters during the meeting. In an instance of a Director's non-attendance at the meetings, he/she is provided with briefing material for discussion with the Chairman or the Managing Director on a later date, through formally documented minutes of discussions, by clarifying matters from the Company Secretaries or through separate discussions prior to the meeting regarding matters arising from the previous meeting.

Board packs are circulated one week prior to the meeting to allow adequate time for preparation. Minutes of meetings are circulated within 10 days of the meeting to Board members and included in the subsequent Board pack. Company Secretaries maintain all past minutes and board papers and are accessible at the convenience of the Directors.

Directors' concerns regarding matters which are not resolved unanimously (if any) are recorded in the minutes.

Table 1: Attendance at Board Meetings

Name of Director	Director Status	Meeting Attendance				
		Board	Audit Committee	Nomination Committee	Remuneration Committee	Related Party Transactions Review Committee
Deshamanya D.H.S. Jayawardena	Chairman	5	-	1	-	-
Dr. M.P. Dissanayake	EXE	5	-	-	-	-
Ms. D.S.T. Jayawardena	EXE	5	-	-	-	-
Mr. C.M.S. Jayawickrama	EXE	5	-	-	-	-
Mr. J.M.S. Brito	NED	5	8	-	-	4
Mr. N.J. de Silva Deva Aditya	NED	5	8	-	-	4
Mr. R.N. Asirwatham	INED	5	8	1	2	4
Mr. C.H. Gomez	INED	5	2	-	2	1
Mr. G.P.J. Goonawardene	INED	5	-	-	-	-
Total No. of Meetings		5	8	1	2	4

EXE – Executive Director NED – Non-Executive Director INED – Independent Non-Executive Director

COMPANY SECRETARIES

Aitken Spence Corporate Finance (Private) Limited acts as Secretaries to the Board. The Directors have access to advice and services of the Company Secretaries who support the Board and management in ensuring effective governance and good decision making across the Group. The Secretaries ensure Directors receive full and timely information and have access to the resources they need to facilitate effective decision-making. They keep Directors informed of governance, regulation and legislative changes relevant to the discharge of their duties, individually as Directors and collectively as a Board. Directors have access to the advice and services of the Secretaries. Secretaries maintain minutes of Board meetings, which are open for inspection by any Director at any time. Appointment and removal of the Company Secretaries is a matter for the Board as a whole.

CONFLICTS OF INTERESTS

Directors abstain from voting where there is a conflict of interest and generally excuse themselves from the discussion. In the event of conflicts and concerns that cannot be resolved unanimously, Director's dissent is recorded in the Board minutes. In urgent circumstances necessitating decision making through circular resolutions, efforts are made to provide all relevant information required to enable Directors to clearly understand the issue/s and potential consequences.

BOARD EVALUATION

The Board carries out a self-appraisal of the Board and its Committees annually with each Director appraising their own performance with reference to their key responsibilities as outlined in the Nominations Committee Report. This serves to identify areas for improvement and gaps pertaining to Board administration and processes.

DIRECTORS' REMUNERATION

The Remuneration Committee of Aitken Spence PLC serves as the Remuneration Committee of Aitken Spence Hotel Holdings PLC. It comprises of three Non-Executive

Directors all of whom are determined by the Board as independent.

The Remuneration Committee makes recommendations to the Board with the consultation of the Chairman and the Managing Director regarding the remuneration of Executive Directors and the Senior Management within agreed terms of reference and in accordance with the remuneration policy of the Group. No Director is involved in determining his or her own remuneration.

The Committee considers the skills, attributes and experience of the Executive Directors and the operating environment in determining the level of remuneration. Executive Directors' remuneration comprises a fixed portion and a variable portion in the form of a performance bonus linked to achievement of corporate and individual goals and targets.

Remuneration of Non-Executive Directors reflects the time commitment and responsibilities of their role. They are remunerated based on their attendance at Board and/or Committee meetings.

Directors' remuneration in respect of the Company and the Group for the Financial Year ended 31st March 2021 are disclosed on page 173 of the Financial Statements of this Annual Report.

ACCOUNTABILITY AND AUDIT

The Board goes beyond regulatory requirements to provide shareholders with a comprehensive and balanced assessment of the performance of the Group. The Annual Report 2020/21 complies with the requirement of widely accepted standards, codes and frameworks which have been voluntarily adopted to ensure that our corporate reporting is in line with international best practices. Our sign off processes ensure that the report provides a balanced review of the Group's performance with high levels of transparency.

Quarterly Financial Statements and other price sensitive announcements, press releases and regulatory reports also provide a balanced assessment of the matters discussed.

RISK AND INTERNAL CONTROL

The Board is responsible for setting in place a process to identify, measure, monitor and manage the principal risks of the Group and determining the level of risk it is willing to accept in relation to its strategic goals. The Board is also responsible for setting in place a system of internal controls to safeguard the assets and investments of the Group and shareholders. The Group Internal Audit division reviews the risk management processes and the internal controls according to an annual audit plan approved by the Audit Committee. The Audit Committee also reviews the Internal Audit Reports and exercises oversight to ensure that recommendations included are implemented in a timely manner, minimizing risk. The following reports provide further information in this regard:

- Risk Management Report
- The Board of Directors' Statement on Internal Controls
- Audit Committee Report

AUDIT COMMITTEE

The Audit Committee of our parent company serves as the Audit Committee of the Company as permitted by Section 7.10.6 of the Listing Rules of the Colombo Stock Exchange as both the parent company and the subsidiary company are listed companies.

As the Company belongs to the tourism segment of Aitken Spence Group, all policy decisions pertaining to the Company are taken by the parent company. Therefore, it is necessary that Board sub committees of the parent company look into the matters of the subsidiary company in order to make sure that the policies and decisions of the subsidiary are in conformity with that of the parent company.

CORPORATE GOVERNANCE

Table 2: Composition of the Audit Committee

Audit Committee	
Mr. R.N. Asirwatham (Chairman)	Independent Non-Executive Director
Mr. G.C. Wickremasinghe	Independent Non-Executive Director of the parent company
Mr. C.H. Gomez	Independent Non-Executive Director
Mr. N.J. de Silva Deva Aditya/Mr. A.L. Gooneratne (Alternate Director to Mr. N.J. de Silva Deva Aditya in the parent company's Directorate)	Non-Executive Director
Mr. J.M.S. Brito	Non-Executive Director

Composition of the Audit Committee is in line with Section 7.10.6 (a) of the Listing Rules of the Colombo Stock Exchange where majority of the Non-Executive Directors are determined to be independent. The Audit Committee met eight times during the year and the report of its activities is given in the Audit Committee Report of this Annual Report.

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

The Related Party Transactions Review Committee of Aitken Spence PLC functions as the Related Party Transactions Review Committee of the Company and provides feedback to the Board of Aitken Spence Hotel Holdings PLC on relevant material matters in line with its mandate. The composition of the Committee is given below which complies with Section 9.2.2 of the Listing Rules of the CSE.

Table 3: Composition of the Related Party Transactions Review Committee

Related Party Transactions Review Committee	
Mr. R.N. Asirwatham (Chairman)	Independent Non-Executive Director
Mr. G.C. Wickremasinghe	Independent Non-Executive Director of the parent company
Mr. C.H. Gomez	Independent Non-Executive Director
Mr. N.J. de Silva Deva Aditya/Mr. A.L. Gooneratne (Alternate Director to Mr. N.J. de Silva Deva Aditya in the parent company's Directorate)	Non-Executive Director
Mr. J.M.S. Brito	Non-Executive Director

The Related Party Transactions Review Committee met four times during the year and the report of its activities is given in the Related Party Transactions Review Committee Report of this Annual Report.

REMUNERATION COMMITTEE

The Remuneration Committee of Aitken Spence PLC acts as the Remuneration Committee of the Company as permitted by Section 7.10.5 (a) of the Listing Rules of the Colombo Stock Exchange. The Company has complied with the policies and procedures set out by the Group Remuneration Committee. The composition of the Committee is given below which complies with the requirement of Section 7.10.5 (a) of the Listing Rules of the CSE.

Table 4: Composition of the Remuneration Committee

Remuneration Committee	
Mr. G.C. Wickremasinghe (Chairman)	Independent Non-Executive Director of the parent company
Mr. R.N. Asirwatham	Independent Non-Executive Director
Mr. C.H. Gomez	Independent Non-Executive Director

The Remuneration Committee met twice during the year under review and the report of its activities is given in the Remuneration Committee Report of this Annual Report.

CODE OF ETHICS & PROFESSIONAL CONDUCT

Aitken Spence Hotel Holdings PLC complies with the Group's Code of Ethics & Professional Conduct which is designed to guide all employees with regard to conduct within and outside the workplace which may concern the employees in relation to their position in the Company. It clearly expresses how an employee should act with integrity under different circumstances. The Board ensures that Directors and all employees strictly comply with the Group's Code of Ethics & Professional Conduct in exercising their duties, communications, role modeling and in any other circumstances, so as to uphold the Group's image. Strict disciplinary actions are initiated for any violation of the Group's Code of Ethics & Professional Conduct.

SHAREHOLDER RELATIONS

At the close of the financial year 2020/21, the Company had 3,636 shareholders. National Institutions and individuals held 99.63% of shares while Foreign Investors held the remaining 0.37%. Aitken Spence PLC is the largest shareholder owning 71.21% of shares while the 20 largest shareholders held 92.17%.

The Company encourages effective communication with shareholders who are engaged through multiple channels of communication, including the AGMs, Annual Reports, Interim Financial Statements, a dedicated investor relations page on the Company's website, press releases, social media platforms and announcements to the Colombo Stock Exchange. The Board recognises its responsibility to present a balanced and understandable assessment of the Group's financial position, performance and prospects and is committed to fair disclosure, with emphasis on the integrity, timeliness and relevance of the information provided.

The AGM is the principal forum for engaging with shareholders and the Company successfully held the 43rd AGM as a virtual meeting using a digital platform on 30th June 2020.

EXTERNAL AUDITORS

The External Auditor is appointed subject to the provisions of the Companies Act No. 7 of 2007. The Audit Committee makes recommendations to the Board for the appointment, re-appointment or removal of the External Auditor in line with professional & ethical standards and regulatory requirements. Further, it monitors and reviews the External Auditor's independence, objectivity and effectiveness of the audit process considering relevant professional and regulatory requirements.

In assigning of non-audit services to External Auditors, the Audit Committee ensures that the External Auditor has the necessary skills and experience for the assignment and ascertains that independence and objectivity in carrying out his duties and responsibilities will not be impaired.

On the recommendation of the Board, the shareholders approved the reappointment of Messrs. KPMG (Chartered Accountants) as the External Auditors for 2020/21 at the last AGM in compliance with Section 163(3) of the Companies Act No. 07 of 2007.

INTERNET OF THINGS AND CYBERSECURITY

The Company engages with customers across several social media platforms, the corporate website and through online aggregators with an increasing number of bookings originating from online engagements. We are also custodians of significant information assets which we have a responsibility to safeguard. Therefore, Internet of Things (IoT) and cyber security are key concerns for the Board and receive significant attention on the agenda. We have implemented a state-of-the-art Property Management and Reservations software and Enterprise Resource Planning software across the Group which are reviewed regularly.

Intelligent automation has caught significant attention in the sector. This will bring in competitive advantages in productivity, accuracy, speed and cost of a transaction. Hence Robotic Process Automation (RPA) and seamless integrations using advance integration platforms has been introduced in bringing in Intelligent Automation. Additionally, the sector expanded its Enterprise Resource Planning (ERP) capability by extending the use of the ERP to all operational hands in enhancing visibility and decision making. The digital drive has enabled agile and online access to enable digital processing, with less paper handling.

The group wide digitization was implemented in the wake of the pandemic and with the introduction of Semi-Virtual Mobility (SVM). This made operations more seamless, effective and qualitative. Thereby, the Group was able to increase employee engagement, customer satisfaction and speed of delivery of service. As a part of intelligent automation all employees were provided necessary training in digitization capabilities and were exposed to RPA, machine learning, process collaboration. Further, the employees were given the opportunity to engage in the process digitization and process improvements including RPA. The Company is working on enhancing the digital profile of the individuals.

We have also implemented IT policies across the Group which provide for adequate systems and controls and disaster recovery capability to facilitate safeguarding of the Group's information assets. The Company is also compliant with the payment card industry data security standards using tools and services from a leading specialist third party provider. The Chief Information Security Officer (CISO) supported by Group IT of the Aitken Spence Group is responsible for ensuring the security of interacting sources and third party platforms which are necessary for our business. CISO is a member of the IT Steering committee and reports to the CFO of Aitken Spence PLC, who is a member of the Group Supervisory Board and IT Steering Committee. Cyber

CORPORATE GOVERNANCE

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security is discussed at the monthly IT Steering Committee meetings and subsequently at the Audit Committee meetings, with matters escalated to the Board of Aitken Spence Hotel Holdings PLC, where deemed necessary considering risk, impact and other prudential measures. It is also reviewed by the Board through the Audit Committee minutes. The Information Security Division conducts regular vulnerability assessments on all IT related systems and a dedicated central IT team is in place to support all IT related matters of the Group.

ENVIRONMENT, SOCIETY AND GOVERNANCE REPORTING (ESG REPORTING)

The Board places significant emphasis on sustainable development ensuring that the Company creates value, both for the organization and its key stakeholders. The Board satisfies itself that Environmental, Social and Governance (ESG) metrics are incorporated into the business model and the creation of value as disclosed in the following sections of the Annual Report.

Table 5: ESG Reporting

Principle as per Code	Reference
Principle 1 - Reporting of Economic Sustainability	Financial Capital - pages 60 to 65 of this Annual Report
Principle 2 - Reporting on the Environment	Natural Capital - pages 92 to 97 of this Annual Report
Principle 3 - Reporting on Labour Practices	Human Capital - pages 76 to 81 of this Annual Report
Principle 4 - Reporting on Society	Social & Relationship Capital - pages 87 to 91 of this Annual Report
Principle 5 - Reporting on Product Responsibility	
Principle 6 - Reporting on Stakeholder identification, engagement and effective communication	Shareholder Relations in the Corporate Governance Report
Principle 7 - Sustainable reporting to be formalised as part of the reporting process and to take place regularly	About this Report - page 8 of this Annual Report

DECLARATIONS BY BOARD, CEO & CFO & GOVERNANCE DISCLOSURES

The Annual Report includes the following reports of the Board and its Committees providing key declarations on effective discharge of their duties.

- Annual Report of the Board of Directors
- The Board of Directors' Statement on Internal Control
- Statement of Directors' Responsibilities
- Reports of the Board Sub-Committees
- Corporate Governance Report

The Board has obtained a declaration from the Managing Director and the General Manager-Finance to affirm that the financial records of the entity have been properly maintained and that the Financial Statements comply with the Sri Lanka Financial Reporting Standards giving a true and fair view of the financial position and performance of the Group. Further, they also confirm that the systems of risk management and internal control operate effectively.

The Board further acknowledges its responsibility of ensuring the integrity of this Annual Report, which is in the opinion of the Board, addresses all the concerns that are mentioned to the Company's ability to create sustainable value and reflects a fair presentation of the integrated performance of Aitken Spence Hotel Holdings PLC.



The Compliance levels with the Code of Best Practice on Corporate Governance 2017, issued by the Institute of Chartered Accountants of Sri Lanka are available on Company's website at <https://www.aitkenspencehotels.com/about-us/investor-relations/corporate-governance.html?remove> and forms a part of this Corporate Governance Report.

Table 6: Compliance with the Companies Act No. 07 of 2007

Section	Requirement	Further Reference	Compliance Status
168 (1)(a)	Any change during the accounting period in the nature of business of the Company or any of its subsidiaries and the classes of business in which the Company has an interest	Refer Annual Report of the Board of Directors of this Annual Report	Complied
168 (1) (b)	Financial Statements of the Company and the Group for the accounting period completed and signed	Refer Financial Statements on pages 138 to 243 and Annual Report of the Board of Directors of this Annual Report	Complied
168 (1) (c)	Auditor's Report on Financial Statements of the Company and the Group	Refer Financial Statements on pages 132 to 243 and Annual Report of the Board of Directors of this Annual Report	Complied
168 (1) (d)	Change of accounting policies during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Complied
168 (1) (e)	Particulars of entries in the interest register made during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Complied
168 (1) (f)	Remuneration and other benefits paid to the Directors during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Complied
168 (1) (g)	Total amount of donations made by the Company and the Group during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Complied
168 (1) (h)	Directorate of the Company and the Group as at the end of accounting period along with the changes occurred during the accounting period	Refer Annual Report of the Board of Directors of this Annual Report	Complied
168 (1) (i)	Amounts payable to the Auditor as audit fees and fees payable for other related services provided by them	Refer Annual Report of the Board of Directors of this Annual Report	Complied
168 (1) (j)	Relationship or interest of the Auditor with the Company or any of its subsidiaries	Refer Annual Report of the Board of Directors of this Annual Report	Complied
168 (1) (k)	Annual Report of the Board of Directors be signed on behalf of the Board	Refer Annual Report of the Board of Directors of this Annual Report	Complied

CORPORATE GOVERNANCE

Table 7: Compliance with the Continuing Listing Requirements - Section 7.6 Issued by the Colombo Stock Exchange - Contents of Annual Report

Section	Requirement	Nature of Compliance by Aitken Spence Hotel Holdings PLC	Compliance Status
7.6 i)	Names of Directors of the entity	Refer Corporate Information of this Annual Report	Complied
7.6 ii)	Principal activities of the entity and its subsidiaries during the year under review	Refer Group Directorate of this Annual Report	Complied
7.6 iii)	20 largest holders of voting and non-voting shares and the percentage of shares	Refer Investor Information of this Annual Report	Complied
7.6 iv)	The float adjusted market capitalization, Public Holding percentage (%), number of public shareholders and under which option the Listed Entity complies with the Minimum Public Holding requirement	Refer Investor Information of this Annual Report	Complied
7.6 v)	Directors and CEO's holding in shares of the entity at the beginning and end of reporting year	Refer Investor Information of this Annual Report	Complied
7.6 vi)	Information pertaining to material foreseeable risk factors	Refer Risk Management of this Annual Report	Complied
7.6 vii)	Details of material issues pertaining to employees and industrial relations	Refer Human Capital of integrated Management Discussion & Analysis of this Annual Report	Complied
7.6 viii)	Extents, locations, valuations and the number of buildings of the entity's land holdings and investment properties	Refer Note 16.3.1 to the Financial Statements and Real Estate Holdings of the Group of this Annual Report	Complied
7.6 ix)	Number of shares representing the stated capital	Refer Investor Information of this Annual Report	Complied
7.6 x)	Distribution schedule of the number of holders and the percentage of their total holding	Refer Investor Information of this Annual Report	Complied
7.6 xi)	Ratios and market price information	Refer Investor Information of this Annual Report	Complied
7.6 xii)	Significant changes in the entity's or its subsidiaries fixed assets and the market value of land	Refer Note 16 to the Financial Statements of this Annual Report	Complied
7.6 xiii)	Funds, (if any) raised either through a public issue, rights issue and private placement	The Company had no public issue, rights issue or private placement during the year under review	N/A
7.6 xiv)	Employee share option/purchase schemes	As at date, the Company has no share option/purchase schemes made available to its Directors or employees	N/A
7.6 xv)	Corporate Governance Disclosures	Refer Corporate Governance Report of this Annual Report	Complied
7.6 xvi)	Related Party Transactions	Refer Note 45 to the Financial Statements and the declaration of the Board of Directors embodied in the Annual Report of the Board of Directors of this Annual Report	Complied

Table 8: Compliance with the Continuing Listing Requirements - Section 7.10 Issued by the Colombo Stock Exchange – Corporate Governance Rules for Listed Companies

Section	Requirement	Disclosure	Compliance Status
7.10	Compliance with Corporate Governance Rules	Refer Corporate Governance Report and the Annual Report of the Board of Directors of this Annual Report	Complied
7.10.1(a)	Non-Executive Directors (NED) At least two or one third of the Directors, whichever is higher, should be Non- Executive Directors	Refer Board Composition in the Corporate Governance Report	Complied
7.10.2(a)	Independent Directors Two or one-third of Non-Executive Directors, whichever is higher, should be independent	Refer Independence of Non-Executive Directors in the Corporate Governance Report	Complied
7.10.2(b)	Independence of Directors Each Non-Executive Director should submit a declaration of Independence/ Non-Independence	Refer Independence of Non-Executive Directors in the Corporate Governance Report	Complied
7.10.3(a)	Independence of Directors - The Board shall make a determination annually as to the Independence or Non-Independence of each Non-Executive Director Disclosure relating to Directors - The names of Directors determined to be independent should be disclosed in the Annual Report	Refer Independence of Non-Executive Directors in the Corporate Governance Report	Complied
7.10.3(b)	Criteria not met by the Non-Executive Directors and basis for determining to be independent	Refer Independence of Non-Executive Directors in the Corporate Governance Report	Complied
7.10.3(c)	Disclosure relating to Directors A brief resume of each Director should be included in the Annual Report including the Director's areas of expertise	Refer Board profiles of the Directors of this Annual Report	Complied
7.10.3(d)	Appointment of new Directors Provide a brief resume of any new Director appointed to the Board	Upon the appointment of a new Director to the Board, the Company informs the Colombo Stock Exchange with a brief resume of such a Director containing the nature of his expertise, relevant interest, other directorships held, memberships in Board Committees and the nature of appointment There were no new appointments to the Board of Directors during the year under review	Complied
7.10.5	Remuneration Committee A listed company shall have a Remuneration Committee	Refer Remuneration Committee Report of this Annual Report	Complied
7.10.5(a)	Composition of Remuneration Committee Shall comprise of Non-Executive Directors, a majority of whom shall be Independent	Refer Remuneration Committee Report of this Annual Report	Complied

CORPORATE GOVERNANCE

Section	Requirement	Disclosure	Compliance Status
7.10.5(b)	Functions of Remuneration Committee The Remuneration Committee shall recommend the remuneration of the Chief Executive Officer and the Executive Directors	Refer Remuneration Committee Report of this Annual Report	Complied
7.10.5(c)	Disclosure in the Annual Report relating to Remuneration The Annual Report should set out; - Names of the Directors comprising the Remuneration Committee - Statement of Remuneration policy - Aggregate remuneration paid to Executive and Non-Executive Directors	Refer Remuneration Committee Report and Note 11 and 45.4 to the Financial statements of this Annual Report	Complied
7.10.6	Audit Committee A listed company shall have an Audit Committee	Refer Audit Committee Report of this Annual Report	Complied
7.10.6(a)	Composition of Audit Committee - Shall comprise of Non-Executive Directors, a majority of whom are Independent - Chief Executive Officer and the Chief Financial Officer should attend Audit Committee Meetings - The Chairman of the Audit Committee or one member should be a member of a professional accounting body	Refer Audit Committee Report of this Annual Report	Complied
7.10.6(b)	Audit Committee Functions Should be as outlined in Section 7.10 of the Listing Rules	Refer Audit Committee Report of this Annual Report	Complied
7.10.6(c)	Disclosure in the Annual Report relating to Audit Committee - Names of the Directors comprising the Audit Committee - The Audit Committee shall make a determination of the independence of the Auditors and disclose the basis for such determination - The Annual Report shall contain a Report of the Audit Committee in the prescribed manner	Refer Audit Committee Report of this Annual Report	Complied
9.3.2	Related Party Transactions Review Committee - Details pertaining to Non-Recurrent Related Party Transactions - Details pertaining to Recurrent Related Party Transactions - Report of the Related Party Transactions Review Committee - Declaration by the Board of Directors as an affirmative statement of compliance with the rules pertaining to Related Party Transactions, or a negative statement otherwise	Refer Related Party Transactions Review Committee Report and the Annual Report of the Board of Directors of this Annual Report	Complied

AUDIT COMMITTEE REPORT

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of the Aitken Spence Group under its parent company Aitken Spence PLC. Therefore, the Audit Committee of Aitken Spence PLC acts as the Audit Committee of Aitken Spence Hotel Holdings PLC as well in terms of Section 7.10.6 (a) of the Listing Rules of the Colombo Stock Exchange. The Company has complied with the policies and procedures set out by the Group Audit Committee.

ROLE OF THE AUDIT COMMITTEE

The role of the Audit Committee is to oversee the financial reporting system of the Company, with a view to safeguarding the interest of the shareholders and all other stakeholders.

COMPOSITION OF THE COMMITTEE

-  Mr. R.N. Asirwatham (*Chairman*)
-  Mr. J.M.S. Brito
-  Mr. G.C. Wickremasinghe
-  Mr. C.H. Gomez
-  Mr. N.J. de Silva Deva Aditya/ Mr. A.L. Gooneratne (Alternate Director to Mr. N. J. de Silva Deva Aditya in the parent company's Directorate)

 Independent Non-Executive Director

 Non-Executive Director

The Committee's composition met the requirements of Section 7.10.6 of the Listing Rules of the Colombo Stock Exchange.

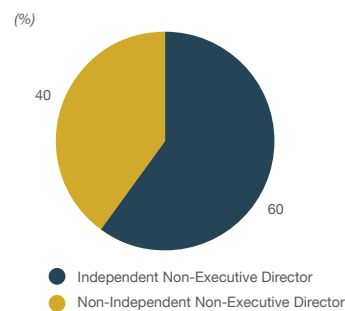
Secretaries to the Committee

Mr. H.K.A. Rathnaweera - *Chief Internal Auditor, Aitken Spence PLC*

Mr. D.D.M.A. Saparamadu - *General Manager, Internal Audit, Aitken Spence PLC*

The composition of the Committee, which remained unchanged during the financial year, is composed of three Independent Non-Executive Directors and two Non-Independent Non-Executive Directors of the parent company. The Committee is chaired by an Independent Non-Executive Director who is a fellow of the Institute of Chartered Accountant of Sri Lanka. The profiles of the members are given on pages 25 to 28 of this Report.

Independence of the Audit Committee



COMMITTEE MEETINGS

The Audit Committee functioned throughout the financial year and held eight meetings in semi-virtual modes. The attendance at the Audit Committee meetings held during the year under review were as follows:

Audit Committee Members	Attendance							
	20/05/2020	01/07/2020	11/08/2020	10/09/2020	11/11/2020	07/12/2020	09/02/2021	15/03/2021
Mr. R.N. Asirwatham (<i>Chairman</i>)								
Mr. J.M.S. Brito								
Mr. G.C. Wickremasinghe								
Mr. C.H. Gomez			Ex.	Ex.	Ex.	Ex.	Ex.	Ex.
Mr. N.J. de Silva Deva Aditya/Mr. A.L. Gooneratne (Alternate Director to Mr. N.J. de Silva Deva Aditya in the parent company's Directorate)								
 Present in person  Attendance via MS Teams Ex. Excused								

AUDIT COMMITTEE REPORT

ATTENDANCE BY INVITATION

Dr. M.P. Dissanayake, the Managing Director, Ms. D.S.T. Jayawardena, Executive Director, Ms. N. Sivapragasam, Chief Financial Officer, Aitken Spence PLC, Mr. D.G.P. Ekanayake, Assistant Vice President – Finance attended the meetings by invitation. Further, Senior Officers of the Group as well as the partner of KPMG responsible for the Group's audit attended the meetings by invitation as and when required.

RESPONSIBILITIES

The Committee, governed by its written terms of reference, is responsible for overlooking the accuracy of reporting Financial Statements, compliance with the reporting requirements of Sri Lanka Accounting Standards, compliance with the legal and regulatory requirements, determining the independence of the External Auditors and the internal Audit function.

ACTIVITIES DURING THE FINANCIAL YEAR 2020/21

Risk Management and Internal Control

- Reviewed the adequacy and effectiveness of the Group's internal controls and risk management activities and highlighted the areas which requires attention, and suggested recommendations to the Board.
- Ensured that the risks are appropriately monitored and controlled by considering the Group's principal risks and uncertainties and by reviewing the mitigating actions taken by the management.
- Reviewed the processes to ensure the internal controls and risk management framework are adequate to meet the requirements of the Sri Lanka Accounting Standards.
- Ensured that the Group adheres to and complies with all relevant laws, rules and regulations of the country, international laws and codes of ethics and standards

of conduct required by regulatory authorities, professional bodies and trade associations.

Financial Reporting and Financial Control

- Reviewed the Group's quarterly and annual Financial Statements with regard to the following aspects:
 - Adequacy of disclosures,
 - Uniformity and appropriateness of the accounting policies adopted,
 - Major judgmental areas and ensured that they were in compliance with the Companies Act No. 7 of 2007,
 - Applicable Sri Lanka Accounting Standards and other applicable Accounting Standards of jurisdictions in which each subsidiary operates,
 - Listing Rules of the Colombo Stock Exchange,
 - Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka,
 - Requirements of other regulatory bodies as applicable to the Group.
- Discussed with the Management on future accounting developments which are likely to affect the Financial Statements.
- Reviewed the budgets and strategic plans of the Group in order to ensure that all forward-looking statements made within the Annual Report reflect the actual position of the Group.
- Reviewed the changes in the tax environment and its impact to the Group.

External Audit

- Reviewed the audit plan presented by the External Auditors and provided advice and support regarding the execution of the plan.
- Carried out a review of the effectiveness and the progress of the External Auditors and the audit process.

- Discussed the Audited Financial Statements with External Auditors and ensured that they were in conformity with the Sri Lanka Accounting Standards and other regulatory requirements.
- Reviewed and discussed the Management Letter of the External Auditors for the Group and instructed the management to take appropriate and follow up action on matters highlighted therein.
- Assessed the performance and effectiveness of the External Auditors, their independence, professional capabilities and made recommendations to the Board pertaining to the re-appointment of the External Auditors.
- Ensured that the External Auditors are independent by reviewing Group's share registers, related party transactions and obtaining a written confirmation from the External Auditors.

Internal Audit

- Reviewed and approved the Annual Audit Plan after considering its depth and coverage in the Group.
- Reviewed and evaluated the independence, effectiveness and competency of the Group's Internal Audit function, their resource requirements and made recommendations for any required changes.
- Continued to ensure the co-ordination between Group's Internal Audit division and External Auditors.
- Reviewed and discussed the periodic reports submitted by the internal audit department with management responses on financial and operational audits, IT security, and risk assessments carried out in line with approved annual internal audit plan.

Reporting

- The Chairman of the Audit Committee reports to the Board at each meeting on the activities of the Committee. Minutes of the Audit Committee meetings are also tabled at the Board Meetings.
- The Annual Report incorporates the Audit Committee Report.
- The Chairman of the Audit Committee attends the Annual General Meeting.

RE-APPOINTMENT OF EXTERNAL AUDITORS - MESSRS KPMG, CHARTERED ACCOUNTANTS

The Committee perused transactions with the External Auditors and ensured that there was no significant material transaction between the External Auditors and the companies in the Group. The Committee further perused the share register and ensured that there were no shares held by the External Auditors.

The Committee having considered that there were no significant material transactions between the External Auditors and the Group companies, that there were no shares held by the External Auditors, the confirmation received from the External Auditors and the periodic rotation of the Audit Partner, noted that Messrs KPMG, Chartered Accountants are independent and are eligible for re-appointment as the External Auditors of the Company.

Having noted the above, the Committee recommends to the Board that Messrs. KPMG, Chartered Accountants be re-appointed as the External Auditors of the Company for the current financial year, subject to the approval of the Shareholders at the forthcoming Annual General Meeting.



R.N. Asirwatham
Chairman
Audit Committee

Colombo
28th May 2021

REMUNERATION COMMITTEE REPORT

102-35 102-36 102-37

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of the Aitken Spence Group under its parent company, Aitken Spence PLC. Therefore, the Remuneration Committee of Aitken Spence PLC acts as the Remuneration Committee of Aitken Spence Hotel Holdings PLC as well in terms of Section 7.10.5 (a) of the Listing Rules of the Colombo Stock Exchange. The Company has complied with the policies and procedures set out by the Group Remuneration Committee.

COMPOSITION OF THE COMMITTEE

-  Mr. G.C. Wickremasinghe (*Chairman*)
 -  Mr. R.N. Asirwatham
 -  Mr. C.H. Gomez
-
-  Independent Non-Executive Director

INDEPENDENCE OF THE COMMITTEE

The members of the Committee are composed of three Independent Non-Executive Directors of the parent company. They are independent of management and are completely free from any business, personal or other relationships that may interfere with the exercise of their independent, unbiased judgement. The members of the Committee refrain from taking part in determining their own remuneration.

COMMITTEE MEETINGS

The Committee met twice during the year under review with the attendance of all its members. Deshamanya D.H.S. Jayawardena, Chairman, Aitken Spence Hotel Holdings PLC together with Dr. M.P. Dissanayake, Managing Director, Aitken Spence Hotel Holdings PLC and Ms. D.S.T. Jayawardena, Executive Director, Aitken Spence Hotel Holdings PLC attended the meetings by invitation.

Remuneration Committee Members	Attendance	
	17/06/2020	14/10/2020
Mr. G.C. Wickremasinghe (<i>Chairman</i>)		
Mr. R.N. Asirwatham		
Mr. C.H. Gomez		

 Attendance via MS Teams

THE REMUNERATION POLICY

The Group follows a formal and transparent procedure to ascertain the remuneration packages for individual Directors. The Committee considers the importance of formulating remuneration packages that are sufficient to motivate, attract and retain the Directors and considers the employment conditions of the Group companies and of the relevant industry.

The Group remuneration policy which was reviewed by the Committee remained unchanged during the year under review.

Due to the prevailing Covid-19 pandemic situation in the country, the Remuneration Committee agreed that it was paramount at this juncture to secure jobs and livelihoods of the employees and to differ all increment by one year. The Committee also made note of the fact that the Directors, Senior Management and employees throughout the Group have taken a voluntary pay reduction from May 2020 onwards.

RESPONSIBILITIES OF THE COMMITTEE

The Committee is responsible to the Board for:

- Determining the policy of the remuneration packages of the Directors,
- Evaluating performance of the Managing Directors, Executive Directors as well as the individual and collective performance of Directors and Senior Management of the subsidiaries,
- Deciding on overall individual packages, including compensation on termination of employment.

FUNCTIONS OF THE COMMITTEE

The Committee's decisions were determined based on the following principles and policies:

- **Remuneration Policy**
 - Evaluated the Group Remuneration Policy against the current market trends and industrial norms,
 - Reviewed and ensured the implementation of the Group Remuneration Policy,
 - Reviewed the policy of the remuneration package of the Directors,
 - Reviewed the specific application of the Group Remuneration Policy to the Managing Director and Executive Directors and general application to the Key Management Personnel below the Directorate of the Company.
- **Performance Based Remuneration**
 - Evaluated the performance of the Managing Directors, Executive Directors as well as the individual and collective performance of Directors and Senior Management of the subsidiaries,
 - Reviewed, monitored and evaluated performance of Key Management Personnel as well as their management development and succession planning,
 - Evaluated the achievements as well as unaccomplished targets, results of which are used in determining the performance-based remuneration.

- **Performance Incentives**
 - Evaluated the achievements as well as unaccomplished targets and results which are used to determine the performance-based incentives.
- **Remuneration of Managing Director**
 - Evaluated the performance of the Managing Director and the Group management development plan and the succession planning process.



G.C. Wickremasinghe
Chairman
Remuneration Committee

Colombo
28th May 2021

NOMINATION COMMITTEE REPORT

102-24

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of the Aitken Spence Group under its parent company, Aitken Spence PLC. Therefore, the Nomination Committee of Aitken Spence PLC acts as the Nomination Committee of Aitken Spence Hotel Holdings PLC as well. The Company has complied with the policies and procedures set out by the Group Nomination Committee.

COMPOSITION OF THE COMMITTEE

 Mr. G.C. Wickremasinghe (*Chairman*)

 Deshamanya D.H.S. Jayawardena

 Mr. R.N. Asirwatham

 Independent Non-Executive Director

 Executive Chairman

The composition of the Committee, which remained unchanged during the financial year, consists of two Independent Non-Executive Directors of the parent company along with the Chairman of the Company. The Committee is chaired by Mr. G.C. Wickremasinghe who is an Independent Non-Executive Director of the parent company. The members of the Committee possess wide experience as well as financial and business acumen.

COMMITTEE MEETINGS

The full Committee met once during the year under review with the attendance on invitation by the Deputy Chairman and Managing Director of the parent company, Aitken Spence PLC who is also the Managing Director of the Company.

KEY HIGHLIGHTS DURING THE FINANCIAL YEAR 2020/21

The Committee having evaluated each Director's knowledge and experience, the number of directorships held by each Director and the adequacy of their knowledge and experience to carry out their duties in the capacity as Directors, is satisfied with the level of knowledge, commitment and skills of each Director. The Committee reviewed the present indemnity policy and recommended adequate indemnity for each Director within the provisions of the Companies Act No. 7 of 2007.

RESPONSIBILITIES OF THE COMMITTEE

The Nomination Committee is responsible for ensuring that the Group Companies are spearheaded by individuals with a wealth of knowledge, experience, competency and entrepreneurial skills and to identify and recommend suitable candidates as Directors to the Board of Aitken Spence Hotel Holdings PLC and its Group Companies. The Committee is also responsible for reviewing the structure, size and composition of the Board of Aitken Spence Hotel Holdings PLC and Boards of the Group, oversee the performance of the Board, its committees and the individual Directors as well as the evaluation of their performance.

The Committee is accountable for the review of the charter for appointment, re-appointment/re-election of Directors to the Board of the Company and the Group Companies as well as suggests amendments wherever necessary and the recommendation of adequate insurance covers for the Directors of Aitken Spence Hotel Holdings PLC and the Group.

KEY FUNCTIONS OF THE COMMITTEE

The Committee reviews and makes recommendations that are fair, free from any bias and not influenced by personal or business relationships, thereby enabling the Company to make sound and measured judgments in order to attract the best talent to the Group. During the Financial Year 2020/21 the Committee performed the following functions:

- Ensured the diversity and effectiveness of the Aitken Spence Hotel Holdings PLC Board and the Boards of its Group Companies as well as the Key Management Personnel (KMPs),
- Reviewed and recommended necessary appointments to the Boards of the Group Companies whenever necessary,
- Evaluated and recommended suitable internal and external candidates to higher levels of management,

- Reviewed the Group's policy and guidelines for appointment, re-appointment/re-election and succession planning,
- Evaluated the eligibility of the Directors who have offered themselves for re-election/re-appointment to the Board and made necessary recommendations to the Board,
- Recommended insurance covers for the Directors of Aitken Spence Hotel Holdings PLC and its Group Companies,
- Evaluated the combination of varied skills, knowledge and experience of the Directors of the Company and of the Group Companies,
- Ascertained that the competencies of Directors are adequate to meet the required strategic demands of the Group.

RE-ELECTION AND RE-APPOINTMENT OF DIRECTORS

Deshamanya D.H.S. Jayawardena, Mr. R.N. Asirwatham, Mr. J.M.S. Brito and Mr. N.J. De S Deva Aditya who retire from the Board at the conclusion of the forthcoming Annual General Meeting in terms of Section 210(2) of the Companies Act No.7 of 2007, have offered themselves for re-appointment.

In terms of Article 83 of the Articles of Association, Ms. D.S.T. Jayawardena retires by rotation and has offered herself for re-election at the forthcoming Annual General Meeting.

Having given due consideration to each Director's performance, the Committee believes that the said Directors are eligible for re-appointment/re-election to continue as Directors of the Company.



G.C. Wickremasinghe
Chairman
Remuneration Committee

Colombo
28th May 2021

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

102-34

Aitken Spence Hotel Holdings PLC belongs to the tourism segment of Aitken Spence Group under its parent company Aitken Spence PLC. Therefore, the Related Party Transactions Review Committee of Aitken Spence PLC acts as the Related Party Transactions Review Committee of Aitken Spence Hotel Holdings PLC as well in terms of Section 9.2.3 of the Listing Rules of the Colombo Stock Exchange. The Company has complied with the policies and procedures set out by the Group Related Party Transactions Review Committee.

ROLE OF THE RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

The role of the Related Party Transaction Review Committee is to advise the Board in reviewing all Related Party Transactions carried out by the Company. The Committee complies with the Code of Best Practices

on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka, which was subsequently incorporated into the Listing Rules of the Colombo Stock Exchange in an endeavour to ensure that the interests of shareholders as a whole are taken into account by the Company when entering into Related Party Transactions.

COMPOSITION OF THE COMMITTEE

-  Mr. R.N. Asirwatham (*Chairman*)
-  Mr. J.M.S. Brito
-  Mr. G.C. Wickremasinghe
-  Mr. C.H. Gomez
-  Mr. N.J. de Silva Deva Aditya/ Mr. A. L. Gooneratne (*Alternate Director to Mr. N. J. de Silva Deva Aditya in the parent company's Directorate*)

 *Independent Non-Executive Director*

 *Non-Executive Director*

The Committee's composition complies with the requirements of Section 9.2.2 of the Listing Rules of the Colombo Stock Exchange.

The Committee is composed of three Independent Non-Executive Directors and two Non-Independent Non-Executive Directors. The Committee is chaired by an Independent Non-Executive Director who is a fellow member of the Institute of Chartered Accountants of Sri Lanka. Members of the Committee possess a wealth of knowledge and experience.

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE MEETING ATTENDANCE

	Attendance			
Related Party Transactions Review Committee Members	01/07/2020	10/09/2020	07/12/2020	15/03/2021
Mr. R.N. Asirwatham (<i>Chairman</i>)				
Mr. J.M.S. Brito				
Mr. G.C. Wickremasinghe				
Mr. C.H. Gomez		Ex.	Ex.	Ex.
Mr. N.J. de Silva Deva Aditya/ Mr. A.L. Gooneratne (Alternate Director to Mr. N.J. de Silva Deva Aditya in the parent company's Directorate)				
 <i>Present in person</i>				
 <i>Attendance via MS Teams</i>				
Ex. <i>Excused</i>				

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

KEY HIGHLIGHTS DURING THE FINANCIAL YEAR 2020/21

Each quarter, disclosures were obtained from the Key Management Personnel and the Group related companies in relation to post quarter confirmations and proposed transactions and the Committee reviewed all such disclosure at its quarterly meetings. The Committee further communicated its activities to the Board by tabling the minutes of the Committee meetings, at the Board meetings. The Committee at its first meeting of the Financial Year, fixed the thresholds for the Financial Year 2020/21 based on the Audited Financial Statements of the previous financial year.

RESPONSIBILITIES OF THE COMMITTEE

The Committee's key focus is to review all proposed related party transactions prior to entering into or completion of the transaction according to the procedures laid down by Section 9 of the Listing Rules of the Colombo Stock Exchange and the responsibilities of the Committee are as follows:

- Evaluate any proposed related party transactions on a quarterly basis and recommend to the management and the Board, the appropriate course of action to be taken in order to be compliant with the regulations of the Listing Rules and the Code of Best Practices on Related Party Transactions issued by the Securities and Exchange Commission of Sri Lanka,
- Review any post quarter confirmations on related party transactions,
- Review the threshold for related party transactions which require either shareholders' approval or immediate market disclosures, as the case may be,
- Review the criteria of Key Management Personnel,
- Regularly report to the Board on the Committee's activities.

KEY MANAGEMENT PERSONNEL

The members of the Board of the Company are construed as the Key Management Personnel (KMPs) of Aitken Spence Hotel Holdings PLC. Further, Directors, Vice Presidents and Assistant Vice Presidents of subsidiary companies are considered as KMPs of such companies to establish greater transparency and governance.

Declarations are obtained from each KMP of the Company and its subsidiaries for the purpose of identifying any related party transactions they intend to carry out on quarterly and annual basis to determine related party transactions and to comply with the disclosure requirements, if any.

KEY FUNCTIONS OF THE COMMITTEE

- Policies and procedures adopted
 - The Group Company Secretaries obtain quarterly disclosures from the Key Management Personnel of any proposed related party transactions and confirmations of any post-quarter transactions. All such disclosures are tabled at each Related Party Transactions Review Committee meetings,
 - Disclosures are obtained from all Group Companies of any proposed Related Party Transactions and confirmations of any post-quarter transactions and all disclosures are tabled at each Related Party Transactions Review Committee Meeting,
 - Non-recurrent transactions if any, are communicated to the Group Company Secretaries who in turn notify the Committee, if required.
- Review of Related Party Transactions
 - Reviewed all proposed related party transactions as well as post quarter confirmations,
 - Activities of the Committee were communicated to the Board by tabling the minutes of the Committee Minutes.

DECLARATION BY THE BOARD

The Annual Report of the Board of Directors embodies a declaration confirming the compliance with the requirements stipulated in Section 9.3.2(d) of the Listing Rules of the Colombo Stock Exchange.



R.N. Asirwatham
Chairman

Related Party Transactions Review Committee

Colombo
28th May 2021

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Companies Act No. 07 of 2007 requires the Directors of the Company to be responsible for the preparation and presentation of the Financial Statements and other statutory reports. The responsibilities of the Directors, in relation to the Financial Statements of Aitken Spence Hotel Holdings PLC and the Consolidated Financial Statements of the Group are set out in this report.

The Directors confirm that the Financial Statements and other statutory reports of the Company and its Subsidiaries for the year ended 31st March 2021 incorporated in this report have been prepared in accordance with the Companies Act No. 07 of 2007, the Sri Lanka Accounting and Auditing Standards Act No.15 of 1995 and the Listing Rules of the Colombo Stock Exchange.

The Directors have taken appropriate steps to ensure that the Companies within the Group maintain adequate and accurate records which reflect the true financial position of each such Company and hence the Group. The Directors have taken appropriate and reasonable steps to safeguard the assets of the Company and the Group. The Directors have instituted appropriate systems of internal control in order to minimise and detect fraud, errors and other irregularities. The Directors in maintaining a sound system of internal control and in protecting the assets of the Company, have further adopted risk management strategies to identify and evaluate the risks which the Company could be exposed to and its impact to the Company.

The Directors having considered the Group's business plans, and a review of its current and future operations, are of the view that the Company and the Group have adequate resources to continue in operation. The Directors have adopted the going concern basis in preparing the Financial Statements.

The Financial Statements presented in this Annual Report for the year ended 31st March 2021, have been prepared based on the Sri Lanka Accounting Standards (SLFRSs/ LKASs). The Directors have selected the appropriate accounting policies and such policies adopted by the Group are disclosed and explained in the Financial Statements.

The Board of Directors confirm that the Company and the Group's Consolidated Statements of Financial Position as at 31st March 2021 and the Comprehensive Income Statements for the Company and the Group for the Financial Year ended 31st March 2021 reflect a true and fair view of the Company and the Group.

The Directors have provided the Auditors with every opportunity to carry out any reviews and tests that they consider appropriate and necessary for the performance of their duties. The responsibility of the Independent Auditors in relation to the Financial Statements is set out in the Independent Auditors Report.

The Directors confirm that to the best of their knowledge all payments to employees, regulatory and statutory authorities due and payable by the Company and its Subsidiaries

have been either duly paid or adequately provided for in the Financial Statements. The Directors further confirm that they promote the highest ethical, environmental and safety standards within the Group. The Directors also ensure that the relevant national laws, international laws and codes of regulatory authorities, professional institutes and trade associations have been complied with by the Group.

By order of the Board,
Aitken Spence Hotel Holdings PLC



**Aitken Spence Corporate Finance
(Private) Limited**
Secretaries

28th May 2021
Colombo

ANNUAL REPORT OF THE BOARD OF DIRECTORS

The Board of Directors of Aitken Spence Hotel Holdings PLC, has pleasure in presenting the Annual Report and the Audited Financial Statements for the year ended 31st March 2021 which were approved by the Board of Directors on 28th May 2021. The details set out herein provide the pertinent information required by the Companies Act No. 07 of 2007, Listing Rules of the Colombo Stock Exchange and the best accounting practices.

1. PRINCIPAL ACTIVITIES

The principal activities of the Company are that of an investment holding company and hoteliering. The subsidiary companies are also engaged in the business of hoteliering. During the year there were no significant changes in the principal activities of the Company and the subsidiaries, although such activities were severely hampered by the prevailing Covid-19 pandemic conditions.

For the year ended 31st March	2021	2020
Net profit / (loss) before tax	(7,606,620)	(433,023)
Provision for taxation including deferred tax	353,405	(462,701)
Net profit / (loss) after tax	(7,253,215)	(895,724)
Other comprehensive income	107,711	643,644
Total comprehensive income/expense for the year	(7,145,504)	(252,080)
Total comprehensive income/expense attributable to non-controlling interest	(2,581,266)	(49,722)
Total comprehensive income/ expense attributable to equity shareholders	(4,564,238)	(202,358)
Transactions directly recognized in the equity statement	(27,356)	(222,423)
Balance brought forward from the previous year	17,008,313	17,784,234
Amount available for appropriations	12,416,719	17,359,453
Final dividends	(14,850)	(351,140)
Total reserves and earnings	12,401,869	17,008,313
Stated capital	3,554,587	3,554,587
Balance attributable to equity holders of the Company at the end of the period	15,956,456	20,562,900

2. REVIEW OF OPERATIONS

A review of operational and financial performance, the future of the Company and the Group are described in greater detail in the Chairman's Statement, Managing Director's Review and the Management Discussion and Analysis of the Annual Report. These Reports together with the Audited Financial Statements of the Company and the Group reflect the respective state of affairs of the Company and the Group. The Group consists of the subsidiaries and equity accounted investees of Aitken Spence Hotel Holdings PLC and details of the Group structure is given on pages 12 and 13 of the Annual Report.

3. ACCOUNTING POLICIES AND CHANGES DURING THE YEAR

The Company and the Group prepared the Financial Statements in accordance with Sri Lanka Accounting Standards (SLFRSs/ LKASs). The significant accounting policies adopted in the preparation of the Financial Statements of the Company and the Group and the changes made during the year are given on pages 146 to 243.

4. SYNOPSIS OF THE INCOME STATEMENT OF THE COMPANY AND THE GROUP

4.1. Group Revenue and Profits

Revenue generated by the Company during the year amounted to Rs. 124 million. (2020 - Rs. 704 million). The Group revenue was Rs. 5,728 million (2020 - Rs. 19,019 million) which is a decline of 70% compared to the previous year. An analysis of Group revenue based on geographical and business segments is disclosed in notes 6 and 7 of the Financial Statements on pages 167 and 168. The loss after tax of the Group was -Rs. 7,253 million (2020 - Rs. (896) million). The Group's loss attributable to the equity shareholders of the

parent company for the year was -Rs. 4,669 million (2020 - Rs. (625) million). The segmental profits/ losses are disclosed in note 6 of the Financial Statements on page 167.

4.2. Donations

During the year, donations amounting to Rs. 204,649/- were made by the Company, while the donations made by the Group during the year amounted to Rs. 1,987,961/-

4.3. Taxation

A detailed statement of the income tax rates applicable to the individual companies in the Group and a reconciliation of the accounting profits with the taxable profits are given in note 13 of the Financial Statements on pages 174 to 179. It is the policy of the Group to provide for deferred taxation on all known timing differences on the liability method. The deferred tax balances of the Group companies are given in notes 22 and 34 of the Financial Statements on pages 195 and 210.

4.4. Dividends

The Directors did not declare a preference dividend on the cumulative preference shares issued by the Company for the Financial Year 31st March 2021 and did not recommend an ordinary dividend for the Financial Year ended 31st March 2021.

5. SYNOPSIS OF THE STATEMENT OF FINANCIAL POSITION OF THE COMPANY AND THE GROUP

5.1. Stated Capital and Reserves

As at 31st March 2021 the Company had issued 336,290,010 ordinary shares and 16,500,000 redeemable cumulative preference shares. The stated capital of the Company was Rs. 3,555 million. The Company's reserves as at 31st March 2021 were Rs. 7,044 million (2020 - Rs. 7,324 million) whereas the total Group's

reserves as at 31st March 2021 were Rs. 12,402 million (2020- Rs. 17,008 million). The movement in these reserves is shown in the Statement of Changes in Equity - Group on Pages 142 to 143.

5.2. Property, Plant and Equipment

The carrying value of property plant and equipment for the Company and the Group as at 31st March 2021 amounted to Rs. 1,583 million and Rs. 52,767 million respectively. The total expenditure on the acquisition of property, plant and equipment during the year in respect of new assets acquired by the Company and the Group amounted to Rs. 23 million and Rs. 779 million respectively.

5.3. Market Value of Freehold Properties

Land recognised as property, plant and equipment in the Financial Statements in the Group is recorded at either fair value or revalued amounts. Revaluation of land is performed with sufficient regularity so that the carrying value of the land does not differ materially to its market value. Revaluation was performed by professionally qualified independent valuers having appropriate experience in valuing properties in the locality of the land being revalued. If the fair value of land does not change other than by an insignificant amount at each reporting date the Group revalues such land every five years. Details of the revalued land, revaluation surplus, and the original cost are given in note 16.3 of the Financial Statements. The Group records all other assets at cost and check for any impairment of these assets when the Group identifies any trigger for impairment.

5.4. Contingent Liabilities

The details of contingent liabilities are disclosed in note 39 of the Financial Statements on page 218.

6. EVENTS OCCURRING AFTER THE REPORTING DATE

No event of material significance that requires adjustments to the Financial Statements has arisen other than that disclosed in note 47 to the Financial Statements on page 242.

7. GOING CONCERN

Aitken Spence Hotel Holdings PLC and its subsidiaries operate in the tourism sector, which has been significantly affected since the outbreak of the COVID - 19 pandemic. Since March 2020, Hotels in the Group were operated within the guidelines adopted by the respective Governments in the countries we operate. During the first nine months of the year 2020, Hotels in Sri Lanka were mainly operated with local clientele, due to closure of borders for International Tourists. However, Hotels operating in the Republic of Maldives were opened for Tourists in July 2020 with the opening of Male International Airport.

Some Hotels in Sri Lanka commenced operations for foreign customers during the last quarter of the financial year as "safe and secure certified Level 1 hotels" as per the initiative taken by Sri Lanka Tourism Development Authority to accommodate international tourists to Sri Lanka. Operations of the Hotels in the Group were carried out strictly under the guidelines issued by the respective Governments, with priority given to the safety of our guests and staff.

In preparing this report, based on the information available, the Management has assessed the existing and anticipated effects of the COVID-19 pandemic on the Group and the appropriateness of the use of the going concern basis.

ANNUAL REPORT OF THE BOARD OF DIRECTORS

102-30 102-31 102-32 205-2 205-3 206-1 416-1

Having presented the outlook to the Board, the Directors are satisfied that the Group has adequate resources to continue in operational existence for the foreseeable future. The Management concluded that the range of possible outcomes considered at arriving at this judgment does not give rise to material uncertainties related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern.

8. INFORMATION ON THE BOARD OF DIRECTORS AND THE BOARD SUB-COMMITTEES

8.1. Board of Directors

The names of the Directors of the Company who held office during the financial year is given in the following table and their brief profiles are given on pages 25 to 28 of the Annual Report. All of the below Directors held office during the entire year.

	Executive	Non-Executive	Independent Non-Executive
Deshamanya D.H.S. Jayawardena (<i>Chairman</i>)	✓		
Dr. M.P. Dissanayake (<i>Managing Director</i>)	✓		
Ms. D.S.T. Jayawardena	✓		
Mr. C.M.S. Jayawickrama	✓		
Mr. J.M.S. Brito		✓	
Mr. R.N. Asirwatham			✓
Mr. N.J. de Silva Deva Aditya		✓	
Mr. C.H. Gomez			✓
Mr. G.P.J. Goonawardena			✓

8.2. Board Sub-Committees

The following Committees of the parent company namely Aitken Spence PLC function as the Audit, Remuneration, Nomination and Related Party Transactions Review Committees as permitted by the Listing Rules.

Audit Committee

Mr. R.N. Asirwatham (*Chairman*)
Mr. G.C. Wickremasinghe
Mr. C.H. Gomez
Mr. N.J. de Silva Deva Aditya/Mr. A.L. Gooneratne (*Alternate Director to Mr. N.J. de Silva Deva Aditya in the parent company's Directorate*)
Mr. J.M.S. Brito

Remuneration Committee

Mr. G.C. Wickremasinghe (*Chairman*)
Mr. R.N. Asirwatham
Mr. C.H. Gomez

Nomination Committee

Mr. G.C. Wickremasinghe (*Chairman*)
Deshamanya D.H.S. Jayawardena
Mr. R.N. Asirwatham

Related Party Transactions Review Committee

Mr. R.N. Asirwatham (*Chairman*)
Mr. G.C. Wickremasinghe
Mr. C.H. Gomez
Mr. N.J. de Silva Deva Aditya/ Mr. A.L. Gooneratne (*Alternate Director to Mr. N.J. de Silva Deva Aditya in the parent company's Directorate*)
Mr. J.M.S. Brito

8.3. Re-appointment of Directors who are over 70 years of age and Re-election of Directors

Upon the recommendation of the Nomination Committee and the Board, it is recommended that Deshamanya D.H.S. Jayawardena, Mr. R.N. Asirwatham, Mr. J.M.S. Brito and Mr. N.J. de Silva Deva Aditya

who are over 70 years of age and who vacate office in term of Section 210 (2) (b) of the Companies Act, be re-appointed as Directors in terms of Section 211 of the Companies Act, specially declaring that the age limit stipulated in Section 210 of the Companies Act shall not apply to the said Directors. Ms. D.S.T. Jayawardena who retires by rotation in terms of Article 83 of the Articles of Association of the Company offers herself for re-election and the Board recommended same.

8.4. Directors' Shareholding

The Directors' shareholdings are provided on page 253 of the Annual Report.

8.5. Interest Register

An Interest Register is maintained by the Company as per the Companies Act No. 07 of 2007. Any interest in transactions disclosed to the Board by a Director in accordance with Section 192 of the Companies Act No. 7 of 2007 is duly recorded in the Interest Register.

8.6. Directors' Remuneration

The Directors' remuneration and fees in respect of the Company and the Group for the financial year ended 31st March 2021 are disclosed on page 173 of the Financial Statements.

8.7. Related Party Transactions

Related party transactions of the Company and the Group are disclosed in note 45 to the Financial Statements. These are recurrent and non-recurrent related party transactions, which required disclosure in the Annual Report in accordance with the Sri Lanka Accounting Standard No. 24-Related Party Disclosures. However, there were no recurrent related party transactions which in aggregate value exceeded 10% of the consolidated revenue of the group as per the Audited Financial Statements as at 31st March 2020.

There were no non-recurrent related party transactions which in aggregate value exceeding lower of 10% of the equity or 5% of the total assets of the Group as per the Audited Financial Statements as at 31st March 2020, which required additional disclosures in the Annual Report under Section 9.3.2(a) of the Listing Rules of the Colombo Stock Exchange.

The Key Management Personnel and the Group companies (including the Company) have disclosed on a quarterly basis, the proposed related party transactions (if any)

falling under the ambit of Section 9 of the Listing Rules of the Colombo Stock Exchange which were to be entered into with the Company and or with another company within the Group and or with any other 'Related Party' as defined in the Sri Lanka Accounting Standards (as applicable). The disclosures so made were tabled at the quarterly meetings of the Related Party Transactions Review Committee, in compliance with the requirements of the above-mentioned Section.

The Directors declare that the Company is in compliance with Section 9 of the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions during the financial year ended 31st March 2021.

8.8. Subsidiary Board of Directors

The names of Directors of the subsidiary companies who held office as at 31st March 2021 and Directors who ceased to hold office during the accounting period are set out on pages 257 to 259 of this Annual Report.

9. HUMAN RESOURCES

Our Human Resources strategies and practices have translated into the creation of a dynamic and competent human resource team with sound succession planning and a remarkably low attrition rate. Our employment strategies are reviewed periodically by the relevant Committees and the Board of Directors.

10. CORPORATE GOVERNANCE

The Group has not engaged in any activity, which contravenes the national and international laws. The Group rigidly adheres to relevant national and international laws and the regulations of Professional Institutes and Associations,

Industrial Associations, Chambers of Commerce and Regulatory Bodies. The Group complies with the Listing Rules of the Colombo Stock Exchange and the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka. The Group applies very high standards to protect and nurture the environment in which it operates and ensures strict adherence to all environmental laws and practices.

The Company has no restrictions with regard to shareholders carrying out analysis or obtaining independent advice of a non-price sensitive nature regarding their investment in the Company and has made all endeavors to ensure the equitable treatment of shareholders. The Company's Corporate Governance practices are set out on pages 98 to 112 of this Annual Report.

11. RISK MANAGEMENT

The Directors have established and adhered to a comprehensive risk management framework at both Strategic Business Units and Group levels to ensure the achievement of their corporate objectives. The categories of risks faced by the Group are identified, the significance they pose are evaluated and mitigating strategies are adopted by the Group. The Board of Directors reviews the Risk Management Process through the Audit Committee. The Risk Management Report of the Group is on pages 42 to 48 of this Report.

12. INTERNAL CONTROLS

The Board of Directors ensures that the Group has an effective internal control system which ensures that the assets of the Company and the Group are safeguarded and appropriate systems are in place to minimise and detect fraud, errors

ANNUAL REPORT OF THE BOARD OF DIRECTORS

and other irregularities. The system ensures that the Group adopts procedures which result in financial and operational effectiveness and efficiency.

Board of Director's Statement on Internal Controls on pages 127 to 128, the Statement of Directors' Responsibilities on page 121 and the Audit Committee Report set out on pages 113 to 115 of this Report provide further information in respect of the above.

13. STATUTORY PAYMENTS

The Directors to the best of their knowledge and belief are satisfied that all statutory financial obligations to the Government and to the employees have been either duly paid or adequately provided for in the Financial Statements. A confirmation of same is included in the Statement of Directors' Responsibilities on page 121 of this Annual Report.

14. CORPORATE SUSTAINABILITY

The Board of Directors guides and supports the Group's sustainability strategy. It welcomes the implementation of the structured and dynamic integrated sustainability framework. Awards and recognition received during the year and previous years are a testament to our commitment as we continue to benchmark our practices against global standards and best practices in a myriad of aspects that affect or potentially affect delivery of growth. More details of the Group's sustainability efforts are included in the Management Discussion and Analysis of this Report.

15. SHAREHOLDER INFORMATION

There were 3,636 shareholders as at 31st March 2021. The distribution schedule of the number of shareholders and their shareholdings are detailed on page 250 of this

Annual Report. The names of the twenty largest shareholders, together with their shareholdings as at 31st March 2021 are given on page 253 of this Annual Report. The percentage of the shares held by the public as at 31st March 2021 was 25.41% and the number of shareholders who held the public holding was 3,625. Information relating to Earnings Per Share and the Net Assets Per Share for the Company and the Group, the Dividend Per Share and the Market Price Per Share are given on pages 16 and 251 of this Annual Report.

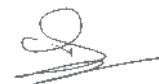
16. AUDITORS

The Independent Auditors' Report on the Financial Statements is given on pages 132 to 137 of this Annual Report. The retiring Auditors Messrs. KPMG, Chartered Accountants have expressed their willingness to continue in office and a resolution to re-appoint them as auditors and grant authority to the Board to determine their remuneration will be proposed at the Annual General Meeting of the Company. The fees payable to the Company auditors Messrs. KPMG, Chartered Accountants was Rs. 982,000/- (2020 - Rs. 982,000/-). In addition to the above, Rs. 258,314/- (2020 - Rs 410,437/-) was payable by the Company for permitted non audit related services including tax advisory services. Messrs. KPMG, Chartered Accountants the auditors of the Company are also the auditors of certain subsidiaries and associate companies of the Group. The list of the subsidiaries and associate companies audited by them are included on pages 257 to 259 of this Annual Report.

The amount payable by the Group to Messrs. KPMG, Chartered Accountants as audit fees was Rs. 12,814,352/- (2020 - Rs 11,985,460/) while a further Rs. 5,649,998/- (2020

- Rs. 1,317,566/-) was payable for permitted non audit related services including tax advisory services.

In addition to the above, Rs. 1,594,034/- (2020- Rs. 1,690,487/-) was payable to other auditors for carrying out audits in subsidiaries and associates where the audits were conducted by them. The amount payable to such other auditors for non-audit related services including tax advisory services was Rs. 4,579,206/- (2020 - Rs. 2,939,828/). As far as the Directors are aware the auditors neither have any other relationship with the Company nor any of its subsidiaries and associates that would have an impact on their independence.



Deshamanya D.H.S. Jayawardena
Chairman



Dr. M.P. Dissanayake
Managing Director



**Aitken Spence Corporate Finance
(Private) Limited**
Secretaries

Colombo
28th May 2021

THE BOARD OF DIRECTORS' STATEMENT ON INTERNAL CONTROLS

102-16 102-17 419-1

RESPONSIBILITY

The following statement fulfills the requirement to publish the Directors' statement of internal control as per the Code of Best Practice on Corporate Governance 2017.

The Board of Directors ("Board") is responsible for the adequacy and effectiveness of the internal control mechanism in place at Aitken Spence Hotel Holdings PLC ("Group").

The Board has established an ongoing process for identifying, evaluating, and managing the significant risks faced by the Company and this process includes the system of internal control over financial reporting. The process is regularly reviewed by the Board.

The Board is of the view that the system of internal control over the financial reporting in place is sound and adequate to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of Financial Statements for external purposes is in accordance with the relevant accounting principles and regulatory requirements.

The Board has delegated specific responsibilities to the following four sub-committees:

- Audit Committee
- Nomination Committee
- Remuneration Committee
- Related Party Transactions Review Committee

These committees are chaired by independent Non-Executive Directors and have the authority to examine particular issues and report back to the Board with their recommendations.

The Board is confident that the internal controls are adequate to provide reasonable assurance regarding the reliability of financial reporting which are in accordance with the acceptable regulatory requirements.

INTERNAL AUDIT

The internal audit division of the Group checks for compliance with the policies and procedures and the effectiveness of the internal control systems on an ongoing basis using samples and procedures and highlights significant findings in respect on any non-compliance. Audits are carried out on all units of the Group, the frequency of which is determined by the level of risk assessed, to provide an independent and objective report.

The annual audit plan is reviewed and approved by the Audit Committee. Internal audit Findings and the management responses are tabled before the Audit Committee for review at its periodic meetings.

REVIEW ADEQUACY AND EFFECTIVENESS

The adequacy and effectiveness of the internal controls of both financial and operations processes are regularly reviewed by the Board and the Audit Committee, and remedial steps are taken where necessary.

The Board and the Audit Committee concludes that an effective system of risk management and internal control is in place to safeguard the shareholders' investment and the Group's assets.

POLICIES, PROCEDURES AND BUDGETS

Policies and procedure to ensure compliance with the internal controls and relevant laws and regulations are set out in operations manuals, which are updated from time to time.

Annual budgets are approved by the respective Boards and the subsidiaries'

performance are assessed against the approved budgets and explanations are provided for significant variances periodically to the respective Boards.

WHISTLE BLOWING POLICY

The Group has in place a whistle blowing policy. The Whistle-Blowing Policy enables any employee, supplier and any stakeholder to report actual or suspected malpractices, misconducts or violations of the Group's policies and regulations in a safe and confidential manner through the appropriate channels.

The prevalence and effectiveness of this policy is monitored by the Audit Committee from time to time.

ETHICS AND INTEGRITY

The Group is committed in conducting its business in an open, honest and ethical manner. Ethics and integrity has always been the main reference for all employees when dealing with various stakeholders. The strong commitment of the Group in upholding integrity when carrying out duties are evidenced by the Group Code of Ethics & Professional conduct which is circulated to Directors and all employees.

CYBER SECURITY

Cybercrime is a global problem that has been dominating the world. It poses a threat to individual security and is a threat to groups such as ours. The cybercrimes of today far out shadow the lone hackers of the past. The Board has taken necessary precautions to minimize the risk of a security breach. During the year under review, necessary steps have been rolled out to curtail the exposure to cyber-attacks by reducing the threat surface and any potentially exploitable vulnerabilities.

GOING CONCERN

The statement of going concern is set out in the 'Annual Report of the Board of Directors' on page 123.

THE BOARD OF DIRECTORS' STATEMENT ON INTERNAL CONTROLS

RISK MANAGEMENT

An overview of the Group's risk management framework, is set out on pages 42 to 48.

HEALTH AND SAFETY

Health and Safety of all stakeholders is one of the top priorities, especially during present challenging times due to COVID-19 pandemic. The Group employs a well laid out protocol and necessary guidelines for the containment of the pandemic.

ANNUAL REPORT

The Board is responsible for the preparation of the Annual Report and confirms that the quarterly reports, Annual Financial Statements and the annual review of operations of the Group and its equity accounted investees that are incorporated in this Annual Report have been prepared and presented in a reliable manner, based on a balanced and comprehensive assessment of the financial performance of the entire Group.

CONFIRMATION

All Financial Statements are prepared in accordance with the requirements of the Companies Act No. 7 of 2007, the Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995 and the Listing Rules of the Colombo Stock Exchange and other regulatory bodies as applicable to the Group.

We have duly complied with all the requirements prescribed by the regulatory authorities including the Colombo Stock Exchange and the Registrar of Companies. The consolidated Financial Statements for the year ended 31st March 2021 have been audited by Messrs. KPMG, Chartered Accountants.



Deshamanya D.H.S. Jayawardena
Chairman



Dr. M.P. Dissanayake
Managing Director



R.N. Asirwatham
Chairman
Audit Committee

Colombo
28th May 2021



PERSEVERING THROUGH PANDEMONIUM

Our performance was adversely impacted by the debilitating events of the past year, yet we journey on with relentless ambition and dedication.

FINANCIAL STATEMENTS

FINANCIAL CALENDAR

FINANCIAL CALENDAR

Interim Financial Statements Calendar - 2020/2021

Interim Financial Statements for the three months ended on 30th June 2020	Approved on 11th August 2020
Interim Financial Statements for the six months ended on 30th September 2020	Approved on 12th November 2020
Interim Financial Statements for the nine months ended on 31st December 2020	Approved on 12th February 2021
Interim Financial Statements for the twelve months ended on 31st March 2021	Approved on 21st May 2021

Audited Financial Statements Calendar

Audited Financial Statements for the year ended on 31st March 2021	Approved on 28th May 2021
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Annual General Meeting (AGM) Calendar

Forty Fourth Annual General Meeting	On 30th June 2021
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INDEPENDENT AUDITOR'S REPORT



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
P. O. Box 186,
Colombo 00300, Sri Lanka.

Tel : +94 - 11 542 6426
Fax : +94 - 11 244 5872
+94 - 11 244 6058
Internet : www.kpmg.com/lk

To the Shareholders of Aitken Spence Hotel Holdings PLC

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Aitken Spence Hotel Holdings PLC ("the Company") and the consolidated financial statements of the Company and its subsidiaries ("the Group"), which comprise the statement of financial position as at 31st March 2021, and the income statement, statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information as set out on pages 138 to 243.

In our opinion, the accompanying financial statements of the Company and the Group give a true and fair view of the financial position of the Company and the Group as at 31st March 2021, and of their financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for Opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics), and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Company financial statements and consolidated financial statements of the current period. These matters were addressed in the context of our audit of the Company financial statements and consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Management assessment of the Group and the Company's ability to continue as going concern.

Refer the Accounting Policies in Note 2.11 and Note 52 to the financial statements

Risk Description

The Group/ the Company incurred net loss of Rs. 7,253 Mn and Rs. 260 Mn respectively for the year ended 31st March 2021. Further, the Group/ the Company's current liabilities exceeded its current assets by Rs. 7,144 Mn and Rs. 227 Mn respectively as at the reporting date.

However, these financial statements have been prepared on a going concern basis. In adopting the going concern basis of preparation of the financial statements, the directors have reviewed the company's cash flow projections prepared by the management. The cash flow projections were based on management's assumptions and estimation of future cash inflows and outflows, also taking into consideration the impact of COVID-19 related estimate uncertainty.

Our response

Our audit procedures included,

- Obtaining the Group's / the Company's cash flow projections covering period of not less than twelve months from the reporting period end date and evaluating these key assumptions used in preparing the projections.
- Evaluating the sensitivity of the projected available cash by considering downside scenarios together with reasonably plausible changes to the key assumptions and considering whether there were any indicators of management bias in the selection of the assumptions.

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M.R. Mihular FCA
T.J.S. Rajakumar FCA
Ms. S.M.B. Jayasekara FCA
G.A.U. Karunaratne FCA
R.H. Rajan FCA
A.M.R.P. Alahakoon ACA

P.Y.S. Perera FCA
W.W.J.C. Perera FCA
W.K.D.C. Abeyaratne FCA
R.M.D.B. Rajapakse FCA
M.N.M. Shameel FCA

C.P. Jayatilake FCA
Ms. S. Joseph FCA
S.T.D.L. Perera FCA
Ms. B.K.D.T.N. Rodrigo FCA
Ms. C.T.K.N. Perera ACA

Principals - S.R.J. Perera FCMA(UK), LL.B., Attorney-at-Law, H.S. Goonewardene ACA, Ms. P.M.K. Sumanasekara FCA, W.A.A. Weerasekera CFA, ACMA, MRICS



Management assessment of the Group and the Company's ability to continue as going concern (Continued).

Refer the Accounting Policies in Note 2.11 and Note 52 to the financial statements

Risk Description	Our response
Notes to the financial statements, which describes increased estimation uncertainty in the preparation of the current year Group / the Company financial statements, specifically as it relates to the impacts of COVID-19 on the Group's / the Company's future prospects, performance and cash flows. Further, the management has described how they plan to deal with these events and circumstances as the outbreak is still prevailing as at the date of this report. We identified the management assessment of the Group's the Company's ability to continue as going concern and related COVID-19 disclosures as a key audit matter because the cash flow projections referred to above involves consideration of future events and circumstances which are inherently uncertain, and effect of those uncertainties may significantly impact the resulting accounting estimates. Therefore, the assessment requires the exercise of significant management judgement in assessing future cash inflows and outflows which could be subject to potential management bias.	- Inspecting the facility agreements for the Group's / the Company's long-term loans to identify any financial covenants or similar terms and assessing the implication of these on the Group's / the Company's liquidity. - Assessing the adequacy of disclosures in the financial statements in relation to the potential impact of COVID-19 to the Group's / the Company's ability to continue as going concern with reference to the requirements of the prevailing accounting standards.

Carrying amount of Goodwill

Refer the Accounting Policies in Note 3.5.4 and Note 18 to the financial statements

Risk Description	Our response
The Group has goodwill amounting to Rs. 519 Mn as at 31st March 2021. The carrying amount of goodwill could be materially misstated if inappropriate judgments and estimates were used by the management in calculating the recoverable amount for each cash generating unit ('CGU') as part of their impairment assessment. The recoverable amount of the goodwill is determined based on value in use calculation. These calculations used cash flows projected using judgments and estimates based on the financial budgets approved by the management. Further, COVID-19 outbreak resulted in interruption in business activities and resulted in loss of income, which would adversely affect the ability to generate adequate return and indicate potential impairments indicators. We have identified the recoverable amount of the goodwill as a key audit matter since that is based on forecasted and discounted cash flows, which are inherently judgmental.	Our audit procedures included, - Evaluating the reasonableness of the group's key assumptions for its cash flow projection such as discount rates, cost inflation and business growth with reference to the internally derived sources including group budgetary process and reasonableness of historical forecasts. - Testing the mathematical accuracy of the underlying calculations in the Group's discounted cash flow valuation methods. - Considering the adequacy of the Group disclosures in the financial statements in respect of impairment testing

INDEPENDENT AUDITOR'S REPORT



Impairment of investments in subsidiaries and investments in equity accounted investees	
Refer Accounting Policies in Note 3.1 and Note 19 and 20 to the financial statements	
Risk Description	Our response
The Company hold investments in subsidiaries and investments in equity accounted investees amounting to Rs. 8,007 Mn and Rs. 1,268 Mn respectively as at 31st March 2021. Further the Group holds investments in equity accounted investees amounting to Rs. 632 Mn. The carrying amount of each investments in subsidiary and investments in equity accounted investees have been tested for impairment as individual Cash Generating Units. The carrying amount of these investments could be materially misstated if inappropriate judgments and estimates were used by the Directors in calculating the recoverable amount for each cash generating unit ('CGU') as a part of their impairment assessment. Further, COVID-19 outbreak resulted in interruption in business activities and resulted in loss of income for some of the subsidiaries and equity accounted investees within the Group, which would adversely affect the ability to generate adequate return and indicate potential impairments indicators Investments which have not generated adequate returns may be an indication of impairment. Due to the investments being material it will have a significant impact on financial performance of the Company/ Group. We have identified the impairment of investments in subsidiaries and investments in equity accounted investees as a key audit matter since that is based on forecasting and discounting cash flows, which are inherently judgmental.	Our audit procedures included, - Assessing the impairment indications of investments made in subsidiaries and equity accounted investees and assessing the reasonableness of the discounted cash flow models, key assumptions, principles and accuracy of the forecasts. - Reviewing of Value in Use computations for investments with impairment indications and discussion with management of the Group/ component. - Assessing the adequacy of disclosures in the financial statements.



Recoverability of Deferred tax Assets

Refer Accounting Policies in Note 3.11.4 and Note 22 to the financial statements

Risk Description	Our response
The Group has recognized deferred tax assets amounting to Rs. 718 Mn as at 31st March 2021. Group had recognized significant deferred tax assets in respect of the future benefit of deductible temporary differences and accumulated tax losses which management considered would probably be utilised or recovered in the future through the generation of future taxable profits by the Group entities or by set-off against deferred tax liabilities. Further, the COVID-19 outbreak may affect the cash flow projections most of the entities within the Group due to interruption in business activities resulted significant impact to the future taxable profits of the Group, which in turn could affect the recognition of deferred tax assets at the reporting date. The recognition of deferred tax assets relies on the exercise of significant judgment by management in respect of assessing the sufficiency of future taxable profits and the probability of such future taxable profit being generated and future reversals of existing taxable temporary differences. We identified the recognition of deferred tax assets as a key audit matter because of its significance to the consolidated financial statements and because of the significant management judgment and estimation required in forecasting future taxable profits which could be subject to error or potential management bias.	Our audit procedures included, - Assessing the Group's approach for evaluating the likelihood of the recoverability of deferred tax assets. This included understanding the key assumptions in future taxable profits forecasts for each Group entity with accumulated unutilized tax losses by comparing the most significant inputs used in the forecasts, including future revenue, margins and operating cost growth rates, with the historical performance of the entities, management's forecasts used for other purposes and our knowledge of the business gained from other audit procedures. - Reviewing the work carried out by component auditors where necessary. - Assessing adequacy of the disclosures in the financial statements.

INDEPENDENT AUDITOR'S REPORT



Financial Instruments

Refer Accounting Policies in Note 3.3 and Note 42.6 to the financial statements

Risk Description	Our response
The effective portion of a Cash flow hedge has been recognized under other comprehensive income amounting to Rs. 713 Mn for the year ended 31st March 2021. Group is exposed to financial risks arising from exchange rates. A subsidiary company has hedged its Euro currency revenue against the contractual future loan repayments. Rules on hedge accounting requirements and documentation can be complicated. Lack of compliance with documentation rules, hedge effectiveness rules, and probability criteria could lead to income statement volatility. Hedge relationships are formally documented and designated at inception. The documentation includes identification of the hedged item and the hedging instrument and details of the risk that is being hedged and the way in which effectiveness will be assessed at inception and during the period of the hedge. Further, the economic turbulence resulting from COVID-19 pandemic may affect the Group's risk exposures and how it manages them. Also the Group may need to consider whether the hedge accounting criteria is in line with Accounting Standards continue to be met, whether there is hedge ineffectiveness to recognize in profit or loss and whether amounts accumulated in a cash flow hedge reserve need to be reclassified to profit or loss. We identified this as a key audit matter due to the complexities and high level of judgment involved in determining the hedging item, hedge instrument and the testing effectiveness as required by the accounting standards.	Our audit procedures included, - Assessing the nature of the hedge relationships and testing compliance with specific hedge accounting requirements for foreign currency hedging. - Examining the accounting treatment applied for Hedge, in particular when reclassifying gains and losses from reserves to the income statement and adjustments to the carrying value of the hedged item. - Assessing the adequacy of the disclosure in financial instruments by agreeing the financial statements to the underlying workings prepared by management and ensuring classification is consistent with the accounting principles.

Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material

misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters

related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect



a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company and the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to

modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of

doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2618.

CHARTERED ACCOUNTANTS
Colombo, Sri Lanka
28 May 2021

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

102-7

For the year ended 31st March	Notes	Group		Company	
		2021 Rs. '000	2020 Rs. '000	2021 Rs. '000	2020 Rs. '000
Revenue	7	5,728,379	19,019,241	123,747	704,209
Revenue taxes		(136,611)	(430,854)	-	(7,517)
Net revenue		5,591,768	18,588,387	123,747	696,692
Other income/(expenses)	8	(45,957)	117,801	69,237	908,918
Staff costs		(2,431,437)	(3,800,748)	(102,533)	(180,561)
Depreciation		(2,534,273)	(2,116,136)	(63,290)	(61,414)
Amortisation and impairment		(804,178)	(730,743)	(40,555)	(186,950)
Other operating expenses - direct	9	(1,512,542)	(4,256,434)	(49,488)	(191,424)
Other operating expenses - indirect	10	(3,451,876)	(6,238,460)	(176,025)	(325,335)
Profit/(Loss) from operations	11	(5,188,495)	1,563,667	(238,907)	659,926
Finance income		134,707	186,699	63,827	87,307
Finance expense		(2,173,971)	(1,861,353)	(83,280)	(118,079)
Net financing expense	12	(2,039,264)	(1,674,654)	(19,453)	(30,772)
Share of loss of equity accounted investees (net of tax)	20	(378,861)	(322,036)	-	-
Profit/(Loss) before taxation		(7,606,620)	(433,023)	(258,360)	629,154
Income tax (expense)/refund	13	353,405	(462,701)	(2,075)	8,717
Profit/(Loss) for the year		(7,253,215)	(895,724)	(260,435)	637,871
Attributable to:					
Equity holders of the parent company		(4,669,045)	(624,953)	(260,435)	637,871
Non - controlling interests		(2,584,170)	(270,771)	-	-
		(7,253,215)	(895,724)	(260,435)	637,871
Earnings/(Loss) per ordinary share- Basic/Diluted (Rs.)	14	(13.93)	(1.90)	(0.82)	1.85

Figures in brackets indicate deductions.

The notes on pages 146 to 243 form an integral part of these financial statements.

		Group		Company	
For the year ended 31st March		2021	2020	2021	2020
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit /(Loss) for the year		(7,253,215)	(895,724)	(260,435)	637,871
Other comprehensive income/(expense)					
Items that will never be reclassified to profit or loss					
Share of other comprehensive income of equity accounted investees	20	17,464	5,358	-	-
Actuarial gains/(losses) on defined benefit obligations	35.4	(28,661)	17,128	(5,650)	2,619
Income tax on other comprehensive income/(expense)	13.8	3,453	(2,153)	791	(367)
		(7,744)	20,333	(4,859)	2,252
Items that are or may be reclassified to profit or loss					
Foreign currency translation differences of foreign operations		801,962	929,718	-	-
Net movement in fair value reserve		26,123	(14,878)	-	-
Net movement in cashflow hedging	42.6	(712,630)	(291,529)	-	-
		115,455	623,311	-	-
Other comprehensive income/(expense) for the year net of tax		107,711	643,644	(4,859)	2,252
Total comprehensive income/(expense) for the year net of tax		(7,145,504)	(252,080)	(265,294)	640,123
Attributable to:					
Equity holders of the parent company		(4,564,238)	(202,358)	(265,294)	640,123
Non-controlling interests		(2,581,266)	(49,722)	-	-
		(7,145,504)	(252,080)	(265,294)	640,123

Figures in brackets indicate deductions.

The notes on pages 146 to 243 form an integral part of these financial statements.

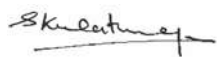
STATEMENT OF FINANCIAL POSITION

		Group		Company	
As at		31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
ASSETS					
Non-Current Assets					
Property, plant and equipment	16	52,766,644	52,554,379	1,583,243	1,624,222
Right-of-use assets	17	11,964,320	11,172,389	-	-
Intangible assets	18	581,137	580,627	1,406	3,271
Investment in subsidiaries	19	-	-	8,006,841	8,006,841
Investment in equity accounted investees	20	631,527	910,478	1,267,862	1,222,873
Other financial assets	21	772,508	764,245	606,058	606,058
Deferred tax assets	22	717,802	295,849	-	-
		67,433,938	66,277,967	11,465,410	11,463,265
Current Assets					
Inventories	23	817,377	933,540	15,122	19,624
Trade and other receivables	24	893,820	1,681,349	82,396	136,869
Amounts due from holding company	25	476,904	740,232	82,929	32,148
Amounts due from parent's group entities	26	231,334	467,086	47,386	112,006
Deposits and prepayments		368,513	588,774	4,128	8,066
Current tax receivable		47,135	33,467	12,134	17,371
Other financial assets	27	714,562	128,828	139,794	82,686
Cash and cash equivalents	28	2,105,560	2,473,266	474,920	502,765
		5,655,205	7,046,542	858,809	911,535
Assets classified as held for sale	29	1,079,094	1,025,525	-	-
Total Assets		74,168,237	74,350,034	12,324,219	12,374,800
EQUITY AND LIABILITIES					
Equity Attributable to Equity Holders of the Company					
Stated capital	30	3,554,587	3,554,587	3,554,587	3,554,587
Reserves	31	5,554,233	5,419,419	705,961	705,961
Retained earnings		6,847,636	11,588,894	6,338,103	6,618,247
		15,956,456	20,562,900	10,598,651	10,878,795
Non -controlling interests		6,006,264	8,587,530	-	-
Total Equity		21,962,720	29,150,430	10,598,651	10,878,795

		Group		Company	
As at		31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Non-Current Liabilities					
Interest - bearing liabilities - banks	32	28,147,885	24,890,820	558,554	471,763
Interest - bearing liabilities - leases	33	9,990,825	8,609,274	-	-
Deferred tax liabilities	34	1,019,424	991,305	37,426	41,433
Employee benefits	35	248,550	209,714	43,437	34,545
		39,406,684	34,701,113	639,417	547,741
Current Liabilities					
Trade payables		913,389	940,582	16,134	17,997
Other provisions and payables	36	3,295,873	3,494,354	55,863	105,639
Amounts due to holding company		168,765	134,293	134,856	42,836
Amounts due to parent's group entities	37	75,307	74,009	533,707	501,284
Interest - bearing liabilities - banks	32	2,568,340	2,757,480	238,410	255,898
Interest - bearing liabilities - leases	33	1,042,409	524,112	-	-
Current tax payable		2,097	80,778	-	-
Bank overdrafts and other short term borrowings	28	4,732,653	2,492,883	107,181	24,610
		12,798,833	10,498,491	1,086,151	948,264
Total Liabilities		52,205,517	45,199,604	1,725,568	1,496,005
Total Equity and Liabilities		74,168,237	74,350,034	12,324,219	12,374,800

The above Statements of Financial Position are to be read in conjunction with notes to the financial statements on pages 146 to 243.

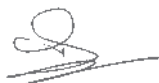
I certify that the financial statements for the year ended 31st March 2021 are in compliance with the requirements of the Companies Act No. 07 of 2007.



Ms. H.F.S. Kulatunga
General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board:



Deshamanya D.H.S. Jayawardena
Chairman



Dr. M.P. Dissanayake
Managing Director

28th May 2021
Colombo,
Sri Lanka

STATEMENT OF CHANGES IN EQUITY

Group		Attributable to equity holders of the parent										
		Notes	Rs. '000	Stated Capital	General Reserve	Fair Value Reserve	Foreign Currency Translation Reserve	Cashflow Hedge Reserve	Revaluation Reserve	Retained Earnings	Total	Non - Controlling Interests
Balance as at 31st March 2019												
		3,554,587		22,929	-	3,049,131	(626,716)	2,551,791	12,787,099	21,338,821	9,256,614	30,595,435
Less adjustments due to:												
	initial application of SLFRS 16, net of tax application of IFRIC 23	-	-	-	-	-	-	-	(318,054)	(318,054)	(277,099)	(595,153)
	Restated balance as at 01st April 2019	3,554,587		22,929		3,049,131	(626,716)	2,551,791	12,468,352	21,020,074	8,979,085	29,999,159
	Loss for the year	-	-	-	-	-	-	-	(624,953)	(624,953)	(270,771)	(895,724)
	Other comprehensive income for the year	-	-	-	(14,878)	596,128	(174,917)		16,262	422,595	221,049	643,644
	Total comprehensive income for the year	-	-	-	(14,878)	596,128	(174,917)	-	(608,691)	(202,358)	(49,722)	(252,080)
	Effect of change in percentage holding in subsidiaries	-	-	-	-	-	-	15,951	80,373	96,324	(96,324)	-
	Final dividends for 2018/2019	15	-	-	-	-	-	-	(351,140)	(351,140)	-	(351,140)
	Dividends paid to non - controlling interests	15	-	-	-	-	-	-	-	-	(245,509)	(245,509)
Balance as at 31st March 2020												
	Loss for the year	3,554,587		22,929	(14,878)	3,645,259	(801,633)	2,567,742	11,588,894	20,562,900	8,587,530	29,150,430
	Other comprehensive income for the year	-	-	-	26,123	507,832	(427,578)	28,437	(30,007)	104,807	2,904	107,711
	Total comprehensive income for the year	-	-	-	26,123	507,832	(427,578)	28,437	(4,699,052)	(4,564,238)	(2,581,266)	(7,145,504)
	Effect of change in percentage holding of share of net assets of equity-accounted investees	20	-	-	-	-	-	-	(27,356)	(27,356)	-	(27,356)
Preference dividends for 2019/2020												
	Balance as at 31st March 2021	3,554,587		22,929	11,245	4,153,091	(1,229,211)	2,596,179	6,847,636	15,956,456	6,006,264	21,962,720

Dividend per ordinary share - (Note No.15) Nil.(2019/20-Nil)

Figures in brackets indicate deductions.

The notes on pages 146 to 243 form an integral part of these financial statements.

Company	Notes	Stated Capital Rs. '000	General Reserve Rs. '000	Revaluation Reserve Rs. '000	Retained Earnings Rs. '000	Total Equity Rs. '000
Balance as at 01st April 2019		3,554,587	22,929	683,032	6,329,264	10,589,812
Profit for the year		-	-	-	637,871	637,871
Other comprehensive income for the year		-	-	-	2,252	2,252
Total comprehensive income for the year		-	-	-	640,123	640,123
Final dividends for 2018/2019	15	-	-	-	(351,140)	(351,140)
Balance as at 31st March 2020		3,554,587	22,929	683,032	6,618,247	10,878,795
Loss for the year		-	-	-	(260,435)	(260,435)
Other comprehensive income for the year		-	-	-	(4,859)	(4,859)
Total comprehensive income for the year		-	-	-	(265,294)	(265,294)
Preference dividends for 2019/2020	15	-	-	-	(14,850)	(14,850)
Balance as at 31st March 2021		3,554,587	22,929	683,032	6,338,103	10,598,651

Dividend per ordinary share - (Note No.15) Nil. (2019/20-Nil)

Figures in brackets indicate deductions.

The notes on pages 146 to 243 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS

For the year ended 31st March	Notes	Group		Company	
		2021 Rs. '000	2020 Rs. '000	2021 Rs. '000	2020 Rs. '000
Cash flow from operating activities					
Profit/(Loss) before taxation		(7,606,620)	(433,023)	(258,360)	629,154
Adjustments for					
Depreciation	11	2,534,273	2,116,136	63,290	61,414
Amortisation of right-of-use assets and intangible assets	11	804,178	730,743	1,865	2,172
Impairment/(reversal of impairment) of trade debtors	11	128,073	80,782	19,970	6,967
Impairment/(reversal of impairment) of financial assets	11	(8,394)	3,603	(8,394)	3,603
Impairment of investment in subsidiaries and equity accounted investees	11	-	-	38,690	184,778
Provision of impairment of inventories		2,781	-	-	-
Loss on liquidation of a subsidiary	11	-	-	-	9,921
Interest expense	12	2,173,971	1,861,353	83,280	118,079
Interest income	12	(134,707)	(186,699)	(63,827)	(87,307)
Loss /(profit) on disposal of property, plant and equipment	8	447	(1,552)	(359)	(2,510)
Provision for retirement benefit obligations	35	40,050	40,348	6,572	6,730
Share of loss of equity accounted investees (net of tax)	20	378,861	322,036	-	-
Effect of movement in exchange rates	8	83,220	3,695	(31,442)	(12,594)
Operating profit/(loss) before working capital changes		(1,603,867)	4,537,422	(148,715)	920,407
(Increase)/decrease in inventories		113,382	(380,662)	4,502	663
(Increase)/decrease in trade and other receivables		659,456	332,613	34,449	14,605
(Increase)/decrease in amounts due from holding company		263,328	409,841	(50,781)	280,427
(Increase)/decrease in amount due from parent's group entities		235,752	(163,689)	64,620	(417)
(Increase)/decrease in deposits and prepayments		220,261	175,350	3,938	17,579
Increase/(decrease) in trade payables		(27,193)	17,078	(1,863)	(11,168)
Increase/(decrease) in other provisions and payables		(198,481)	517,261	(49,776)	(37,670)
Increase/(decrease) in amounts due to holding company		34,472	24,273	92,020	18,687
Increase/(decrease) in amount due to parent's group entities		1,298	17,958	32,423	(330,278)
Cash generated from/(used in) operations		(301,592)	5,487,445	(19,183)	872,835
Interest expenses paid		(340,950)	(1,683,017)	(38,977)	(82,849)
Retirement benefit obligations paid	35	(35,473)	(25,934)	(3,330)	(5,038)
Income taxes paid		(129,325)	(474,723)	-	(2,355)
Net cash flow generated from/(used in) operating activities		(807,340)	3,303,771	(61,490)	782,593

(carried forward to next page)

For the year ended 31st March	Notes	Group		Company	
		2021 Rs. '000	2020 Rs. '000	2021 Rs. '000	2020 Rs. '000
Net cash flow generated from/(used in) operating activities (brought forward from previous page)		(807,340)	3,303,771	(61,490)	782,593
Cash flow from investing activities					
Proceeds from debt securities		-	13,333	-	13,333
Investments in equity	20	(83,679)	-	(83,679)	(437,339)
Acquisition of property, plant and equipment	16	(778,672)	(3,255,080)	(22,578)	(84,356)
Purchase of intangible assets	18	-	(98,652)	-	(2,382)
Proceeds from disposal of property, plant and equipment		17,055	5,344	626	3,720
Interest received		91,295	153,304	15,113	53,913
Purchase of term deposits	27	(533,928)	(33,009)	-	-
Net cash used in investing activities		(1,287,929)	(3,214,760)	(90,518)	(453,111)
Cash flow from financing activities					
Proceeds from interest - bearing liabilities- banks	32	296,787	1,941,023	249,274	127,261
Repayment of interest - bearing liabilities- banks	32	(435,609)	(1,561,981)	(224,274)	(66,600)
Repayment of interest - bearing liabilities- leases	33	(260,971)	(1,219,741)	-	-
Dividends paid to equity holders of the parent	15	(14,850)	(351,140)	(14,850)	(351,140)
Dividend paid to shareholders of non controlling interest	15	-	(245,509)	-	-
Net cash generated from/(used) in financing activities		(414,643)	(1,437,348)	10,150	(290,479)
Net increase/(decrease) in cash and cash equivalents		(2,509,912)	(1,348,337)	(141,858)	39,003
Cash and cash equivalents at the beginning of the year		(19,617)	1,043,809	478,155	426,558
Effect of movement in exchange rates		(97,564)	284,911	31,442	12,594
Cash and cash equivalents at the end of the year	28	(2,627,093)	(19,617)	367,739	478,155
Analysis of cash and cash equivalents at the end of the year					
Cash at bank and in hand		1,546,099	2,473,266	39,843	502,765
Short term deposits less than 90 days		559,461	-	435,077	-
Bank overdrafts and other short term bank borrowings		(4,732,653)	(2,492,883)	(107,181)	(24,610)
Cash and cash equivalents at the end of the year	28	(2,627,093)	(19,617)	367,739	478,155

Figures in brackets indicate deductions.

The notes on pages 146 to 243 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

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1. REPORTING ENTITY

1.1. Corporate information

Aitken Spence Hotel Holdings PLC (the 'Company') is a public limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The Company's registered office and the principal place of business is located at No. 315, Vauxhall Street, Colombo 02.

The immediate parent of Aitken Spence Hotel Holdings PLC is Aitken Spence PLC and ultimate parent is Milford Exports (Ceylon) (Pvt) Ltd.

1.2. Consolidated Financial Statements

The consolidated financial statements of the Company as at and for the year ended 31st March 2021 comprise the financial statements of Company and its subsidiaries (together referred to as the "Group" and individually as "Group entities") and the Group's interest in equity-accounted investees.

1.3. Principal activities and nature of operations

The principal activities of the company are that of an investment holding company and hoteliering and the subsidiary companies are also engaged in the business of hoteliering and auxiliary services and there has been no change in the nature of such activities during the year.

2. BASIS OF PREPARATION

2.1. Statement of compliance

The Consolidated financial statements of the Group and the separated financial statements of the Company have been prepared in accordance with Sri Lanka Accounting Standards (herein referred to as SLFRSs/LKASs) effective from 1st January 2012, laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirement of the Companies Act No. 07 of 2007 and Sri Lanka Accounting and Auditing Standards Act No.15 of 1995. These Financial Statements, except for information on cash flows have been prepared following the accrual basis of accounting.

The Group did not adopt any inappropriate accounting treatment, which is not in compliance with the requirements of the SLFRSs and LKASs, regulations governing the preparation and presentation of the Financial Statements.

2.2. Components of Financial Statements

The consolidated Financial Statements include the following components:

- an Income Statement and a Statement of Profit or Loss and Other Comprehensive Income providing the information on the financial performance of the Group and the Company for the year under review.
- a Statement of Financial Position providing the information on the financial position of the Group and the Company as at the year end.
- a Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review for the Group and the Company.
- a Statement of Cash Flow providing the information to users, on the ability of the of the Group and the Company to generate cash and cash equivalents and utilization of those cash flows.
- notes to the Financial Statements comprising significant accounting policies and other explanatory information.

2.3. Responsibility for financial statements

The Board of Directors of the Company acknowledges their responsibility for the Financial Statements, as set out in the "Annual Report of the Board of Directors", "Statement of Directors' Responsibilities for Financial Statements" and the "Certification on the Statement of Financial Position".

2.4. Reporting date

The financial statements of all companies in the Group are prepared for a common financial year, which ends on 31st March except for Jetan Travel Services Co. (Pvt) Ltd., ADS Resorts (Pvt) Ltd., Unique Resorts (Pvt) Ltd. Cowrie Investment (Pvt) Ltd. and Ace Resorts (Pvt) Ltd whose financial year ends on 31st December.

2.5. Approval of financial statements by Directors

The financial statements of the Group and the Company for the year ended 31st March 2021 were approved and authorised for issue by the Board of Directors on 28th May 2021.

2.6. Basis of measurement

The financial statements of the Group and the Company have been prepared on the historical cost basis, except for the following material items in the statement of financial position.

Item	Basis of Measurement	Note Number
Land	Measured at cost at the time of acquisition and subsequently at revalued amounts which are the fair values at the date of revaluation	16.3
Financial assets classified as fair value through other comprehensive income	Measured at fair Value	21
Retirement benefit obligations	Measured at the present value of the defined benefit obligation	35

2.7. Functional and presentation currency

Items included in these financial statements are measured using the currency of the primary economic environment in which the Company operates (the Functional Currency), which is the Sri Lankan Rupee.

These financial statements are presented in Sri Lankan Rupees. All financial information presented has been rounded to the nearest thousand except where otherwise indicated as permitted by the Sri Lanka Accounting Standard – LKAS 1 on ‘Presentation of Financial Statements’.

Each entity in the Group determines its own functional currency and items included in the Financial Statements of these entities are measured using that Functional Currency. The offshore headquarter companies in the Group, change their presentation currency from Sri Lanka Rupees (LKR) to United States Dollar (USD) with effect from 1st April 2018 to reflect the companies predominant operating currency in their financial statements. The Group accounted for this change in accounting policy by the subsidiary companies on prospective basis as the effect of the application of this change on the Group's financial statements is not material for the comparative years. The cumulative impact of the translation is transferred from Retained Earnings to Exchange Equalization Reserves on 1st April 2018.

Other than the above there was no change in the Group's Presentation and Functional Currency during the year under review. The financial statements of the Group are presented in Sri Lankan Rupees (LKR) which is the functional currency of the Group entities other than for the companies listed below where the functional currency is either based on the country of incorporation of the respective company or elements that could influence in determining its functional currency.

Company	Country of Incorporation	Functional Currency
A.D.S Resorts Ltd	Maldives	USD
Unique Resorts (Pvt) Ltd	Maldives	USD
Jetan Travel Services Company (Pvt) Ltd	Maldives	USD
Cowrie Investments (Pvt) Ltd	Maldives	USD
Aitken Spence Resorts (Middle East) LLC	Oman	Oman Riyal
Aitken Spence Hotel Managements [South India] (Pvt) Ltd	India	Indian Rupees
Aitken Spence Hotel Services (Pvt) Ltd	India	Indian Rupees
P.R Holiday Homes (Pvt) Ltd	India	Indian Rupees
Perumbalam Resorts Pvt Ltd	India	Indian Rupees
Crest Star (BVI) Ltd	British Virgin Island	USD
Aitken Spence Hotel Managements Asia (Pvt) Ltd	Sri Lanka	USD
Aitken Spence Hotels International Pvt) Ltd	Sri Lanka	USD
Aitken Spence Global Operations (Pvt) Ltd	Sri Lanka	USD

2.8. Use of accounting judgements, estimates and assumptions

The preparation of the financial statements of the Group and the Company in conformity with SLFRSs/LKASs requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported values of assets, liabilities, income and expenses, accompany disclosures (including contingent liabilities). Those which management has assessed to have the most significant effect on the amounts recognised in the consolidated financial statements have been discussed

NOTES TO THE FINANCIAL STATEMENTS

in the individual notes of the related financial statement line items. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making a judgment about the carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are also described in the individual notes of the related financial statement line items below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

2.9. Materiality and aggregation

Each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard – LKAS 1 on ‘Presentation of Financial Statements’ and amendments to the LKAS 1 which was effective from January 01, 2020.

Notes to the Financial Statements are presented in a systematic manner which ensures the understandability and comparability of Financial Statements of the Group and the Company. Understandability of the Financial Statements is not compromised by obscuring material information with immaterial information or by aggregating material items that have different natures or functions.

2.10. Offsetting

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on

a net basis or to realise the assets and settle the liabilities simultaneously. Income and expenses are not offset in the income statement, unless required or permitted by Sri Lanka Accounting Standards and as specifically disclosed in the Significant Accounting Policies of the Company.

2.11. Going concern

The Aitken Spence Hotel Holdings PLC and its subsidiaries operate in the tourism sector that has been significantly affected by the outbreak of COVID – 19.

The outbreak of the COVID-19 pandemic and the measures adopted by governments in countries worldwide to mitigate the pandemic’s spread have significantly impacted the tourism sector. However with the reopening of the boarder and introduction of vaccinations, Hotels in the Group commenced operations for the foreign customers during the last quarter of the financial year.

Based on the publicly available information at the date these financial statements were authorized for issue, management considered a number of severe but plausible scenarios with respect to the potential development of the outbreak and its expected impact on the entity and economic environment, in which the entity operates, including the measures already taken by the Sri Lankan government.

In preparing these financial statements, based on available information, the management has assessed the existing and anticipated effects of COVID-19 on the Group and the appropriateness of the use of the going concern basis. In March 2021, Group has evaluated the resilience of its businesses considering a wide range of factors such as current and expected profitability, the ability to defer non-essential capital expenditure, debt repayment schedules, if any, cash reserves and potential sources of financing facilities, if required, and the ability to continue providing goods and services.

Having presented the outlook for Group to the Board, the Directors are satisfied that the Group, has adequate resources to continue in operational existence for the foreseeable future. Management concluded that the range of possible outcomes considered at arriving at this judgment does not give rise to material uncertainties related to events or conditions that may cast significant doubt on the Group’s ability to continue as a going concern.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The Group has consistently applied the following significant accounting policies to all periods presented in the financial statements by the Group and the Company, except as mentioned otherwise.

The Institute of Chartered Accountants of Sri Lanka has issued number of new amendments to Sri Lanka Accounting Standards (SLFRSs/ LKASs) that are effective for the current financial year. These amendments and interpretations did not have any significant impact on the reported financial statements of the Group.

3.1. Basis of consolidation

The Group's financial statements comprise of the consolidation of financial statements of the company its subsidiaries prepared in terms of Sri Lanka Accounting standard (SLFRS -10) - Consolidated Financial Statements and share of profit and loss and net assets of equity accounted investees prepared in terms of Sri Lanka Accounting standard (LKAS 28) - Investments in Associates and Joint Ventures.

3.1.1. Business combinations

Business combinations are accounted for using the acquisition method as at the acquisition date, which is the date on which control is transferred to the Group.

As per the requirements of SLFRS 3- Business Combinations and amendments to the SLFRS 3, when the Group acquires a business it assesses the financial assets and liabilities assumed under classifications or designations on the basis of the contractual terms, economic conditions, its operating or accounting policies and other pertinent conditions exist at the acquisition date as at the acquisition date, which is the date on which control is transferred to the Group. The Group applies Definition of a Business (Amendments to SLFRS 3) to business combinations whose acquisition dates are on or after 1 January 2020 in assessing whether it had acquired a business or a group of assets. Control exists when the Company has the power, directly or indirectly to govern the financial and operating policies of an entity so as to obtain benefits from its activities. In assessing control, the Group takes into consideration potential voting rights that are currently exercisable and other contractual arrangements.

The Group measures goodwill at the acquisition date as the fair value of the consideration transferred plus the recognized amount of any non-controlling interests in the acquiree plus if the business combination achieved in stages, the fair value of the pre-existing interest in the acquiree less the net recognized amount (generally fair value) of the identifiable assets acquired and liabilities assumed,

all measured as of the acquisition date. Transaction costs, other than those associated with the issue of debt or equity securities, that the Group incurs in connection with a business combination are expensed as incurred.

Any contingent consideration payable is measured at fair value at the acquisition date. If the contingent consideration is classified as equity, then it is not re-measured and settlement is accounted within equity. Otherwise, subsequent changes in the fair value of the contingent consideration are recognised in the income statement.

The goodwill arising on acquisition of subsidiaries is presented as an intangible asset.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

If the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the entity acquired exceed the cost of the acquisition of the entity, the surplus, which is a gain on bargain purchase is recognised immediately in the consolidated income statement.

Where goodwill has been allocated to a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash generating unit retained.

3.1.2. Non-controlling interests

The proportion of the profits or losses after taxation applicable to outside shareholders of subsidiary companies is included under the heading "Non - controlling interest" in the Consolidated Income Statement. Losses applicable to the non-controlling interests in a subsidiary are allocated to the non-controlling interest even if doing so causes the non-controlling interests to have a deficit balance.

The interest of the minority shareholders in the net assets employed of these companies are reflected under the heading "Non – controlling interest" in the Consolidated Statement of Financial Position.

NOTES TO THE FINANCIAL STATEMENTS

Acquisitions of non-controlling interests are accounted for as transactions with equity holders in their capacity as owners and therefore no goodwill is recognised as a result of such transactions. Adjustments to non-controlling interest arising from transactions that do not involve the loss of control are based on a proportionate amount of the net assets of the subsidiary.

3.1.3. Subsidiaries

Subsidiaries are those entities that are controlled by the Group. Control is achieved when the Group is exposed, or has rights to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investees. The Group controls an investee if only if, the Group has;

* Power over the investee (i.e.; existing rights that give it the current ability to direct the relevant activities of the investee)

* Exposure or rights to variable returns from its involvement with the investee

* The ability to use its power over the investee to affect the amount of the investor's returns

When assessing control of an investee, an investor shall consider the purpose and design of the investee in order to identify the relevant activities, how decision about the relevant activities are made, who has the current ability to direct those activities and who receives returns from those activities.

When an investee's purpose and design are considered, it may be clear that an investee is controlled by means of equity instruments that give the holder proportionate voting rights, such as ordinary shares in the investee. In this case in the absence of any additional arrangements that alter decision making, the assessment of control focuses on which party, if any, is able to exercise voting rights sufficient to determine the investee's operating and financing policies. The investor that holds a majority of those voting rights, in the absence of any other factors, controls the investee.

Therefore, Group considers all relevant facts and circumstances in assessing whether it has power over an investee including:

*The contractual arrangement with the other vote holders of the investee

*Rights arising from other contractual arrangements

*The Group's voting rights and potential voting rights

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the above.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Entities that are subsidiaries of another entity which is a subsidiary of the company are also treated as subsidiaries of the company.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group.

3.1.4. Loss of control

On the loss of control, the Group derecognises the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognized in profit or loss. If the Group retains any interest in the previous subsidiary, then such interest is measured at fair value as at the date that control is lost. Subsequently, It is accounted for an equity accounted investee or as an available for sale financial asset depending on the level of influence retained.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

3.1.5. Investments in equity accounted investees (investments in associates and joint ventures)

Associates are those entities in which the Group has significant influence, but does not have control, over the financial and operating policies. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but does not have the control or joint control over those policies. Significant influence is presumed to exist when the Group holds between 20% - 50% of the voting rights of another entity.

Joint ventures are arrangements in which the Group has joint control and have rights to the net assets of the arrangement. The Group has joint control in a venture when there is contractually agreed sharing of control of the venture and the decisions about the relevant activities of the venture require the unanimous consent of the parties sharing control.

The Group determines significant influence or joint control by taking into account similar considerations necessary to determine control over subsidiaries.

The Group's investment in associate and joint venture are treated as equity accounted investees and accounted for using the equity method and are recognised initially at cost, which includes transaction costs. The carrying amount of the investment is increased or decreased to recognise the investor's share of net assets of the investee after the date of acquisition. The investor's share of Investee's profit or loss is recognised in the investor's profit or loss. Distributions received from an investee reduces the carrying amount of the investment. Adjustment to the carrying amount may also be necessary for changes in the investor's proportionate interest in the investee arising from changes in investee's other comprehensive income. Goodwill relating to the associate or joint venture is included in the carrying amount of the investment and not tested for impairment individually.

When the Group's share of losses exceeds its interest in an equity-accounted investee, the carrying amount of that interest, including any long-term investments, is reduced to nil and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee. If the Associate subsequently reports profits, the Group resumes recognising its share of those profits only after its share of the profits equal the share of losses not recognised previously.

The statement of profit or loss reflects the Group's share of the results of operations of the associates or joint venture. Any changes in OCI of those investees is presented as part of the Group's OCI. In addition when there has been a change recognised directly in equity of the associate or joint venture the Group recognises its share of any changes when applicable in the statement of changes in equity.

The aggregate of the Group's share of profit or loss of an associate and a joint venture is shown on the face of the statement of profit or loss outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate or joint venture.

At each reporting date the Group determines whether there is objective evidence that the investment in associate or joint venture is impaired. If there is such evidence that the investment in associate or joint venture is impaired, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate or joint venture and its carrying values and then recognises the amount in share of losses of equity accounted investees or joint venture in the income statement.

The Group discontinues the use of the equity method from the date it ceases to have significant influence over an associate or joint control over the joint venture and accounts for the investment in accordance with the Group's accounting policy for financial instruments. Any difference between the carrying amount of the associate or the joint venture upon loss of significant influence or joint control and fair value of the retained investment and proceeds from disposal is recognised in profit or loss.

3.1.6. Intra-group transactions

Transfer prices between Group entities are set on an arms-length basis in a manner similar to transactions with third parties.

3.1.7. Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised gains and losses or income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2. Foreign currency

3.2.1. Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currencies of Group entities at exchange rates at the dates of transactions. Monetary assets and liabilities denominated in foreign currency at the reporting date are retranslated to the functional currency at the exchange rate at that date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined.

Non-monetary assets and liabilities in a foreign currency that are measured in terms of historical cost are translated using the exchange rate at the date of transaction. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to reporting currency using the exchange rate that was prevailing on the date the fair value was determined.

Foreign currency differences arising on retranslation generally are recognized in income statement. However, the following items are recognized in the other comprehensive income.

NOTES TO THE FINANCIAL STATEMENTS

- i. Differences arising on the retranslation of fair value through other comprehensive income equity investments which was recognised in other comprehensive income. Foreign currency gains and losses are reported on a net basis in the income statement.
- ii. Gains and losses arising from translating the financial statements of foreign operations
- iii. Qualifying cash flows hedges to the extent that the hedge is effective

3.2.2. Foreign operations

Subsidiaries incorporated outside Sri Lanka are treated as foreign operations. The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated at the rate of exchange prevailing on the reporting date. Income and expenses of the foreign entities are translated at exchange rate approximating to the actual rate at the time of the transaction. For practical purposes this is presumed to be the average rate during each month.

Foreign currency differences are recognised in other comprehensive income and presented in the foreign currency translation reserve in equity. When a foreign operation is disposed of such that control, significant influence or joint control is lost, the cumulative amount in the translation reserve related to that foreign operation is reclassified to profit or loss as part of the gain or loss on disposal. On the partial disposal of a subsidiary that includes a foreign operation, the relevant proportion of such cumulative amount is reattributed to non-controlling interest, in any other partial disposal of foreign operation, the relevant proportion is reclassified to profit or loss.

Foreign exchange gains or losses arising from a monetary items receivable from or payable to a foreign operation, the settlement of which is neither planned nor likely to occur in the foreseeable future and which in substance is considered to form part of the net investment in the foreign operation, are recognised in other comprehensive income in the foreign currency translation reserve.

3.3. Financial instruments

(a) Recognition and initial measurement

Trade receivables are initially recognised when they are originated. All other financial assets are initially recognized when the Group becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) is initially measured at fair value plus, for an item not at FVTPL, transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

(b) Classification and subsequent measurement

On initial recognition, a financial asset is classified as measured at: amortised cost; FVOCI- debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount of outstanding.

A debt investment is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in the investment's fair value in OCI. This election is made on an investment-by-investment basis.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. This includes all derivative financial assets. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets - Business model assessment:

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated - e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets. Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets - Assessment whether contractual cash flows are solely payments of principal and interest:

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Group's claim to cash flows from specified assets (e.g. nonrecourse features).

A prepayment feature is consistent with the sole payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract. Additionally, for a financial asset acquired at a discount or premium to its contractual par amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Financial assets - Subsequent measurement and gains and losses:

Item	Basis of Measurement
Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognized in profit or loss.
Financial assets at amortized cost	These assets are subsequently measured at amortized cost using the effective interest method. The amortized cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognized in profit or loss. Any gain or loss on derecognition is recognized in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognized in profit or loss. Other net gains and losses are recognized in OCI. On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss.

NOTES TO THE FINANCIAL STATEMENTS

Item	Basis of Measurement
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognized as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognized in OCI and are never reclassified to profit or loss.

Financial liabilities - Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition. Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognized in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

(c) Derecognition

Financial assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group enters into transactions whereby it transfers assets recognized in its statement of financial position but retains either all or substantially all of the risks and rewards of the transferred assets.

In these cases, the transferred assets are not derecognised.

Financial liabilities

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire. The Group also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognised in profit or loss.

Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

(d) Impairment

Non-derivative financial assets

Financial instruments and contract assets

The Group recognises allowances for expected credit losses (ECLs) on financial assets measured at amortized cost.

Loss allowances for trade receivables is always measured at an amount equal to lifetime ECLs.

Loss allowance for debt instruments is measured at 12-month ECL unless credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) of the debt instrument has not increased significantly since initial recognition.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information.

The Group assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The Group considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Group in full, without recourse by the Group to actions such as realizing security (if any is held); or
- the financial asset is more than 180 days past due.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or being more than 180 days past due;
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for a security because of financial difficulties.

Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortised cost are deducted from the gross carrying amount of the assets.

Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. For individual customers, the Group has a policy of writing off the gross carrying amount when the financial asset is 180 days past due based on historical experience of recoveries of similar assets. For corporate customers, the Group individually makes an assessment with respect to the timing and amount of write-off based on whether there is a reasonable expectation of recovery. The Group expects no significant recovery from the amount written off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures to recovery of amounts due.

Impairment Policy: Non-financial assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For intangible assets that have indefinite useful lives or that are not yet available for use, the recoverable amount is estimated each year at the same time.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

An impairment loss is recognized if the carrying amount of an asset exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss.

An impairment loss in respect of other assets, recognised in prior periods is assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

NOTES TO THE FINANCIAL STATEMENTS

(e) Hedge accounting and cash flow hedge

'Hedging' is a process of using a financial instrument to mitigate all or some of the risk associated to a hedged item. 'Hedge accounting' changes the timing of recognizing the gains and losses on either the hedged item or the hedging instrument so that both are recognized in profit or loss or other comprehensive income in the same accounting period in order to record the economic substance of the relationship between the hedged item and instrument.

At the inception of a hedge relationship, the Group formally designates and documents the hedge relationship to which the Group wishes to apply hedge accounting and the risk management objective and strategy for undertaking the hedge. The documentation includes identification of the hedging instrument, the hedged item or transaction, the nature of the risk being hedged and how the Group will assess the effectiveness of changes in the hedging instrument's fair value in offsetting the exposure to changes in the hedged item's fair value or cash flows attributable to the hedged risk. Such hedges are expected to be highly effective in achieving offsetting changes in fair value or cash flows and are assessed prospective basis according to SLFRS 09 requirements.

The Group holds derivative financial instruments to hedge its foreign currency and interest rate risk exposures. Embedded derivatives are separated from the host contract and accounted for separately if the host contract is not a financial asset and certain criteria are met.

Derivatives are initially measured at fair value. Subsequent to initial recognition, derivatives are measured at fair value, and changes therein are generally recognised in profit or loss.

The Group designates certain derivatives as hedging instruments to hedge the variability in cash flows associated with highly probable forecast transactions arising from changes in foreign exchange rates and interest rates and certain derivatives and non-derivative financial liabilities as hedges of foreign exchange risk on a net investment in a foreign operation.

Cash Flow Hedge

A hedge of an exposure to variability in cash flows that is attributable to a particular risk associated with a recognizes asset, liability or a highly probable forecast transaction that could affect the profit or loss is classified as a cash flow hedge.

When a non-derivative financial liability is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the non-derivative financial liability is recognised in OCI and accumulated in the hedging

reserve. The effective portion of changes in the fair value of the non-derivative financial liability that is recognised in OCI is limited to the cumulative change in fair value of the hedged item, determined on a present value basis, from inception of the hedge. Any ineffective portion of changes in the fair value of the non-derivative financial liability is recognised immediately in profit or loss.

If the hedge no longer meets the criteria for hedge accounting (after taking into account any rebalancing of the hedging relationship) or the hedging instrument is sold, expires, is terminated or is exercised, then hedge accounting is discontinued prospectively. When hedge accounting for cash flow hedges is discontinued, the amount that has been accumulated in the hedging reserve remains in equity until, for a hedge of a transaction resulting in the recognition of a non-financial item, it is included in the non-financial item's cost on its initial recognition or, for other cash flow hedges, it is reclassified to profit or loss in the same period or periods as the hedged expected future cash flows affect profit or loss.

If the hedged future cash flows are no longer expected to occur, then the amounts that have been accumulated in the hedging reserve and the cost of hedging reserve are immediately reclassified to profit or loss.

3.4. Stated capital

Ordinary shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity.

Preference Shares

Preference Share capital is classified as equity if it is non-redeemable or redeemable only at the company's option and any dividends are discretionary. Dividends thereon are recognized as distributions within equity upon approval by the company's shareholders.

Preference share capital is classified as a financial liability if it is redeemable on a specific date or at the option of the shareholders, or if dividend payments are not discretionary. Dividends thereon are recognized as interest expense in income statement as accrued.

3.5. Assets and bases of their valuation

3.5.1. Property, plant and equipment

3.5.1.1. Recognition and measurement

Items of property, plant and equipment other than land, are stated at costs less accumulated depreciation and accumulated impairment losses.

The cost of property, plant and equipment comprises its purchase price and any directly attributable costs of bringing the asset to working condition for its intended use. The cost of self-constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to the working condition of its intended use. This also includes costs of dismantling and removing the items and restoring the site on which they are located and borrowing costs on qualifying assets.

All items of property, plant and equipment are recognised initially at cost.

The Group recognises land owned by them in the statement of financial position at their revalued amount. Revaluations are performed with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair values at the end of each reporting period. If the fair values of land do not change other than by a significant amount at each reporting period, the Group will revalue such land every five years.

Any surplus arising on the revaluation is recognized in other comprehensive income except to the extent that the surplus reverses a previous revaluation deficit on the same asset recognized in income statement, in which case the credit to that extent is recognized in income statement. Any deficit on revaluation is recognized in income statement except to the extent that it reverses a previous revaluation surplus on the same asset, in which case the debit to that extent is recognized in other comprehensive income. Therefore, revaluation increases and decreases cannot be offset, even within a class of assets.

External, independent qualified valuers having appropriate experience in valuing properties in locations of properties being valued, value the land owned by the Group based on market values, this is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The details of land valuation are disclosed in Note No. 16.3.1 to the financial statements.

Upon disposal, any related revaluation reserve is transferred from the revaluation reserve to accumulated profits and is not taken into account in arriving at the gain or loss on disposal.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal of with the carrying amount of property, plant and equipment and are recognized net within other income in income statement.

3.5.1.2. Significant components of property, plant and equipment

When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items of property plant and equipment and depreciated separately based on their useful life.

3.5.1.3. Subsequent costs

The cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied with the item will flow to the Group, and the cost of the item can be measured reliably. The costs of the day-to-day servicing and any other costs are recognised in the income statement as and when incurred.

3.5.1.4. Depreciation

Depreciation is based on the cost of an asset less its residual value.

Depreciation is recognised in the income statement on a straight-line basis over the estimated useful lives of each component of an item of property, plant and equipment. Depreciation of an asset begins when it is available for use and ceases at the earlier of the date that the asset is classified as held for sale or on the date that the asset is disposed of. Leased assets are depreciated over the shorter of the lease term and their useful lives unless it is reasonable certain that Group will obtain ownership by the end of the lease term.

The estimated useful lives are as follows:

• Leasehold Premises	over the remaining lease period
• Buildings	08- 50 years
• Plant & Equipment	10-20 years
• Kitchen Equipment	05 -15 years
• Office Equipment	03- 10 years
• Sports Equipment	05-10 years
• Motor Vehicles	04-06 years
• Motor Boats	5 years
• Swimming Pool & Equipment	15- 30 years
• Furniture & Fittings	10- 20 years
• Crockery, Cutlery & Glassware	03-05 years
• Soft Furnishing	05-10 years

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Depreciation is not provided on land and assets under construction.

The depreciation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.5.2. Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in SLFRS 16.

• As a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by obtaining interest rates from various external financing sources and makes certain adjustments to reflect the terms of the lease and type of the asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets that do not meet the definition of investment property in 'right of use assets' and lease liabilities in 'interest - bearing liabilities - leases' in the statement of financial position.

Lease modifications

The Group shall account for a lease modification as a separate lease if both:

- a. the modification increases the scope of the lease by adding the right to use one or more underlying assets; and
- b. the consideration for the lease increases by an amount commensurate with the stand-alone price for the increase in scope and any appropriate adjustments to that stand-alone price to reflect the circumstances of the particular contract.

For a lease modification that is not accounted for as a separate lease, at the effective date of the lease modification the Group shall:

- a) allocate the consideration in the modified contract
- b) determine the lease term of the modified lease
- c) remeasure the lease liability by discounting the revised lease payments using a revised discount rate. The revised discount rate is determined as the interest rate implicit in the lease for the remainder of the lease term, if that rate can be readily determined, or the lessee's incremental borrowing rate at the effective date of the modification, if the interest rate implicit in the lease cannot be readily determined.

For a lease modification that is not accounted for as a separate lease, the Group shall account for the remeasurement of the lease liability by:

- a) decreasing the carrying amount of the right-of-use asset to reflect the partial or full termination of the lease for lease modifications that decrease the scope of the lease. The lessee shall recognise in profit or loss any gain or loss relating to the partial or full termination of the lease.
- b) making a corresponding adjustment to the right-of-use asset for all other lease modifications.

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including IT equipment. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

• As a lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative standalone prices.

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

When the Group is an intermediate lessor, it accounts for its interests in the head lease and the sub-lease separately. It assesses the lease classification of a sub-lease with reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. If a head lease is a short-term lease to which the Group applies the exemption described above, then it classifies the sub-lease as an operating lease.

If an arrangement contains lease and non-lease components, then the Group applies SLFRS 15 to allocate the consideration in the contract.

The Group applies the derecognition and impairment requirements in SLFRS 9 to the net investment in the lease. The Group further regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease.

The Group recognises lease payments received under operating leases as income on a straight-line basis over the lease term as part of 'other revenue'.

3.5.3. Intangible assets

Initial Recognition and measurement

The Group recognises intangible assets if it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably.

Separately acquired intangible assets are measured on initial recognition at cost. The cost of such separately acquired intangible assets include the purchase price, import duties, non-refundable purchase taxes and any directly attributable cost of preparing the asset for its intended use.

The cost of intangible assets acquired in a business combination is the fair value of the asset at the date of acquisition.

The cost of an internally generated intangible asset arising from the development phase of an internal project which is capitalised includes all directly attributable costs necessary to create, produce, and prepare the asset to be capable of operating in the manner intended by the Management. Other development expenditure and expenditure on research activities, undertaken with the prospect of gaining new technical knowledge and understanding is expensed in the income statement as and when incurred.

NOTES TO THE FINANCIAL STATEMENTS

Subsequent costs

Subsequent expenditure on intangible assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates.

Subsequent Measurement

After initial recognition an intangible asset is stated at its costs less any accumulated amortisation and any accumulated impairment losses.

The useful economic life of an intangible asset is assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life of the asset. The amortisation period and the amortisation method for an intangible asset with a finite useful life is reviewed at least at the end of each reporting date. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement

Intangible assets with indefinite useful lives are not amortised, but are tested for impairment annually, either individually or at the cash-generating unit level. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable. If not, the change in useful life from indefinite to finite is made on a prospective basis.

3.5.4. Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets, the policy on measurement of goodwill is at initial recognition.

Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses. In respect of equity accounted investees, the carrying amount of goodwill is included in the carrying amount of the investment, and impairment loss on such an investment is allocated to the carrying amount of the equity accounted investee.

3.5.5. Computer software

All computer software cost incurred, licensed for use by the Group, which does not form an integral part of related hardware and which can be clearly identified, reliably

measured and it is probable that they will lead to future economic benefits are included under intangible assets and carried at cost less accumulated amortization and any accumulated impairment losses.

Subsequent measurement

Expenditure incurred on software is capitalized only when it is probable that this expenditure will enable the asset to generate future economic benefits in excess of its originally assessed standards of performance and this expenditure can be measured and attributed to the asset reliably.

Amortisation

Amortisation is calculated over the cost of the asset, or other amount substituted for cost, less its residual value.

Amortisation is recognized in the income statement on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill, from the date that they are available for use, since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful lives for the current and comparative periods are three years.

Amortisation methods, useful lives and residual values are reviewed at each financial year end and adjusted if appropriate.

3.5.5.1. Website costs

Costs incurred on development of websites are capitalized when the entity is satisfied that the web site will generate probable economic benefits in the future. The estimated useful lives for the current and comparative periods are three years.

3.5.6. Investment properties

Investment properties are land and buildings that are held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods and services or for administrative purposes. Investment property is measured at cost at initial recognition and subsequently at cost less aggregate depreciation. However, if there is impairment in value, other than of a temporary nature, the carrying amount is reduced to recognize the decline.

3.5.7. Inventories

Inventories are measured at the lower of cost and net releasable value. The cost of inventories is based on a weighted average principle and includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

3.5.8. Trade and other receivables

Trade and other receivables are stated at the amounts estimated to be realised after providing for impairment on trade and other receivables.

Other receivables and dues from related parties are recognised at cost, less provision for impairment.

3.5.9. Cash and cash equivalents

Cash and cash equivalents comprise cash in hand and short-term deposits with original maturity of three months or less. Bank overdrafts are shown within borrowings in current liabilities. For purpose of Cash Flow, Bank overdrafts that are repayable on demand and form an integral part of the Group's cash management are included as components of cash and cash equivalent.

3.5.10. Non-current assets held for sale

Non-current assets that are expected to be recovered primarily through a disposal rather than through continuing use are classified as held for sale. Immediately before classification as held for sale, the assets (or components of a disposal group) are re-measured in accordance with the Group's accounting policies. Thereafter the assets (or disposal group) are measured at the lower of their carrying amount and fair value less cost to sell. Any impairment loss on the above assets is first allocated to goodwill, and then to the remaining assets and liabilities on a pro rata basis, except that no loss is allocated to inventories, financial assets, deferred tax assets, employee benefit assets and investment property, which are continued to be measures in accordance with the Group's accounting policies. Impairment losses on initial classification as held for sale and subsequent gains or losses on re-measurement are recognised in profit or loss. Gains are not recognized in excess of any impairment loss.

3.6. Liabilities and Provisions

3.6.1. Liabilities

Liabilities classified as current liabilities on the statement of financial position are those which fall due for payment on demand or within one year from the reporting date. Non-current liabilities are those balances payable after one year from the reporting date.

All known liabilities are accounted for in the statement of financial position.

3.6.2. Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefit will be required to settle the obligation.

Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflect current market assessments of the time value of money and the risks specific to the liability. The unwinding of discount is recognised as finance cost.

3.6.3. Trade and other payables

Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities.

3.6.4. Government grants

A government grant is recognised initially as deferred income at fair value when there is a reasonable assurance that it will be received, and the Group will comply with the conditions associated with the grant.

Grants that compensate the Group for expenses incurred are recognised in income statement on a systematic basis in the periods in which the expenses are recognised. Grants that compensate the Group for the cost of an asset is recognised in income statement on a systematic basis over the useful life of the asset.

3.7. Employee benefits

3.7.1. Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions to a separate entity and will have no legal or constructive obligations to pay further amounts. Obligations for contributions to defined contribution plan, are recognised as an employee benefit expense in income statement in the periods during which services are rendered by employees.

3.7.1.1. Provident fund and trust fund – Sri Lanka

All employees in Sri Lanka are members of the Employees' Provident Fund and Employees' Trust Fund, to which employers contribute 12% - 15% and 3% respectively of such employees' basic or consolidated wage or salary, cost of living and all other allowances.

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3.7.1.2. Contribution to Retirement Pension Scheme-Maldives

All Maldivian employees of the Group are members of the Retirement Pension Scheme established in the Maldives. Both employer and employee contribute 7% respectively to this scheme of such employees' pensionable wage. Employers' obligations for contributions to pension scheme is recognised as an employee benefit expense in income statement in the periods during which services are rendered by employees.

3.7.1.3. Employee Provident Fund - India

Group companies in India contribute a sum of 12% of the basic salaries of all employees as provident fund benefits to the Employee Provident Organisation of India.

3.7.1.4. Defined contribution Fund - Oman

Group companies in Oman contribute a sum of 10.5% of the gross salary + 1% in respect of work related injuries and illness for Oman employees in accordance with Social Security Insurance Law. Whilst the employee is required to contribute 7% of the salary.

3.7.1.5. Defined Benefit Plans – retiring gratuities

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

3.7.1.6. Retiring Gratuity – Sri Lanka

The liability recognised in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date. The defined benefit obligation is calculated annually using the Projected Unit Credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash flows using interest rates that are denominated in the currency in which the benefits will be paid, and that have terms of maturity approximating to the terms of the liability.

The defined benefit plan is valued by a professionally qualified external actuary.

Provision has been made in the financial statements for retiring gratuities from the first year of service for all employees. However, according to the Payment of Gratuity Act No. 12 of 1983, the liability for payment to an employee arises only after the completion of 5 years continued service.

The liability is not externally funded.

The Group recognizes all actuarial gains and losses arising from defined benefit plans in other comprehensive income and all expenses related to defined benefit plans in staff cost in income statement.

3.7.1.7. Defined Benefit Plans – Oman

Under the labour law of Oman gratuity is due to expatriate employees upon termination of employment. Gratuity is computed based on half month's basic salary for each year during the first three years of employment and a full month's basic salary for each year of employment thereafter. An employee who has been in employment for less than one year is not entitled to receive gratuity.

3.7.1.8. Defined Benefit Plans – India

A liability is provided for employees in India based on a valuation made by an independent actuary using unit credit method for payment of gratuity at the rate of 15/26 times the monthly qualifying salary for each year of service.

3.7.2. Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus if the Company has a present legal or constructive obligation to pay this amount as a result of past service rendered by the employee and the obligation can be measured reliably.

3.8. Revenue and Income

Group revenue represents sales to customers outside the Group and excludes value added tax.

3.8.1. SLFRS 15- Revenue from contracts with Customers

SLFRS 15 established a comprehensive framework for determining whether how much and when revenue recognized. Revenue is measured based on the consideration specified in a contract with a customer. Under SLFRS 15, the Group revenue is recognised when a customer obtains control of the goods or services – Determining the timing of the transfer of control – at a point in time or over time requires judgement.

Under SLFRS 15, revenue is recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognition will not occur.

The following specific criteria are used for the purpose of recognition of revenue:

- o Apartment revenue is recognised for the rooms occupied on a daily basis. All revenues are recognised on an accrual basis over the time of the duration of the stay of the customer and matched with the related expenditure where they simultaneously receive and consumes the benefits of the services rendered.

- o Restaurant revenue includes the revenue recognized on the sale food and beverage. All revenue is accounted for at the time of sale.
- o Bar revenue is accounted for at the time of sale.
- o Spa is operated by a third party and invoices are raised together with the spa bills. Spa related revenue is recognized gross after completion of service / treatments.
- o Transfers and excursions includes the consideration earned from providing excursions to customers that represents sea plane and boat transfers services provided to customers who enter into contacts with Maldives Hotels. Revenue is recognised for at the time of rendering the service.
- o Telephone, laundry, diving and windsurfing represents the services provided to customers which are implied as business practice in the industry. All revenue is recognised for at the time of rendering the service.
- o Management fee represents the fees for managing hotels that are computed based on the industry norms. All revenue is recognised at the time of provision of management services.

3.8.2. Other income

- Rent and shop income represents the rental income arising from renting of property, plant and equipment and investment properties. All revenue is recognized on a straight-line basis over the term of hire.
- Dividend income is recognised when the right to receive dividends is established which is generally when the dividend is declared. Dividend income is included under other operating income.
- Interest income is recognised as it accrues. Interest income included under finance income in the income statement.

3.9. Expenses

All expenditure incurred in the running of the business and in maintaining the property, plant & equipment in a state of efficiency has been charged to income statement in arriving at the profit for the year.

3.10. Financing Income/ (Expenses)

Finance income comprises interest income on funds invested, including the income from investment categorized under fair value through other comprehensive income (FVOCI). Gains on the disposal of interest generating investment classified under financial assets measured at amortised cost is recognised under finance income.

Interest income is recognised as it accrues in income statement, using the effective interest method.

Finance expenses comprise interest expense on borrowings, preference dividends of preference shares classified as debt and impairment losses recognised on financial assets. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognised in income statement using the effective interest method. However, borrowing costs that are directly attributable to the acquisition, construction or production of a qualifying asset that takes a substantial period of time to get ready for its intended use or sale, are capitalized as part of the asset.

3.11. Income tax expenses

Income tax expense comprises both current and deferred tax. Income tax expense is recognised in income statement except to the extent that it relates to items recognised directly in equity, in which case is recognised in the statement of comprehensive income or statement of changes in equity, in which case it is recognised directly in the respective statements.

3.11.1. Current taxes

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date and any adjustment to tax payable in respect of previous years.

Taxation for the current and previous periods to the extent unpaid is recognised as a liability in the financial statements. When the amount of taxation already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset in the financial statements.

3.11.2. Companies incorporated in Sri Lanka

Provision for current tax for companies incorporated in Sri Lanka has been computed in accordance with the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

3.11.3. Companies incorporated outside Sri Lanka

Provision for current tax for companies incorporated outside Sri Lanka have been computed in accordance to the relevant tax statutes as disclosed in Note No. 13.2 to the financial statements.

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3.11.4. Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognised for temporary differences arising on initial recognition of goodwill, the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profits and differences relating to investment in subsidiaries and jointly controlled entities to the extent that they probably will not reverse in the foreseeable future.

Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred tax assets and liabilities recognised by individual companies within the Group are disclosed separately as assets and liabilities in the Group statement of financial position and are not offset against each other.

3.11.5. Economic Service Charge (ESC)

As per the provisions of the Economic Service Charge Act No 13 of 2006, ESC is payable on the liable turnover at specified rates. ESC is deductible from the income tax liability. Any unclaimed liability can be carried forward and set off against the income tax payable as per the relevant provisions in the Act.

As approved by the Cabinet of Ministers and instructed by the Ministry of Finance, ESC has been abolished with effect from January 01, 2020.

3.11.6. Transfer Pricing

As prescribed in the Inland Revenue Act No. 24 of 2017 and the Gazette notifications issued on transfer pricing, companies in the Group have complied with the arm's length principles relating to transfer pricing.

3.12. Statement of cash flows

The cash flow statement has been prepared using the "Indirect Method" of preparing cash flows in accordance with the Sri Lanka Accounting Standard – LKAS 7 on 'Statement of Cash Flow', whereby operating activities, investing activities and financing activities are separately recognised.

Cash and cash equivalents comprise of short-term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

3.13. Capital commitments and contingencies

Contingencies are possible assets or obligations that arise from a past event and would be confirmed only on the occurrence or non-occurrence of uncertain future events, which are beyond the Group's control. Capital commitments and contingent liabilities of the Group are disclosed in Note No. 16.4 and 39 to the financial statements.

3.14. Events occurring after the reporting date.

All material post reporting date events have been considered and where appropriate adjustment to or disclosures have been made in the financial statements.

3.15. Comparative Information

The comparative information has been reclassified wherever necessary to confirm with the current years classification in order to provide a better presentation.

3.16. Earnings per share (EPS)

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

3.17. Segmental Information

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Group's CEO to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

3.17.1. Primary and Secondary Segments

The Group in the hospitality industry and cannot segment its products and services. The Group manages hotels in two principal geographical areas, Sri Lanka and South Asia & Middle East. In presenting segmental information segment revenue and assets are based on the geographical locations of the assets. The primary segment is considered to be the geographical segments based on the Group's management and internal reporting structure.

- i) Segmental information analysed by geographical segments is disclosed in Note No. 06 to the financial statements.
- ii) All transfers made between the hotels in the Group are based on normal market price.

4. DETERMINATION OF FAIR VALUES

A number of the Group's accounting policies and disclosures require the determination of fair values, for both financial and non-financial assets and liabilities.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

When measuring fair value of an asset or liability, the Group uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques.

Level 1 inputs are unadjusted quoted prices in active markets for identical assets or liabilities.

Level 2 inputs are inputs other than quoted prices included within Level 1 that are observable for the asset or liability either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3 inputs are inputs that are not based on observable market data (unobservable inputs).

If inputs used to measure the fair value of an asset or liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

Fair values have been determined for measurement and disclosure purposes based on the following methods. Where applicable further information about the assumptions made in determining fair value is disclosed in the notes specific to that asset or liability.

Fair value of non-financial assets

The fair value used by the Group in the measurement of non-financial assets is based on the presumption that the transaction to sell the asset or transfer the liability takes place either in the principal market for the asset or liability, or in the absence of a principal market, in the most advantageous market that is accessible by the Group for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would act in their economic best interest when pricing the asset or liability.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

5. NEW ACCOUNTING STANDARDS ISSUED BUT NOT EFFECTIVE AS AT THE REPORTING DATE

The Institute of Chartered Accountants of Sri Lanka has issued several amendments to Accounting Standards that are effective for annual periods beginning after the current financial year. Accordingly, these amendments have not been applied in preparing these financial statements and the Group plans to apply these standards if applicable as and when they become effective.

Group does not expect the following new amendments to Accounting standards, that will become effective for future accounting periods will have a significant impact on the Group's consolidated financial statements.

Amendments effective from annual periods beginning on or after 1 January 2021

- Interest Rate Benchmark Reform – Phase 2 - Amendments to SLFRS 9, LKAS 39, SLFRS 7, SLFRS 4 and SLFRS 16

The amendments address issues that might affect financial reporting as a result of the reform of an interest rate benchmark, including the effects of changes to contractual cash flows or hedging relationships arising

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from the replacement of an interest rate benchmark with an alternative benchmark rate. The amendments provide practical relief from certain requirements in SLFRS 9, LKAS 39, SLFRS 7, SLFRS 4 and SLFRS 16 relating to:

- changes in the basis for determining contractual cash flows of financial assets, financial liabilities and lease liabilities; and
- hedge accounting.

A. Change in basis for determining cash flows

The amendments will require an entity to account for a change in the basis for determining the contractual cash flows of a financial asset or financial liability that is required by interest rate benchmark reform by updating the effective interest rate of the financial asset or financial liability.

B. Hedge Accounting

The amendments provide exceptions to the hedge accounting requirements in the following areas.

- Allow amendment of the designation of a hedging relationship to reflect changes that are required by the reform.
- When a hedged item in a cash flow hedge is amended to reflect the changes that are required by the reform, the amount accumulated in the cash flow hedge reserve will be deemed to be based on the alternative benchmark rate on which the hedged future cash flows are determined.
- When a group of items is designated as a hedged item and an item in the group is amended to reflect the changes that are required by the reform, the hedged items are allocated to subgroups based on the benchmark rates being hedged.
- If an entity reasonably expects that an alternative benchmark rate will be separately identifiable within a period of 24 months, it is not prohibited from designating the rate as a non-contractually specified risk component if it is not separately identifiable at the designation date.

Narrow-scope amendments effective from annual periods beginning on or after 1 January 2022

- **Amendments to LKAS 1- Presentation of financial statements on classification of liabilities**
These narrow-scope amendments to LKAS 1, 'Presentation of financial statements', clarify that liabilities are classified as either current or non-current, depending on the rights that exist at the end of the reporting period. Classification is unaffected by the expectations of the entity or events after the reporting date. The amendment also clarifies what LKAS 1 means when it refers to the 'settlement' of a liability.

- **Amendments to SLFRS 3 – Business Combinations**

This amendment updates a reference in SLFRS 3 to the Conceptual Framework for Financial Reporting without changing the accounting requirements for business combinations.

- **Amendments to LKAS 16 – Property, Plant and Equipment**

This amendment prohibits a company from deducting from the cost of property, plant and equipment amounts received from selling items produced while the company is preparing the asset for its intended use. Instead, a company will recognise such sales proceeds and related cost in profit or loss.

- **Amendments to LKAS 37 – Provisions, Contingent Liabilities and Contingent Assets**

This amendment specifies which costs a company includes when assessing whether a contract will be loss-making.

- **Amendments to SLFRS 9 Financial Instruments**

This amendment clarifies that – for the purpose of performing the '10 per cent test' for derecognition of financial liabilities – in determining those fees paid net of fees received, a borrower includes only fees paid or received between the borrower and the lender, including fees paid or received by either the borrower or lender on the other's behalf.

- **COVID-19 related concessions (Amendments to SLFRS 16)**

This amendment introduces an optional practical expedient that simplifies how a lessee accounts for rent concessions that are a direct consequence of COVID-19. A lessee that applies this practical expedient is not required to assess whether eligible rent concessions are lease modifications, but accounts for them in accordance with other applicable guidelines.

The practical expedient applies to COVID-19-related rent concessions that reduce lease payments due on or before 30 June 2021. Group assessed this amendment to the standard and concluded that the Group will treat the Covid-19 related rent concessions received as lease modifications.

Operating Segments

The Group's segments are determined based on the Group's geographical spread of operations.

The following tables present revenue, profit information, assets and liabilities based on the Group's operating segments.

	Sri Lankan Sector						South Asia and Middle East Sector		Group	
	Resorts and Hotels			Others			Total			
	2020/2021 Rs. '000	2019/2020 Rs. '000	2020/2021 Rs. '000	2020/2021 Rs. '000	2019/2020 Rs. '000	2020/2021 Rs. '000	2019/2020 Rs. '000	2020/2021 Rs. '000	2019/2020 Rs. '000	2019/2020 Rs. '000
Geographical segment analysis of										
Group revenue and profit										
- External revenue	710,939	4,710,107		9,945	48,129	720,884	4,758,236	5,007,495	14,261,005	5,728,379
- Intra group revenue	7,074	15,826		122,027	495,834	129,101	511,660	17,538	149,639	146,639
Total revenue	718,013	4,725,933		131,972	543,963	849,985	5,269,896	5,025,033	14,410,644	5,875,018
Less: Total Intra group revenue										(146,639)
Net Segment Revenue (Revenue from external customers)										5,728,379
Profit/(loss) from operations	(1,834,471)	(59,346)	41,043	386,887	(1,793,428)	327,541	(3,395,067)	1,236,126	(5,188,495)	1,563,667
Finance income	120,933	151,921	5,782	2,657	126,715	154,578	32,121	7,992	134,707	186,899
Finance cost	(242,326)	(283,474)	(202,386)	(222,932)	(444,712)	(506,406)	(1,729,259)	(1,354,947)	(2,173,971)	(1,861,353)
Share of loss of equity accounted investees	(268,758)	(275,209)	(110,103)	(46,827)	(378,861)	(322,036)	-	-	(378,861)	(322,036)
Profit/(loss) before taxation	(2,224,622)	(466,108)	(265,664)	119,785	(2,490,286)	(346,323)	(5,116,334)	(86,700)	(7,606,620)	(433,023)
Income tax (expense)/refund	(68,278)	(263,668)	(13,256)	(109,870)	(81,534)	(373,538)	434,939	(89,163)	353,405	(462,701)
Profit/(loss) for the year	(2,292,900)	(729,776)	(278,920)	9,915	(2,571,820)	(719,861)	(4,681,395)	(175,863)	(7,253,215)	(895,724)
Capital expenditure	153,594	306,246	283	280	153,877	306,526	624,795	2,948,554	778,672	3,255,080
Depreciation and amortisation	813,805	848,911	5,851	6,154	819,656	855,065	2,518,795	1,991,814	3,338,451	2,846,879
Other non-cash expenses	34,375	32,997	(3,707)	1,345	30,668	34,342	10,055	6,356	40,723	40,698
Geographical segment analysis of										
Group assets and liabilities										
Total assets	18,859,802	21,059,999	846,092	361,135	19,705,894	21,421,134	53,830,816	52,018,422	73,536,710	73,439,556
Equity accounted investees	554,818	739,337	76,709	171,141	631,527	910,478	-	-	631,527	910,478
Total	19,414,620	21,799,336	922,801	532,276	20,337,421	22,331,612	53,830,816	52,018,422	74,168,237	74,350,034
Net assets	7,414,826	10,271,240	(3,675,881)	(3,266,243)	3,738,945	7,004,997	17,592,248	21,234,955	21,331,193	28,239,952
Equity accounted investees	554,818	739,337	76,709	171,141	631,527	910,478	-	-	631,527	910,478
Total	7,969,644	11,010,577	(3,599,172)	(3,095,102)	4,370,472	7,915,475	17,592,248	21,234,955	21,962,720	29,150,430
Total liabilities	11,444,976	10,788,759	4,521,973	3,627,378	15,966,949	14,416,137	36,238,568	30,783,467	52,205,517	45,199,604

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7 Revenue

7.1 Revenue breakdown

	Group		Company	
For the year ended 31st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Total Revenue	5,875,018	19,680,540	123,747	704,209
Less: Intra group revenue	(146,639)	(661,299)	-	-
Revenue excluding intra group revenue	5,728,379	19,019,241	123,747	704,209
Less: Revenue tax *	(136,611)	(430,854)	-	(7,517)
Net Revenue	5,591,768	18,588,387	123,747	696,692

* Revenue tax- NBT in Sri Lanka has been abolished with effect from December 01, 2019.

7.2 Revenue streams

The companies in the Group are primarily involved in hoteliering and generate revenue from provision of accommodation, food, beverages and other related services to customers. Other sources of revenue includes income from renting the hotel spaces to provide additional value added services to customers.

	Group		Company	
For the year ended 31st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue from contracts with customers	5,609,977	18,680,505	122,414	696,608
Other revenue				
- Rent and shop income	118,402	338,736	1,333	7,601
	5,728,379	19,019,241	123,747	704,209

7.3 Disaggregation of revenue from contracts with customers

7.3.1 Type of service rendered

	Group		Company	
For the year ended 31st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Apartment	2,546,782	9,604,024	44,854	261,838
Restaurant	1,623,302	4,767,965	63,490	347,540
Bar	736,030	1,852,420	12,703	74,203
Spa related	118,242	236,511	1,067	11,989
Transfers and excursions	307,088	1,858,992	62	56
Telephone	228	5,771	7	18
Diving and windsurfing	263,648	286,692	-	-
Laundry	4,712	20,001	231	964
Management fees	9,945	48,129	-	-
	5,609,977	18,680,505	122,414	696,608
Rent and shop income	118,402	338,736	1,333	7,601
Total	5,728,379	19,019,241	123,747	704,209

7.3.2 Geographical markets

	Group		Company	
For the year ended 31st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
- Sri Lanka	720,884	4,758,236	123,747	704,209
- South Asia and Middle East	5,007,495	14,261,005	-	-
	5,728,379	19,019,241	123,747	704,209

7.3.3 Timing of Revenue Recognition

	Group		Company	
For the year ended 31st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
- Revenue recognized at a point in time	3,063,195	9,076,481	77,560	434,770
- Revenue recognized over time	2,665,184	9,942,760	46,187	269,439
	5,728,379	19,019,241	123,747	704,209

7.4 Performance obligations

Performance obligations of a Hotel entity mainly include promises which are carried out on a contractually agreed upon task.

Performance obligations of the Group could be mainly summarised as detailed below:

Type of service	Nature and timing of the satisfaction of performance obligation	Significant payment terms
Provision of accommodation	The main obligation in the customer contract is to provide rooms for guests accommodation. This is represented in the Apartment Revenue reported in the financial statements. Revenue under this segment is recognised on the rooms occupied on a daily basis over the period of the stay. Invoice is raised to customer on completion of the duration of the stay.	Due within 30 days from the date of invoice.
Provision of food and beverages	The following services are rendered under this performance obligation: 1. Provision of BB/HB/FB meal for guests occupying the hotels which part and partial of the contract entered into. Revenue is recognized at the time of sale and invoice to the customers on the completion of the duration of the stay 2. Provision of extra food and beverages Revenue is recognised at the time of sale and invoice to the customers at the time of consumption.	Due within 30 days from the date of invoice. Due at the time of service is rendered.

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Type of service	Nature and timing of the satisfaction of performance obligation	Significant payment terms
Transfers and Excursions	This obligation is for customers entering into contract with Hotels in the Maldives. Sea plane and boat transfers are provided to customers to reach the Hotels and back as part of the contracts entered into. Revenue is recognised at the time of provision of service and invoice to the customers at the time of the completion of the stay.	Due within 30 days from the date of invoice.
Provision of Laundry, Telephone, Water sports , spa services etc.	These services are provided to customers as they are implied as business practices in the industry and create a valid expectation of the customer. Revenue is recognised at the time of provision of service and invoice is raised at the time of service is consumed.	Due at the time of service is rendered.
Management fees	This obligation is for hotels entering in to contracts with hotel management companies. Property management services, handling of employees' related activities, marketing and promotional activities and other related management services are mainly rendered under this performance obligation. Revenue is recognised at the time of provision of services and invoiced on monthly basis.	Due twice a year on completion of first six months and on completion of year end audit.

Warranties and obligations to refunds and other similar obligations are handled by cases by case basis.

7.5 Allocating the transaction price to performance obligations

In allocating the transaction price to each performance obligation based on the amount that depicts the amount of consideration to which the entity expects to be entitled in exchange for transferring of promised services to the customers.

7.6 Contract Assets and Contract Liabilities

The contract assets primarily relate to the Group's right to consideration for work completed but not billed at the reporting date.

The contract liabilities primarily relate to the advance consideration received from customers for future stay in hotels, for which revenue is recognized over the time.

However companies in the Group recognise considerations or payments received prior to transferring of services to customer against what is rightfully due at the time of transferring the services. These amounts have been recognised as contractual liabilities in the financial statements.

7.6.1 Contract balances

	Group		Company	
	31.03.2021 Rs. '000	31.03.2020 Rs. '000	31.03.2021 Rs. '000	31.03.2020 Rs. '000
As at				
Trade receivables (Note 24)	519,707	1,118,042	14,230	109,447
Contract liabilities (Note 7.6.2)	(1,388,944)	(1,142,310)	(20,372)	(18,057)
	(869,237)	(24,268)	(6,142)	91,390

7.6.2 Contract liabilities

	Group		Company	
	31.03.2021 Rs. '000	31.03.2020 Rs. '000	31.03.2021 Rs. '000	31.03.2020 Rs. '000
As at				
Contract liabilities balance as at 01st April	1,142,310	1,330,222	18,057	37,436
Revenue recognised in the reporting period that was included in the contract liability balance at the beginning of the period	(509,508)	(1,088,787)	(17,049)	(37,436)
Revenue recognised in the reporting period from performance obligations satisfied (or partially satisfied) in previous periods	-	-	-	-
Advances received from customers during the reporting period	3,588,008	8,940,866	137,988	178,215
Revenue recognised in the reporting period from performance obligations satisfied during current period	(3,164,255)	(8,124,001)	(118,118)	(160,158)
Write back of unutilised old reservation advances	(24,456)	-	(42)	-
Write back of reward points - "Diamond Club" *	(786)	-	(464)	-
Effect of movement in exchange rates	357,631	84,010	-	-
Contract liabilities balance as at 31st March (Note 36)	1,388,944	1,142,310	20,372	18,057

* The Group has decided to discontinue the customer reward programme identified as "Diamond Club" for the Sri Lankan hotels. All the unredeemed points were written back during the period ended 31st March 2021.

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8 Other income / (expenses)

	Group		Company	
For the year ended 31st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Recreation	7,432	3,792	38	932
Dividends (net) from investments	-	-	37,200	901,479
Profit / (Loss) on sale of property, plant and equipment	(447)	1,552	359	2,510
Loss on liquidation of a subsidiary	-	-	-	(9,921)
Net foreign exchange gain / (loss)	(83,220)	(3,695)	31,442	12,594
Insurance claims received	6,747	102,031	-	-
Sundry income	23,531	14,121	198	1,324
Total	(45,957)	117,801	69,237	908,918

9 Other operating expenses- direct

Direct Operating Expenses disclosed in the income statement refers to the cost of material and services other than staff costs, which are directly related to revenue.

10 Other operating expenses-indirect

	Group		Company	
For the year ended 31st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Administration and establishment	1,400,123	2,434,473	89,111	160,767
Repairs and maintenance	717,286	1,003,094	18,950	27,457
Energy	643,367	1,227,847	32,375	70,634
Selling and marketing	667,359	1,250,563	32,513	41,750
Management fees	23,741	322,483	3,076	24,727
Total	3,451,876	6,238,460	176,025	325,335

11 Profit from operations

Profit from operations is stated after charging all expenses including the following:

	Group		Company	
For the year ended 31st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost of inventories and services	1,512,542	4,256,434	49,488	191,424
Directors fees and emoluments	-	-	-	-
Auditors' remuneration				
- KPMG	12,814	11,985	982	982
- Other auditors	1,594	1,690	-	-
Fees paid to Auditors for non audit services				
- KPMG	5,650	1,318	258	410
- Other auditors	4,579	2,940	-	-
Depreciation of property, plant and equipment	2,534,273	2,116,136	63,290	61,414
Amortisation and impairment				
- Amortisation of right-of-use assets and intangible assets	804,178	730,743	1,865	2,172
- Impairment of investment in subsidiaries and equity accounted investees	-	-	38,690	184,778
Loss on liquidation of a subsidiary	-	-	-	9,921
Donations	1,988	1,836	205	128
Defined contribution plan cost - EPF	57,383	77,442	14,954	8,038
Defined contribution plan cost - ETF	11,907	14,890	2,536	2,011
Defined contribution plan cost - Oman	10,827	9,810	-	-
Defined contribution plan cost - Maldives	19,452	23,472	-	-
Defined benefit plan cost - retirement benefit	40,050	40,348	6,572	6,730
Impairment / (reversal of impairment) of trade receivables	128,073	80,782	19,970	6,967
Impairment / (reversal of impairment) of financial assets	(8,394)	3,603	(8,394)	3,603
Impairment of inventory	2,781	-	-	-
Legal expenses	4,651	4,269	1,103	327
Expenses relating to short-term leases	13,966	168,956	-	-
Expenses relating to leases of low value assets	81,759	65,532	-	-

12 Net Financing expense

	Group		Company	
For the year ended 31st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Finance income				
Interest income on financial assets measured at amortised cost	134,707	186,699	63,827	87,307
	134,707	186,699	63,827	87,307
Finance expenses				
Interest expense on financial liabilities measured at amortised cost	(1,554,369)	(1,276,238)	(83,280)	(118,079)
Interest expense on lease liabilities	(619,602)	(585,115)	-	-
	(2,173,971)	(1,861,353)	(83,280)	(118,079)
Net Finance expense	(2,039,264)	(1,674,654)	(19,453)	(30,772)

NOTES TO THE FINANCIAL STATEMENTS

13 Income tax expense

The income tax provision of Aitken Spence Hotel Holding PLC, its subsidiaries and equity accounted investees which are resident in Sri Lanka has been calculated in accordance with the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

Aitken Spence Hotel Holdings PLC, being a Company engaged in the promotion of tourism is liable for tax at a concessionary rate of 14% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The Group has adjusted any adjustments relating to income tax payable or receivable balances in respect of previous years and written off any unclaimable Economic Service Charge (ESC) within the specified period.

Dividends received out of taxable profits of the companies subject to tax adjustments is liable to an income tax rate of 14%. Dividends remitted to Sri Lanka from non resident companies are exempt from income tax under third schedule to the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The Taxation details of the other Companies in the Group are as follows:

13.1 Sri Lankan operations

Companies incorporated in Sri Lanka and operating outside Sri Lanka

The business profits and income of Aitken Spence Hotel Management Asia (Pvt) Ltd, Aitken Spence Hotels International (Pvt) Ltd and Aitken Spence Global Operations (Pvt) Ltd are exempt from income tax in terms of the Inland Revenue Act (Amendments) Bill as service rendered in or outside Sri Lanka to any person to be utilised outside Sri Lanka, where the payment for such services is received in foreign currency through a bank. Management fee income received from Republic of Maldives is subject to 10% withholding tax at source as per the Income Tax Act of Republic of Maldives and the profits earned by the Company in Oman is taxed at 15%.

Companies liable to income tax at standard rate

The business profits and income of Neptune Ayurvedic Village (Pvt) Ltd arising from leasing out land, is liable for income tax at standard rate of 24% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

Companies liable to income tax at concessionary rates

The business profits and income of Hethersett Hotels Ltd, Aitken Spence Hotels Ltd, Kandalama Hotels (Pvt) Ltd, and Turyaa(Pvt) Ltd, being companies engaged in the promotion of tourism are liable for tax at a concessionary rate of 14% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

Companies exempt from income tax

The business profits of Turyaa Resorts (Pvt) Ltd would be exempt from income tax under section 17A of Inland Revenue (amendment) Act No. 8 of 2012 for a period of 10 years ending 2026/2027.

The business profits of Ahungalla Resorts Ltd would be exempt from income tax under section 17A of Inland Revenue (amendment) Act No. 8 of 2012 for a period of 12 years ending 2029/30.

13.2 Overseas operations

Companies incorporated and operating outside Sri Lanka are liable for income tax in accordance with the provisions of the foreign jurisdictions applicable to overseas companies.

The business profits of Jetan Travel Services Co. Pvt Ltd, Cowrie Investment Pvt Ltd, ADS Resorts (Pvt) Ltd, Unique Resorts (Pvt) Ltd, Ace Resorts (Pvt) Ltd, Crest Star (BVI) Ltd, PR Holiday Homes (Pvt) Ltd, Perumbalam Resorts (Pvt) Ltd, Aitken Spence Hotel Services Ltd, Aitken Spence Hotel Managements South India (Pvt) Ltd and Aitken Spence Resorts [Middle East] LLC, being non resident companies in Sri Lanka and not deriving Income from Sri Lanka are out of the Scope of Income Taxation in Sri Lanka.

The business profits of Jetan Travel Services Co. Pvt Ltd, Cowrie Investment Pvt Ltd, ADS Resorts (Pvt) Ltd, Ace Resorts (Pvt) Ltd and Unique Resorts (Pvt) Ltd which are incorporated in the Republic of Maldives are liable for corporate tax in Maldives at a rate of 15% as per Income Tax Act of Republic of Maldives.

Crest Star (BVI) Ltd, a company incorporated in the British Virgin Islands is exempt from Income Tax. Management fee income received from Republic of Maldives is subject to 10% withholding tax at source as per the Income Tax Act of Republic of Maldives.

The business profits of PR Holiday Homes (Pvt) Ltd, Perumbalam Resorts (Pvt) Ltd and Aitken Spence Hotel Services (Pvt) Ltd; being Companies incorporated in India would be liable for tax at a rate of 25.17% in India, when the Company commences commercial operations.

The business profits of Aitken Spence Hotel Managements South India (Pvt) Ltd, being a Company incorporated in India would be liable to an effective income tax rate of 25.17% as per the Indian tax law.

The business profits of Aitken Spence Resorts (Middle East) LLC, being a Company incorporated in Oman would be liable for corporate tax rate of 15% as per the Oman tax law.

13.3 Associate and joint venture companies

The business profits and income of Browns Beach Hotels PLC arising from leasing of land to “Negombo Beach Resorts (Pvt) Ltd to construct and operate a Hotel is liable for income tax at a standard rate of 24% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The business profits of Negombo Beach Resorts (Pvt) Ltd, would be exempt from income tax under section 17 A of Inland Revenue (amendment) Act No. 08 of 2012 for a period of 12 years ending 2029/30.

The business profits and income of Amethyst Leisure Ltd, is liable for income tax at standard rate of 24% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The business profits and income of Paradise Resorts Passikudah (Pvt) Ltd, being a Company engaged in the promotion of tourism is liable to tax at a concessionary rate of 14% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The business profits and income of Aitken Spence Hotel Managements (Pvt) Ltd, arising from management of Sri Lankan hotels and exporting of goods to hotels in Maldives, is liable for income tax at standard rate of 24% and 14% respectively in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

The business profits and income of Aitken Spence Resources (Pvt) Ltd, being a company involved in the business as agents for recruitment and supply of human resources for employment in abroad, is liable for income tax at standard rate of 24% in terms of the Inland Revenue Act No. 24 of 2017 and its amendments thereto.

NOTES TO THE FINANCIAL STATEMENTS

13.4 Deferred tax expense

Deferred tax expense on companies resident in Sri Lanka are calculated based on the tax rates specified in Inland Revenue Act No. 24 of 2017 and its amendments thereto.

IFRIC interpretation 23 - uncertainty over income tax treatment

IFRIC 23 "Uncertainty over income tax treatments" provides guidance on determining taxable profits, tax bases, unused tax losses, unused tax credits and tax rates, when there is an uncertainty over the income tax treatment. The Group has applied significant judgement in identifying uncertainties over income tax treatments for the year and the Group has determined that there were no uncertainties in tax treatments that has an impact on the income tax expense or warrants any disclosure.

13.5 Tax losses carried forward

As per section 19 of the Inland Revenue Act No. 24 of 2017, any unclaimed tax losses incurred during the year could be carried forward for further six years. Companies in the Group have evaluated the recoverability of unclaimed losses through taxable profit forecasts and deferred tax assets have been recognised accordingly. Deferred tax assets recognised on tax losses would be reviewed at each reporting date based on the taxable profit forecasts and would be reduced to the extent of recoverable amount.

13.6 In determining the arm's length price, the Group has complied with the transfer pricing regulations prescribed in the Inland Revenue Act and amendment thereto and the Gazette notifications issued on transfer pricing.

13.7 Tax recognised in income statement

	Group		Company	
For the year ended 31st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Current tax expense				
Tax on current year profits 13.9	17,262	292,752	-	-
(Over) / Under provision in respect of previous years	(16,576)	(24,347)	5,291	-
Withholding tax on dividends paid by subsidiaries	-	93,191	-	-
	686	361,596	5,291	-
Deferred tax expense/ (income) 13.10				
Impact of changes in tax rates	(535)	-	-	-
Origination/(reversal) of temporary differences	(353,556)	101,105	(3,216)	(8,717)
	(354,091)	101,105	(3,216)	(8,717)
Total	(353,405)	462,701	2,075	(8,717)

Income tax expense excludes, the Group's share of tax expense of the equity-accounted investees recognised in profit/(loss) of Rs. 15.4 million (2019/20 - Rs. 65.4 million) which is included in share of profit of equity-accounted investees (net of tax).

13.8 Tax recognised in other comprehensive income

13.8.1 Group

For the year ended 31st March	2020/2021			2019/2020		
	Before Tax	Tax reversal	Net of Tax	Before Tax	Tax expense	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Items that will never be reclassified to profit or loss						
Revaluation of property, plant and equipment	-	17	17	-	-	-
Share of other comprehensive income of equity accounted investees (net of tax)	17,464	-	17,464	5,358	-	5,358
Actuarial gains / (losses) arising from retirement benefit obligations	(28,661)	3,436	(25,225)	17,128	(2,153)	14,975
	(11,197)	3,453	(7,744)	22,486	(2,153)	20,333
Items that are or may be reclassified to profit or loss						
Foreign Currency translation differences of foreign operations	801,962	-	801,962	929,718	-	929,718
Net movement in fair value reserve	26,123	-	26,123	(14,878)	-	(14,878)
Net movement in cash flow hedging	(712,630)	-	(712,630)	(291,529)	-	(291,529)
	115,455	-	115,455	623,311	-	623,311
Total	104,258	3,453	107,711	645,797	(2,153)	643,644

Tax recognised in other comprehensive income excludes, the Group's share of tax expense of the equity-accounted investees recognised in the other comprehensive income of Rs. 5,719,330/- (2019/2020 tax expense - Rs. 69,749/-) which has been included in 'share of other comprehensive income of equity-accounted investees (net of tax).

13.8.2 Company

For the year ended 31st March	2020/2021			2019/2020		
	Before Tax	Tax reversal	Net of Tax	Before Tax	Tax expense	Net of Tax
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Items that will never be reclassified to profit or loss						
Actuarial gains / (losses) arising from retirement benefit obligations	(5,650)	791	(4,859)	2,619	(367)	2,252
Total	(5,650)	791	(4,859)	2,619	(367)	2,252

NOTES TO THE FINANCIAL STATEMENTS

13.9 Reconciliation of accounting profit and current year tax

	Group		Company	
For the year ended 31st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Profit/ (loss) before tax	(7,606,620)	(433,023)	(258,360)	629,154
Consolidated adjustments	378,861	322,036	-	-
Profit/ (loss) Profit after adjustments	(7,227,759)	(110,987)	(258,360)	629,154
Income not liable for income tax	1,993,955	894,182	(3,713)	9,736
Effect of revenue subject to tax at source	153,695	551,451	-	-
Adjusted Profit/ (loss)	(5,080,109)	1,334,646	(262,073)	638,890
Non taxable receipts / gains	-	-	-	(901,478)
Aggregate disallowed expenses	2,548,661	4,355,026	109,521	281,364
Capital allowances	(3,880,013)	(2,756,850)	(49,688)	(54,932)
Aggregate allowable deductions	(86,718)	(1,595,520)	(10,942)	(30,360)
Utilisation of tax losses	(37,200)	(68,410)	(37,200)	-
Current year tax losses not utilised	6,696,941	962,071	250,382	66,516
Taxable Income	161,562	2,230,963	-	-
Income Tax charged at				
Standard rate	1,892	499	-	-
Concessionary rates	-	87,903	-	-
Other rates	-	501	-	-
Varying rates on off - shore profits	15,370	203,849	-	-
Tax on current year profits	17,262	292,752	-	-
Under / (Over) provision in respect of previous years	(16,576)	(24,347)	5,291	-
Withholding tax on dividends paid by subsidiaries	-	93,191	-	-
	686	361,596	5,291	-

13.10 Deferred tax expense / (income)

	Group		Company	
For the year ended 31st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Origination / (reversal) of temporary differences arising from:				
Accelerated depreciation for tax purposes on property, plant and equipment	187,482	108,334	(2,188)	(1,374)
Defined benefit obligations	(1,310)	(2,097)	(454)	(236)
Expected credit losses	(16,598)	(15,218)	(1,620)	(1,726)
Tax losses carried forward	(739,736)	21,446	1,046	(5,381)
Right-of-use assets	216,071	(11,360)	-	-
Total	(354,091)	101,105	(3,216)	(8,717)

13.11 Tax losses carried forward

	Group		Company	
For the year ended 31st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Tax losses brought forward	5,657,213	6,057,351	1,130,801	1,071,752
Adjustments to prior year tax losses brought forward and tax losses arising during the year	6,222,649	(331,728)	247,217	59,049
Utilisation of tax losses	(37,200)	(68,410)	(37,200)	-
Total	11,842,662	5,657,213	1,340,818	1,130,801

Group tax expense is based on the taxable profit of individual companies within the Group.

Income derived from the provision of services by non resident companies operating in the Maldives is subject to withholding tax of 10%.

As specified above, some companies in the Group have carried forward tax losses which are available to be set off against the future tax profits of those companies. Deferred tax assets not accounted in respect of these losses amounted to Rs. 666,000,952/- (2019/2020 - Rs. 824,485,878) since utilization against future taxable profits are not probable. For Aitken Spence Hotel Holdings PLC, deferred tax assets unaccounted on losses as at 31.03.2021 amounted to Rs. 38,714,617/- (2019/2020 - Rs.8,266,621/-).

NOTES TO THE FINANCIAL STATEMENTS

14 Earnings per ordinary share

Basic earnings per share is calculated by dividing the net profit for the year attributable to the ordinary shareholders by the weighted average number of ordinary shares outstanding during the year.

The following reflects the net income and share data used in the basic earnings per share computation.

	Group		Company	
For the year ended 31st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs.	Rs.	Rs.	Rs.
Amounts used as numerator				
Profit /(loss) for the year attributable to equity holders of the company	(4,669,045,113)	(624,953,446)	(260,434,734)	637,871,005
Less : Dividends on preference shares	(14,850,000)	(14,850,000)	(14,850,000)	(14,850,000)
	(4,683,895,113)	(639,803,446)	(275,284,734)	623,021,005
Number of ordinary shares used as the denominator				
Weighted Average number of ordinary shares in issue	336,290,010	336,290,010	336,290,010	336,290,010
Earnings per ordinary share- (Rs.)	(13.93)	(1.90)	(0.82)	1.85

There were no potentially dilutive ordinary shares outstanding at any time during the year, hence the dilutive earnings per share is equal to the basic earnings per share.

15 Dividends

	Company	
For the year ended 31st March	2020/2021	2019/2020
	Rs. '000	Rs. '000
Final Dividends declared and paid		
Preference Dividend		
Preference dividend paid	(14,850)	(14,850)
Ordinary Dividend		
Final ordinary dividend paid	-	(336,290)
	(14,850)	(351,140)
Final ordinary dividends proposed	-	-
Preference dividends proposed	-	14,850
Ordinary Dividend per Share- (Rs.)	-	-

16 Property, plant and equipment

16.1 Group

	Land (Freehold)	Buildings (Freehold)	Plant Machinery & Equipment	Motor Vehicles	Furniture & Fittings	Soft furnishing, Cutlery, Crockery & Glassware	Capital work-in progress	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or revaluation								
Balance as at 01.04.2020	7,294,967	46,368,699	9,240,201	598,219	3,875,983	1,886,518	208,742	69,473,329
Additions	-	559,788	110,933	1,658	37,170	22,500	46,623	778,672
Transfers	-	(95,038)	135,075	-	1,083	-	(41,120)	-
Disposals	-	(3,665)	(14,328)	(22,306)	(338)	(15,438)	-	(56,075)
Effect of movement in exchange rates	286,746	1,853,635	315,743	25,972	122,385	69,035	14,556	2,688,072
Balance as at 31.03.2021	7,581,713	48,683,419	9,787,624	603,543	4,036,283	1,962,615	228,801	72,883,998

Accumulated depreciation / impairment

Balance as at 01.04.2020	-	8,805,755	4,981,374	373,458	1,680,787	1,077,576	-	16,918,950
Charge for the year	-	1,239,273	855,387	59,515	217,292	162,806	-	2,534,273
Disposals	-	(1,656)	(9,246)	(16,265)	(322)	(11,083)	-	(38,572)
Effect of movement in exchange rates	-	388,056	188,491	19,035	54,085	53,036	-	702,703
Balance as at 31.03.2021	-	10,431,428	6,016,006	435,743	1,951,842	1,282,335	-	20,117,354

Carrying value

As at 31.03.2021	7,581,713	38,251,991	3,771,618	167,800	2,084,441	680,280	228,801	52,766,644
As at 31.03.2020	7,294,967	37,562,944	4,258,827	224,761	2,195,196	808,942	208,742	52,554,379

16.1.1 The gross carrying amount of fully depreciated property, plant and equipment that are still in use for the Group as at 31st March 2021 was Rs.5,378,710,867/- (2019/2020 - Rs.4,677,066,218/-)

16.1.2 The exchange difference has arisen as a result of the translation of property, plant and equipment of foreign entities which are accounted for in United States Dollars, Oman Riyal, Indian Rupees and translated to the reporting currency at the closing rate.

16.1.3 The value of the property, plant and equipment pledged as security against borrowings are disclosed in Note 32.

16.1.4 Capital work in progress represents the amount of expenditure recognised under property, plant and equipment during the construction of capital assets.

16.1.5 In compliance with the accounting policy, land owned by Group companies are revalued by independent professional valuers at least once in every five years unless there is an indication of a significant change in the market rates. Details of the revalued lands are given in the Note 16.3 to the financial statements.

16.1.6 As a result of the COVID-19 outbreak in Sri Lanka during the period ending 31 March 2021, it has been identified that there is no permanent impairment of property plant and equipment which requires provision in the financial statements based on re-assessment of the fair value of the Group's land.

16.1.7 The Group does not foresee any indications of Impairment as at the reporting date due to the COVID-19 pandemic, and business unit functions under the business continuity plans as per the Group risk management strategy, allowing operations to function through alternate working arrangements, whilst strictly adhering to and supporting government directives.

NOTES TO THE FINANCIAL STATEMENTS

16.2 Company

	Land (Freehold)	Buildings (Freehold)	Plant Machinery & Equipment	Motor Vehicles	Furniture & Fittings	Soft furnishing, Cutlery, Crockery & Glassware	Total
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Cost or revaluation							
Balance as at 01.04.2020	710,300	1,076,493	582,934	47	260,670	130,370	2,760,814
Additions	-	5,120	13,871	-	2,102	1,485	22,578
Disposals	-	-	(773)	-	-	(255)	(1,028)
Balance as at 31.03.2021	710,300	1,081,613	596,032	47	262,772	131,600	2,782,364
Accumulated depreciation/impairment							
Balance as at 01.04.2020	-	391,195	407,625	47	227,844	109,881	1,136,592
Charge for the year	-	21,462	29,320	-	5,348	7,160	63,290
Disposal	-	-	(559)	-	-	(202)	(761)
Balance as at 31.03.2021	-	412,657	436,386	47	233,192	116,839	1,199,121
Carrying value					-		
As at 31.03.2021	710,300	668,956	159,646	-	29,580	14,761	1,583,243
As at 31.03.2020	710,300	685,298	175,309	-	32,826	20,489	1,624,222

16.2.1 The gross carrying amount of fully depreciated property plant and equipment that is still in use for the Company as at 31st March 2021 was Rs.597,516,208/-.

16.2.2 The value of the property, plant and equipment pledged as security against borrowings are disclosed in Note 32.

16.3 Freehold land

16.3.1 Land carried at revalued amounts

Company	Location	Last revaluation date	Estimated price per perch (Significant unobservable inputs)	Land extent	Carrying amount as at 31.03.2021	Revaluation surplus	Carrying amount at cost
			Rs.		Rs. '000	Rs. '000	Rs. '000
Aitken Spence Hotel Holdings PLC (i)	Galle Road, Ahungalla	30.09.2017	363,424	11A 3R 34.02P	695,600	677,398	18,202
	Galle Road, Ahungalla	30.09.2017	374,427	39.26P	14,700	9,493	5,207
Heritance (Pvt) Ltd (i)	Moragalla, Beruwala	30.09.2017	349,860	5A 3R 6.80P	324,250	313,170	11,080
Meeraladuwa (Pvt) Ltd (i)	Meeraladuwa Island Balapitiya	30.09.2017	45,891	29A 2R 9P	217,020	116,758	100,262
Kandalama Hotels (Pvt) Ltd(ii)	Kandalama, Dambulla	30.09.2017	343	169A 2R 22.40P	9,300	1,916	7,384
Neptune Ayurvedic Village (Pvt) Ltd (i)	Ayurvedic Village, Moragalla, Beruwala	30.09.2017	233,161	0A 0R 19.30P	4,500	437	4,063
P.R. Holiday Homes (Pvt) Ltd(ii)	Cochin - Kerala	07.02.2017	99,480	14A 0R 7.52P	223,585	66,708	156,877
Turyaa (Pvt) Ltd (i)	418, Parallel Road Kudawaskaduwa, Kalutara	30.09.2017	437,590	5A 1R 37.9P	384,160	364,395	19,765
	49, Sea Beach Road, Kalutara	30.09.2017	327,076	0A 1R 30.32P	23,000	21,512	1,488
Turyaa Resorts (Pvt) Ltd (i)	Kudawaskaduwa, Kalutara	30.09.2017	480,000	1A 3R 33.20P	150,336	93,557	56,779
	Kudawaskaduwa, Kalutara	30.09.2017	269,179	0A 1R 34.30P	20,000	10,826	9,174
Ahungalla Resorts Ltd (i)	Galle Road, Ahungalla	30.09.2017	454,243	10A 2R 39.29P	773,650	43,650	730,000
	Galle Road Ahungalla	30.09.2017		2A 0R 35.92P	169,000	44,000	125,000
Perumbalam Resorts (Pvt) Ltd (ii)	Cochin - Kerala	07.02.2017	82,741	4A 0R 0.9P	53,699	42,478	11,221
Aitken Spence Hotel Management South India (Pvt) Ltd(iii)	144/7, Rajiv Gandhi Salai, Kottivakkam, Chennai	19.03.2018	7,615,103	0A 3R 15.4P	1,029,105	373,720	655,385
Total					4,091,905	2,180,018	1,911,887

The above lands have been revalued on the basis of current market value by independent, qualified valuers who have recent experience in the location and category of property being valued.

(i) Valuation of the land was carried out by Mr.K. C. B. Condegama, A.I.V. (Sri Lanka)

(ii) Valuation of the land carried out by Mr. T.T. Kripananda Singh B.S.C. (Eng.) MICA, F.I.E, F.I.V of Messers N. Raj Kumar and Associates (India)

(iii) Valuation of the land carried out by Messers CBRE South Asia Private Limited (India)

Lands of the Group were last revalued as indicated above, as a result of COVID-19 outbreak in Sri Lanka, a reassessment of the valuation was performed using external independent valuer (Mr. K.C.B. Condegama), based on such assessment, no significant changes to the revalued carrying amount as at 31 March 2021.

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16.3.2 Land carried at cost (fair value)

Company	Location	Acquisition date	Extent	Carrying amount as at 31.03.2021
				Rs. '000
Aitken Spence Resorts (Middle East) LLC	Muscat, Oman	11.02.2016	5A 0R 8.0P	3,489,808
Total				3,489,808

Due to the COVID restriction imposed by the government where the company operates, the management was unable to obtain the valuation of this property, however, based on the internal assessment carried out, it was concluded that there was no significant deviation in the carrying amount of the assets.

16.3.3 Total carrying amount of land

		Group	
As at		31.03.2021	31.03.2020
		Rs. '000	Rs. '000
Land carried at revalued amounts	(Note 16.3.1)	4,091,905	3,980,978
Land carried at cost (fair value)	(Note 16.3.2)	3,489,808	3,313,989
Total		7,581,713	7,294,967

16.4 Capital expenditure commitments

The following commitments for capital expenditure approved by the Directors as at 31st March 2021 have not been provided for in the accounts.

		Group	
As at		31.03.2021	31.03.2020
		Rs. '000	Rs. '000
Approximate amount approved but not contracted for		-	-
Approximate amount contracted for but not accounted		184,403	1,139,460
Total		184,403	1,139,460

17 Right - of - use assets

17.1 Movement during the year

	Group		
	Right-of-use Land	Right-of-use buildings	Total
As at	Rs. '000	Rs. '000	Rs. '000
Cost or valuation			
Balance as at 01st April 2020	15,639,694	5,853	15,645,547
Present value adjustment on lease modification *	964,206	-	964,206
Impact on exchange rate fluctuation	880,357	-	880,357
Balance as at 31st March 2021	17,484,257	5,853	17,490,110
Accumulated depreciation / impairment			
Balance as at 01st April 2020	4,469,256	3,902	4,473,158
Charge for the year	773,879	1,951	775,830
Impact on exchange rate fluctuation	276,802	-	276,802
Balance as at 31st March 2021	5,519,937	5,853	5,525,790
Carrying value			
As at 31 March 2021	11,964,320	-	11,964,320
As at 31 March 2020	11,170,438	1,951	11,172,389

The Company does not foresee any indications of impairment of right of use assets due to the COVID-19 pandemic since each business unit is operating under the business continuity plans as per the Group risk management strategy.

* Based on the concessions and waive off of capital repayments, few maldivian hotels in the Group have modified the Right - of - use assets and Lease liability based on the new capital repayments. Group has accounted these concessions and waive off of capital repayments as a lease modification to the existing lease contract.

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18 Intangible assets

18.1 Group

As at	Goodwill	Computer Software	Total 31.03.2021
	Rs. '000	Rs. '000	Rs. '000
Cost or Valuation			
Balance as at 01st April 2020	493,145	204,166	697,311
Effect of movement in exchange rates	26,163	7,862	34,025
Balance as at 31st March 2021	519,308	212,028	731,336
Accumulated amortisation / impairment			
Balance as at 01st April 2020	-	116,684	116,684
Effect of movement in exchange rates	-	5,167	5,167
Amortisation	-	28,348	28,348
Balance as at 31st March 2021	-	150,199	150,199
Carrying value			
As at 31.03.2021	519,308	61,829	581,137
As at 31.03.2020	493,145	87,482	580,627

The gross carrying amount of fully amortised intangible assets that are still in use for the Group as at 31st March 2021 was Rs. 106,372,140/- (2019/2020 -Rs. 85,688,608 /-).

There were no intangible assets pledged by the Group as security for facilities obtained from banks. (2019/2020- nil)

Net carrying value of goodwill

Goodwill is arisen in respect of acquisition of 70% of equity in Aitken Spence Resorts (Middle East) LLC during the year 2015/16.

The recoverable amount of goodwill is determined based on value-in-use calculations. These calculations use cash flow projections based on financial budgets approved by management covering five year periods. The key assumptions used are given below.

Business growth	-	Based on the long term average growth rate for each business unit. The weighted average growth rate used is consistent with the forecast included in industry reports (2020/2021- 8.1%, 2019/2020 - 8.1%).
Inflation	-	Based on current inflation rate.
Discount rate	-	Risk free rate adjusted for the specific risk relating to the industry (2020/2021 - 9.1% , 2019/2020 - 6.2%).
Margin	-	Base on past performance and budgeted expectations.

The effects of COVID-19 pandemic have been taken into effect in the cashflow forecasts and the discount rate used for the calculation. There is a considerable degree of judgement involved in preparing forecasts and assumptions including discount rates.

18.2 Company

As at	Computer Software	Total 31.03.2021
	Rs. '000	Rs. '000
Cost or Valuation		
Balance as at 01st April 2020	13,101	13,101
Additions	-	-
Balance as at 31st March 2021	13,101	13,101
Accumulated amortisation / impairment		
Balance as at 01st April 2020	9,830	9,830
Amortisation	1,865	1,865
Impairment during the year	-	-
Balance as at 31st March 2021	11,695	11,695
Carrying value		
As at 31.03.2021	1,406	1,406
As at 31.03.2020	3,271	3,271

The gross carrying amount of fully amortised intangible assets that are still in use for the Company as at 31st March 2021 was Rs.12,946,426 /- (2019/2020 - Rs. 7,137,178 /-).

There were no intangible assets pledged by the Company as security for facilities obtained from banks. (2019/2020- nil)

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19 Investment in subsidiaries

19.1 Investments in subsidiaries – unquoted

	Country of incorporation	Number of Shares	Company Holding	Group Holding	31.03.2021 Rs. '000	31.03.2020 Rs. '000
a) Equity shares						
Aitken Spence Hotels Ltd	Sri Lanka	14,701,204	98.01%	98.01%	149,750	149,750
Crest Star (BVI) Ltd	British Virgin Island	3,415,000	100.00%	100.00%	185,628	185,628
(Ordinary Shares of US \$ 1 each)						
Cowrie Investment (Pvt) Ltd	Maldives	52,740	60.00%	60.00%	321,733	321,733
(Ordinary Shares of Mrf 1000 each)						
Aitken Spence Resorts (Middle East) LLC	Oman	01	0.01%	0.01%	-	-
(Ordinary Shares of OMR 1 each)						
Hethersett Hotels Ltd	Sri Lanka	24,542,000	94.44%	94.44%	161,421	161,421
Neptune Ayurvedic Village (Pvt) Ltd	Sri Lanka	500,000	100.00%	100.00%	5,000	5,000
Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	10,744,582	51.00%	51.00%	181,024	181,024
Aitken Spence Hotel Managements Asia (Pvt) Ltd	Sri Lanka	5,125,500	51.00%	51.00%	51,255	51,255
Aitken Spence Hotel Managements (South India) [Pvt] Ltd	India	29,869,000	16.60%	16.60%	744,325	744,325
Turyaa (Pvt) Ltd.	Sri Lanka	219,812,322	100.00%	100.00%	1,583,679	1,583,679
Turyaa Resorts (Pvt) Ltd	Sri Lanka	121,920,000	100.00%	100.00%	1,219,200	1,219,200
Ahungalla Resorts Ltd	Sri Lanka	78,369,024	60.00%	60.00%	2,926,326	2,926,326
Meeraladuwa (Pvt) Ltd	Sri Lanka	20,227,801	100.00%	100.00%	202,278	202,278
ADS Resorts (Pvt) Ltd	Maldives	01	0.01%	0.01%	-	-
Unique Resorts (Pvt) Ltd	Maldives	01	0.01%	0.01%	-	-
Ace Resorts (Pvt) Ltd	Maldives	01	0.01%	0.01%	-	-
Nilaveli Resorts (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
Nilaveli Holidays (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
The Galle Heritage (Pvt) Ltd	Sri Lanka	01	100.00%	100.00%	-	-
					7,731,619	7,731,619
Less : Provision for Impairment of investment in Turyaa (Pvt) Ltd *					(124,778)	(124,778)
					7,606,841	7,606,841
b) Preference shares						
Aitken Spence Hotels Ltd	Sri Lanka	40,000,000			400,000	400,000
Net carrying amount of investments in subsidiaries – unquoted as at 31st March					8,006,841	8,006,841

* Impairment to the carrying value of investment in Turyaa (Pvt) Ltd was recognised based on the discounted future cash flows to the extent of the non recoverability amount of the investment.

The effects of COVID-19 pandemic have been taken into effect in the cashflow forecasts and the discount rate used for the calculation. There is a considerable degree of judgement involved in preparing forecasts and assumptions including discount rates.

19.2 Investments in sub subsidiaries / inter company shareholding- unquoted

	Country of incorporation	Number of Shares	Investor Holding	Group Holding	31.03.2021 Rs. '000	31.03.2020 Rs. '000
Aitken Spence Hotels Ltd						
- Kandalama Hotels (Pvt) Ltd	Sri Lanka	10,216,216	63.00%	61.75%	234,406	234,406
- Heritance (Pvt) Ltd.	Sri Lanka	2,125,627	100.00%	98.01%	35,751	35,751
					270,157	270,157
Crest Star (BVI) Ltd						
- Jetan Travel Services Co. (Pvt) Ltd	Maldives	47,500	95.00%	95.00%	573,969	545,476
					573,969	545,476
Aitken Spence Hotels International (Pvt) Ltd						
- ADS Resorts (Pvt) Ltd	Maldives	1,274,999	100.00%	51.00%	103,970	103,970
- Unique Resorts (Pvt) Ltd	Maldives	6,374,999	100.00%	51.00%	562,663	562,663
- Aitken Spence Hotel Services (Pvt) Ltd	India	10,000	100.00%	51.00%	271	271
- Aitken Spence Hotel Managements South India (Pvt) Ltd	India	150,048,995	83.40%	42.53%	3,390,956	3,390,956
- Ace Resorts (Pvt) Ltd	Maldives	8,480,999	100.00%	51.00%	740,155	740,155
- Aitken Spence Resorts (Middle East) LLC	Oman	11,363,775	99.99%	50.99%	4,451,435	4,451,435
- Aitken Spence Global Operations (Pvt) Ltd	Sri Lanka	100,000	100.00%	51.00%	1,000	1,000
					9,250,450	9,250,450
Aitken Spence Hotel Managements Asia (Pvt) Ltd						
- PR Holiday Homes (Pvt) Ltd (ordinary shares)	India	621,310	84.57%	43.13%	174,949	174,949
- Aitken Spence Hotels International (Pvt) Ltd (Preference Shares)	Sri Lanka	3,825,000	100.00%	100.00%	764,999	764,999
					939,948	939,948
PR Holiday Homes (Pvt) Ltd						
- Perumbalam Resorts (Pvt) Ltd	India	10,000	100.00%	43.13%	270	251
					270	251

Kandalama Hotels (Pvt) Ltd and Heritance (Pvt) Ltd are subsidiaries of Aitken Spence Hotels Ltd.

Jetan Travel Services Co. Pvt Ltd is a subsidiary of Crest Star (BVI) Ltd.

ADS Resorts (Pvt) Ltd, Unique Resorts (Pvt) Ltd, Aitken Spence Hotel Services (Pvt) Ltd, Aitken Spence Hotel Management (South India) Pvt Ltd, Ace Resorts (Pvt) Ltd and Aitken Spence Resorts (Middle East) LLC are subsidiaries of Aitken Spence Hotels International (Pvt) Ltd.

P.R Holiday Homes (Pvt) Ltd is a Subsidiary of Aitken Spence Hotel Managements Asia (Pvt) Ltd.

Perumbalam Resorts (Pvt) Ltd is a subsidiary of P.R Holiday Homes (Pvt) Ltd.

NOTES TO THE FINANCIAL STATEMENTS

19.3 Non - controlling interests

The following subsidiaries have material non - controlling interests.

Name	Principle place of business/Country of incorporation	Operating Segment	Ownership interest held by non- controlling interests	
			As at 31.03.2021	As at 31.03.2020
Aitken Spence Hotels International (Pvt) Ltd	Sri Lanka	Sri Lankan Sector - Others	49%	49%
Ahungalla Resorts Ltd	Sri Lanka	Sri Lankan Sector- Hotels	40%	40%
Cowrie Investments (Pvt) Ltd	Republic of Maldives	South Asian and Middle East Sector	40%	40%
ADS Resorts (Pvt) Ltd	Republic of Maldives	South Asian and Middle East Sector	49%	49%
Unique Resorts (Pvt) Ltd	Republic of Maldives	South Asian and Middle East Sector	49%	49%
Aitken Spence Hotel Management South India (Pvt) Ltd	India	South Asian and Middle East Sector	40.87%	40.87%

Except for Ahungalla Resorts Ltd and Cowrie Investments (Pvt) Ltd, the non-controlling interest of other subsidiaries are held with the holding Company, Aitken Spence PLC.

The following table summarises the financial information relating to the Group's subsidiaries that has material non-controlling interests, before any intra-group eliminations.

	Cowrie Investments (Pvt) Ltd		Ahungalla Resorts Ltd	
	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue	2,729,072	4,584,370	107,826	1,651,911
Loss after tax	(2,166,788)	(625,080)	(1,191,631)	(351,391)
Loss attributable to NCI	(866,715)	(250,032)	(476,652)	(140,556)
Other comprehensive income	157,532	364,375	(713,441)	(291,328)
Total comprehensive income	(2,009,256)	(260,705)	(1,905,072)	(642,719)
Total comprehensive income attributable to NCI	(803,702)	(104,282)	(762,029)	(257,088)
Current Assets	1,259,528	1,104,084	342,929	1,138,281
Non- current assets	26,497,541	24,327,682	9,871,900	10,298,125
Current Liabilities	5,263,797	(3,761,514)	(54,080)	(896,950)
Non- current liabilities	18,295,888	(15,501,222)	(1,214,502)	(7,558,134)
Net Assets	51,316,754	6,169,030	8,946,247	2,981,322
Net assets attributable to NCI	20,526,702	2,467,612	3,578,499	1,192,529
Cash flow from operating activities	775,935	625,308	(720,478)	515,950
Cash flow from investing activities	(547,280)	(2,485,907)	(27,340)	(51,589)
Cash flow from financing activities	(279,346)	1,219,888	141,228	(85,185)
Net increase/(decrease) in cash and cash equivalents	(50,691)	(640,711)	(606,590)	379,176

20 Investment in equity accounted investees

	Group		Company	
	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Recognised in the statement of financial position				
- Interest in joint ventures	-	-	-	-
- Interest in associates	631,527	910,478	1,267,862	1,222,873
Carrying amount as at 31st March	631,527	910,478	1,267,862	1,222,873
Recognised in the statement of changes in equity				
- Interest in joint ventures	-	-	-	-
- Interest in associates	(27,356)	(7,868)	-	-
Share of adjustment on equity accounted investees (net of tax)	(27,356)	(7,868)	-	-
Recognised in the income statement				
- Interest in joint ventures	-	-	-	-
- Interest in associates	(378,861)	(322,036)	-	-
Share of loss of equity accounted investees (net of tax)	(378,861)	(322,036)	-	-
Recognised in the statement of profit or loss and other comprehensive income				
- Interest in joint ventures	-	-	-	-
- Interest in associates	17,464	5,358	-	-
Share of other comprehensive income of equity accounted investees (net of tax)	17,464	5,358	-	-

20.1 Investment in associates

		Group		Company	
As at		31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Investment in associates - quoted	20.1.1	480,750	696,790	906,602	906,602
Investment in associates - unquoted	20.1.2	150,777	213,688	361,260	316,271
Total equity value of investment in associates as at 31st March		631,527	910,478	1,267,862	1,222,873

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20.1.1 Investment in associates - quoted

	Group				Company			
As at	No. of Shares	Group Holding	31.03.2021 Rs. '000	31.03.2020 Rs. '000	No. of Shares	Company Holding	31.03.2021 Rs. '000	31.03.2020 Rs. '000
Browns Beach Hotels PLC	48,492,451	37.42%	925,110	925,110	47,455,750	36.62%	906,602	906,602
(Consolidated with Negombo Beach Resorts (Pvt) Ltd)								
Net book value as at 31st March	48,492,451	37.42%	925,110	925,110	47,455,750	36.62%	906,602	906,602
Share of movement in equity value			(790,015)	(545,538)			-	-
Surplus on revaluation			345,655	317,218			-	-
Equity value of Investment as at 31st March			480,750	696,790			906,602	906,602
Market value of quoted investment as at 31st March			494,623	368,543			484,049	360,664

20.1.2 Investment in associates - unquoted

	Group				Company			
As at	No. of Shares	Group Holding	31.03.2021 Rs. '000	31.03.2020 Rs. '000	No. of Shares	Company Holding	31.03.2021 Rs. '000	31.03.2020 Rs. '000
Amethyst Leisure Ltd	134,666,055	27.89%	249,169	249,169	134,666,055	27.89%	249,169	249,169
(Consolidated with Paradise Resorts Passikudah (Pvt) Ltd)								
Investments made during the year	83,679,108	4.28%	83,679	-	83,679,108	4.28%	83,679	-
Net book value as at 31st March	218,345,163	32.17%	332,848	249,169	218,345,163	32.17%	332,848	249,169
Share of movement in equity value			(258,780)	(206,622)			-	-
Equity value of Investment as at 31st March			74,068	42,547			332,848	249,169
Less : Provision for Impairment of investment *			-	-			(199,467)	(160,777)
Equity value of Investment as at 31st March - net of impairment			74,068	42,547			133,381	88,392
Aitken Spence Hotel Managements (Pvt) Ltd	3,862,353	49.00%	227,879	227,879	3,862,353	49.00%	227,879	227,879
(Consolidated with Aitken Spence Resources (Pvt) Ltd)								
Net book value as at 31st March	3,862,353	49.00%	227,879	227,879	3,862,353	49.00%	227,879	227,879
Share of movement in equity value			(151,170)	(56,738)			-	-
Equity value of Investment as at 31st March			76,709	171,141			227,879	227,879
Total equity value of investment of investments in associates - unquoted as at 31st March			150,777	213,688			361,260	316,271

* Impairment to the carrying value of investment in Amethyst Leisure Ltd was recognised based on discounted future cash flows to the extent of the non recoverability amount of the investment.

The effects of COVID-19 pandemic have been taken into effect in the cashflow forecasts and the discount rate used for the calculation. There is a considerable degree of judgement involved in preparing forecasts and assumptions including discount rates.

20.2 Principle place of business and the group holding percentage of investment in associates

Name	Principle place of Business / Country of incorporation	Nature of relationship with the Group	Ownership interest % voting rights as at 31st March 2021	Fair Value of ownership interest (if listed) Rs.'000
Browns Beach Hotels PLC	Sri Lanka	Owns "Negombo Beach Resorts"	37.42%	494,623
Negombo Beach Resorts (Pvt) Ltd (100% subsidiary of Browns Beach Hotels PLC)	Sri Lanka	Owns and Operates "Heritage Negombo"	37.42%	-
Amethyst Leisure Ltd	Sri Lanka	Owns Paradise Resorts Passikudah (Pvt) Ltd	32.17%	-
Paradise Resorts Passikudah (Pvt) Ltd (100% subsidiary of Amethyst Leisure Ltd)	Sri Lanka	Owns and Operates "Amethyst Resorts Passikudah"	32.17%	-
Aitken Spence Hotel Managements (Pvt) Ltd	Sri Lanka	Provides Management Services to all Hotels in Sri Lanka	49.00%	-
Aitken Spence Resources (Pvt) Ltd (100% subsidiary of Aitken Spence Hotel Managements (Pvt) Ltd)	Sri Lanka	Provides Human Resources to overseas hotels	49.00%	-

20.3 Summarised financial information of investment in associates with material NCI

	Amethyst Leisure Ltd		Browns Beach Hotels PLC		Aitken Spence Hotel Managements (Pvt) Ltd	
	(Consolidated with Paradise Resorts Passikudah (Pvt) Ltd.		(Consolidated with Negombo Beach Resorts (Pvt) Ltd)		(Consolidated with Aitken Spence Resources (Pvt) Ltd)	
	2020/2021	2019/2020	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue	31,558	68,099	88,104	689,070	157,742	633,200
Profit/(Loss) after tax	(86,089)	(114,061)	(652,037)	(653,915)	(224,701)	(97,310)
Other comprehensive income	(50)	(130)	74,650	663	31,984	14,438
Total comprehensive income	(86,139)	(114,191)	(577,387)	(653,252)	(192,717)	(82,872)
Attributable to NCI	(61,338)	(82,343)	(361,346)	(408,805)	(98,286)	(42,265)
Attributable to Investees Shareholders	(24,801)	(31,848)	(216,041)	(244,447)	(94,431)	(40,607)
Current Assets	17,131	15,683	253,141	394,595	859,086	1,085,494
Non Current Assets	526,245	546,541	5,218,326	5,345,478	229,050	188,143
Current Liabilities	(221,420)	(355,429)	(694,548)	(752,319)	(1,002,105)	(1,022,899)
Non- Current liabilities	(328,441)	(327,241)	(3,492,076)	(3,125,524)	(64,220)	(34,040)
Net Assets	(6,485)	(120,446)	1,284,843	1,862,230	21,811	216,698
Attributable to NCI	(4,399)	(86,854)	804,093	1,165,384	11,124	110,516
Attributable to Investees Shareholders	(2,086)	(33,592)	480,750	696,846	10,687	106,182
Groups interest in net assets of investee at the beginning of the year	42,547	75,572	696,790	946,451	171,141	227,879
Investments made during the year	83,679	-	-	-	-	-
Total comprehensive income attributable to the Group	(52,158)	(33,025)	(216,040)	(249,661)	(94,432)	(56,738)
Group's interest in net assets of investee at the end of the year	74,068	42,547	480,750	696,790	76,709	171,141

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21 Other financial assets - non current

21.1 Unquoted equity securities, debt securities and unsecured loans

	Note	Group		Company	
		31.03.2021 Rs. '000	31.03.2020 Rs. '000	31.03.2021 Rs. '000	31.03.2020 Rs. '000
As at					
Financial assets at fair value through OCI					
- Unquoted equity securities	21.1.1	166,450	158,187	-	-
Financial assets at amortised cost					
-Unquoted debt securities and unsecured loans	21.1.2	745,852	688,744	745,852	688,744
Carrying amount as at 31st March		912,302	846,931	745,852	688,744
Current unquoted equity and debt securities	21.1.2	(139,794)	(82,686)	(139,794)	(82,686)
Non-current unquoted debt and equity securities		772,508	764,245	606,058	606,058

21.1.1 Unquoted equity securities

	Group		Company	
	31.03.2021 Rs. '000	31.03.2020 Rs. '000	31.03.2021 Rs. '000	31.03.2020 Rs. '000
As at				
Investment in Floatels India (Pvt) Ltd				
Balance brought forward	158,187	146,675	-	-
(716,037 shares at INR 55/- each)				
Effect of movement in exchange rates	8,263	11,512	-	-
Balance carried forward				
(716,037 shares at INR 55/- each)	166,450	158,187	-	-

The balance reflects the recent sale price of remaining equity shares.

21.1.2 Unquoted debt securities and unsecured loans

	Group		Company	
	31.03.2021 Rs. '000	31.03.2020 Rs. '000	31.03.2021 Rs. '000	31.03.2020 Rs. '000
As at				
Secured redeemable debentures				
Earl's Court Hotel Management (Pvt) Ltd	58,333	60,015	58,333	60,015
Less: Impairment	(3,317)	(11,711)	(3,317)	(11,711)
	55,016	48,304	55,016	48,304
Unsecured loans				
Negombo Beach Resorts (Pvt) Ltd	690,836	640,440	690,836	640,440
Carrying amount as at 31st March	745,852	688,744	745,852	688,744
Current unquoted debt securities	(139,794)	(82,686)	(139,794)	(82,686)
Non-current unquoted debt securities and unsecured loans	606,058	606,058	606,058	606,058

i Redeemable debentures are receivable in 60 equal installments Interest linked to AWPLR.

ii Unsecured loan is receivable in 7 years with a grace period of 2 years. Interest linked to AWPLR.

22 Deferred tax assets

22.1 Movement in deferred tax assets

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance brought forward	295,849	160,942	-	-
Effect of movement in exchange rates	39,570	13,300	-	-
Reversal of temporary differences				
-Recognised in income statement	382,383	(61,076)	-	-
-Recognised in other comprehensive income	-	(49)	-	-
-Recognised in equity	-	182,732	-	-
Balance carried forward	717,802	295,849	-	-

22.2 Composition of deferred tax assets

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax assets attributable to;				
Defined benefit obligations	2,759	3,146	-	-
Tax losses carried forward	1,088,110	283,586	-	-
Expected credit loss	15,547	11,546	-	-
Right-of-use assets	-	208,850	-	-
Accelerated depreciation for tax purposes on Property, plant and equipment	(388,614)	(211,279)	-	-
Net deferred tax assets	717,802	295,849	-	-

NOTES TO THE FINANCIAL STATEMENTS

22.3 Movement in tax effect of temporary differences - Group - 2020/2021

	2020/2021					
	Balance as at 01.04.2020	Recognised in profit & (loss)	Recognised in other comprehensive income	Recognised in equity	Exchange gain/(loss)	Balance as at 31.03.2021
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred Tax Asset						
Defined benefit obligations	3,146	(709)	-	-	322	2,759
Tax losses carried forward	283,586	723,461	-	-	81,063	1,088,110
Expected credit losses	11,546	3,936	-	-	65	15,547
Right-of-use assets	208,850	(205,071)	-	-	(3,779)	-
	507,128	521,617	-	-	77,671	1,106,416
Deferred Tax Liabilities						
Accelerated depreciation for tax purposes on property, plant and equipment	(211,279)	(139,234)	-	-	(38,101)	(388,614)
	(211,279)	(139,234)	-	-	(38,101)	(388,614)
Net deferred tax assets	295,849	382,383	-	-	39,570	717,802

22.4 Movement in tax effect of temporary differences - Group - 2019/2020

	2019/2020					
	Balance as at 01.04.2019	Recognised in profit & (loss)	Recognised in other comprehensive income	Recognised in equity	Exchange gain/(loss)	Balance as at 31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred Tax Asset						
Defined benefit obligations	3,067	143	(49)	-	(15)	3,146
Tax losses carried forward	264,569	30,430	-	-	(11,413)	283,586
Expected credit losses	1,007	11,604	-	-	(1,065)	11,546
Right-of-use assets	-	11,788	-	182,732	14,330	208,850
	268,643	53,965	(49)	182,732	1,837	507,128
Deferred Tax Liabilities						
Accelerated depreciation for tax purposes on property, plant and equipment	(107,701)	(115,041)	-	-	11,463	(211,279)
	(107,701)	(115,041)	-	-	11,463	(211,279)
Net deferred tax assets	160,942	(61,076)	(49)	182,732	13,300	295,849

23 Inventories

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Food	202,457	237,888	5,011	6,565
Beverage	112,199	128,490	3,897	4,262
Maintenance	239,560	276,095	2,615	3,278
Stationery	18,202	17,594	566	613
House keeping	88,106	110,506	1,184	1,218
Ayurveda stocks	4,816	4,920	-	-
Fuel & others	154,818	158,047	1,849	3,688
	820,158	933,540	15,122	19,624
(-) Provision of impairment of inventories	(2,781)	-	-	-
Total	817,377	933,540	15,122	19,624

There were no inventories pledged as security for overdraft facilities as at 31st March 2021 (as at 31st March 2020- nil).

The Group has identified companies with COVID 19-related revenue declines and evaluated whether it is required to adjust the carrying value of the inventory as perishables and products with short shelf lives. As a result, during the year, inventories have been reduced by Rs. 2.8 million and the resultant loss was recognised in the income statement under “other operating expenses - indirect”.

24 Trade and other receivables

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Trade receivables	750,012	1,217,415	43,638	118,885
Provision for impairment	(230,305)	(99,373)	(29,408)	(9,438)
	519,707	1,118,042	14,230	109,447
Non trade receivables	77,914	183,378	37,506	8,217
	597,621	1,301,420	51,736	117,664
Other Taxes receivable	240,030	322,171	28,049	16,835
Other receivable	56,169	57,758	2,611	2,370
Total	893,820	1,681,349	82,396	136,869

No loans were given to employees over and above Rs. 20,000/-.

No loans have been given to directors of the Company.

24.1 Credit and market risks, and impairment losses

Information about the Group's exposure to credit risk of trade receivables which discusses how the Group manages and measures credit quality of trade receivables , market risk and the impairment losses of trade receivables are disclosed in Note No.42.

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25 Amounts due from holding company

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term investments	476,904	740,232	82,929	32,148
Total	476,904	740,232	82,929	32,148

The above short term investments were made on normal market interest rates.

26 Amounts due from parent's group entities

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Travels (Pvt) Ltd.	41,002	306,686	9,541	68,327
Aitken Spence Hotel Managements (Pvt) Ltd.	184,135	152,357	24,876	24,898
Aitken Spence Exports (Pvt) Ltd	184	2,470	-	-
Aitken Spence Hotels Ltd	-	-	-	19
Aitken Spence Cargo (Pvt) Ltd.	309	63	-	29
Aitken Spence PLC	88	86	-	68
Negombo Beach Resorts (Pvt) Ltd	70	263	-	-
Turyaa (Pvt) Ltd	-	-	7,559	13,282
Turyaa Resorts (Pvt) Ltd	-	-	27	-
Meeraladuwa (Pvt) Ltd	-	-	232	232
Elevators (Pvt) Ltd	36	-	-	-
Ace International Express (Pvt) Ltd	30	-	-	-
Ace Containers (Pvt) Ltd	30	-	-	-
D B S Logistics Ltd	27	-	-	-
Aitken Spence Ports International (Pvt) Ltd	34	-	-	-
Ace Distriparks (Pvt) Ltd	72	-	-	-
Aitken Spence Shipping Ltd	34	-	-	-
Aitken Spence Property Developments (Pvt) Ltd	30	-	-	-
Paradise Resorts Passikudah (Pvt) Ltd	5,253	5,161	5,151	5,151
Total	231,334	467,086	47,386	112,006

27 Other financial assets

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Other financial assets - current (Note 21.1.2)	139,794	82,686	139,794	82,686
Bank deposits	574,768	46,142	-	-
Total	714,562	128,828	139,794	82,686

28 Cash and cash equivalents

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term deposits less than 90 days	559,461	-	435,077	-
Cash at bank and in hand	1,546,099	2,473,266	39,843	502,765
Cash and cash equivalents in the statement of financial position	2,105,560	2,473,266	474,920	502,765
Less: Bank Overdrafts and other short term borrowings	(4,732,653)	(2,492,883)	(107,181)	(24,610)
Cash and cash equivalents in the statement of cash flows	(2,627,093)	(19,617)	367,739	478,155

29 Assets classified as held for sale

The carrying value of the leasehold rights of Raafushi Island was classified under "Assets held for sale," consequent to the decision made by Ace Resorts (Pvt) Ltd, to dispose its lease.

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Net assets of Group companies classified as held for sale	1,079,094	1,025,525	-	-
	1,079,094	1,025,525	-	-

NOTES TO THE FINANCIAL STATEMENTS

30 Stated capital

	Company	
	31.03.2021	31.03.2020
As at	Rs. '000	Rs. '000
Issued & fully paid		
Ordinary share capital		
At the beginning of the year- 336,290,010 ordinary shares	3,389,587	3,389,587
Issued during the year	-	-
At the end of the year- 336,290,010 ordinary shares	3,389,587	3,389,587
Preference share capital - redeemable cumulative		
At the beginning of the year- 16,500,000 preference shares	165,000	165,000
Issued during the year	-	-
At the end of the year- 16,500,000 preference shares	165,000	165,000
Total	3,554,587	3,554,587

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per individual present at the meeting of shareholders or one vote per share in case of a poll.

Preference shares do not carry the right to vote. All shares rank equally with regard to residual assets, except that preference shareholder participate only to the extent of the face value of shares adjusted for dividends in arrears.

Preference Share capital is classified as equity as redeemable only at the company's option. Dividends thereon are recognized as distributions within equity upon approval.

Preference shareholder is entitled to dividends at 9% annually.(Cents 90 per share)

31 Reserves

	Notes	Group		Company	
		31.03.2021 Rs. '000	31.03.2020 Rs. '000	31.03.2021 Rs. '000	31.03.2020 Rs. '000
As at					
Revaluation reserve	31.1	2,596,179	2,567,742	683,032	683,032
General reserve	31.2	22,929	22,929	22,929	22,929
Cashflow hedge reserve	31.3	(1,229,211)	(801,633)	-	-
Fair value reserve	31.4	11,245	(14,878)	-	-
Foreign currency translation reserve	31.5	4,153,091	3,645,259	-	-
Total		5,554,233	5,419,419	705,961	705,961
Transaction movement					
Balance brought forward		5,419,419	4,997,135	705,961	705,961
Movement in foreign currency translation reserve during the year		507,832	596,128	-	-
Movement in cashflow hedge reserve		(427,578)	(174,917)	-	-
Movement in fair value reserve		26,123	(14,878)	-	-
Movement in revaluation reserve		28,437	15,951	-	-
Balance carried forward		5,554,233	5,419,419	705,961	705,961

31.1 Revaluation reserve

The revaluation reserve relates to property plant and equipment which has been revalued by the Group.

31.2 General reserve

The general reserve relates to retained earnings set aside by the Group

31.3 Cashflow hedge reserve

This represents the reserve created to eliminate the exposure that arises from changes in cash flows of a financial liability due to exchange rate fluctuations.

31.4 Fair value reserve

This represents the cumulative net change in the fair value of equity securities designated at FVOCI until the investments are derecognised.

31.5 Foreign currency translation reserve

The foreign currency translation reserve comprise of all foreign exchange difference arising from the translation of the financial statements of foreign operations.

NOTES TO THE FINANCIAL STATEMENTS

32 Interest - bearing liabilities - banks

32.1 Loans analysed by lending institution

	Group		Company		Borrowing terms
Lending Institution	31.03.2021	31.03.2020	31.03.2021	31.03.2020	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
Habib Bank Ltd	704,964	660,661	704,964	660,661	Consist of three LKR loans Loan 1 (in LKR) - As per the moratorium terms balance loan is repayable in 9 quarterly installment commencing from July 2020. A Corporate Guarantee from Aitken Spence PLC has been provided as security. Interest linked to AWPLR. (Balance outstanding as at 31st March 2021 is Rs. 400.6 million) Loan 2 (in LKR) - Repayable in 8 equal quarterly installment commencing from July 2020 for which a Corporate Guarantee from Aitken Spence PLC has been provided as security. Interest linked to TB rates. (Balance outstanding as at 31st March 2021 is Rs. 40.8 million) Loan 3 (in LKR) - Repayable in 8 equal quarterly installment commencing from October 2021 for which a Corporate Guarantee from Aitken Spence PLC has been provided as security. Interest linked to TB rates. (Balance outstanding as at 31st March 2021 is Rs. 263.6 million)
Hongkong & Shanghai Banking Corporation Ltd	6,714,064	6,034,078	-	-	- Comprises of two USD loans, two Euro loan, one INR loan and one OMR loan Loan 1 (USD) - Repayable in 24 monthly installment commencing from October 2021 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest Linked to LIBOR. (Balance outstanding as at 31st March 2021 is Rs. 155.1 million)

	Group		Company		Borrowing terms
Lending Institution	31.03.2021	31.03.2020	31.03.2021	31.03.2020	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
					Loan 2 (Euro)-Repayable in 54 monthly installment and final bullet payment commencing from October 2021. Corporate Guarantee from Aitken Spence PLC for Euro 17.6 million and primary mortgage over the Hotel property for Euro 40 million has been provided as security. Interest is fixed for the term. (Balance outstanding as at 31st March 2021 is Rs. 4,132 million)
					Loan 3 (Euro) - Repayable in 24 monthly installment commencing from October 2021. Corporate Guarantee from Aitken Spence PLC is provided as security. Interest is fixed. (Balance outstanding as at 31st March 2021 is Rs. 160.7 million)
					Loan 4 (INR)-Repayable in 16 quarterly installment commencing from June 2016 for which a Corporate Guarantee from Aitken Spence Hotels International Ltd has been provided as security. (Balance outstanding as at 31st March 2021 is nil)
					Loan 5 (USD)- Repayable in bullet in July 2025. Corporate Guarantee from Aitken Spence PLC for USD 4.8 Mn has been provided as security. Interest is linked to LIBOR. (Balance outstanding as at 31st March 2021 is Rs.996 million)

NOTES TO THE FINANCIAL STATEMENTS

	Group		Company		Borrowing terms
Lending Institution	31.03.2021	31.03.2020	31.03.2021	31.03.2020	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
					Loan 6 (OMR)- Repayable in 28 quarterly installment commencing from December 2018 for which Primary mortgage over the property of Al Falaj amounting to OMR 4,615,000/- and Corporate Guarantee from Aitken Spence PLC for OMR 2,769,000 have been provided as security. Interest is fixed subject to review annually. (Balance outstanding as at 31st March 2021 is Rs.1,270.2 million)
Hatton National Bank PLC	9,715,415	8,671,571	92,000	67,000	Comprises of three loans in USD and five loans in LKR Loan 1 (USD) -Repayable in 84 monthly installment commencing from October 2017 for which Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd for USD 9 Mn and Mortgage over the sub-lease rights over Hudhuranfushi Island for USD 9 Mn have been provided as security. Interest link to LIBOR. (Balance outstanding as at 31st March 2021 is Rs. 1,516.5 million)
					Loan 2 (USD) -Repayable in 60 monthly installment commencing from November 2020 for which a Mortgage agreement over the head lease of Aarah Island Resort and Meedhupparu Island Resort has been provided as security. Interest link to LIBOR. (Balance outstanding as at 31st March 2021 is Rs. 7,587.8 million)
					Loan 3 (in LKR) -loan obtained under Enterprise Sri Lanka loan scheme Repayable in 24 equal monthly installment commencing from October 2021. No security has been provided. Interest fixed. (Balance outstanding as at 31st March 2021 is Rs. 67 million)

	Group		Company		Borrowing terms
Lending Institution	31.03.2021	31.03.2020	31.03.2021	31.03.2020	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
					Loan 4 (in LKR) -loan obtained under Credit Guarantee and Interest Subsidy Loan Scheme Repayable in 17 equal monthly installment commencing from October 2021. No security has been provided. Interest fixed. (Balance outstanding as at 31st March 2021 is Rs. 25 million)
					Loan 5 (in LKR) -loan obtained under Credit Guarantee and Interest Subsidy Loan Scheme Repayable in 17 equal monthly installment commencing from October 2021. No security has been provided. Interest fixed. (Balance outstanding as at 31st March 2021 is Rs. 12.4 million)
					Loan 6 (USD) -Repayable in 24 monthly installment commencing from November 2019 for which a Corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd, has been provided as security. Interest link to LIBOR. (Balance outstanding as at 31st March 2021 is Rs. 499.5 million)
					Loan 7 (LKR)- Repayable in 18 months installment commencing from April 2021. No security has been provided. Interest fixed. (Balance outstanding as at 31st March 2021 is Rs. 4.7 million)
					Loan 8 (LKR)- Repayable in 18 months installment commencing from April 2021. No security has been provided. Interest fixed (Balance outstanding as at 31st March 2021 is Rs. 2.5 million)
Sampath Bank PLC	3,510	4,940	-		- Comprises of one LKR loan Loan 1 (in LKR) - Repayable in 72 monthly installment commencing from December 2017 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest is 6% per annum. (Balance outstanding as at 31st March 2021 is Rs. 3.5million)

NOTES TO THE FINANCIAL STATEMENTS

	Group		Company		Borrowing terms
Lending Institution	31.03.2021	31.03.2020	31.03.2021	31.03.2020	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
Peoples Bank	3,376,559	3,034,469	-		- Comprises of one USD loan Loan 1 (USD) -Repayable in 24 quarterly installment commencing from August 2019 for which a Corporate Negative Pledge over the shares of Aitken Spence Hotels International (Pvt) Ltd and Corporate Guarantee for USD 18,000,000 from Aitken Spence Hotel Holdings PLC has been provided as security. Interest link to LIBOR. (Balance outstanding as at 31st March 2021 is Rs. 3,376.6 million)
Abanca Bank - Spain	3,809,558	3,497,600	-		- Comprises of one Euro loan Loan 1 (Euro) -Repayable in 20 quarterly installment and one bullet payment payable in April 2025. Quarterly loan installment commencing from July 2020. Corporate Guarantee from Ruisa II SA has been provided as security. Interest link to EURIBOR. (Balance outstanding as at 31st March 2021 is Rs. 3,809.6 million)
DFCC Bank	6,392,155	5,744,981	-		- Comprises of three LKR loans and one USD loan Loan 1 (in LKR) - As per the moratorium terms balance loan is repayable in 65 monthly installment commencing from October 2021. A corporate guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest linked to AWPR. (Balance outstanding as at 31st March 2021 is Rs. 602 million)
					Loan 2 (USD) -Repayable in 60 monthly installment commencing from November 2020 for which Mortgage agreement over head lease of Aarah Island Resort (USD 26.3 million) and corporate Guarantee from Aitken Spence Hotels International (Pvt) Ltd (15.78 million) and Personal Guarantee have been provided as security. Interest linked to LIBOR. (Balance outstanding as at 31st March 2021 is Rs. 5,587.6 million)

	Group		Company		Borrowing terms
Lending Institution	31.03.2021	31.03.2020	31.03.2021	31.03.2020	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	
					Loan 3 (in LKR) -loan obtained under Enterprise Sri Lanka loan scheme Repayable in 23 equal monthly installment commencing from February 2020. A corporate guarantee from Aitken Spence Hotel Holdings PLC has been provided as security. Interest fixed. (Balance outstanding as at 31st March 2021 is Rs. 54.7 million)
					Loan 4 (in LKR) - Repayable in 24 equal monthly installment commencing from October 2021 for which a Corporate Guarantee from Aitken Spence Hotel Holdings PLC will be provided as security. Interest linked to Treasury Bill rates. (Balance outstanding as at 31st March 2021 is Rs. 147.7 million)
Total Loans	30,716,225	27,648,300	796,964	727,661	
Current portion of interest -bearing liabilities - banks	(2,568,340)	(2,757,480)	(238,410)	(255,898)	
Non Current portion of interest - bearing liabilities - banks	28,147,885	24,890,820	558,554	471,763	

32.2 Debt moratoriums

In light of the economic slowdown in the country due to the COVID-19 pandemic, the Government of Sri Lanka through the CBSL has implemented debt moratorium for interest and capital and two-year working capital loan at a concessionary interest rate to impacted sectors. The Group has already received those concessions during the financial year ended 31.03.2021.

Further, Group already received extensions on existing moratoriums under CBSL circular No 05 of 2021.

1. Debt moratorium for both capital and Interest for further period of six months commencing from 01st April 2021 to 30th September 2021.
2. Capital and Interest falling due during the moratorium will be converted to a new loan and is payable within 2 years.

NOTES TO THE FINANCIAL STATEMENTS

32.3 Movement in Interest - bearing liabilities - banks

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Loan Capital				
Balance brought forward	27,539,360	25,430,630	727,661	667,000
Effect of movement in exchange rates	1,945,788	1,729,688	-	-
Loans received during the year	296,787	1,481,248	249,274	127,261
Interest capitalised during the year	1,303,284	459,775	44,303	-
Loan repayments during the year	(435,609)	(1,561,981)	(224,274)	(66,600)
	30,649,610	27,539,360	796,964	727,661
Loan Interest				
Balance brought forward	108,940	49,696	-	13,230
Effect of movement in exchange rates	4,949	6,248	-	-
Interest accrued during the period	1,348,547	1,090,301	46,612	68,654
Interest capitalised during the period	(1,303,284)	(459,775)	(44,303)	-
Interest paid during the period	(92,537)	(577,530)	(2,309)	(81,884)
	66,615	108,940	-	-
Total	30,716,225	27,648,300	796,964	727,661
Current portion of interest bearing liabilities - banks	(2,568,340)	(2,757,480)	(238,410)	(255,898)
Non current portion of interest bearing liabilities - banks	28,147,885	24,890,820	558,554	471,763

32.4 Analysed by currency equivalent in Rupees

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Sri Lanka rupees	1,624,683	1,482,948	796,964	727,661
United States dollars	19,719,070	17,666,337	-	-
Euro	8,102,174	7,239,282	-	-
Indian rupees	-	64,904	-	-
Oman riyal	1,270,298	1,194,829	-	-
Total	30,716,225	27,648,300	796,964	727,661

32.5 Analysed by repayment period

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Payable within one year	2,568,340	2,757,480	238,410	255,898
Payable between one and two years	5,451,493	3,971,062	558,554	337,563
Payable between two and five years	15,517,385	11,818,536	-	134,200
Payable after five years	7,179,007	9,101,222	-	-
Total	30,716,225	27,648,300	796,964	727,661

33 Interest - bearing liabilities - leases

33.1 Movement of lease liabilities

	Group		Company	
As at	31.03.2021 Rs. '000	31.03.2020 Rs. '000	31.03.2021 Rs. '000	31.03.2020 Rs. '000
Balance as at 01.04.2020	9,133,386	-	-	-
Recognition of operating lease liability under SLFRS 16	-	6,884,234	-	-
Payment of lease liabilities	(260,971)	(1,219,741)	-	-
New Leases during the period	-	2,071,475	-	-
Present value adjustment on lease modification (Note 33.5)	964,206	-	-	-
Impact on exchange rate fluctuation	577,011	731,841	-	-
Interest expense charged to income statement	619,602	585,115	-	-
Interest expense capitalised	-	80,462	-	-
Balance as at 31.03.2021	11,033,234	9,133,386	-	-
Current portion of interest - bearing liabilities - leases	(1,042,409)	(524,112)	-	-
Non current portion of interest - bearing liabilities - leases	9,990,825	8,609,274	-	-

33.2 Details of lease liabilities recognised due to ROU assets

Company	Nature of the leasing activities	Remaining lease period as at 31.03.2021 (No of years)
Aitken Spence Hotels Ltd	Lease Land	22
	Lease building for Neptune Ayurvedic centre	3
Hethersett Hotels Ltd	Lease Land	74
Kandalama Hotels (Pvt) Ltd	Lease Land	22
Unique Resorts (Pvt) Ltd	Lease Land	24
Jetan Travel Services Co. (Pvt) Ltd	Lease Land	20
ADS Resorts (Pvt) Ltd	Lease Land	5
Cowrie Investments (Pvt) Ltd	Meedhupparu island - Lease Land	27
	Heritance Aarah island - Lease Land	44

All above lease contracts entered on lands and buildings are for the business purpose only.

The Group has not earned any income from sub leasing of right of use assets for the year ended 31st March 2021.

Further, Group has not entered in to any sale and lease back transaction as at 31st March 2021.

There were no any restrictions imposed by lease arrangements, any variable lease payments, extension options or any leases not yet commenced to which the lessee was committed as at 31st March 2021.

NOTES TO THE FINANCIAL STATEMENTS

33.3 Amounts recognised in profit or loss

	Group	
For the year ended 31st March	2020/2021	2019/2020
	Rs. '000	Rs. '000
Amortisation charge of right-of-use assets (Note 17.1)	775,830	704,697
Interest on lease liabilities	619,602	585,115
Expenses relating to short term leases	13,966	168,956
Expenses relating to leases of low-value assets	81,759	65,532

33.4 Amounts recognised in the Statement of cash flows

	Group	
For the year ended 31st March	2020/2021	2019/2020
	Rs. '000	Rs. '000
Total cash out flow for leases	(260,971)	(1,219,741)

33.5 Lease modification not accounted as a separate lease

Based on the concessions and waive off of capital repayments, few maldivian hotels in the Group have remeasured the existing lease liability by discounting the revised lease payments using a revised discount rate. Group has accounted these concessions and waive off of capital repayments as a lease modification that is not accounted as a separate lease.

34 Deferred tax liabilities

34.1 Movement in deferred tax liabilities

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance brought forward	991,305	953,790	41,433	49,783
Effect of movement of exchange rates	3,280	4,752	-	-
Origination of temporary differences				
- recognised in income statement	28,292	40,029	(3,216)	(8,717)
- recognised in other comprehensive income	(3,453)	2,104	(791)	367
- recognised in equity	-	(9,370)	-	-
Balance carried forward	1,019,424	991,305	37,426	41,433

34.2 Composition of deferred tax liabilities

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax liabilities attributable to;				
Property, plant and equipment	1,045,264	992,500	100,817	103,005
Revaluation surplus on freehold land	265,669	265,686	96,271	96,271
Defined benefit obligations	(22,100)	(16,645)	(6,081)	(4,836)
Carried forward tax losses	(252,918)	(235,407)	(149,000)	(150,046)
Expected credit loss	(18,093)	(5,431)	(4,581)	(2,961)
Right-of-use assets	1,602	(9,398)	-	-
Net deferred tax liabilities	1,019,424	991,305	37,426	41,433

34.3 Movement in tax effect of temporary differences - Group - 2020/2021

	2020/2021					
	Balance as at 01st April 2020	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Recognised in equity	Exchange gain/(losses)	Balance as at 31 st March 2021
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax - liabilities						
Accelerated depreciation for tax purposes on Property, plant and equipment	992,500	48,248	-	-	4,516	1,045,264
Revaluation surplus on freehold land	265,686		(17)	-	-	265,669
Total liabilities	1,258,186	48,248	(17)	-	4,516	1,310,933
Deferred tax - assets						
Defined benefit obligations	(16,645)	(2,019)	(3,436)	-	-	(22,100)
Tax losses carried forward	(235,407)	(16,275)	-	-	(1,236)	(252,918)
Expected credit loss	(5,431)	(12,662)	-	-	-	(18,093)
Right-of-use assets	(9,398)	11,000	-	-	-	1,602
Total assets	(266,881)	(19,956)	(3,436)	-	(1,236)	(291,509)
Net deferred tax liabilities	991,305	28,292	(3,453)	-	3,280	1,019,424

NOTES TO THE FINANCIAL STATEMENTS

34.4 Movement in tax effect of temporary differences - Group - 2019/2020

	2019/2020					
	Balance as at 01st April 2019	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Recognised in equity	Exchange gain/(losses)	Balance as at 31 st March 2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax - liabilities						
Accelerated depreciation for tax purposes on Property, plant and equipment	990,133	(6,707)	-	-	9,074	992,500
Revaluation surplus on freehold land	265,686	-	-	-	-	265,686
Total liabilities	1,255,819	(6,707)	-	-	9,074	1,258,186
Deferred tax - assets						
Defined benefit obligations	(16,796)	(1,953)	2,104	-	-	(16,645)
Tax losses carried forward	(283,202)	51,875	-	-	(4,080)	(235,407)
Expected credit loss	(2,031)	(3,614)	-	-	214	(5,431)
Right-of-use assets	-	428	-	(9,370)	(456)	(9,398)
Total assets	(302,029)	46,736	2,104	(9,370)	(4,322)	(266,881)
Net deferred tax liabilities	953,790	40,029	2,104	(9,370)	4,752	991,305

34.5 Movement in tax effect of temporary differences - Company

	2020/2021				2019/2020		
	Balance as at 31st March 2021	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Balance as at 31st March 2020	Recognised in profit & (loss)	Recognised in Other Comprehensive Income	Balance as at 01st April 2019
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Deferred tax - liabilities							
Accelerated depreciation for tax purposes on Property, plant and equipment	100,817	(2,188)	-	103,005	(1,374)	-	104,379
Revaluation surplus on freehold land	96,271	-	-	96,271	-	-	96,271
Total liabilities	197,088	(2,188)	-	199,276	(1,374)	-	200,650
Deferred tax - assets							
Defined benefit obligations	(6,081)	(454)	(791)	(4,836)	(236)	367	(4,967)
Tax losses carried forward	(149,000)	1,046	-	(150,046)	(5,381)	-	(144,665)
Expected credit loss	(4,581)	(1,620)	-	(2,961)	(1,726)	-	(1,235)
Total assets	(159,662)	(1,028)	(791)	(157,843)	(7,343)	367	(150,867)
Net deferred tax liabilities	37,426	(3,216)	(791)	41,433	(8,717)	367	49,783

35 Employee benefits

35.1 Retirement benefit obligations

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Retirement benefit obligations				
Present value of unfunded obligations	248,550	209,714	43,437	34,545
Recognised liability for defined benefit obligations	248,550	209,714	43,437	34,545

35.2 Movement in present value of the defined benefit obligations

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Defined benefit obligations as at 01st April	209,714	206,750	34,545	35,472
Included in profit or loss				
- Current service cost	20,971	25,812	3,454	2,651
- Interest cost	19,079	14,536	3,118	4,079
	40,050	40,348	6,572	6,730
Included in other comprehensive income				
Actuarial (gains) / losses arising from ;				
- financial assumptions	32,697	(13,337)	6,914	(2,604)
- demographic assumptions	-	(978)	-	-
- experience adjustment	(4,036)	(2,813)	(1,264)	(15)
	28,661	(17,128)	5,650	(2,619)
Effect of movement in exchange rates	5,598	5,678	-	-
Benefits paid	(35,473)	(25,934)	(3,330)	(5,038)
Defined benefit obligations as at 31st March	248,550	209,714	43,437	34,545

NOTES TO THE FINANCIAL STATEMENTS

35.3 Expenses recognised in income statement

	Group		Company	
For the year ended	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Current service cost	20,971	25,812	3,454	2,651
Interest cost	19,079	14,536	3,118	4,079
	40,050	40,348	6,572	6,730

35.4 Expenses recognised in other comprehensive income

	Group		Company	
For the year ended	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Net actuarial (gains) / losses	28,661	(17,128)	5,650	(2,619)
	28,661	(17,128)	5,650	(2,619)

- 35.5** The provision for retirement benefits obligations as at 31st March 2021 is based on the actuarial valuation carried out by professionally qualified actuaries, Mr. Poopalanathan of Messrs. Actuarial & Management Consultants (Pvt) Ltd, using "Projected Unit Credit" (PUC) method, the method recommended by the Sri Lanka Accounting Standard – LKAS 19 on "Employee Benefits".

The actuarial present value of the promised retirement benefits as at 31st March 2021 amounted to Rs. 248,549,557/-.
(Company - Rs. 43,436,615/-)

The liability is not externally funded.

35.6 The principal actuarial assumptions

The principal actuarial assumptions used in determining the cost are given below;

	2020/2021	2019/2020
Financial assumptions		
- Discount rate	8.2%	10.00%
- Salary increment rate		
* Executive staff	8% in July 2021 and 11% from 2022	5% in July 2021 and 7.5% from 2022
* Non - executive staff	7.5% p.a. with next increment due in April 2021	5% in April 2021 and 7.5% from 2022

In the absence of a deep market in long-term bonds in Sri Lanka, a long-term interest rate of 8.2% p.a. (2019/2020 – 10% p.a.) has been used to discount future liabilities considering yield available on high quality government bonds with anticipated long-term rate of inflation.

Based on the actual salary increment rates of the Group over the past few years, future economic outlook of the country a increase in the long term salary increment rate is factored into the valuation for the current year.

Given the sudden fall in markets and the decline in high-quality corporate bond rates that has occurred as a result of COVID-19, the Group has considered the impact on the defined benefit obligations with the independent actuarial specialists as at the reporting date. Since the complexity of the valuation and the underlying assumptions are based on long-term nature including the application of risk discount rate which is formulated on the market yield of long-term government and corporate bonds, there is no significant impact on retirement benefit obligation from COVID-19 pandemic.

It is also assumed that the company will continue in business as a going concern.

	2020/2021	2019/2020
Demographic assumptions		
- Mortality & Disability	A 1967/1970 mortality table, issued by the Institute of Actuaries, London	
- Retirement age	55 years	55 years
- Staff turnover rates at each age category		
* 20 years	0.07	0.07
* 25 years	0.05	0.05
* 30 years	0.05	0.05
* 35 years	0.04	0.04
* 40 years	0.03	0.03
* Above 40 years	0.00	0.00

NOTES TO THE FINANCIAL STATEMENTS

35.7 Sensitivity analysis

The following table demonstrates the sensitivity to a reasonable possible change in the key assumptions employed with all other variables held constant in the employment benefit liability measurement, in respect of the year 2020/2021.

The sensitivity of the comprehensive income and statement of financial position is the effect of the assumed changes in discount rate and salary increment rate on the profit or loss for the year and employment benefit obligations as at 31st March 2021 is as follows.

	Effect on comprehensive income (reduction) increase Rs. '000	Effect on employment benefit liability (reduction)/ increase Rs. '000
	Rs. '000	Rs. '000
Increase /(decrease) in discount rate		
-1%	(15,736)	15,736
+1%	13,708	(13,708)
Increase /(decrease) in salary escalation rate		
-1%	14,370	(14,370)
+1%	(16,223)	16,223

35.8 Maturity analysis of the payment

The following payment are expected on defined benefit obligations in future years.

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Within next 12 months	9,176	8,411	2,386	2,727
Between 1-2 years	17,595	12,972	7,139	5,277
Between 2-5 years	36,103	20,974	14,952	6,779
Beyond five years	185,676	167,357	18,960	19,762
	248,550	209,714	43,437	34,545

35.9 Weighted average duration (no of years) of defined benefit obligation

The following payment are expected on defined benefit obligations in future years.

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
Weighted average duration of defined benefit obligation (no of years)	9.37	9.02	7.60	7.34

36 Other provisions and payables

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Accrued payables	1,499,536	1,649,405	9,159	28,338
Contract liabilities (note 7.6.2)	1,388,944	1,142,310	20,372	18,057
	2,888,480	2,791,715	29,531	46,395
Unclaimed dividends	13,369	23,354	11,227	11,283
Taxes and other miscellaneous payables and provisions	394,024	679,285	15,105	47,961
Total	3,295,873	3,494,354	55,863	105,639

37 Amounts due to parent's group entities

	Group		Company	
As at	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Aitken Spence Exports Ltd	324	603	-	171
Aitken Spence Travels (Pvt) Ltd	685	386	54	-
Elevators (Pvt) Ltd	1,032	1,691	-	-
Elpitiya Plantations PLC	-	251	-	-
Aitken Spence Printing and Packaging (Pvt) Ltd	82	68	3	-
Aitken Spence Hotel Managements (Pvt) Ltd	72,584	70,265	745	353
Hethersett Hotels Ltd	-	-	54	-
Aitken Spence PLC	270	270	-	-
Aitken Spence Cargo (Pvt) Ltd	145	48	-	-
Aitken Spence Agriculture (Pvt) Ltd	44	30	-	-
Spence Maldives (Pvt) Ltd	-	263	-	-
Aitken Spence Engineering Solutions (Pvt) Ltd	-	134	-	-
Aitken Spence Hotel managements Asia (Pvt) Ltd	-	-	10	27
Kandalama Hotels (Pvt) Ltd	-	-	532,743	500,733
Turyaa (Pvt) Ltd	-	-	72	-
Global Parcel Delivery (Pvt) Ltd	-	-	26	-
Aitken Spence Engineering Solutions (Pvt) Ltd	141	-	-	-
Total	75,307	74,009	533,707	501,284

NOTES TO THE FINANCIAL STATEMENTS

38 Foreign currency translation

The principle exchange rates used for translation of assets and liabilities as at the reporting date are as follows:

As at	31.03.2021	31.03.2020
US Dollar	199.83	189.91
Indian Rupee	2.73	2.51
UK Pound	275.25	235.28
Oman Riyal	519.31	493.14
Euro	234.34	208.33

39 Contingent liabilities

The contingent liability as at 31st March 2021 on guarantees given by Aitken Spence Hotel Holdings PLC to third parties on facilities obtained by subsidiaries amounted to Rs. 13,838,049,081/- (as at 31.03.2020 - Rs.16,641,883,826/-). Liability as at 31st March 2021 on guarantees given by subsidiaries to third parties amounted to Rs.11,087,248,986/- (as at 31.03.2020 - 4,107,592,200/-).

40 Financial Instruments - Accounting classifications and fair values

The following tables shows the carrying amounts and fair values of financial assets and financial liabilities of the Group and the Company.

40.1 Accounting classifications of financial instruments

40.1.1 Accounting classifications of financial instruments - Group

As at 31st March 2021		Financial Assets at Fair value through OCI	Financial Assets at Amortised cost	Financial Liabilities at Amortised cost	Total Carrying amount
	Note	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets					
Other financial assets					
- Unquoted equity securities	21.1.1	166,450	-	-	166,450
-Unquoted debt securities and unsecured loans	21.1.2 & 27	-	745,852	-	745,852
- Bank deposits	27	-	574,768	-	574,768
Trade and other receivables	24	-	597,621	-	597,621
Amount due from holding company	25	-	476,904	-	476,904
Amount due from parent's group entities	26	-	231,334	-	231,334
Cash and cash equivalents	28	-	2,105,560	-	2,105,560
Total financial assets		166,450	4,732,039	-	4,898,489
Financial liabilities					
Interest bearing liabilities - banks	32	-	-	30,716,225	30,716,225
Interest bearing liabilities - leases	33	-	-	11,033,234	11,033,234
Trade payables		-	-	913,389	913,389
Other provisions and payables	36	-	-	2,888,480	2,888,480
Amount due to holding company		-	-	168,765	168,765
Amount due to parent's group entities	37	-	-	75,307	75,307
Bank overdrafts and other short term borrowings	28	-	-	4,732,653	4,732,653
Total financial liabilities		-	-	50,528,053	50,528,053

As at 31st March 2020		Financial Assets at Fair value through OCI	Financial Assets at Amortised cost	Financial Liabilities at Amortised cost	Total Carrying amount
	Note	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets					
Other financial assets					
- Unquoted equity securities	21.1.1	158,187	-	-	158,187
-Unquoted debt securities and unsecured loans	21.1.2 & 27	-	688,744	-	688,744
- Bank deposits	27	-	46,142	-	46,142
Trade and other receivables	24	-	1,301,420	-	1,301,420
Amount due from holding company	25	-	740,232	-	740,232
Amount due from parent's group entities	26	-	467,086	-	467,086
Cash and cash equivalents	28	-	2,473,266	-	2,473,266
Total financial assets		158,187	5,716,890	-	5,875,077
Financial liabilities					
Interest bearing liabilities - banks	32	-	-	27,648,300	27,648,300
Interest bearing liabilities - leases	33	-	-	9,133,386	9,133,386
Trade payables		-	-	940,582	940,582
Other provisions and payables	36	-	-	2,791,715	2,791,715
Amount due to holding company		-	-	134,293	134,293
Amount due to parent's group entities	37	-	-	74,009	74,009
Bank overdrafts and other short term borrowings	28	-	-	2,492,883	2,492,883
Total financial liabilities		-	-	43,215,168	43,215,168

NOTES TO THE FINANCIAL STATEMENTS

40.1.2 Accounting classifications of financial instruments - Company

As at 31st March 2021		Financial Assets at Fair value through OCI	Financial Assets at Amortised cost	Financial Liabilities at Amortised cost	Total Carrying amount
	Note	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets					
Other financial assets					
- Unquoted equity securities	21.1.1	-	-	-	-
-Unquoted debt securities and unsecured loans	21.1.2 & 27	-	745,852	-	745,852
Trade and other receivables	24	-	51,736	-	51,736
Amount due from holding company	25	-	82,929	-	82,929
Amount due from parent's group entities	26	-	47,386	-	47,386
Cash and cash equivalents	28	-	474,920	-	474,920
Total financial assets		-	1,402,823	-	1,402,823
Financial liabilities					
Interest bearing liabilities - banks	32	-	-	796,964	796,964
Trade payables		-	-	16,134	16,134
Other provisions and payables	36	-	-	29,531	29,531
Amount due to holding company		-	-	134,856	134,856
Amount due to parent's group entities	37	-	-	533,707	533,707
Bank overdrafts and other short term borrowings	28	-	-	107,181	107,181
Total financial liabilities		-	-	1,618,373	1,618,373

As at 31st March 2020		Financial Assets at Fair value through OCI	Financial Assets at Amortised cost	Financial Liabilities at Amortised cost	Total Carrying amount
	Note	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets					
Other financial assets					
-Unquoted debt securities and unsecured loans	21.1.2 & 27	-	688,744	-	688,744
Trade and other receivables	24	-	117,664	-	117,664
Amount due from holding company	25	-	32,148	-	32,148
Amount due from parent's group entities	26	-	112,006	-	112,006
Cash and cash equivalents	28	-	502,765	-	502,765
Total financial assets		-	1,453,327	-	1,453,327
Financial Liabilities					
Interest bearing liabilities - banks	32	-	-	727,661	727,661
Trade payables		-	-	17,997	17,997
Other provisions and payables	36	-	-	46,395	46,395
Amount due to holding company		-	-	42,836	42,836
Amount due to parent's group entities	37	-	-	501,284	501,284
Bank overdrafts and other short term borrowings	28	-	-	24,610	24,610
Total financial liabilities		-	-	1,360,783	1,360,783

40.2 Fair value of financial instruments

The fair value of financial assets and financial liabilities, together with the carrying amounts shown in the statement of financial position as at the reporting dates are as follows:

As at 31st March 2021	Group -2020/2021		Company- 2020/2021	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Assets				
Other financial assets				
- Unquoted equity securities	166,450	166,450	-	-
-Unquoted debt securities and unsecured loans	745,852	745,852	745,852	745,852
- Bank deposits	574,768	574,768	-	-
Trade and other receivables	597,621	597,621	51,736	51,736
Amount due from holding company	476,904	476,904	82,929	82,929
Amount due from parent's group entities	231,334	231,334	47,386	47,386
Cash and cash equivalents	2,105,560	2,105,560	474,920	474,920
Total financial assets	4,898,489	4,898,489	1,402,823	1,402,823
Financial Liabilities				
Interest bearing liabilities - banks	30,716,225	30,716,225	796,964	796,964
Interest bearing liabilities - leases	11,033,234	11,033,234	-	-
Trade payables	913,389	913,389	16,134	16,134
Other provisions and payables	2,888,480	2,888,480	29,531	29,531
Amount due to holding company	168,765	168,765	134,856	134,856
Amount due to parent's group entities	75,307	75,307	533,707	533,707
Bank overdrafts and other short term borrowings	4,732,653	4,732,653	107,181	107,181
Total financial liabilities	50,528,053	50,528,053	1,618,373	1,618,373

As at 31st March 2020	Group -2019/2020		Company- 2019/2020	
	Carrying amount	Fair value	Carrying amount	Fair value
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial assets				
Other financial assets				
- Unquoted equity securities	158,187	158,187	-	-
-Unquoted debt securities and unsecured loans	688,744	688,744	688,744	688,744
- Bank deposits	46,142	46,142	-	-
Trade and other receivables	1,301,420	1,301,420	117,664	117,664
Amount due from holding company	740,232	740,232	32,148	32,148
Amount due from parent's group entities	467,086	467,086	112,006	112,006
Cash and cash equivalents	2,473,266	2,473,266	502,765	502,765
Total financial assets	5,875,077	5,875,077	1,453,327	1,453,327
Financial liabilities				
Interest bearing liabilities - banks	27,648,300	27,648,300	727,661	727,661
Interest bearing - liabilities - leases	9,133,386	9,133,386	-	-
Trade payables	940,582	940,582	17,997	17,997
Other provisions and payables	2,791,715	2,791,715	46,395	46,395
Amount due to holding company	134,293	134,293	42,836	42,836
Amount due to parent's group entities	74,009	74,009	501,284	501,284
Bank overdrafts and other short term borrowings	2,492,883	2,492,883	24,610	24,610
Total financial liabilities	43,215,168	43,215,168	1,360,783	1,360,783

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40.3 Methods and assumptions used to estimate the fair values

A number of Group's accounting policies and disclosures require the determination of fair value, for both financial and non financial assets and liabilities. Fair values have been determined for measurement and disclosure purposes based on the following valuation techniques.

Property plant and equipment

The fair value of freehold land is determined based on market values.

The market value of land is the estimated amount for which a property could be exchanged on the date of valuation between a willing buyer and a willing seller in an arm's length transaction after proper marketing wherein the parties had each acted knowledgeably and willingly. This involves evaluation of recent active market prices of similar assets, making appropriate adjustments for difference in size, nature and location of the property.

There is no impact to the estimated recoverable amount of the property, plant and equipment of the Group due to COVID 19 impact as the majority of assets represents immovable property.

Financial Assets measured at fair value through other comprehensive income

Investments in equity instruments - quoted and unquoted

The fair value of investments in quoted equity shares for which there is an active share market is determined using the closing market prices. Investments in non quoted shares are determined based on present value of future cash flows discounted at the market interest rates at the reporting date.

Investments in debt instruments -unquoted

Investments in debt instrument- unquoted which consist of debentures is considered as a loan and impaired using Z score method. A template has been formulated for this purpose taking into consideration of probability of default based on last year audited accounts. However if a primary mortgage bond is being provided against the debentures, the loss given default (probability of default) would be considered as zero and impairment is made. For other forms of guarantees such as personal guarantees etc. the loss given default would vary between 45%-100%.

However the Group has taken into account the changes to macro economic factors and risk arose due to COVID - 19 impact and formulated necessary alterations to the impairment templates. The resultant increase in impairment provision due to this change is incorporated to the carrying value of investments in debt instruments - unquoted as at the year end.

Trade and other receivables

Fair value of trade receivables is determined at amount estimated to be realised after making provision for impairment based on expected credit loss model. For impairment purposes a loss rate has been established taking in to consideration forward looking factors that affect customer default rates. Forward looking macro economic data such as GDP is incorporated in calculating the probability of default. The credit loss derived using the provision matrix is adjusted based on the future adjusted PD factors.

The Group uses an allowance matrix to measure the ECLs of trade receivables, which comprise a very large number of small balances. Loss rates are calculated using a 'roll rate' method based on the probability of a receivable progressing through successive stages of delinquency to write-off. Loss rates that are based on actual credit loss experience over the past years, further subjected to asset correlation calibration and forward-looking adjustments. Loss Given Default (LGD) of 100% is assumed for ECL calculation of trade receivables.

Fair value of other receivables are determined based on the amount estimated to be reasonably realised. If there are any receivables for more than one year, the balance over one year disclosed based on present value.

However the Group has taken into account the changes to macro economic factors and risk arose due to COVID -19 impact and formulated necessary alterations to the impairment templates. The resultant increase in impairment provision due to this change is incorporated to the carrying value of the trade and other receivable as at the year end.

Bank Deposits

Fair value of bank deposits is determined at amount estimated to be realised after making provision for impairment based on the duration of the deposit and credit rating of the financial institution in which the deposit is held and the corresponding probability of default. Impairment on bank deposits is measured on 12-month expected loss basis. External credit ratings of the counterparties and probability of default (PD) rates corresponding rating scale published by rating agencies are used in ECL calculation. PD rates are recalibrated using asset correlation formula and forward-looking adjustments are incorporated in arriving at final loss rates. Loss given default (LGD) of 45% is assumed for bank deposits. Credit ratings of counterparties are carefully monitored and subsequent deterioration of the credit quality would trigger remeasurement of loss allowances using Lifetime ECL method. All deposits for less than three months and invested in Financial Institutions rating BBB- and above are not impaired. Investment held with Parent Company also not impaired.

However the Group has taken into account the changes to macro economic factors and risk arose due to COVID -19 impact and formulated necessary alterations to the impairment templates. The resultant increase in impairment provision due to this change is incorporated to the carrying value of the Bank deposits as at the year end.

Financial liabilities at amortised cost

Fair value of interest bearing borrowings, trade and other payable and short term bank borrowings are determined based on the amount estimated to be reasonably incurred in the foreseeable future less impairment.

41 Fair value measurement

41.1 Determination of fair value hierarchy

The Group and the Company use the following hierarchy for determining and disclosing the fair value of assets and liabilities by valuation techniques: The different levels have been defined as follows:

- (i) Quoted prices (unadjusted) in active markets for identical assets or liabilities (Level 1)
- (ii) Inputs other than quoted prices included within level 1 that are observable for the assets or liabilities, either directly or indirectly (Level 2)
- (iii) Techniques which use inputs that have a significant effect on the recorded fair value that are not based on observable market data [Inputs that are unobservable that reflect management own assumptions] (Level 3)

41.1.1 Fair value measurement hierarchy -2020/2021

		Group				Company			
		Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Recurring fair value measurements									
Assets measured at fair value:									
Property, plant and equipment									
- Freehold land	16.3.1	-	-	4,091,905	4,091,905	-	-	710,300	710,300
Other financial assets									
- Unquoted equity securities	21.1.1	-	-	166,450	166,450	-	-	-	-
		-	-	4,258,355	4,258,355	-	-	710,300	710,300
Assets for which fair values are disclosed									
Other Financial Assets									
-Unquoted debt securities and unsecured loans *	21.1.2	-	745,852	-	745,852	-	745,852	-	745,852
-Bank deposits *	27	-	574,768	-	574,768	-	-	-	-
Investment in equity accounted investees - quoted **	20.1.1	494,623	-	-	494,623	484,049	-	-	484,049
		494,623	1,320,620	-	1,815,243	484,049	745,852	-	1,229,901
Liabilities for which fair values are disclosed									
- Interest bearing liabilities - banks	32	-	30,716,225	-	30,716,225	-	796,964	-	796,964
- Interest bearing liabilities - leases	33	-	11,033,234	-	11,033,234	-	-	-	-
		-	41,749,459	-	41,749,459	-	796,964	-	796,964

* The Group has taken into account the changes to macro economic factors due to COVID 19 impact and formulated necessary alterations to the templates which has been used to arrive at the impairment provisions.

** COVID 19 pandemic has created a situation where the volume or level of activities for several assets and liabilities to be curtailed resulting their values to significantly decrease along with the reduced market activities in an active manner.

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41.1.2 Fair value measurement hierarchy -2019/2020

		Group				Company			
		Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
	Notes	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Assets measured at fair value									
Property, plant and equipment									
- Freehold land	16.3.1	-	-	3,980,978	3,980,978	-	-	710,300	710,300
Other financial assets									
- Unquoted equity securities	21.1.1	-	-	158,187	158,187	-	-	-	-
		-	-	4,139,165	4,139,165	-	-	710,300	710,300
Assets for which fair values are disclosed									
Other financial assets									
-Unquoted debt securities and unsecured loans	21.1.2	-	688,744	-	688,744	-	688,744	-	688,744
-Bank deposits	27	-	46,142	-	46,142	-	-	-	-
Investment in equity accounted investees - quoted	20.1.1	368,543	-	-	368,543	360,664	-	-	360,664
		368,543	734,886	-	1,103,429	360,664	688,744	-	1,049,408
Liabilities for which fair values are disclosed									
- Interest bearing liabilities - banks	32	-	27,648,300	-	27,648,300	-	727,661	-	727,661
- Interest bearing liabilities - leases	33	-	9,133,386	-	9,133,386	-	-	-	-
		-	36,781,686	-	36,781,686	-	727,661	-	727,661

41.2 Reconciliation of fair value measurement of “Level 3” Financial Instruments

Freehold land

The reconciliation of property, plant and equipment (land) is given in Note 16.1 and 16.2 to the financial statements.

Unquoted equity securities

	Group		Company	
	31.03.2021	31.03.2020	31.03.2021	31.03.2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
As at				
Balance brought forward	158,187	146,675	-	-
Effect of movement in exchange rates	8,263	11,512	-	-
Balance carried forward	166,450	158,187	-	-

41.2.1 Transfers between levels of fair value hierarchy

There were no transfers between Level 1, Level 2 and Level 3 during the year.

41.3 Valuation techniques and significant unobservable inputs

41.3.1 Assets and liabilities measured at fair value - Recurring

Assets	Valuation Technique	Significant unobservable inputs	Sensitivity of the input to the fair value	COVID - 19 impact
Property plant and equipment				
- Freehold land	Market comparable method - This method considers the selling price of a similar property within a reasonably recent period of time in determining the fair value of property being revalued. This involves evaluation of recent active market price of similar assets making appropriate adjustments for difference in size, nature and location of the property.	Price per perch of land (Refer Note 16.3.1)	Estimated fair value would increase (decrease) if price per perch increases / (decreases)	There is no significant impact to the estimated recoverable amount of the freehold land of the Group due to impact of COVID -19 pandemic.
Other financial assets - Unquoted equity securities	Market return on a comparable investment	Valuation based on the recent and agreed sale price of shares (INR 55/- per share)	Not applicable	No change to the agreed price due to COVID - 19 pandemic.

41.3.2 Assets and liabilities for which fair values are disclosed - Recurring

Assets/Liabilities	Valuation Technique	Significant unobservable inputs
Other Financial Assets		
- Unquoted debt securities and unsecured loans - Bank deposits	Valuation determined based on present value of future cash flows discounted at the market interest rates.	cashflow projections/ discounted rate (Current market interest rates linked to AWPLR).
Interest-bearing liabilities - banks Interest-bearing liabilities - leases	Discounted cash flows	Current market interest rate (Refer note 32.1)

41.3.3 Assets and liabilities measured at fair value - Non-recurring

Assets	Valuation Technique	Significant unobservable inputs
Assets classified as held for sale	Valued at the carrying amount prior to assets classified as held for sale	Not applicable

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42 Financial Risk Management

42.1 Overview

The Group has exposure to the following risks from its use of financial instruments.

- Credit risk
- Liquidity risk
- Market risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital.

42.2 Risk management framework

The Board of Directors have overall responsibility for the establishment and oversight of the Group's risk management framework. The Board is supported by the Board of management and the Audit committee in managing all risks affecting the Group. The Group audit committee is assisted in its oversight role by Group's internal audit. Internal audit undertakes both regular and ad hoc reviews of risk management controls and procedures the results of which is reported to the audit committee. Central Treasury Department of the Holding Company also implement and carries out specific risk management policies laid down and approved by the management. Central Treasury in close co-corporation with the Group's operating units identifies, evaluates and formulates principle for risk management covering specific areas such as foreign exchange risk and interest rate risk.

42.3 Credit risk

Credit risk is the risk of finance loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers and investments.

Credit risk exposure

The Group's maximum exposure to credit risk as at the year end based on the carrying value of financial assets in the statement of financial position is given below. There were no off balance sheet exposure as at the year end date.

	Group	%	Company	%
As at 31st March	2021	Allocation	2021	Allocation
	Rs. '000		Rs. '000	
Financial Assets				
Financial assets at fair value through OCI				
Other financial assets- Unquoted equity shares	166,450	3%	-	-
Financial assets at amortised cost				
Other financial assets- Unquoted debt securities and unsecured loans	745,852	15%	745,852	55%
Bank deposits	574,768	12%	-	-
Trade and other receivables	597,621	12%	51,736	1%
Amount due from holding company	476,904	10%	82,929	6%
Amount due from parent's group entities	231,334	5%	47,386	3%
Cash and cash equivalents	2,105,560	43%	474,920	35%
Total credit exposure	4,898,489	100%	1,402,823	100%

Credit Exposure on receivables

Trade receivables

The Group's maximum exposure to credit risk on trade receivables as at the year end based on the carrying value in the statement of financial position is given below:

		Group	Company
As at 31st March		2021	2021
	Note	Rs. '000	Rs. '000
Trade receivables	24	750,012	43,638
Total		750,012	43,638

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers various statistics of the Group's customer base, including the default risk, business relationships with due attention given to past performances, stability in the industry and creditworthiness, as these factors may have an influence on credit risk.

In monitoring customer credit risk, customers are grouped according to their business volumes and consider separately for granting credit limits. Some customers are graded as "high risk" based on the credit worthiness established through past experience. Such customers are monitored carefully and future sales are made on a prepayment basis.

The Group has established a credit policy under which each new customer is analysed individually for creditworthiness. The Group's review includes obtaining bank guarantees (collaterals) and references. As at the reporting date value of collaterals obtained from customers amounted to Rs. 1million. Credit limits are established for each customer and these limits are reviewed frequently. Customers that fail to meet the Group's benchmark creditworthiness may transact with the Group only on a prepayment basis.

Expected credit loss assessment

The Group adopted Expected Credit Loss (ECL) approach to impairment of its financial assets. This enables better credit risk reporting of financial instruments by carrying reasonably quantified default risk adjusted value of assets in the balance sheet and minimising the timing difference in recognition of future default loss.

ECL measurement approach that is best suited for each class of asset is determined based on underlying risk characteristics of the asset. Subsequent to selection between general and simplified approaches to measurement, the Group assesses financial assets using data that is determined to be predictive of default risk, including but not limited to external ratings, historical payment patterns, audited financial statements, cash flow projections. Group companies apply experienced credit judgement taking in to account qualitative and quantitative factors that are indicative of the risk of default. Scalar macroeconomic factor adjustments such as GDP forecast, also incorporated to reflect differences between economic conditions during the period over which the historical data has been collected, current conditions and the Group's view of economic conditions over the expected recovery period.

The Group re-evaluated its approach to measurement of ECL in the light of the COVID-19 pandemic, as the consequent unexpected deterioration in credit quality of loan portfolios (financial institutions) and trade receivables (non-financial institutions), will have a significant impact on the ECL measurement. The Group considered all reasonable and supportable information available without undue cost or effort at the reporting date as well as practical expedients made available. Economic Factor Adjustment (EFA) updated to reflect the impact of COVID-19 was incorporated in measuring ECL while information used for Probability of Default (PD) and Loss Given Default (LGD) was used without modification due to insufficiency of updated information relating to borrowers repayment ability, resource constraints and various government relief measures as a result of the outbreak.

However the Group has taken into account the changes to macro economic factors and risk due to COVID -19 impact and formulated necessary alterations to the impairment templates. The resultant increase in impairment provision due to this change is incorporated to the carrying value of trade and other receivables as at the year end.

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The aging of trade receivables - out side the Group as at the reporting date was:

As at 31st March 2021	Group	Company
	Rs. '000	Rs. '000
Less than 30 days	350,635	9,097
30-60 days	28,853	9
60-90 days	13,146	2
90-180 days	15,662	-
180-365 days	158,034	958
more than 365 days	195,738	33,575
Advances received	(12,056)	(3)
	750,012	43,638
Less: Impairment on trade receivable	(230,305)	(29,408)
Carrying value of trade receivables	519,707	14,230

The movement in the allowance for impairment in respect of trade receivables during the year was:

As at 31st March 2021	Group	Company
	Rs. '000	Rs. '000
Balance at the beginning of the year	99,373	9,438
Impairment provision - recognised for the year	128,073	19,970
Effect of movement in exchange rate	2,859	-
Balance at the end of the year	230,305	29,408

Bank deposits

The Group's maximum exposure to credit risk on term deposits more than 3 months as at the year end based on the carrying value in the statement of financial position is given below.

As at 31st March 2021	Group	%	Company	%
	Rs. '000		Rs. '000	
Government owned Banking Institutions	50	0%	-	-
Commercial Banks	574,718	100%	-	-
Total	574,768	100%	-	-

Commercial banks

Investments made with Commercial Banks consist of fixed deposits and term deposits held with private commercial banks.

Cash and cash equivalents

The Group limits its exposure to credit risk by investing only in liquid instruments with reputed banking Institutions. The Group also uses broad investment portfolio and limit investments with a single counterparty.

42.4 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Group continuously prepares and monitors rolling cash flow forecasts and assesses the liquidity requirements of each operating unit to ensure it has sufficient cash to meet operational needs. Regular reviews are also carried out to check actual performance against budgeted targets.

Surplus cash held by the operating units over and above balance required for working capital management are invested in interest bearing term deposits or with Group treasury. At the reporting date, the Group held term deposits that are expected to readily generate cash inflows for managing liquidity risk of liabilities as at the reporting date.

Liquidity management in response to COVID-19

The Group considered that Cash flow scrutiny is paramount in the days and months ahead and has adopted a disciplined approach across the Group for preserving and increasing liquidity, particularly on account of the impact of COVID-19.

The Group took cognizance of the reality that preservation of capital is of utmost importance during the business downturn resulting from the pandemic and took necessary action to ensure that there is sufficient liquidity available for its operational requirements. Several important decisions were made in this regard affecting both the short- and long-term business horizons.

- All non-essential capital expenditure was put on hold for the first six months of the year until there was better visibility about the future. During the second half some of those decisions were reviewed although the Group did not incur any large-scale capital expenditure during the year except on on-going projects.
- Managing receivables was the focus of the Group Supervisory Board and the senior management which ensured that working capital levels of the Group remained strong despite the business downturn.
- Under a directive from regulatory authorities, financial institutions offered a debt moratorium for interest and capital for COVID-19 affected businesses. The Group made the use of this concession by obtaining moratoriums for borrowings which resulted positively in improving the working capital.

As at 31st March 2021	Group			
	Carrying Amount	Current	Non Current	Payable on demand
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Liabilities				
Interest bearing liabilities- banks	30,716,225	2,568,340	28,147,885	-
Interest bearing liabilities- leases	11,033,234	1,042,409	9,990,825	-
Trade payables	913,389	913,389	-	-
Other provisions and payables	2,888,480	2,888,480	-	-
Amount due to holding company	168,765	168,765	-	-
Amount due to parent's group entities	75,307	75,307	-	-
Short term bank borrowings	4,732,653	-	-	4,732,653
Total	50,528,053	7,656,690	38,138,710	4,732,653

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As at 31st March 2021	Company			
	Carrying Amount	Current	Non Current	Payable on demand
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Financial Liabilities				
Interest bearing liabilities- banks	796,964	238,410	558,554	-
Trade payables	16,134	16,134	-	-
Other provisions and payables	29,531	29,531	-	-
Amount due to holding company	134,856	134,856	-	-
Amount due to parent's group entities	533,707	533,707	-	-
Short term bank borrowings	107,181	-	-	107,181
Total	1,618,373	952,638	558,554	107,181

“Current” represents financial liabilities which are due to mature within one year.

42.5 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposure within acceptable parameters, while optimizing the return.

42.5.1 Foreign exchange risk

The Group being involved in hoteliering operates internationally and is exposed to foreign exchange risk arising from various currency exposures primarily with respect of the US dollar. Certain room contracts are entered into in foreign currencies and invoiced in LKR using the conversion rates established by the industry. Purchases such as import of capital goods for hotel operations are also transacted in foreign currency.

The Sri Lankan Rupee witnessed a sharp depreciation against the US Dollar in March 2021 on the back of economic turmoil in global, regional and local markets resulting from the COVID-19 pandemic.

The Group has investment in foreign operations, who's net assets are exposed to foreign currency translation risk. Currency exposure arising from the net assets of the Group's foreign operations is managed, primarily through borrowings denominated in the relevant foreign currencies. The total interest bearing borrowings of the Group denominated in USD amounted to Rs. 19,719 million. All overseas investments is mostly financed through USD denominated borrowings. The translation exposure resulting from USD borrowings has been minimised to a high degree through these investments.

However for purposes of disclosure the exposure for currency risk is only provided on Group's foreign currency denominated financial instruments.

The Group's exposure to foreign currency risk as at 31st March 2021 and sensitivity analysis to Profit & loss and Equity if exchange rate increased / (decreased) by Rs.1/= is as follows.

42.5.1.1 Profit & loss

		Group	Company
Foreign Currency exposure for 2020/2021			
Foreign currency denominated income	-USD	47,070	41,728
Foreign currency denominated expenses	-USD	-	-
Foreign currency denominated income	-Euro	85	4.38
Foreign currency denominated expenses	-Euro	(510,991)	-
Net exposure - in foreign currency	-USD	47,070	41,728
Net exposure - in foreign currency	-Euro	(510,906)	4
Avg conversion rate used for the year 2020/2021	-USD	188.62	188.62
Avg conversion rate used for the year 2020/2021	-Euro	221.27	221.27
Net USD exposure - in Rs'000		8,878	7,871
Net Euro exposure - in Rs'000		(113,048)	1
Sensitivity Analysis			
Avg USD conversion rate with Rs. 1.00 increase		189.62	189.62
Avg USD conversion rate with Rs. 1.00 decrease		187.62	187.62
Avg Euro conversion rate with Rs. 1.00 increase		222.27	187.62
Avg Euro conversion rate with Rs. 1.00 decrease		220.27	220.27
Net exposure - in SLR with Rs. 1.00 increase in the average USD conversion rate - in Rs'000		8,925	7,912
Net exposure - in SLR with Rs. 1.00 decrease in the average USD conversion rate - in Rs'000		8,831	7,829
Net exposure - in SLR with Rs. 1.00 increase in the average Euro conversion rate - in Rs'000		(113,559)	1
Net exposure - in SLR with Rs. 1.00 decrease in the average Euro conversion rate - in Rs'000		(112,537)	(0)
Impact to Profit & Loss			
with Rs. 1.00 increase in the average USD conversion rate - in Rs'000		47	42
with Rs. 1.00 decrease in the average USD conversion rate - in Rs'000		(47)	(42)
with Rs. 1.00 increase in the average Euro conversion rate - in Rs'000		511	0
with Rs. 1.00 decrease in the average Euro conversion rate - in Rs'000		(511)	(0)

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42.5.1.2 Equity

	Group				Company		
	USD	GPB	EURO	OMR	USD	GPB	EURO
Foreign Currency denominated							
financial assets as at 31st March 2021							
Trade and other receivables	174,684	14,650	320,131	44,416	-	8,429	130,270
Other financial assets	2,394,075	-	-	-	2,095,910	-	-
Cash and cash equivalents	139,215	-	1,300,857	-	30,875	-	569
Trade payables	-	-	(11,556)	-	-	-	-
Interest bearing borrowings	-	-	(34,574,439)	-	-	-	-
Net exposure - in foreign currency	2,707,974	14,650	(32,965,007)	44,416	2,126,785	8,429	130,839
Conversion rate used as at 31st March 2021							
	199.83	275.25	234.34	519.31	199.83	275.25	234.34
Net exposure - in Rs. 000	541,134	4,032	(7,725,041)	23,066	424,996	2,320	30,661
Sensitivity Analysis							
Avg conversion rate with Rs. 1.00 increase	200.83	276.25	235.34	520.31	200.83	276.25	235.34
Avg conversion rate with Rs. 1.00 decrease	198.83	274.25	233.34	518.31	198.83	274.25	233.34
Net exposure - in SLR with Rs. 1.00 increase in the average conversion rate -Rs'000							
	543,842	4,047	(7,758,006)	23,110	427,122	2,328	30,792
Net exposure - in SLR with Rs. 1.00 decrease in the average conversion rate -Rs'000							
	538,426	4,018	(7,692,076)	23,021	422,869	2,312	30,530
Impact to Profit and Loss							
with Rs. 1.00 increase in the average conversion rate - Rs'000							
	2,708	15	(32,965)	44	2,127	8	131
with Rs. 1.00 decrease in the average conversion rate - Rs'000							
	(2,708)	(15)	32,965	(44)	(2,127)	(8)	(131)

The above table demonstrates the sensitivity to a reasonably possible change in the foreign currency exchange rate by Rs. 1/- with all other variables held constant.

42.6 Cash Flow Hedge

A subsidiary company in the Group designated a hedge relationship between its highly probable EURO denominated sales and its foreign currency denominated borrowings.

The risk management objective of the cash flow hedge is to hedge the risk of variation in the foreign currency exchange rates associated with EURO currency denominated forecast sales. The risk management strategy is to use the foreign currency variability (gains /losses) arising from revaluation of the foreign currency borrowing attributable to change in the spot foreign exchange rates to off-set the variability, due to foreign exchange rate movements, on LKR conversion of EURO denominated forecast sales.

The effective portion of the gain or loss on the hedging instrument is recognised in the Other Comprehensive Income Statement (OCI) and any ineffective portion is recognised immediately in the Income Statement.

The amount recognised in Other Comprehensive Income is transferred to the Income Statement when the hedge transaction occurs (when the forecasted revenue is realised). If the forecast transaction is no longer expected to occur, the cumulative gain or loss previously recognised in Other Comprehensive Income is transferred to the Income Statement.

Cash flow hedge reserve reflects the effective portion of the gain or loss on the hedging instrument. The cash flow hedging reserve as at 31 March 2021 represents the foreign currency variability arising from revaluation of the foreign currency borrowings attributable to change in the spot LKR/EUR rate that is expected be set of from the variability of exchange rates form highly probable EURO denominated sales (Named "All Inclusive" apartment revenue) expected to occur from 1st quarter of 2017/18 up to the tenor of refinanced borrowings.

Hedging instrument - Foreign currency borrowing of EURO 40 Mn in January 2017 out of which EURO 34.1 Mn has been designated for the hedge from April 2017.

Further, outstanding balance of EURO 32.6 Mn as at 31 March 2018 has been refinanced effective from the 1st quarter of 2018/19 for an extended tenor .

Hedged item – Highly probable EURO denominated sales (Named "All Inclusive" apartment revenue) expected to occur from April 2017 to March 2029.

The effective portion of the gain or loss on the hedging instrument of Rs. 713 Mn (2019/2020 – Rs. 292 Mn) was recognised in the Other Comprehensive Income Statement (OCI) and ineffective portion of Rs. 28 Mn relating to current financial year (2019/2020 - Rs. 10 Mn) and Rs. 9 Mn relating to future periods were recognised immediately in the Income Statement under net foreign exchange gain/ (loss) in other operating income.

In respect of the cash flow hedge instrument, Group recognized Rs. 1,229.2 Mn (2019/2020- Rs.801.6 Mn) under cash flow hedge reserve being the Group's portion of the fair value loss recognised by the subsidiary.

Cash flow hedge reserve

	Group		Company	
	2021	2020	2021	2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
As at 31st March				
Balance at the beginning of the year	(801,633)	(626,716)	-	-
Net movement in cash flow hedge reserve	(427,578)	(174,917)	-	-
Balance at the end of the year	(1,229,211)	(801,633)	-	-

The Group has considered the economic turbulence resulting from COVID 19 pandemic when assessing the Group's risk exposures and hedge effectiveness.

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42.7 Interest rate risks

Interest rate risk is the risk of fluctuation of the value or cash flows of an instrument due to changes in the market interest rates.

The Group has borrowings with variable interest rates such as AWPLR and LIBOR and would expose the Group to cashflow/ profits as the amount of interest paid would be changed depending on market interest rates.

The Group's exposure to interest rate risk as at 31st March 2021 and sensitivity analysis to Profit & loss if interest rate increased / decrease by 100 basis points for Rupee loans and 10 basis points for USD loans and Euro loans.

Further, the global outbreak of the novel COVID-19 epidemic has resulted in a consecutive reductions in policy rates and monetary easing policies by CBSL to encourage banks and finance companies to reduce lending rates.

COVID-19 has necessitated easing of monetary policies to facilitate the recovery across most economies. However, the volatility in interest rates remains high due the scale of the economic impact caused by the pandemic. The Group has been closely monitoring these developments and devising strategies to ward off any adverse effect caused in the form of interest rate risk.

Financial Year 2020/2021	Increase/ decrease in basis points	Effect on Profit Before Tax	
		Group Rs. '000	Company Rs. '000
Sri Lanka rupee loans	+100	16,247	7,970
USD loans	+10	19,719	-
Euro loans	+10	4,226	-
Sri Lanka rupee loans	-100	(16,247)	(7,970)
USD loans	-10	(19,719)	-
Euro loans	-10	(4,226)	-

The above table demonstrates the sensitivity to a reasonably possible change in interest rates on loans where floating rates are applicable by 100 basis points for Rupee loans and 10 basis points for USD loans and Euro loans with all other variables held constant.

Constant monitoring of market interest rates is carried out to ensure appropriate steps are taken to maximise the return on financial management and to minimise the cost of borrowings. Group very strongly negotiates with banks and obtains best possible interest rates for the Group's borrowings. Listed below are steps adopted by the Group to minimise the effect of interest rate risks:

1 Entering into loans with interest rate caps and fixed rates.

2 Re - negotiating with banks on interest rates when ever there are favorable fluctuations in the market rates.

42.8 Equity prices

The Group's investment in equity - quoted are recorded at their market price. Group's investments in equity accounted investments is scoped out as stated above. Equity investments non quoted are carried in the Consolidated Statement of Financial Position as financial assets at fair value through OCI. Both quoted and non quoted investments are fair valued as at each reporting date.

43 Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of the capital.

The capital of the company consist of the following:

Equity Capital

- Ordinary share capital
- Preference share capital

Debt

- Long term borrowings

The Group monitors capital on the basis of the debt to equity ratio. This ratio is calculated based on the long term interest bearing debt and preference shares divided by total equity capital. Total debt consist of total non current borrowings and total equity consist of total equity less preference shares capital. The following factors are also objectively taken into consideration in managing capital of the Group.

1. Maintain sufficient capital to meet minimum regulatory requirements. (Companies Act)
2. Maintain strong equity base as opposed to debt capital
3. Group's future developments, investments and business strategies
4. Group cash flow projections and ability to pay higher returns to shareholders

44 Director's fees

The Director fees of the Group for the year ended 31st March 2021 is nil. (2019/2020- Rs. Nil)

45 Related party transactions

Aitken Spence Hotels Holdings Group carries out transactions in the ordinary course of business with parties who are defined as related parties as per Sri Lanka Accounting Standard LKAS 24 - Related Party Disclosures, which are transacted at normal business terms. The pricing policy applicable to such transactions are comparable with those that would have been charged from unrelated companies.

Mr. D.H.S. Jayawardena Chairman of the Company is also the Chairman of the Parent Company Aitken Spence PLC. and Aitken Spence Hotel Management Asia (Pvt) Ltd. He is also the Chairman of Browns Beach Hotels PLC, and Negombo Beach Resorts (Pvt) Ltd which are associate companies of the Group and the Chairman of Distilleries Company of Sri Lanka PLC, Stassen Exports (Pvt) Ltd., Lanka Milk Foods (CWE) PLC., Lanka Bell (Pvt) Ltd., Periceyl (Pvt) Ltd., Lanka Diaries (Pvt) Ltd. Pattipola Live Stock Company Ltd., Stasson Foods (Pvt) Ltd and Ambewela Products (Pvt) Ltd., Melsta Health (Pvt) Ltd. and Melsta Laboratories (Pvt) Ltd. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note. No. 45.1.1, 45.1.2, 45.1.3 and 45.1.5.

Mr. J.M.S. Brito, who was the Managing Director of the Company and the Parent Company Aitken Spence PLC resigned with effect from 15th March 2019 and continued to be a non Executive Director for both the companies effective from same date.

Dr. M.P Dissanayake is the Deputy Chairman & Managing Director of the Company and the Parent Company Aitken Spence PLC. He also is a Director for Browns Beach Hotels PLC, Crest Star (BVI) Ltd., Cowrie Investments (Pvt) Ltd., Aitken Spence Travels (Pvt) Ltd, Ace Resorts (Pvt) Ltd., Aitken Spence Hotel Managements South India (Pvt) Ltd., Aitken Spence Resorts (Middle East) LLC., Aitken Spence Hotels International (Pvt) Ltd., Aitken Spence Global Operations (Pvt) Ltd., P.R Holiday Homes (Pvt) Ltd., Perumbalam Resorts (Pvt) Ltd., Aitken Spence Hotels Ltd., Heritance (Pvt) Ltd., Aitken Spence Hotel Managements (Pvt) Ltd., Kandalama Hotels (Pvt) Ltd., Ahungalla Resorts Ltd., Hethersett Hotels Ltd., Neptune Ayurvedic Village (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Turyaa (Pvt) Ltd., Meeraladuwa (Pvt) Ltd., Browns Beach Hotels PLC. Ace Cargo (Pvt) Ltd., Aitken Spence Agriculture (Pvt) Ltd., Aitken Spence Engineering Solutions (Pvt) Ltd., Aitken Spence Printing & Packaging (Pvt) Ltd., Aitken Spence Travels (Pvt) Ltd., Global Parcel Delivery (Pvt) Ltd., Elevators (Pvt) Ltd. and Elpitiya Plantations PLC. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 45.1.1, 45.1.2 and 45.1.4.

Ms. D.S.T Jayawardena a Director of the Company is also the Chairperson of Aitken Spence Hotel Managements (Pvt) Ltd., Aitken Spence Hotels Ltd., Turyaa (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Kandalama Hotels (Pvt) Ltd., Hethersett Hotels Ltd., Heritance (Pvt) Ltd, Neptune Ayurvedic Village (Pvt) Ltd., Meeraladuwa (Pvt) Ltd., Jetan Travel Services Company (Pvt) Ltd., Cowrie Investments (Pvt) Ltd., A D S Resorts (Pvt) Ltd., Unique Resorts (Pvt) Ltd., Ace Resorts (Pvt) Ltd., Aitken Spence Hotels International (Pvt) Ltd., Aitken Spence Global Operations (Pvt) Ltd., Ahungalla Resorts Ltd., and Aitken Spence Hotel Managements Asia (Pvt) Ltd., which are subsidiaries of the Group. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 45.1.2.

Ms. D.S.T Jayawardena is also a Director of the parent Company Aitken Spence PLC. and a Director of Amethyst Leisure Ltd., Paradise Resorts Passikudah (Pvt) Ltd., Browns Beach Hotels PLC., and Negombo Beach Resorts (Pvt) Ltd., which are equity accounted investees of the Group. She is also the Chairperson of Splendor Media (Pvt) Ltd., and a Director of Stassons Foods (Pvt) Ltd., Lanka Milk Foods (CWE) PLC., Lanka Dairies (Pvt) Ltd., and Stassen Exports (Pvt) Ltd. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No 45.1.1, 45.1.3 and 45.1.5.

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Mr. C.H. Gomez a Director of the company is also a Director of the Parent Company Aitken Spence PLC.

R. N.J. De S Deva Adithya, a Director of the company is also a Director of the Parent Company Aitken Spence PLC. He is also a Director of Distilleries Company of Sri Lanka PLC and . Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 45.1.1 and 45.1.5.

Mr. R. N. Asirwatham, a Director of the company is also a Director of the Parent Company Aitken Spence PLC. He is also a Director of Browns Beach Hotels PLC., Dankotuwa Porcelain PLC., and Royal Ceramics PLC and Ceylon Grain Elevators PLC. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 45.1.1 and 45.1.5.

Mr. G.P.J Goonewardena who was a Director of the Company resigned with effect from 30th June 2017 and re-appointed as a non Executive Director with effect from 30.03.2018.

Mr. C.M.S Jayawickrama a Director of the Company is also the Managing Director of Aitken Spence Hotel Managements (Pvt) Ltd., and a Director of Aitken Spence Hotels Ltd., Turyaa (Pvt) Ltd., Turyaa Resorts (Pvt) Ltd., Kandalama Hotels (Pvt) Ltd., Hethersett Hotels Ltd., Heritance (Pvt) Ltd, Neptune Ayurvedic Village (Pvt) Ltd., Meeraladuwa (Pvt) Ltd., Ahungalla Resorts Ltd., Crest Star (BVI) Ltd, Jetan Travel Services Company (Pvt) Ltd., Cowrie Investments (Pvt) Ltd., A D S Resorts (Pvt) Ltd., Unique Resorts (Pvt) Ltd., Ace Resorts (Pvt) Ltd., P R Holiday Homes (Pvt) Ltd., Perumbalam Resorts (Pvt) Ltd., Aitken Spence Hotel Managements South India (Pvt) Ltd., Aitken Spence Global Operations (Pvt) Ltd., and Aitken Spence Hotels International (Pvt) Ltd., which are subsidiaries of the Group. Transactions carried out by the Group with these companies in the ordinary course of business are disclosed in Note No. 45.1.2.

Mr. C.M.S Jayawickrama is also a Director of Negombo Beach Resorts (Pvt) Ltd., which is an equity accounted investees of the Group.

Details of transactions carried out by the Group with related parties and outstanding balances with the related parties are given in Note No. 45.1.1 to 45.1.5.

45.1 Details of transactions carried out with related companies

Name of the Related Party			Relationship	Nature of transaction	Terms of the transaction	Group		Company	
						Transaction Value	Outstanding As at 31.03.2021	Transaction Value	Outstanding As at 31.03.2021
						Rs. '000	Rs. '000	Rs. '000	Rs. '000
45.1.1 Transactions with Parent Company									
Aitken Spence PLC		Parent Company	Interest earned / (paid) - net	Market terms		34,655	-	(2,485)	-
			Lease Rent paid	Contractual Payment		1,500	(270)	-	-
			Corporate guarantee fees	Market terms		35,623	-	24,263	-
			Fees paid for services	Market terms		166,086	(168,765)	21,721	(134,856)
			Allocation of Expenses	-		88	(182)	227	-
			Net Withdrawal / investment / borrowings of short term funds	Market terms		(263,327)	476,904	(44,933)	82,929
45.1.2 Transactions with Subsidiaries									
Aitken Spence Hotel Management Asia (Pvt) Ltd		Subsidiary	Management fees for managing overseas hotels	Percentage of revenue and profits		24,397	-	-	(10)
									(10)
Aitken Spence Global Operations (Pvt) Ltd		Subsidiary	Management fees for managing overseas hotels	Percentage of revenue and profits		97,631	-	-	
			Central Merchandising unit handling charges	Market terms		6,003	-	-	-
Turyaa (Pvt) Ltd.		Subsidiary	Short term advances	Short term		-	-	(5,723)	7,559
									(72)
Turyaa Resorts (Pvt) Ltd.		Subsidiary	Short term advances	Short term		-	-	27	27
Kandalama Hotels (Pvt) Ltd		Subsidiary	Interest on advances	Market terms		(632,743)	-	32,010	(532,743)
Hethersett Hotels Ltd		Subsidiary	Short term advances	Short term		-	-	-	(54)
Meeraladuwa (Pvt) Ltd		Subsidiary	Short term advances	Short term		-	-	-	232

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Name of the Related Party		Relationship	Nature of transaction	Terms of the transaction	Group		Company	
					Transaction Value	Outstanding As at 31.03.2021	Transaction Value	Outstanding As at 31.03.2021
					Rs. '000	Rs. '000	Rs. '000	Rs. '000
45.1.3	Transactions with equity accounted investees							
Paradise Resorts Passikudah (Pvt) Ltd		Associate	Transactions with Parent Company					
			Shareholder loan granted	Market terms	-	5,253	-	5,151
			Transactions with Parents Group Entities					
			Sale of Hotel Rooms	Market terms	2,585	-	-	-
			Central Purchasing unit handling charges	Market terms	235	-	-	-
			Online Reservation handling charges	Market terms	721	-	-	-
			Purchase of mineral water	Market terms	427	-	-	-
			Printing of hotel promotional literature	Market terms	6	-	-	-
Negombo Beach Resorts (Pvt) Ltd		Associate	Transactions with Parent Company					
			Interest received for shareholder loan	Market terms	50,395	-	50,395	-
			Sale of Hotel Rooms	Market terms	4,364	-	-	-
			Printing of hotel promotional literature	Market terms	18	-	-	-
			Central purchasing / merchandising unit handling charges	Market terms	748	-	-	-
			Online Reservation handling charges	Market terms	884			
			Elevator maintenance services	Market terms	1,727	-	-	-
			Purchase of mineral water	Market terms	210	70	-	-
Aitken Spence Hotel Managements (Pvt) Ltd.		Associate	Management fees income for managing Sri Lankan hotels	Percentage of revenue and profits	17,349	-	3,076	-
			Central Purchasing & Merchandising unit handling income	Market terms	13,087	-	2,872	-
			Online Reservations handling income	Market terms	16,908	-	3,264	-
			Allocation of Expenses	Market terms	28,574	184,135	4,045	24,876
			Export of Hotel Supplies to Maldives	Market terms	81,309	(72,584)	-	(745)

Name of the Related Party			Relationship	Nature of transaction	Terms of the transaction	Group		Company	
						Transaction Value	Outstanding As at 31.03.2021	Transaction Value	Outstanding As at 31.03.2021
						Rs. '000	Rs. '000	Rs. '000	Rs. '000
45.1.4 Transactions with parent's group entities									
Aitken Spence Travels (Pvt) Ltd		Subsidiary of the Parent Company	Sale of Hotel rooms in the ordinary course of business	Market terms	145,967	41,002	39,767	9,541	
			Purchase of Air Tickets for overseas travel	Market terms	1,216	(685)	11	(54)	
Aitken Spence Exports (Pvt) Ltd.		Subsidiary of the Parent Company	Purchase of mineral water	Market terms	2,721	184	647	-	
						(324)			
Aitken Spence Printing & Packaging (Pvt) Ltd.		Subsidiary of the Parent Company	Printing & Type setting hotel promotional literature and Annual Reports	Market terms	548	(82)	116	(3)	
Elevators (Pvt) Ltd		Subsidiary of the Parent Company	Repairs and Maintenance of Hotel Elevators	Market terms	11,422	(1,032)	1,287	-	
Elpitiya Plantations PLC		Subsidiary of the Parent Company	Purchase of tea leaves	Market terms	730	-	96	-	
Global Parcel Delivery (Pvt) Ltd		Subsidiary of the Parent Company	Courier Services	Market terms	1,724	-	340	(26)	
Aitken Spence Cargo (Pvt) Ltd		Subsidiary of the Parent Company	Clearing of imported items	Market terms	4,440	309	-	-	
						(145)			
Aitken Spence Agriculture (Pvt) Ltd		Subsidiary of the Parent Company	Purchase of vegetables	Market terms	187	(44)	-	-	
Aitken Spence Engineering Solutions (Pvt) Ltd		Subsidiary of the Parent Company	Purchase of IT equipment	Market terms	-	(141)	-	-	

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Name of the Related Party	Relationship	Nature of transaction	Terms of the transaction	Group		Company	
				Transaction Value	Outstanding Value As at 31.03.2021	Transaction Value	Outstanding Value As at 31.03.2021
				Rs. '000	Rs. '000	Rs. '000	Rs. '000
Transactions with other related companies							
Distilleries Company of Sri Lanka PLC	Other related Company	Purchase of beverages	Market terms	3,277	(147)	522	(89)
Stassen Exports (Pvt) Ltd	Other related Company	Purchase of food items	Market terms	85,845	(10,719)	3,283	(784)
Lanka Milk Foods (CWE) PLC	Other related Company	Purchase of milk powder	Market terms	4,110	(577)	1,180	(20)
Lanka Diaries (Pvt) Ltd	Other related Company	Purchase of food items	Market terms	77	(13)	20	-
Lanka Bell (Pvt) Ltd	Other related Company	Provision of telecommunication services.	Market terms	2,667	(120)	439	(43)
Periceyl (Pvt) Ltd	Other related Company	Purchase of beverages	Market terms	7,272	(1,011)	1,621	(262)
Pattipola Live Stock Company Ltd	Other related Company	Purchase of food items	Market terms	324	(67)	-	-
Royal Ceramic PLC	Other related Company	Purchase of goods	Market terms	1,089	(13)	14	-
Continental Insurance Lanka Limited	Other related Company	Provision of insurance services	Market terms	369,660	(663)	18,395	(57)
Melsta Logistics (Pvt) Ltd	Other related Company	Provision of vehicle maintenance services	Market terms	78	-	-	-
Splendor Media (Pvt) Ltd	Other related Company	Purchase of services	Market terms	8	(424)	8	-
Stassons Foods (Pvt) Ltd	Other related Company	Purchase of food items	Market terms	38,758	(4,807)	10,221	(2,055)
Ambewela Products (Pvt) Ltd	Other related Company	Purchase of milk products	Market terms	1,363	(174)	261	-
Dankotuwa Porcelain PLC	Other related Company	Purchase of porcelain items	Market terms	128	-	-	-
CIC Holdings PLC	Other related Company	Purchase of Food	Market terms	1,271	-	-	-
Ceylon Grain Elevators PLC	Other related Company	Purchase of Food	Market terms	1,214	(321)	-	-
Melsta Health (Pvt) Ltd	Other related Company	Sale of Hotel rooms in the ordinary course of business	Market terms	56	-	-	-
Melsta Laboratories (Pvt) Ltd	Other related Company	Purchase of services	Market terms	503	-	-	-

45.1.6 The Company and the subsidiaries in the ordinary course of business have for the sale of hotel rooms, contracted with certain tour operators, for whom Aitken Spence Travels (Pvt) Ltd., has contracted with for provision of hotel services. The total revenue generated by such company and the balance outstanding as at 31st March 2021 is disclosed above.

45.1.7 The Company and the Subsidiaries in the ordinary course of business have generated revenues amounting to Rs.2.2 million (Company 1.3 million) from sale of hotel packages to Aitken Spence PLC and its Subsidiaries (excluding Hotel Companies). Balances outstanding from these companies as at 31st March 2021 is reflected in Note No. 26 - Amounts due from parent's group entities.

45.2 Non recurrent transactions with related Parties

Name of the Related Party	Relationship	The rationale for entering into the transaction	Value of the related party transactions entered into during the financial year ending 31st March 2021	Value of the related party transactions as a % of equity	Value of the related party transactions as a % of total Assets.	Terms and conditions of the related party transaction
			Rs. '000			
45.2.1 Transaction with Equity Accounted Investees						
Amethyst Leisure Ltd	Associate	Investment in equity	83,679	0.38%	0.11%	Market Terms
Negombo Beach Resorts (Pvt) Ltd	Associate	Interest earned from shareholder loan (Loan balance outstanding as at 31.03.2021 - Rs. 691 Mn)	50,395	0.23%	0.07%	Loan is repayable in 10 years with grace period of 3 years. Interest linked to AWPLR

There were no non recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of equity or 5% of total assets which ever is lower.

45.3 Recurrent transactions with related parties

Name of the Related Party	Relationship	The rationale for entering into the transaction	Value of the related party transactions entered into during the financial year ending 31st March 2021	Value of the related party transactions as a % of revenue	Terms and conditions of the related party transaction
			Rs. '000		
Aitken Spence Travels (Pvt) Ltd.	Subsidiary of Parent Company	Sale of Hotel rooms in the ordinary course of business	145,967	2.55%	Market Terms
Stassen Exports (Pvt) Limited	Other related Company	Purchase of goods in the ordinary course of business	85,845	1.50%	Market Terms
Stassons Foods (Pvt) Ltd	Other related Company	Purchase of goods in the ordinary course of business	38,758	0.68%	Market Terms

There were no recurrent transactions carried out with related parties during the year where the aggregate value of transaction exceeds 10% of consolidated gross revenue of the Group.

NOTES TO THE FINANCIAL STATEMENTS

45.4 Transactions with Key Management Personnel (KMP)

Aitken Spence Hotel Holdings PLC, considers its Board of Directors as the key management personnel of the Company. The Board of Directors, Vice Presidents and Assistant Vice Presidents of subsidiary companies are considered as key management personnel of Group Companies.

There were no transactions other than employment benefits disclosed below carried out during the year with Key management personnel and their close family members which require disclosure per LKAS - 24 - Related Party Disclosures .

	Group		Company	
For the year ended 31 st March	2020/2021	2019/2020	2020/2021	2019/2020
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Short term employment benefits	15,899	29,180	6,878	8,030
Post employment benefits	-	-	-	-
Total	15,899	29,180	6,878	8,030

46 Acquisition of non controlling shares

The Company made an offer to the minority shareholders of Aitken Spence Hotels Ltd. on 8th June, 1999 to purchase their shares at Rs. 31/-per share.(subsequently revised to Rs. 20/- per share). The Company as at 31 st March, 2021 held 98.01% of the equity share capital of Aitken Spence Hotels Ltd.

47 Events after reporting date

There has been no material events occurring after the reporting date that requires adjustment to or disclosure in the Financial Statements.

48 Capital expenditure commitments

There are no capital expenditure commitments other than those disclosed in note no. 16.4 to the financial Statements.

49 Average number of employees

The average number of employees of the Group (excluding equity-accounted investees) as at 31st March 2021 was 2,563 (2019/2020 - 3,235).

The number of employees of the Company as at 31 st March 2021 was 224 (2019/2020 - 271).

50 Comparative information

No comparative information were changed during the year which require disclosure or adjustments in the financial statements.

Group has consistently applied the accounting policies with those adopted in the previous financial year. The presentation and classification of the financial statements of the previous period, have been adjusted, where relevant, for better presentation.

51 Directors Responsibility

The Board of Directors of the Company are responsible for the preparation of financial statements.

52 Group impact of COVID 19

52.1 The impact of COVID - 19 pandemic on the business/ operations of the Group and responses to the impact on COVID-19

The Aitken Spence Hotel Holdings PLC and its subsidiaries operate in the tourism sector that has been significantly affected by the outbreak of COVID - 19.

Since March 2020, Hotels in the Group were operated within the measures adopted by the respective government in countries we operate. During the first nine months of the year, due to closure of borders for International Tourists, Hotels in Sri Lanka were mainly operated with local clientele. However Male Hotels were opened for tourists in July 2020 with the opening of Male International Airport.

Some Hotels in the Sri Lanka commenced operations for the foreign customers during the last quarter of the financial year as “safe and secure certified Level 1 hotels” as per the initiative taken by Sri Lanka Tourism Development Authority to accommodate international tourists to Sri Lanka.

The Group also stepped up to provide two hotels in Sri Lanka and another in Male to serve as quarantine centres, supporting the national effort to combat the virus.

Operations of the hotels in the Group were carried out strictly under the guidelines issued by the respective Government with priority given for the safety of our guests and staff.

52.2 The Group's expectation of the future impact of COVID – 19 on the Group's future operations and financial conditions

The global situation is extremely volatile at present. The Group's business is directly linked to the situation in the countries we operate. However, Group will continue to monitor the developments both locally and globally and take timely action to mitigate losses and reduce risks to the financial stability of the Group.

52.3 Use of estimates, assumptions and judgements due to COVID 19 pandemic

The preparation of these financial statements requires the use of management judgement, estimates and assumptions that affect reported amounts and the application of accounting policies. Such estimates and judgements are reviewed on an ongoing basis.

The ongoing COVID-19 pandemic has increased the estimation uncertainty in the preparation of these Consolidated Financial Statements.

The estimation uncertainty is associated with:

- the extent and duration of the disruption to business arising from the actions by governments, businesses and consumers to contain the spread of the virus;
- the extent and duration of the expected economic downturn (and forecasts for key economic factors including GDP, employment and house prices). This includes the disruption to capital markets, deteriorating credit, liquidity concerns, increasing unemployment, declines in consumer discretionary spending, reductions in production because of decreased demand, and other restructuring activities; and
- the effectiveness of government and central bank measures that have and will be put in place to support businesses and consumers through this disruption and economic downturn.

The Group has developed various accounting estimates in these Financial Statements based on forecasts of economic conditions which reflect expectations and assumptions as at 31 March 2021 about future events that the Directors believe are reasonable in the circumstances. There is a considerable degree of judgement involved in preparing forecasts. The underlying assumptions are also subject to uncertainties which are often outside the control of the Group. Accordingly, actual economic conditions are likely to be different from those forecast since anticipated events frequently do not occur as expected, and the effect of those differences may significantly impact accounting estimates included in these financial statements.

The significant accounting estimates impacted by these forecasts and associated uncertainties are predominantly related to expected credit losses, fair value measurement, and recoverable amount assessments of non-financial assets.

The impact of the COVID-19 pandemic on each of these accounting estimates were discussed further in the relevant notes to these financial statements.

QUARTERLY STATISTICS

Income Statement - Group

	30th June	30th September	31st December	31st March
For the three months ended	2020	2020	2020	2021
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Net Turnover	160,484	369,689	1,346,547	3,715,048
Other income	(20,007)	(21,812)	(30,448)	26,310
Staff costs	(701,575)	(411,199)	(526,475)	(792,188)
Depreciation	(641,950)	(625,552)	(623,086)	(643,685)
Amortisation	(202,233)	(200,656)	(194,998)	(206,291)
Other Operating Expenses- Direct	(21,192)	(145,018)	(407,777)	(938,555)
Other Operating Expenses- Indirect	(567,556)	(727,750)	(771,951)	(1,384,619)
Profit/ (loss) from operations	(1,994,029)	(1,762,298)	(1,208,188)	(223,980)
Finance income	41,892	35,822	28,728	28,265
Finance expenses	(571,455)	(574,620)	(519,580)	(508,316)
Share of profit/(loss) of equity accounted investees net of tax	(138,421)	(65,326)	(93,304)	(81,810)
Income tax expense	60,841	66,417	58,746	167,401
Net Profit /(loss) for the period	(2,601,172)	(2,300,005)	(1,733,598)	(618,440)
Profit attributable equity holders of the parent company	(1,714,050)	(1,446,701)	(1,136,149)	(372,145)
Non - controlling interests	(887,122)	(853,304)	(597,449)	(246,295)
	(2,601,172)	(2,300,005)	(1,733,598)	(618,440)

Statement of Financial Position - Group

	30th June	30th September	31st December	31st March
As at	2020	2020	2020	2021
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Assets				
Non current assets	64,844,968	64,041,268	64,675,641	67,433,938
Current assets	5,461,932	4,601,662	4,891,727	5,655,205
Assets classified as held for sale	1,005,275	999,875	1,007,921	1,079,094
Total assets	71,312,175	69,642,805	70,575,289	74,168,237
Equity and liabilities				
Equity	18,697,596	17,107,341	15,806,289	15,956,456
Non - controlling interest	7,609,926	6,665,669	5,952,765	6,006,264
Total equity	26,307,522	23,773,010	21,759,054	21,962,720
Non current liabilities	36,380,439	36,018,546	38,492,156	39,406,684
Current liabilities	8,624,214	9,851,249	10,234,079	12,798,833
Total liabilities	45,004,653	45,869,795	48,726,235	52,205,517
Total equity & liabilities	71,312,175	69,642,805	70,485,289	74,168,237

Share Information - Group

	30th June	30th September	31st December	31st March
As at	2020	2020	2020	2021
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Earnings / (loss) per ordinary share	(5.11)	(4.31)	(3.39)	(13.93)
Net asset value per share	55.11	50.38	46.51	46.96
Market price per share				
- Highest	21.00	23.30	33.90	37.00
- Lowest	12.00	16.70	17.70	25.50
- Last traded price	19.00	23.00	33.00	31.20
- Closing price	18.80	22.60	32.30	30.20
Percentage of shares held by public	25.39%	25.40%	25.41%	25.41%
Number of public shareholders	3,706	3,773	3,729	3,625
Float adjusted market capitalisation	1,605,633,007	1,930,175,849	2,759,594,880	2,580,178,495

INDICATIVE US DOLLAR FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE
INCOME IN US \$

For the year ended 31 st March	2021	2020
	US \$ '000	US \$ '000
Revenue	28,666	100,149
Revenue tax	(684)	(2,269)
Net revenue	27,982	97,880
Other expenses	(230)	620
Staff costs	(12,168)	(20,013)
Depreciation	(12,682)	(11,143)
Amortisation	(4,024)	(3,848)
Other operating expenses - direct	(7,569)	(22,413)
Other operating expenses - indirect	(17,274)	(32,850)
Profit/(loss) from operations	(25,965)	8,233
Finance income	674	983
Finance expenses	(10,879)	(9,801)
Net finance expenses	(10,205)	(8,818)
Share of loss of equity accounted investees (net of tax)	(1,896)	(1,696)
Loss before income tax	(38,066)	(2,281)
Income tax (expenses)/refund	1,769	(2,436)
Loss for the year	(36,297)	(4,717)
Attributable to:		
Equity holders of the parent	(23,365)	(3,291)
Non - controlling interest	(12,932)	(1,426)
	(36,297)	(4,717)
Loss per ordinary share (US \$.)	(0.07)	(0.01)
Exchange rate used for translation	199.83	189.91

INDICATIVE US DOLLAR FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME IN US \$

For the year ended 31 st March	2021	2020
	US \$ '000	US \$ '000
Loss for the year	(36,297)	(4,717)
Other comprehensive income		
Items that will never be reclassified to profit or loss		
Share of other comprehensive income of equity accounted investees	88	28
Actuarial gains/ (losses) on defined benefit plans	(143)	90
Income tax on other comprehensive income	17	(11)
	(38)	107
Items that are or may be reclassified to profit or loss		
Foreign currency translation differences of foreign operations	4,013	4,896
Net movement in cashflow hedging	(3,566)	(1,535)
Net change in fair value on items recognised as fair value through OCI	131	(78)
	578	3,283
Other comprehensive income for the year net of tax	540	3,390
Total comprehensive income for the year net of tax	(35,757)	(1,327)
Attributable to:		
Equity holders of the parent company	(22,840)	(1,066)
Non - controlling interests	(12,917)	(262)
	(35,757)	(1,327)
Exchange rate used for translation	199.83	189.91

INDICATIVE US DOLLAR FINANCIAL STATEMENTS

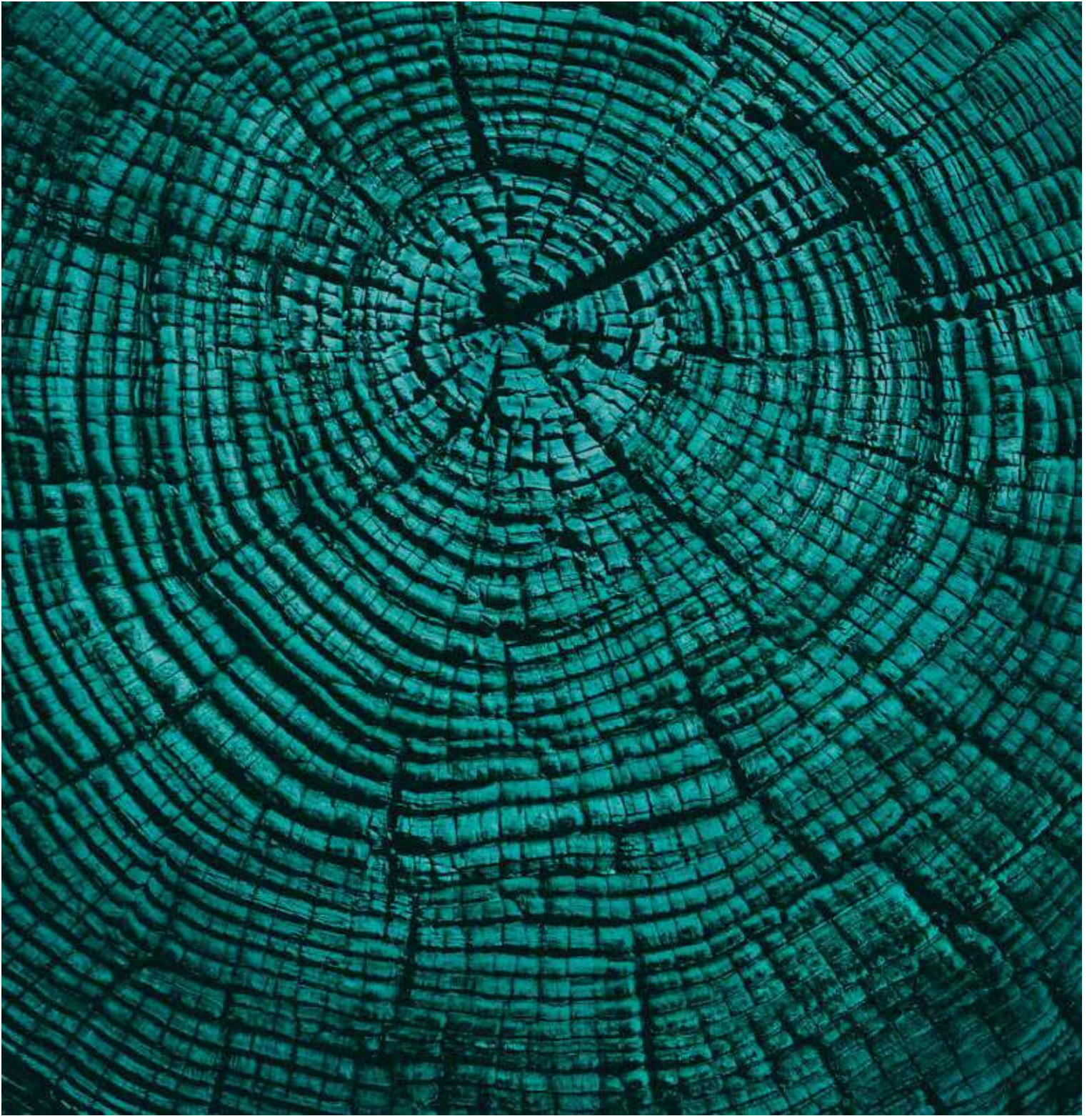
CONSOLIDATED STATEMENT OF FINANCIAL POSITION IN US \$

As at 31st March	2021	2020
	US \$ '000	US \$ '000
ASSETS		
Non-current assets		
Property, plant and equipment	264,059	276,733
Right -of-use assets	59,872	58,830
Intangible assets	2,908	3,057
Investment in equity accounted investees	3,160	4,794
Other financial assets	3,866	4,025
Deferred tax assets	3,592	1,558
	337,457	348,997
Current assets		
Inventories	4,090	4,916
Trade and other receivables	4,472	8,853
Amounts due from holding company	2,387	3,898
Amount due from parent's group entities	1,158	2,460
Deposits and prepayments	1,844	3,100
Current tax receivable	236	176
Other financial assets	3,576	678
Cash and cash equivalents	10,537	13,023
	28,300	37,104
Assets classified as held for sale	5,400	5,400
TOTAL ASSETS	371,157	391,501
EQUITY AND LIABILITIES		
Equity attributable to equity holders of the company		
Stated capital	17,788	18,717
Reserves	27,795	28,537
Retained earnings	34,267	61,023
	79,850	108,277
Non -controlling interests	30,057	45,219
Total Equity	109,907	153,496

INDICATIVE US DOLLAR FINANCIAL STATEMENTS

CONSOLIDATED STATEMENT OF FINANCIAL POSITION IN US \$

As at 31st March	2021	2020
	US \$ '000	US \$ '000
Non-Current Liabilities		
Interest - bearing liabilities - banks	140,860	131,066
Interest - bearing liabilities - leases	49,997	45,333
Deferred tax liabilities	5,101	5,220
Employee benefits	1,244	1,104
	197,202	182,723
Current Liabilities		
Trade payables	4,571	4,953
Other provisions and payables	16,493	18,400
Amounts due to holding company	845	707
Amounts due to parent's group entities	377	390
Interest - bearing liabilities - banks	12,853	14,520
Interest - bearing liabilities - leases	5,216	2,760
Current tax payable	10	425
Bank overdrafts and other short term borrowings	23,683	13,127
	64,048	55,282
TOTAL LIABILITIES	261,250	238,005
TOTAL EQUITY AND LIABILITIES	371,157	391,501
Exchange rate used for translation	199.83	189.91



FOCUSED THROUGH FRENZY

We remain focused and vigilant – remaining committed and calm amid the chaos of today, with our eyes firmly fixed on the future.

SUPPLEMENTARY INFORMATION

INVESTOR INFORMATION

1. Stock Exchange Listing

Aitken Spence Hotel Holdings PLC is a public quoted company, the issued ordinary shares of which have been listed with the Colombo Stock Exchange.

The Stock Exchange Code for Aitken Spence Hotel Holdings PLC shares is "AHUN.N0000".

2. Shareholders

There were 3,636 registered ordinary shareholders as at 31st March 2021 distributed as follows:

Range	31.03.2021			31.03.2020		
	No. of Shareholders	No. of Shareholding	%	No. of Shareholders	No. of Shareholding	%
1 to 1,000 shares	2,160	681,510	0.20	2,104	699,788	0.21
1,001 to 10,000 shares	1,125	3,894,438	1.16	1,173	4,030,015	1.20
10,001 to 100,000 shares	275	7,680,403	2.28	312	9,061,895	2.69
100,001 to 1,000,000 shares	60	17,869,122	5.31	54	16,780,345	4.99
1,000,001 & Above	16	306,164,537	91.04	16	305,717,967	90.91
	3,636	336,290,010	100.00	3,659	336,290,010	100

3. Analysis of Shareholders

Category	31.03.2021		31.03.2020	
	Shareholding	%	Shareholding	%
Nationals	335,039,503	99.63	335,215,784	99.68
Non - Nationals	1,250,507	0.37	1,074,226	0.32
	336,290,010	100.00	336,290,010	100.00
Category	31.03.2021		31.03.2020	
	Shareholding	%	Shareholding	%
Aitken Spence PLC & Subsidiaries	250,507,418	74.49	250,507,418	74.49
Other Institutions	61,382,671	18.25	63,535,937	18.89
Individuals	24,399,921	7.26	22,246,655	6.62
	336,290,010	100.00	336,290,010	100.00

* Percentage of shares held by the public as at 31st March 2021 was 25.41% and the number of public shareholders as at 31st March 2021 were 3,625.

4. Share Trading

	2020/21	2019/20	2018/19	2017/18	2016/17
Number of Shares Traded During the Year	14,455,930	6,998,161	3,736,586	4,738,492	5,053,600
Value of Shares Traded During the Year (Rs.)	381,490,589	171,349,406	95,540,393	150,129,013	256,834,808
Number of Transactions	8,216	4,440	2,068	2,833	2,362

5. Market Value

Financial Year	Highest Rs.	Lowest Rs.	Year End Rs.
2016/17	64.00	34.00	35.20
2017/18	42.00	28.00	33.50
2018/19	33.50	21.00	23.50
2019/20	31.80	15.00	15.00
2020/21	37.00	12.00	31.20

* Closing price of the share as at 31st March 2021 was Rs. 30.20.

6. Ratios

	2020/21	2019/20	2018/19	2017/18	2016/17
Earnings Per Share (Rs.)	(13.93)	(1.90)	2.37	3.43	1.97
Price Earnings Ratio (Times)	(2.17)	(7.94)	10.02	9.76	17.91
Net Asset per Share as at 31st March (Rs.)	46.96	60.66	62.96	58.30	56.49

7. Dividends

Year	Dividend Per Share Rs.	Dividend Yield Rs.
2016/2017	0.75	2.13%
2017/2018	1.25	3.73%
2018/2019	1.00	4.26%
2019/2020	-	-
2020/2021	-	-

8. Market Capitalization (As at 31st March)

Year	Stated Capital & Reserves Rs.'000	Market Capitalization Rs.'000
2016/17	19,161,826	11,837,408
2017/18	19,771,215	11,265,715
2018/19	21,338,821	7,970,073
2019/20	20,562,900	5,077,979
2020/21	15,956,456	10,155,958

The float adjusted market capitalisation as at 31st March 2021 was Rs. 2,580,178,495.00 with reference to section no.7.6 (iv) of the listing rules of the Colombo Stock Exchange.

As the float adjusted market capitalization is more than Rs. 2.5 billion, Aitken Spence Hotel Holdings PLC complies under option 4 with the minimum public holding requirement.

INVESTOR INFORMATION

9. Group Effective Holding in Subsidiary, Joint Ventures and Associate Companies

Company	31.03.2021	31.03.2020
Aitken Spence Hotel Managements Asia (Private) Limited	51.00%	51.00%
Aitken Spence Hotels Limited	98.01%	98.01%
Aitken Spence Hotel Managements (Private) Limited	49.00%	49.00%
Crest Star (B.V.I) Limited (British Virgin Islands)	100.00%	100.00%
Cowrie Investment Private Limited (Maldives)	60.00%	60.00%
Aitken Spence Global Operations (Private) Limited	51.00%	51.00%
Aitken Spence Hotels International (Private) Limited	51.00%	51.00%
PR Holiday Homes Private Limited (India)	43.13%	43.13%
Floatels India Private Limited (India)	4.19%	4.19%
Heritance (Private) Limited	98.01%	98.01%
Kandalama Hotels (Private) Limited	61.74%	61.74%
Jetan Travel Services Company Private Limited (Maldives)	95.00%	95.00%
Ace Resorts Private Limited (Maldives)	51.00%	51.00%
A.D.S Resorts Private Limited (Maldives)	51.00%	51.00%
Unique Resorts Private Limited (Maldives)	51.00%	51.00%
Aitken Spence Hotel Services Private Limited (India)	51.00%	51.00%
Aitken Spence Hotel Management (South India) (Private) Limited (India)	59.13%	59.13%
Aitken Spence Resorts (Middle East) LLC (Oman)	51.00%	51.00%
Perumbalam Resorts Private Limited (India)	43.12%	43.12%
Amethyst Leisure Limited	32.17%	27.89%
Turyaa Resorts (Private) Limited	100.00%	100.00%
Turyaa (Private) Limited	100.00%	100.00%
Browns Beach Hotels PLC	37.42%	37.42%
Hethersett Hotels Limited	94.44%	94.44%
Ahungalla Resorts Limited	60.00%	60.00%
Neptune Ayurvedic Village (Private) Limited	100.00%	100.00%
Nilaveli Holidays (Private) Limited	100.00%	100.00%
Nilaveli Resorts (Private) Limited	100.00%	100.00%
The Galle Heritage (Private) Limited	100.00%	100.00%
Meeraladuwa (Private) Limited	100.00%	100.00%
Paradise Resorts Passikudah (Private) Limited	32.17%	27.89%
Negombo Beach Resorts (Private) Limited	37.42%	37.42%
Aitken Spence Resources (Private) Limited	49.00%	49.00%

10. Shareholding of Directors together with their Spouses in Aitken Spence Hotel Holdings PLC.

As at 31st March	2021	2020
Deshamanya D.H.S. Jayawardena	-	-
Dr. M.P. Dissanayake	-	-
Ms. D.S.T. Jayawardena	16,000	16,000
Mr. C.M.S. Jayawickrama	-	-
Mr. J.M.S. Brito	300,658	331,021
Mr. R.N. Asirwatham	1,000	1,000
Mr. N.J. de Silva Deva Aditya	-	-
Mr. C.H. Gomez	-	-
Mr. G.P.J. Goonewardena	5,460	5,460
Total	323,118	353,481

11. Twenty Largest Shareholders

Shareholder	31.03.2021		31.03.2020	
	No.of Shares	%	No.of Shares	%
1 Aitken Spence PLC	239,472,667.00	71.21	239,472,667.00	71.21
2 Employees Provident Fund	31,501,601.00	9.37	31,501,601.00	9.37
3 Sri Lanka Insurance Corporation Ltd-Life Fund	5,518,727.00	1.64	5,518,727.00	1.64
4 Ace Cargo (Private) Limited	4,423,601.00	1.32	4,423,601.00	1.32
5 Aitken Spence Hotel Managements (Private) Limited	3,530,639.00	1.05	3,530,639.00	1.05
6 Aitken Spence Aviation (Private) Limited	2,604,140.00	0.77	2,604,140.00	0.77
7 Bank Of Ceylon	2,547,424.00	0.76	2,547,424.00	0.76
8 Employees Trust Fund Board	2,370,705.00	0.70	2,370,705.00	0.70
9 Ceylon Guardian Investment Trust PLC	2,245,982.00	0.67	2,245,982.00	0.67
10 J.B. Cocoshell (Private) Ltd	2,164,403.00	0.64	2,210,655.00	0.66
11 National Savings Bank	2,102,133.00	0.63	2,102,133.00	0.63
12 Mr. G.C. Wickremasinghe	2,082,241.00	0.62	2,082,241.00	0.62
13 Mr. K. Balendra	1,992,622.00	0.59	-	-
14 Ceylon Investment PLC	1,283,675.00	0.38	1,283,675.00	0.38
15 Miss. A.T. Wickremasinghe	1,245,004.00	0.37	1,245,004.00	0.37
16 Bank Of Ceylon A/C Ceybank Century Growth Fund	1,078,973.00	0.32	1,078,773.00	0.32
17 Mr. M.J. Fernando	1,000,000.00	0.30	1,000,000.00	0.30
18 Mrs. K. Fernando	991,149.00	0.29	991,149.00	0.29
19 Ceylon Investment PLC	985,900.00	0.29	985,900.00	0.29
20 Rubber Investment Trust Limited	826,548.00	0.25	826,548.00	0.25
Total	309,968,134.00	92.17	308,021,564.00	91.60

INVESTOR INFORMATION

12. History of Movement In Ordinary Share Capital

Year	Issue	Number of Shares
	Shares in issue at the time of listing	1,281,612
1979/80	Initial Public Offer	500,000
1980/81	Private Placement	300,000
1980/81	Rights Issue	368,743
1981/82	Rights Issue	1,839,063
1982/83	Rights Issue	1,429,806
1983/84	Rights Issue	791,792
1984/85	Rights Issue	822,790
1994/95	Bonus Issue	2,444,602
1994/95	Share swap to acquire Aitken Spence Hotels Ltd	9,699,199
1994/95	Share swap to acquire Brown's Beach Hotels Ltd	638,020
1994/95	Share swap to acquire M. P. S. Hotels Ltd	473,557
1999/00	Bonus Issue	3,431,531
1999/00	Rights Issue	14,412,429
2010/11	Rights Issue (1 for 4)	9,608,286
	Share Split (7 for 1)	288,248,580
	Total as at 31st March, 2021	336,290,010

13. History of Movement in Preference Share Capital

Year	Issue	Number of Shares
1981/82	12% Cum. Redeemable Preference Shares	200,000
1982/83	Redemption	(40,000)
1983/84	Redemption	(40,000)
1984/85	Redemption	(40,000)
1985/86	Redemption	(40,000)
1990/91	Redemption	(40,000)
1996/97	9% Cum Redeemable Preference Shares	16,500,000
	Total as at 31st March, 2021	16,500,000

DECADE AT A GLANCE

Year ended 31st March	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012
OPERATING RESULTS										
Revenue	5,728,379	19,019,241	19,570,589	18,250,581	16,055,386	13,378,071	13,270,918	12,947,076	12,035,870	9,614,828
Profit / (loss) before taxation	(7,606,620)	(433,023)	1,904,325	2,189,891	1,549,562	2,520,651	3,920,116	4,078,450	3,204,882	2,427,770
Taxation	353,405	(462,701)	(707,161)	(606,496)	(535,823)	(432,889)	(484,494)	(561,435)	(464,895)	(346,299)
Profit/(loss) after taxation	(7,253,215)	(895,724)	1,197,164	1,583,395	1,013,739	2,087,762	3,435,622	3,517,015	2,739,987	2,081,471
Profit/(loss) attributable to equity holders of the parent	(4,669,045)	(624,953)	810,581	1,169,314	675,873	1,403,766	2,234,804	2,340,934	1,785,154	1,377,976
SHAREHOLDERS' FUNDS										
Stated capital	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587	3,554,587
Reserves and retained earnings	12,401,869	17,008,313	17,784,234	16,216,628	15,607,239	14,851,205	13,676,628	11,823,701	9,371,120	7,614,992
Shareholders' funds	15,956,456	20,562,900	21,338,821	19,771,215	19,161,826	18,405,792	17,231,215	15,378,288	12,925,707	11,169,579
LIABILITIES										
Non-current interest bearing liabilities	38,138,710	33,500,094	23,405,292	18,154,051	14,450,707	8,186,477	5,363,625	2,913,898	2,790,090	2,790,308
Amount due to ultimate holding company	168,765	134,293	110,020	834,985	348,329	155,804	37,518	92,315	109,340	204,779
Current liabilities	12,630,068	10,364,198	8,329,080	9,987,503	8,801,945	5,859,232	5,173,696	3,481,725	3,326,203	3,249,987
Other liabilities & charges	1,267,974	1,201,019	2,462,557	1,722,855	1,144,318	411,798	344,196	321,148	304,726	287,278
Non-controlling interest	6,006,264	8,587,530	9,256,614	8,122,788	8,270,862	5,429,111	4,638,017	3,789,554	2,903,733	2,189,351
Total Equity and Liabilities	74,168,237	74,350,034	64,902,384	58,593,397	52,177,987	38,448,214	32,788,267	25,976,928	22,359,799	19,891,282
ASSETS										
Property, plant & equipment	52,766,644	52,554,379	49,918,218	41,404,788	37,687,160	23,101,360	16,402,491	12,571,903	11,962,472	11,087,739
Right-of-use assets	11,964,320	11,172,389	-	-	-	-	-	-	-	-
Leasehold property	-	-	2,214,518	2,023,903	2,042,460	2,006,728	1,906,526	1,461,100	1,463,930	1,521,100
Prepaid operating leases	-	-	1,924,329	1,772,172	1,791,169	1,811,071	1,067,063	1,048,621	1,020,553	1,067,800
Intangible assets	581,137	580,627	472,879	416,053	404,612	380,166	2,842	13,390	26,929	26,862
Investments	631,527	910,478	1,249,902	1,158,581	1,294,427	4,982,212	3,098,474	1,336,814	1,302,694	1,227,371
Other financial assets	772,508	764,245	778,986	763,780	126,650	202,395	180,191	197,478	221,072	233,207
Deferred tax assets	717,802	295,849	160,942	143,906	157,760	147,969	119,017	115,977	132,722	130,018
Current assets	5,655,205	7,046,542	8,182,610	10,910,214	8,673,749	5,816,313	10,011,662	9,231,645	6,229,427	4,597,185
Assets classified as held for sale	1,079,094	1,025,525	-	-	-	-	-	-	-	-
Total Assets	74,168,237	74,350,034	64,902,384	58,593,397	52,177,987	38,448,214	32,788,267	25,976,928	22,359,799	19,891,282
CASH FLOW										
From operating activities	(807,340)	3,303,771	2,858,941	2,801,992	2,587,485	3,479,769	3,986,229	3,820,890	3,528,361	3,156,697
From investing activities	(1,287,929)	(3,214,760)	(6,272,236)	(3,050,809)	(2,279,588)	(6,507,608)	(6,137,472)	(3,446,368)	(1,686,804)	(2,533,371)
From financing activities	(414,643)	(1,437,348)	767,316	3,266,138	120,782	1,409,694	2,412,926	(607,312)	(389,776)	(765,864)
Net cash inflow/(outflow)	(2,509,912)	(1,348,337)	(2,645,979)	3,017,321	428,679	(1,618,145)	261,682	(232,790)	1,451,781	(142,538)
KEY INDICATORS										
Earnings per ordinary share (Rs.)	(13.93)	(1.90)	2.37	3.43	1.97	4.13	6.60	6.92	5.26	4.05
Net Assets value per ordinary share (Rs.)	46.96	60.66	62.96	58.30	56.49	54.24	50.75	45.24	37.95	32.72
Closing price per share (Rs.)	30.20	15.10	23.70	33.50	35.20	53.00	67.00	70.00	74.00	70.00
Dividend per share (Rs.)	-	-	1.00	1.25	0.75	1.25	1.50	1.50	1.00	0.70
Dividend cover (Times)	-	-	2.37	2.75	2.62	3.30	4.40	4.61	5.26	5.79
Price to earnings ratio (Times)	(2.17)	(7.94)	10.02	9.76	17.91	12.83	10.15	10.12	14.07	17.28
Gearing (debt/(debt+equity)) %	63.73	53.73	43.65	39.78	34.90	26.08	20.30	13.94	15.87	18.30
Interest cover (Times)	(2.32)	0.94	3.18	3.45	3.31	8.73	22.21	22.03	13.71	12.40
Return on average shareholders' funds (%)	(25.89)	(3.08)	3.90	5.98	3.55	7.87	13.75	16.63	14.90	13.73

REAL ESTATE HOLDINGS OF THE GROUP

Description of the Property	No of Rooms	Location	Building in Sq.Ft	No of Buildings	Land Extent Acres		Net Book Value as at 31/03/21 (Rs.'000)	
					Freehold	Leasehold	Land	Buildings
Aitken Spence Hotel Holdings PLC								
Heritance Ahungalla	152	Ahungalla	253,590	3	11.96	-	710,300	668,956
Meeraladuwa (Pvt) Ltd								
Meeraladuwa Island	-	Balapitiya		-	29.55	-	217,020	
Kandalama Hotels (Pvt) Ltd								
Heritance Kandalama	152	Dambulla	470,438	3	169.64	50.00	9,300	475,525
Hethersett Hotels Ltd								
Heritance Tea Factory	54	Nuwara Eliya	66,120	4	-	25.00	-	126,411
Aitken Spence Hotels Ltd								
Heritance Ayurveda Mahagedara	64	Beruwala	135,372	3	-	6.44	-	353,364
Heritance (Pvt) Ltd	-	Beruwala	-	-	5.79	-	324,250	-
Neptune Ayurvedic Village (Pvt) Ltd	-	Beruwala	12,500	-	0.12	-	4,500	43,363
Turyaa (Pvt) Ltd								
Turyaa Kalutara	110	Kalutara	192,686	20	5.93	-	407,160	639,492
Turyaa Resorts (Pvt) Ltd								
Turyaa Kalutara	90	Kalutara	113,060	3	2.42	-	170,336	1,060,049
Ahungalla Resorts Ltd								
Hotel RIU Sri Lanka	501	Ahungalla	601,751	11	12.97	-	942,650	7,807,421
Jetan Travel Services Co. (Pvt) Ltd								
Adaaran Club Rannalhi	130	Maldives	98,667	43	-	11.69	-	895,353
Cowrie Investments (Pvt) Ltd								
Adaaran Select Meedhuparu	235	Maldives	299,124	122	-	44.45	-	2,725,254
Heritance Aarah	158	Maldives	254,356	244	-	26.90	-	14,762,449
ADS Resorts (Pvt) Ltd								
Adaaran Select Hudhuranfushi	215	Maldives	170,446	210	-	78.00	-	579,291
Unique Resorts (Pvt) Ltd								
Adaaran Prestige Vadoo	50	Maldives	40,324	53	-	4.48	-	1,797,171
Ace Resorts (Pvt) Ltd								
Rafushi Island Maldives	-	Maldives	-	-	-	45.25	-	-
Aitken Spence Hotel Managements								
(South India) Pvt Ltd								
Turyaa Chennai	140	Chennai/India	126,825	1	0.84	-	1,029,105	2,935,861
Perumbalam Resorts (Pvt) Ltd	-	Chennai/India	-	-	4.05	-	53,699	-
P.R Holiday Homes (Pvt) Ltd	-	Chennai/India	-	-	14.04	-	223,585	141
Aitken Spence Resorts (Middle East) LLC								
Al Falaj Hotel	150	Oman	16,408	3	5.05	-	3,489,807	3,381,888

GROUP DIRECTORY

HOTELS

1. Ace Resorts Private Limited *

Owns the Raafushi island earmarked for the construction and development of a Resort in the Republic of Maldives.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama (Managing Director),
Ms. D.S.T. Jayawardena,
M. Mahdy.

2. A.D.S Resorts Private Limited *

Owns the Adaaran Select Hudhuran Fushi resort in the Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama (Managing Director),
M. Mahdy.

3. Aitken Spence Global Operations (Private) Limited

Provides international marketing services for the overseas hotels in the Group.

Directors:

Dr. M.P. Dissanayake,
Ms. D.S.T. Jayawardena,
Mr. C.M.S. Jayawickrama.

4. Aitken Spence Hotel Managements (Private) Limited *

Manages resorts in Sri Lanka.

Directors:

Ms. D.S.T. Jayawardena (Chairperson and Joint Managing Director),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama (Joint Managing Director).

5. Aitken Spence Hotel Managements (South India) Private Limited

Owns the 140 roomed hotel property "Turyaa" in Chennai in the Republic of India.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
T.K. Dewanarayana,
A. Durairaj (Resigned w.e.f. 30.04.2020).

6. Aitken Spence Hotel Managements Asia (Private) Limited *

Manages resorts in the Sultanate of Oman and the Republic of Maldives.

Directors:

Deshamanya D.H.S. Jayawardena,
Dr. R.M. Fernando,
Ms. D.S.T. Jayawardena,
Ms. N. Sivapragasam.

7. Aitken Spence Hotels International (Private) Limited *

Overseas investment company of the Group Companies and provides international marketing services to the resorts in the Sultanate of Oman.

Directors:

Dr. M.P. Dissanayake,
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama.

8. Aitken Spence Hotel Services Private Limited

Local marketing company of hotels in the Republic of India.

Directors:

R.S. Rajaratne,
T.K. Dewanarayana.

9. Aitken Spence Hotels Limited *

Holding company of Kandalama Hotels (Private) Limited and Heritance (Private) Limited. Owns the Heritance Ayurveda Maha Gedara resort in Beruwela.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

10. Aitken Spence Resorts (Middle East) LLC*

Owning company of the Al Falaj Hotel in Muscat, Sultanate of Oman.

Directors:

Dr. M.P. Dissanayake,
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
A. Perera,
S.N. de Silva.

11. Aitken Spence Resources (Private) Limited *

The Company did not carry out any operations during the year.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama,
G.P.J. Goonewardena.

12. Ahungalla Resorts Limited *

A joint venture company between Aitken Spence Hotel Holdings PLC and RIUSA NED BV and owns the RIU Hotel Sri Lanka at Ahungalla.

Directors:

Dr. M.P. Dissanayake,
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
J.T. Riu (Managing Director),
L. Riu Guell.

13. Cowrie Investment Private Limited *

Owns the Heritance Aarah and Adaaran Select Meedhupparu resorts in the Republic of Maldives.

Directors:

Dr. M.P. Dissanayake (Chairman and Managing Director),
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
I.M. Didi,
M. Salih.

14. Crest Star (B.V.I.) Limited

The holding company and managing agent of Jetan Travel Services Company Private Limited.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

15. Floatels India (Private) Limited

The owning company of Poovar Island Resort in Kerala, in the Republic of India.

Directors:

K.K.M. Rawther,
K.K. Kabeer,
C.M.S. Jayawickrama,
M.K.Z. Beevi,
M.R. Narayanan.

GROUP DIRECTORY

16. Heritance (Private) Limited *

Owns a land in Beruwala for a proposed hotel project.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

17. Hethersett Hotels Limited *

Owns the Heritance Tea Factory - Kandapola.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

18. Jetan Travel Services Company Private Limited *

Owns the Adaaran Club Rannalhi resort in the Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama (Managing Director),
H. Mohamed,
M. Mahdy.

19. Kandalama Hotels (Private) Limited *

Owns the Heritance Kandalama Hotel.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

20. Meeraladuwa (Private) Limited *

Owns the island of Meeraladuwa in Balapitiya.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

21. Neptune Ayurvedic Village (Private) Limited *

Leases company owned land and building to Aitken Spence Hotels Limited.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

22. Perumbalam Resorts Private Limited

A fully owned subsidiary of PR Holiday Homes Private Limited.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
T.K. Dewanarayana,
K.K.M. Rawther,
K.K. Kabeer (Appointed w.e.f. 10.03.2020),
M.R. Narayanan (Resigned w.e.f. 10.03.2020),
Ms. R. Narayanan (Resigned w.e.f. 10.03.2020).

23. PR Holiday Homes Private Limited

Owns a land in Cochin, in the Republic of India for a future hotel project.

Directors:

Dr. M.P. Dissanayake,
C.M.S. Jayawickrama,
K.K.M. Rawther,
T.K. Dewanarayana,
K.K. Kabeer (Appointed w.e.f. 10.03.2020),
M.R. Narayanan (Resigned w.e.f. 10.03.2020).

24. Turyaa (Private) Limited *

Owns the 109 roomed hotel property "Turyaa" in Kalutara.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

25. Turyaa Resorts (Private) Limited *

Owns the 90 roomed hotel property "Turyaa" in Kalutara.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

26. Unique Resorts Private Limited *

Owns the Adaaran Prestige Vadoo resort in the Republic of Maldives.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
C.M.S. Jayawickrama (Managing Director),
M.D.B.J. Gunatilake.

JOINT VENTURES & ASSOCIATES

HOTELS

28. Amethyst Leisure Limited *

The Holding Company of Paradise Resort Passikudah (Private) Limited.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Ms. V.J. Senaratne,
J.C. Weerakone,
A. Mahir (Resigned w.e.f. 10.11.2020).

29. Browns Beach Hotels PLC *

Owns the property leased out to Negombo Beach Resorts (Private) Limited.

Directors:

Deshamanya D.H.S. Jayawardena (Chairman),
Dr. M.P. Dissanayake,
Ms. D.S.T. Jayawardena,
C.R. Stanislaus,
A.L. Gooneratne,
R.N. Asirwatham,
N.J. de Silva Deva Aditya.

30. Negombo Beach Resorts (Private) Limited *

Owns the Heritage Negombo Hotel.

Directors:

Deshamanya D.H.S. Jayawardena (Chairman),
Ms. D.S.T. Jayawardena,
C.M.S. Jayawickrama,
C.R. Stanislaus.

31. Paradise Resort Pasikudah (Private) Limited *

Owning Company of Amethyst Resort, Passikudah.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Ms. V.J. Senaratne,
J.C. Weerakone.

DESTINATION MANAGEMENT

32. Nilaveli Holidays (Private) Limited *

To operate a future hotel project.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

33. Nilaveli Resorts (Private) Limited *

To operate a future hotel project.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

34. The Galle Heritage (Private) Limited *

The company is in the process of being struck off.

Directors:

Ms. D.S.T. Jayawardena (Chairperson),
Dr. M.P. Dissanayake,
C.M.S. Jayawickrama.

* The companies' financial statements are audited by KPMG

CORPORATE INFORMATION

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NAME

Aitken Spence Hotel Holdings PLC

LEGAL FORM

A Public Quoted Company with limited liability, incorporated in Sri Lanka on March 14, 1978

COMPANY REGISTRATION NUMBER

PQ 97

REGISTERED OFFICE

No. 315, Vauxhall Street Colombo 2, Sri Lanka

DIRECTORS

Deshamanya D.H.S. Jayawardena - *Chairman*

Dr. M.P. Dissanayake - *Managing Director*

Ms. D.S.T. Jayawardena

Mr. C.M.S. Jayawickrama - *FCMA*

Mr. J.M.S. Brito - *LLB, FCA, MBA*

Mr. R.N. Asirwatham - *FCA*

Mr. N.J. de Silva Deva Aditya

Mr. C.H. Gomez

Mr. G.P.J. Goonewardena

GROUP AUDIT COMMITTEE

Mr. R.N. Asirwatham - *Chairman*

Mr. G.C. Wickremasinghe

Mr. C.H. Gomez

Mr. N.J. de Silva Deva Aditya/
Mr. A.L. Gooneratne (*Alternate Director to
Mr. N.J. de Silva Deva Aditya in the parent
company's directorate*)

Mr. J.M.S. Brito

GROUP REMUNERATION COMMITTEE

Mr. G.C. Wickremasinghe - *Chairman*

Mr. R.N. Asirwatham

Mr. C.H. Gomez

GROUP NOMINATION COMMITTEE

Mr. G.C. Wickremasinghe - *Chairman*

Deshamanya D.H.S. Jayawardena

Mr. R.N. Asirwatham

GROUP RELATED PARTY TRANSACTIONS REVIEW COMMITTEE

Mr. R.N. Asirwatham - *Chairman*

Mr. G.C. Wickremasinghe

Mr. C.H. Gomez

Mr. N.J. de Silva Deva Aditya/
Mr. A.L. Gooneratne (*Alternate Director to
Mr. N.J. de Silva Deva Aditya in the parent
company's directorate*)

Mr. J.M.S. Brito

SECRETARIES

Aitken Spence Corporate Finance
(Private) Limited

No. 315, Vauxhall Street,
Colombo 02,
Sri Lanka.

T: (+94 11) 2308308

F: (+94 11) 2445406

E: benji@aitkenspence.lk,
comsec@aitkenspence.lk

REGISTRARS

Central Depository Systems
(Private) Limited

Ground Floor, M&M Center,
No. 341/5, Kotte Road,
Rajagiriya.

T: (+94 11) 2356456

F: (+94 11) 2440396

E: hema@cse.lk

Web: www.cds.lk

AUDITORS

KPMG

Chartered Accountants

32A, Sir Mohamed Macan Markar Mawatha,
P.O Box 186,
Colombo 03.

BANKERS

Hatton National Bank PLC

People's Bank

Bank of Ceylon

Hongkong and Shanghai Banking Corporation

Citibank N A

Union Bank

ICICI Bank

Nations Trust Bank

DFCC Bank

Deutsche Bank

Commercial Bank

HOLDING COMPANY

Aitken Spence PLC

CONTACT DETAILS

No. 315, Vauxhall Street,
Colombo 02,
Sri Lanka.

T: (+94 11) 2308308

F: (+94 11) 2445406

Web: www.aitkenspencehotels.com

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GRI 403: Occupational Health and Safety 2016	403-1	Workers representation in formal joint management-worker health and safety committees	Human Capital - Health & Well-being	78
	403-2	Types of injury and rates of injury, occupational diseases, lost days and absenteeism and number of work-related fatalities.	Human Capital - Health & Well-being	78
GRI 404: Training and Education 2016	404-1	Average hours of training per year per employee	Human Capital - Learning & Development	80
	404-2	Programs for upgrading employee skills and transition assistance programs	Human Capital - Learning & Development	80
	404-3	Percentage of employees receiving regular performance and career development reviews	Human Capital - Rewards & Remuneration	80
GRI 405: Diversity and Equal Opportunity 2016	405-1	Diversity of governance bodies and employees	Human Capital - Diversity and Inclusion Corporate Governance - Composition of the Board	81 102
	405-2	Ratio of the basic salary and remuneration of women to men	Human Capital - Diversity and Inclusion	81

Material Aspects	GRI Indicator	Disclosure	Remarks & References	Page
HUMAN RIGHTS				
GRI 406: Non-Discrimination 2016	406-1	Incidents of discrimination and corrective actions taken	Human Capital - Diversity and Inclusion	81
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1	Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	Human Capital-Engagement	79
			Social & Relationship Capital - Suppliers	91
GRI 408: Child Labour 2016	408-1	Operations and suppliers at significant risk for incidents of child labour	Social & Relationship Capital - Suppliers	91
GRI 409: Forced or Compulsory Labour 2016	409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labour	Social & Relationship Capital - Suppliers	91
GRI 410: Security Practices 2016	410-1	Security personnel trained in human rights policies or procedures	Human Capital - Learning & Development	80
GRI 412: Human Rights Assessment 2016	412-2	Employee training on human rights policies or procedures	Human Capital - Learning & Development	80
SOCIETY				
GRI 413: Local Communities 2016	413-1	Operations with local community engagement, impact assessments and development programs	Social & Relationship Capital - Community	91
	413-2	Operations with significant actual and potential negative impacts on local communities	Social & Relationship Capital - Community	91
GRI 414: Supplier Social Assessment 2016	414-1	New suppliers that were screened using social criteria	Social & Relationship Capital - Suppliers	91
	414-2	Negative social impacts in the supply chain and actions taken	Social & Relationship Capital - Suppliers	91
GRI 416: Customer Health and Safety 2016	416-1	Assessment of the health and safety impacts of product and service categories	Annual Report of the Board of Directors-Risk Management	124
	416-2	Incidents of non-compliance concerning the health and safety impacts of products and services	Social & Relationship Capital - Customer Safety	88
GRI 417: Marketing and Labeling 2016	417-1	Requirements for product and service information and labeling	Social & Relationship Capital - Suppliers	91
	417-2	Incidents of non-compliance concerning product and service information and labeling	Social & Relationship Capital - Customer Satisfaction	89
	417-3	Incidents of non-compliance concerning marketing communications	Social & Relationship Capital - Customer Satisfaction	89
GRI 418: Customer Privacy 2016	418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	Social & Relationship Capital - Customer Satisfaction	89
GRI 419: Socioeconomic Compliance 2016	419-1	Non-compliance with laws and regulations in the social and economic area	The Board of Directors' Statement On Internal Controls	127-128

GLOSSARY OF FINANCIAL TERMS

A

Accounting Policies - The specific principles, bases, conventions, rules and practices adopted by an enterprise in preparing and presenting Financial Statements.

Accrual Basis - Recording Revenues and Expenses in the period in which they are earned or incurred regardless of whether cash is received or disbursed in that period.

Actuarial Gains and Losses - Gain or loss arising from the difference between estimates and actual experience in a company's pension plan.

Amortization - The systematic allocation of the depreciable amount of an intangible asset over its useful life.

Asset Held for Sale - The carrying amount of the asset value which will be recovered through a sale transaction rather than through continuing use.

Average Weighted Prime Lending Rate (AWPLR) - Reflects rates applicable on loans and advances granted by commercial banks to their most creditworthy customers.

C

Capital Employed - Total shareholders' funds plus debt.

Capital Reserves - Reserves identified for specific purposes and considered not of the entity, directly or indirectly, including any director (whether executive or otherwise) of the entity available for distribution.

Cash Equivalents - High liquid investments that are readily convertible to know amounts of cash and which are subject to an insignificant risk of change in value.

Collateral - Monetary or non-monetary asset pledged or received as security in lieu of a loan or credit terms obtained or provided.

Contingent Liabilities - A condition or situation at the Reporting date of which the financial effect will be determined only on the occurrence, or non-occurrence of one or more uncertain future events.

Contract Liability - An entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amounts due) from the customer.

Credit Risk - Risk that the counterparty to a transaction fails to meet its contractual obligations in accordance to the agreed terms and conditions.

Current Ratio - Current assets divided by current liabilities.

D

Debt/Equity Ratio - Ratio between long-term interest-bearing liabilities and total equity. It shows the extent to which the firm is financed by debt.

Dividend Cover - Net profit attributable to the ordinary shareholders divided by the total dividend.

Derivatives - Financial contracts whose values are derived from the values of underlying assets.

Deferred Income Tax - The net tax effect on items which have been included in the Income Statement, which would only qualify for inclusion on a tax return at a future date.

Dividend Pay Out Ratio - The percentage of earnings paid to shareholders in dividends.

Dividend Yield Ratio - Dividend per share as a percentage of the market price. A measure of return on investment.

Dividends per Share (DPS) - Dividends paid and proposed, divided by the number of issued shares, which ranked for those dividends.

E

Earnings Per Share (EPS) - Net profit for the period attributable to ordinary shareholders divided by the weighted average number of ordinary shares in issue during the period.

Equity - The value of an asset after all the liabilities or debts have been paid.

EBIT - Earnings before interest and tax.

EBITDA - Earnings before interest, taxes, depreciation and amortization.

Effective Rate of Taxation - Income tax over profit before tax.

EPS Growth - Percentage of increase in the EPS over the previous year.

F

Fair Value - The price that would be received to sell an asset or transfer a liability in an orderly transaction between market participants at the measurement date.

Fair Value Through Profit and Loss - A financial asset/liability acquired/incurred principally for the purpose selling or repurchasing it in the near term.

Fair Value Through OCI (FVOCI) - Financial instruments that are held for trading and measured at fair value through other comprehensive income.

Financial Assets - Any asset that is cash, an equity instrument of another entity or a contractual right to receive cash or another financial asset from another entity.

Financial Instruments - Any contract that gives rise to financial assets of one entity and financial liability or equity instrument of another entity.

Financial Liability - Any liability that is a contractual obligation to deliver cash or another financial asset to another entity.

G

Gearing - Proportion of total interest-bearing liabilities to capital employed. Refer Debt to equity.

I

Impairment - This occurs when recoverable amount of an asset is less than it is carrying amount.

Interest Cover- This indicates the ability of an entity to cover long term and short-term interest expenses with EBIT.

(Profit before Interest & Taxation + Share of Equity Accounted investees divided by total Interest charged for the year).

Intangible Assets - An identifiable non-monetary asset without physical substance held for use in the production or supply of goods or services for rental to others or for administrative purposes.

K

Key Management Personnel (KMP) - KMP are those persons having authority and responsibility for planning directing and controlling the activities of the entity, directly or indirectly, including any Director (whether executive or otherwise) of that entity.

L

Liquidity Risk - The risk of an entity having constraints to settle its financial liabilities.

M

Market Capitalization- The number of ordinary shares in issue multiplied by the market price per share.

Materiality- The relative significance of a transaction or an event, the omission or misstatement of which could influence the decisions of users of Financial Statements.

N

Net Assets Per Share - Shareholders' funds divided by the number of ordinary shares in issue as at the Reporting date.

Non-Controlling Interest - Part of the net results of operations and of net assets of a subsidiary attributable to interests which are not owned, directly or indirectly, through Subsidiaries, by the Parent company.

O

Other Comprehensive Income - An entry that is generally found in the shareholders' equity section of the Statement of Financial Position.

P

Price Earnings Ratio (PER) - Market price per share divided by the earnings per share.

Price to Book Value Ratio (PBV) - Market price per share divided by net assets per share.

Probability of Default (PD) - Estimate of likelihood that a borrower will be unable to meet debt obligations.

R

Return on Capital Employed (ROCE) - Profit before finance expense and tax as a percentage of average capital employed.

Return on Equity - Profit attributable to shareholders as a percentage of average shareholders' funds.

Related Parties - A person or entity that is related to the entity that is preparing its Financial Statements.

Revenue Reserves - Reserves considered as being available for distributions and investments.

Right-of-use Asset (ROU) - ROU asset is an asset that represents a lessee's right to use an underlying asset over the lease term.

S

Segmental Analysis - Analysis of financial information by segments of an entity specifically, the different geographical areas in which it operates.

Shareholder's Funds - The sum of Share capital, Capital Reserves and Revenue Reserves.

T

Total Equity - Total of share capital, reserves, retained earnings and non-controlling interest.

V

Value Added - The wealth created by the operation of the company. The value is distributed among the stakeholders and the balance retained within the business.

W

Working Capital - Capital required to finance day-to-day operations, computed as the excess of current assets cover current liabilities.

NOTES

NOTICE OF MEETING

Notice is hereby given that the Forty Fourth (44th) Annual General Meeting of Aitken Spence Hotel Holdings PLC will be held at No. 315, Vauxhall Street, Colombo 02 on Wednesday, 30th June 2021 at 11.00 a.m., as a virtual meeting using a digital platform for the following purposes:-

1. To receive and consider the Annual Report of the Board of Directors together with the Financial Statements for the year ended 31st March 2021 with the Report of the Auditors thereon.

2. To re-appoint Deshamanya D.H.S. Jayawardena who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Deshamanya D.H.S. Jayawardena who is 78 years of age and that he be re-appointed a Director of the Company."

3. To re-appoint Mr. R.N. Asirwatham who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. R.N. Asirwatham who is 78 years of age and that he be re-appointed a Director of the Company."

4. To re-appoint Mr. J.M.S. Brito who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. J.M.S. Brito who is 74 years of age and that he be re-appointed a Director of the Company."

5. To re-appoint Mr. N.J. de Silva Deva Aditya who is over the age of 70 years, as a Director by passing the following Resolution as an Ordinary Resolution:

"IT IS HEREBY RESOLVED that the age limit stipulated in Section 210 of the Companies Act No. 7 of 2007 shall not apply to Mr. N.J. de Silva Deva Aditya who is 73 years of age and that he be re-appointed a Director of the Company."

6. To re-elect Ms. D.S.T. Jayawardena who retires in terms of Article 83 of the Articles of Association, as a Director.
7. To authorise the Directors to determine contributions to charities.
8. To re-appoint the retiring External Auditors, Messrs. KPMG, Chartered Accountants and authorise the Directors to determine their remuneration.
9. To consider any other business of which due notice has been given.

By Order of the Board

Aitken Spence Hotel Holdings PLC



**Aitken Spence Corporate Finance
(Private) Limited**

Secretaries

28th May 2021
Colombo

Note: Further instructions on the virtual AGM are noted on the reverse hereof

NOTICE OF MEETING

Note:

1. In the interest of protecting public health and facilitating compliance with the Health and Safety guidelines issued by the Government of Sri Lanka, the Forty Fourth (44th) Annual General Meeting of Aitken Spence Hotel Holdings PLC will be a virtual meeting held by participants joining in person or by proxy through audio or audio visual means in the manner specified below:

i. Attendance of the Board of Directors

Certain members of the Board of Directors, the Company Secretaries, the External Auditors and the Legal Counsel will be present at the No. 315, Vauxhall Street, Colombo 02 at 11.00 a.m. on Wednesday, 30th June 2021.

ii. Shareholder participation

- a) The shareholders are encouraged to appoint a Director of the Company as their proxy to represent them at the meeting.
- b) The shareholders may also appoint any other persons other than a Director of the Company as their proxy and the proxy so appointed shall participate at the meeting through audio or audio visual means **only**.
- c) The shareholders who wish to participate at the meeting will be able to join the meeting through audio or audio visual means **only**. To facilitate this process, the shareholders are required to furnish their details by perfecting *Annexure II* to the circular to shareholders and forward same to reach the Company Secretaries via e-mail to nurani@aitkenspence.lk or facsimile on +94 11 2445406 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 02 **not less than five (05) days before the date of the meeting** so that

the meeting login information could be forwarded to the e-mail addresses so provided. The circular to the shareholders with necessary instructions will be posted to all the shareholders along with the Notice of Meeting and the Form of Proxy.

- d) To facilitate the appointment of proxies, the Form of Proxy is attached hereto and the duly filled Forms of Proxy should be sent to reach the Company Secretaries via e-mail to nurani@aitkenspence.lk or facsimile on +94 11 2445406 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 02, **not less than forty eight (48) hours before the time fixed for the meeting**.

iii. Shareholders' queries

The shareholders are hereby advised that if they wish to raise any queries, such queries should be sent to reach the Company Secretaries, via e-mail to nurani@aitkenspence.lk or facsimile on +94 11 2445406 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 02, **not less than five (5) days before the date of the meeting**. This is in order to enable the Company Secretaries to compile the queries and forward same to the attention of the Board of Directors so that such queries could be addressed at the meeting.

- 2. The Annual Report of the Company for the year ended 2020/21 will be available for perusal on the Company website on www.aitkenspencehotels.com, the Colombo Stock Exchange website on www.cse.lk and the social media sites of the Company.

FORM OF PROXY

I/We.....of

being a member/members of Aitken Spence Hotel Holdings PLC hereby appoint

.....of.....

..... (whom failing),

Don Harold Stassen Jayawardena (whom failing),

Mahinda Parakrama Dissanayake (whom failing),

Don Stasshani Therese Jayawardena (whom failing),

Chrisanthus Mohan Susith Jayawickrama (whom failing),

Joseph Michael Suresh Brito (whom failing),

Rajanayagam Nalliah Asirwatham (whom failing),

Charles Humbert Gomez (whom failing),

Niranjan Joseph de Silva Deva Aditya (whom failing),

Gemunu Prasanna Jayasundera Goonewardena,

as my/our Proxy to represent me/us, to speak and to vote on my/our behalf at the Annual General Meeting of the Company to be held on the 30th June 2021, and at any adjournment thereof and at every poll which may be taken in consequence thereof.

I/we the undersigned hereby authorize my/our proxy to vote on my/our behalf in accordance with the preference indicated below:

No.	Resolution	For	Against
1	To re-appoint Deshamanya D.H.S. Jayawardena who is over the age of 70 years		
2	To re-appoint Mr. R.N. Asirwatham who is over the age of 70 years		
3	To re-appoint Mr. J.M.S. Brito who is over the age of 70 years		
4	To re-appoint Mr. N.J. de Silva Deva Aditya who is over the age of 70 years		
5	To re-elect Ms. D.S.T. Jayawardena who retires in terms of Article 83 of the Articles of Association		
6	To authorise the Directors to determine contributions to charities		
7	To re-appoint the retiring External Auditors, Messrs. KPMG, Chartered Accountants and authorise the Directors to determine their remuneration		

Signed this day of June Two Thousand and Twenty One.

.....
Shareholder's Signature/(s)

.....
Shareholder's NIC / Folio No.

.....
Proxy holder's NIC No.

Note: Instructions as to completion are noted on the reverse hereof

FORM OF PROXY

INSTRUCTIONS AS TO COMPLETION

1. Kindly perfect the Form of Proxy by filling in the mandatory details required above, signing in the space provided and filling in the date of signature.
2. If the Form of Proxy is signed by an Attorney, the relative power of attorney should also accompany the proxy form for registration, if such power of attorney has not already been registered with the Company.
3. In the case of a Company/Corporation, the Form of Proxy shall be executed in the manner specified in the Articles of Association.
4. In the absence of any specific instructions as to voting, the proxy may use his/her discretion in exercising the vote on behalf of his appointor.
5. Duly filled Forms of Proxy should be sent to reach the Company Secretaries via e-mail to nurani@aitkenspence.lk or facsimile on +94 11 2445406 or by post to the registered address of the Company No. 315, Vauxhall Street, Colombo 02, **not less than forty eight (48) hours before the time fixed for the meeting.**

Please provide the following details (mandatory):

NIC/PP/Company Registration No. of the Shareholder/s :

Folio No. :

E-mail address of the Shareholder/(s) or proxy holder (other than a Director appointed as proxy) :

Mobile No. :

Fixed line :

INVESTOR FEEDBACK FORM

102-21 102-33

Name (Optional) :

Address (Optional) :

Number of shares held (Optional) :

Please rate the following areas (where applicable) on a scale of 1 to 5 where 1 is the lowest to 5 being the highest

	Lowest			Highest	
	1	2	3	4	5
1. Business Development					
a) Quality and presentation of the Annual Report	☐	☐	☐	☐	☐
b) Usefulness of the information in the interim Financial Statements	☐	☐	☐	☐	☐
c) Likelihood of the financial information in the Annual Report to influence investment decisions	☐	☐	☐	☐	☐
d) Likelihood of the environmental information in the Annual Report to influence investment decisions	☐	☐	☐	☐	☐
e) Likelihood of the social information in the Annual Report to influence investment decisions	☐	☐	☐	☐	☐
f) Satisfaction with the risk management strategies of the Company	☐	☐	☐	☐	☐
2. Corporate Communication					
a) Quality of Group communications appearing in traditional media (newspapers, radio, television)	☐	☐	☐	☐	☐
b) Quality of Group communications appearing in emerging and new media (social media, web)	☐	☐	☐	☐	☐
c) Satisfaction with the frequency and volume of Group communications appearing in mass media channels (newspapers, radio, television)	☐	☐	☐	☐	☐
d) Accessibility and availability of information related to the Group in mass media channels	☐	☐	☐	☐	☐
e) Quality of service and information provided at stakeholder contact channels (web, general line, front office/ reception)	☐	☐	☐	☐	☐
f) Satisfaction with the contact channels available for queries and feedback	☐	☐	☐	☐	☐
3. Human Resources					
a) Satisfaction with the conduct of employees	☐	☐	☐	☐	☐
b) Competency of employees based on your recent interactions	☐	☐	☐	☐	☐
c) Access to HR related information	☐	☐	☐	☐	☐
4. Sustainability					
a) Satisfaction with the strategies developed for economic sustainability	☐	☐	☐	☐	☐
b) Satisfaction with the commitment of the Group towards environmental conservation	☐	☐	☐	☐	☐
c) Satisfaction with the commitment of the Group towards social empowerment and community development	☐	☐	☐	☐	☐
d) Ethical conduct of the Group in business activities	☐	☐	☐	☐	☐

INVESTOR FEEDBACK FORM

Please tick more than one where applicable:

5. What areas of the following business activities are you interested in receiving more information regarding via Group communications?

- | | |
|-------------------------------|--------------------------|
| a) Sustainability initiatives | ☐ |
| b) Reporting processes | ☐ |
| c) Internal operations | ☐ |
| d) New business initiatives | ☐ |

6. What channels of communication are preferred when receiving Group related information?

- | | |
|---------------------|--------------------------|
| a) Web | ☐ |
| b) Newspapers | ☐ |
| c) Electronic media | ☐ |
| d) Social media | ☐ |
| e) Mobile | ☐ |

7. Out of the following, what areas of sustainability do you feel Aitken Spence Hotels should focus more on?

- | | |
|-------------------------------|--------------------------|
| a) Energy | ☐ |
| b) Water | ☐ |
| c) Biodiversity | ☐ |
| d) Waste management | ☐ |
| e) Resource efficiency | ☐ |
| f) GHG emission reduction | ☐ |
| g) Social empowerment | ☐ |
| h) Infrastructure development | ☐ |
| i) Education | ☐ |

The completed Feedback Form could be e-mailed to info@aitkenspence.lk or posted to the registered address of the Company at No. 315, Vauxhall Street, Colombo 02, Sri Lanka.

